CONSTELLATION
ASSET MANAGEMENT

Mercado Libre MELI – NASDAQ

*Last update: April 06, 2024*

Recommendation: **BUY**

*Target Price: 1,951 USD* *Upside: 29.9%*

# RHB Capital

mercado livre

Henrique Longuinhos | Henrique Nakagawa | Renan Giliberti

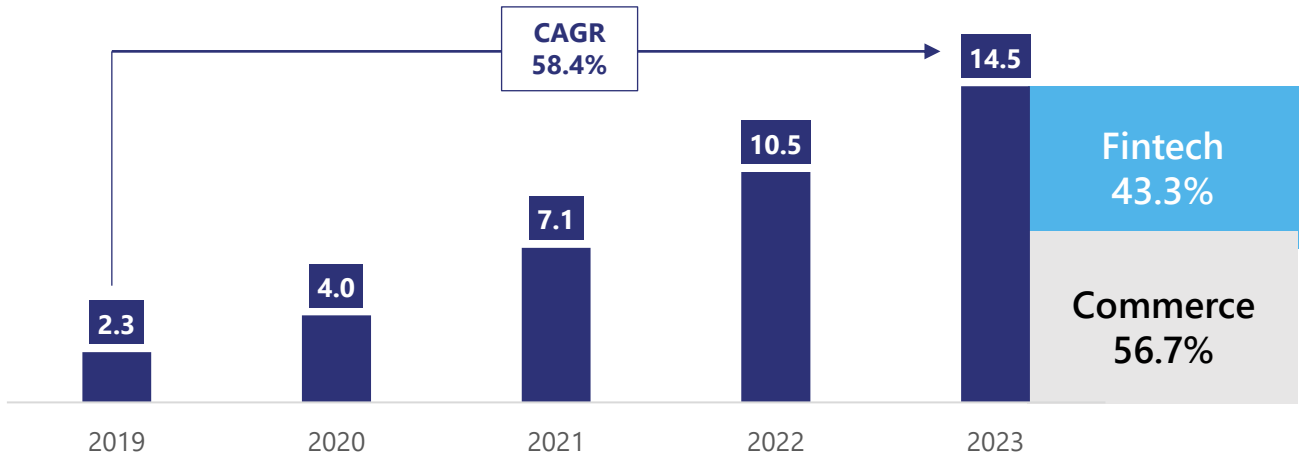
# Mercado Libre in a Nutshell

*Ecosystem that drives growth*

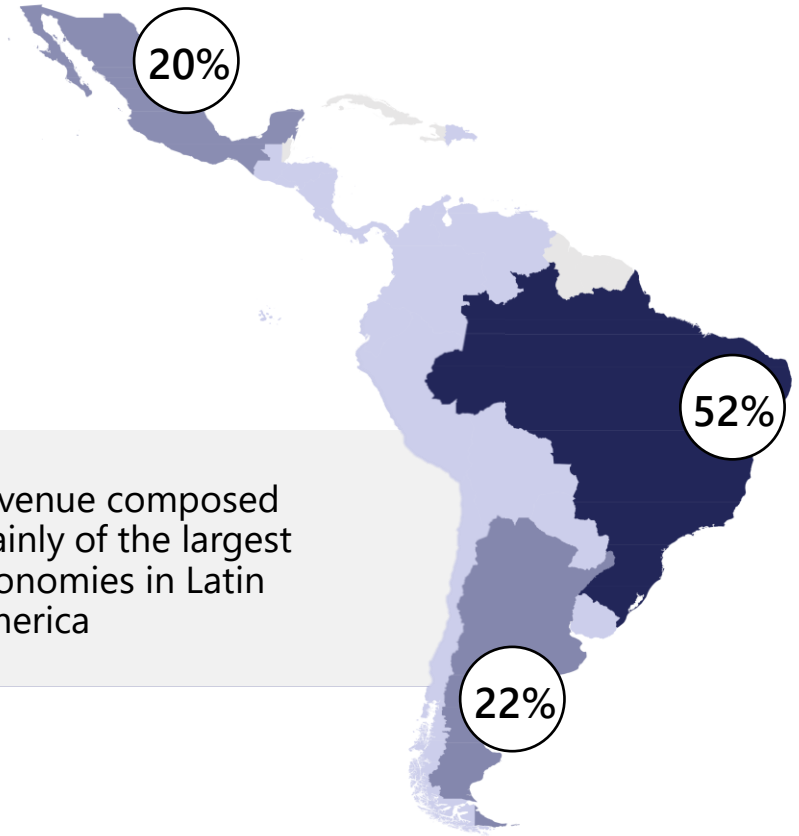
## Mercado Libre has been creating an **empire in Latin America**

- Established in 1999, Mercado Libre has built a solid ecosystem over the years
- Marketplace business in 18 countries, Fintech business in 8 countries
- Total Gross Merchandise Volume (GMV) of 44.7 USD bn

*Revenue (USD bn)*




*Revenue by geography (%)*




Revenue composed mainly of the largest economies in Latin America

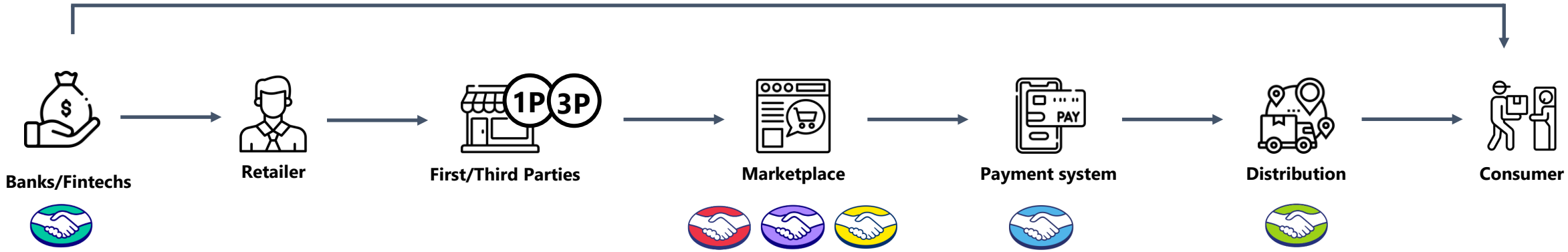
Sources: Company, RHB Capital

# Mercado Libre in a Nutshell

*Ecosystem that drives growth*

Mercado Libre participates in **strategic positions in the value chain**, positioning itself positively in a **thriving sector.**

***VALUE CHAIN***

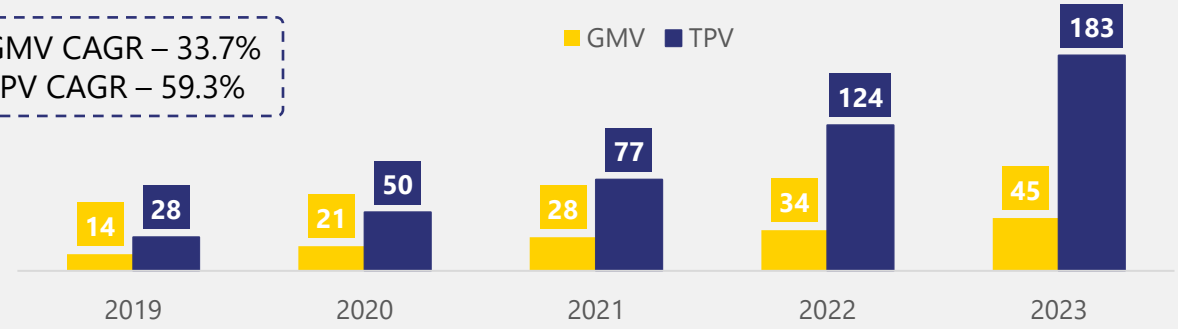



Empowered by its **robust ecosystem**, Mercado Libre is well positioned in a **sector that grows well above the LatAm GDP**

| CAGR 3Y | CAGR 3Y |
|---|---|
| **2.2%** | **20.5%** |
| GDP | E-commerce |

*Meli's GMV and TPV (USD bn)*

GMV CAGR – 33.7%
TPV CAGR – 59.3%



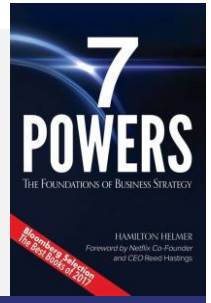

Sources: Euromonitor, Company, RHB Capital

# Mercado Libre in a Nutshell

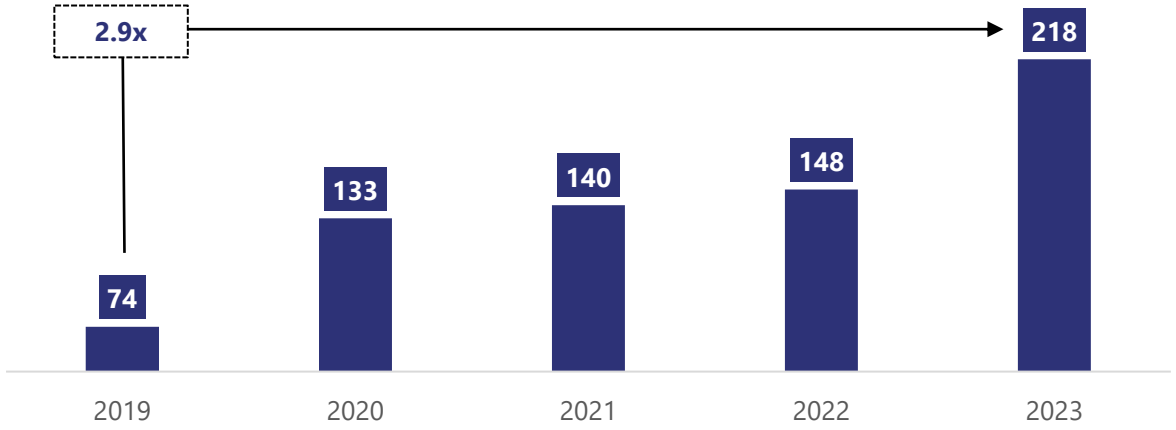
*Ecosystem that drives growth*

Given robust **network effects**, Meli's ecosystem fosters **growth and consolidation of the customer base**, along with robust **cross-selling opportunities** among different business segments.

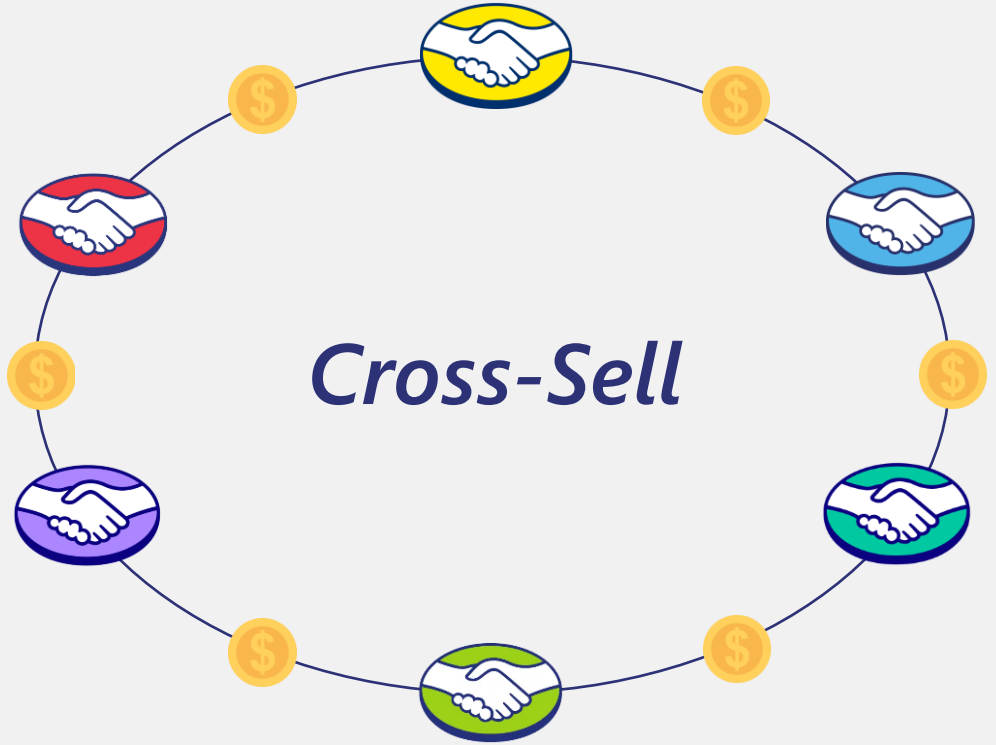
"If a business has **key complements** and they are somehow **exclusive to each offering**, then a **leader** will attract **more and better complements**. As a result, the **entire value proposition** to a customer is **improved**."




*Unique Active Users (in mn)*




*Ecosystem that provides competitive advantages and cross-selling opportunities:*




Sources: Company, RHB Capital

# MELI - NASDAQ

Mercado Libre

**BUY**

- **Excelling Leadership**
- **Scaling the Ecosystem**
- **Advertising for Growth**

**Upside: 29.9%**

**TIR: 23.2%**

*Exit: 2028*

MELI - NASDAQ

Mercado Libre

**BUY**

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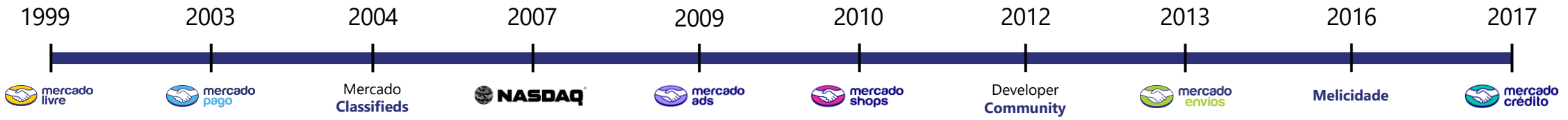
*Exit: 2028*

# The Secret for Growth

*Understanding who is behind the wheels*

People | Ecosystem | Ads | Valuation

The **leadership** at Mercado Libre consists of **seasoned** and **highly skilled** professionals, a pivotal factor for ensuring **effective** business **operations**. The company's **visionary** leadership skillfully navigated it from its inception, cultivating it into a formidable **business empire.**






**Marcos Galperin**

25

Years at MELI



**Martin de Los Santos**

16

Years at MELI

| BR Market Share | Brands Launched | Market Cap |
|---|---|---|
| 34% | 7 | 76.5B |

*Most common words in Letter to Shareholders releases*

| Nº | Transcript | Q |
|---|---|---|
| 1 | Growth | 1115 |
| 2 | Users | 407 |
| 3 | Shipping | 386 |
| 4 | Product | 349 |
| 5 | Credit | 338 |

**Python script**

```
def contar_palavras_mais_comuns(lista_arquivos):
    contagem_total = Counter()
    for arquivo in lista_arquivos:
        with open(arquivo, 'rb') as file:
            reader = PyPDF2.PdfReader(file)
            texto = ""
            for page in range(len(reader.pages)):
                texto += reader.pages[page].extract_text()

            # Extrair palavras com mais de 4 letras
            palavras = re.findall(r'\b\w{5,}\b', texto)

            # Atualizar contagem total
            contagem_total.update(palavras)

    # Pegar as 10 palavras mais comuns
    mais_comuns = contagem_total.most_common(50)

    return mais_comuns
```

mercado livre

Sources: Euromonitor, RHB Capital

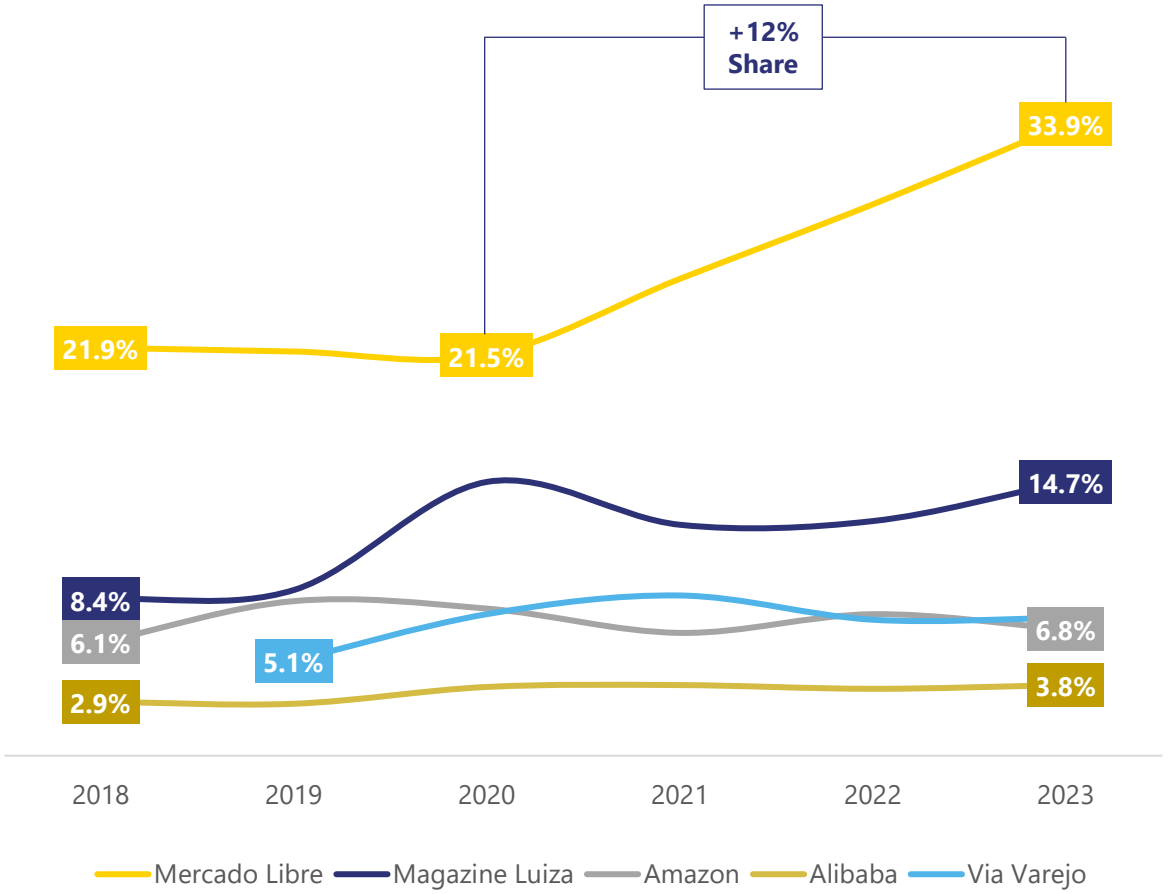
# Rise to the Challenge

*A company that explores opportunities*

People | Ecosystem | Ads | Valuation

The E-Commerce segment has witnessed **significant** post-pandemic growth, driven by **changing** consumer **preferences**. Mercado Libre's **precise management** enabled the company to efficiently **capitalize** on these evolving trends, solidifying its position as market leader.

*E-commerce players market share in Brazil (%)*

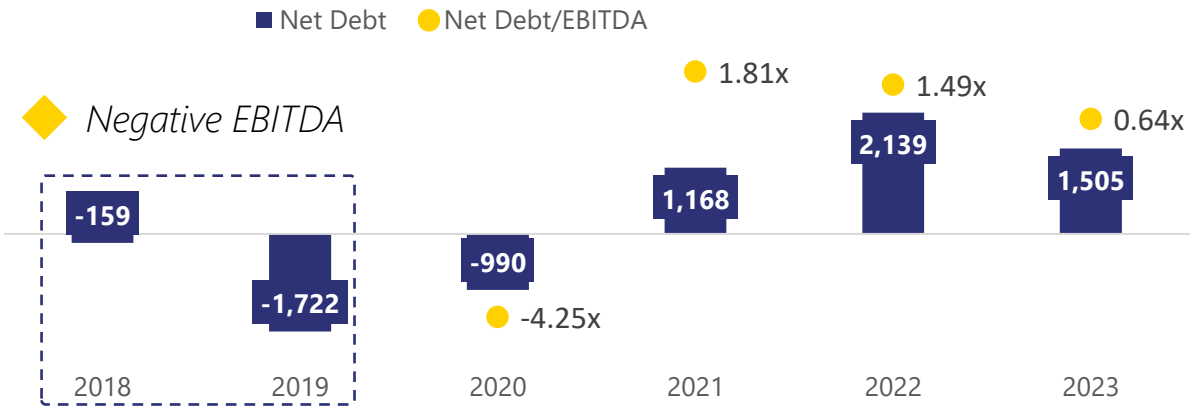



**Ayrton Senna**
*Brazilian Pilot*



"You **cannot overtake** 15 cars in **sunny weather**... but you **can** when it's **raining**

*Net Debt and Net Debt/EBITDA (Meli's calculation in USD mn)*




Sources: Euromonitor, RHB Capital

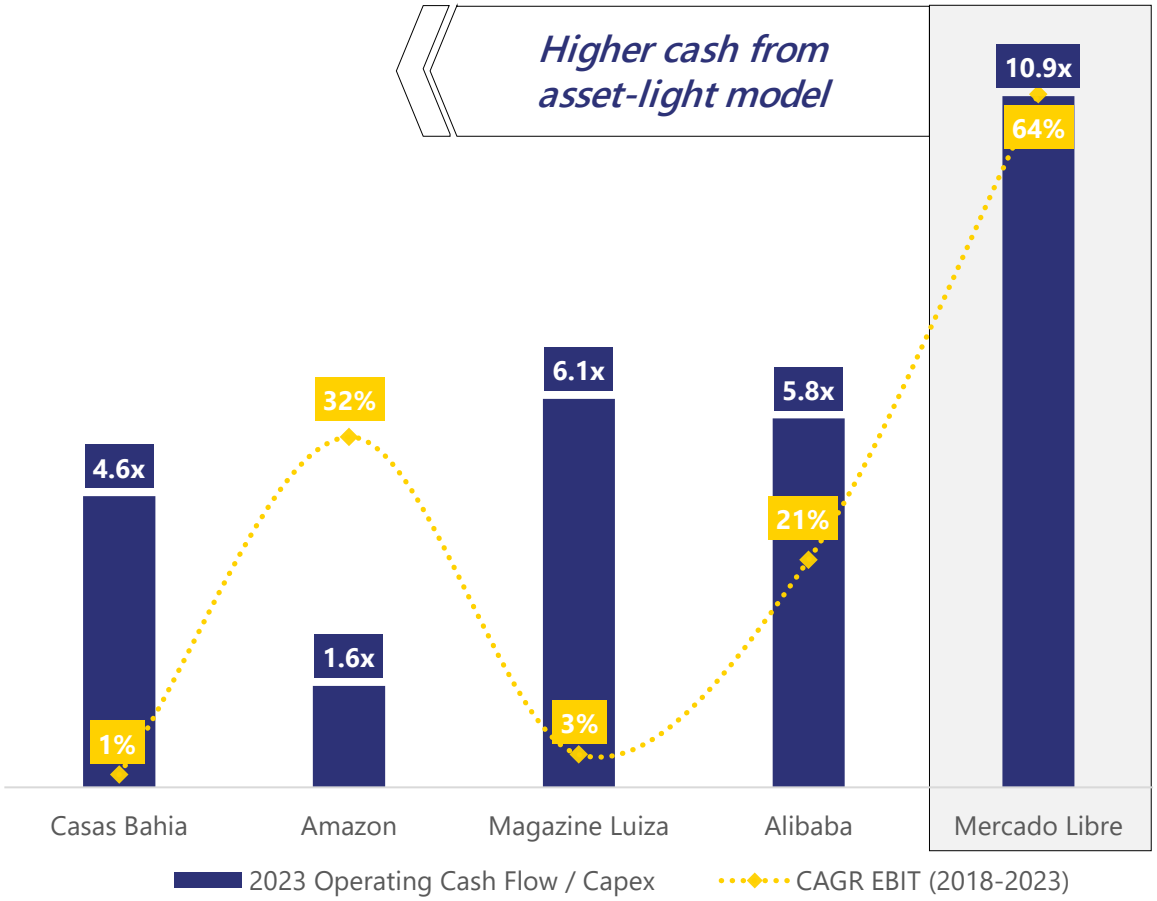
# A Lecture on Resource Distribution

*Mercado Libre's outstanding capital allocation*

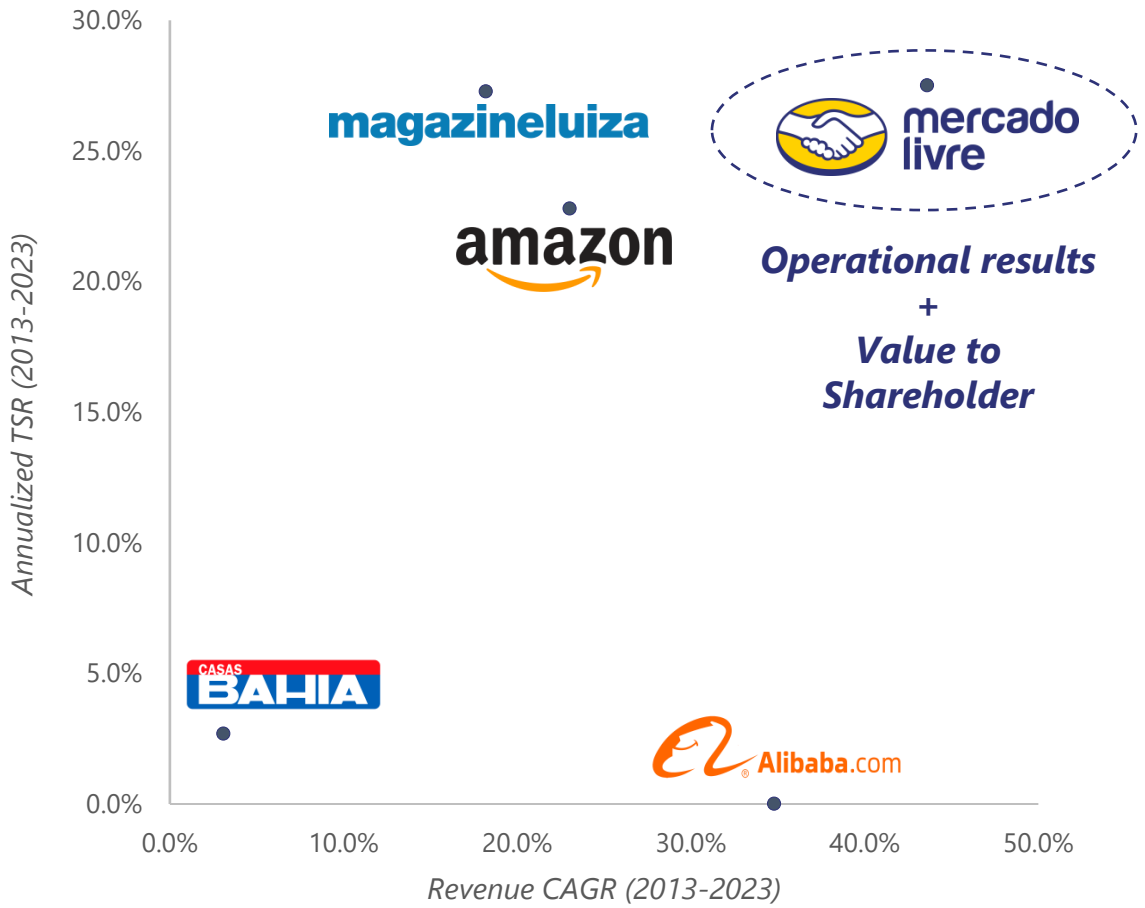


**Operational** results are crucial for the **continuing** of a business. However, **maximizing shareholder value** is the **ultimate goal** of the capital allocation, **balancing profitability and capital efficiency.**

*2023 OCF/Capex and CAGR EBIT 2018-2023 (%)*




*Annualized TSR 2013-2023 (%) and Revenue CAGR 2013-2023 (%)*




mercado livre

Sources: Euromonitor, RHB Capital, Bloomberg

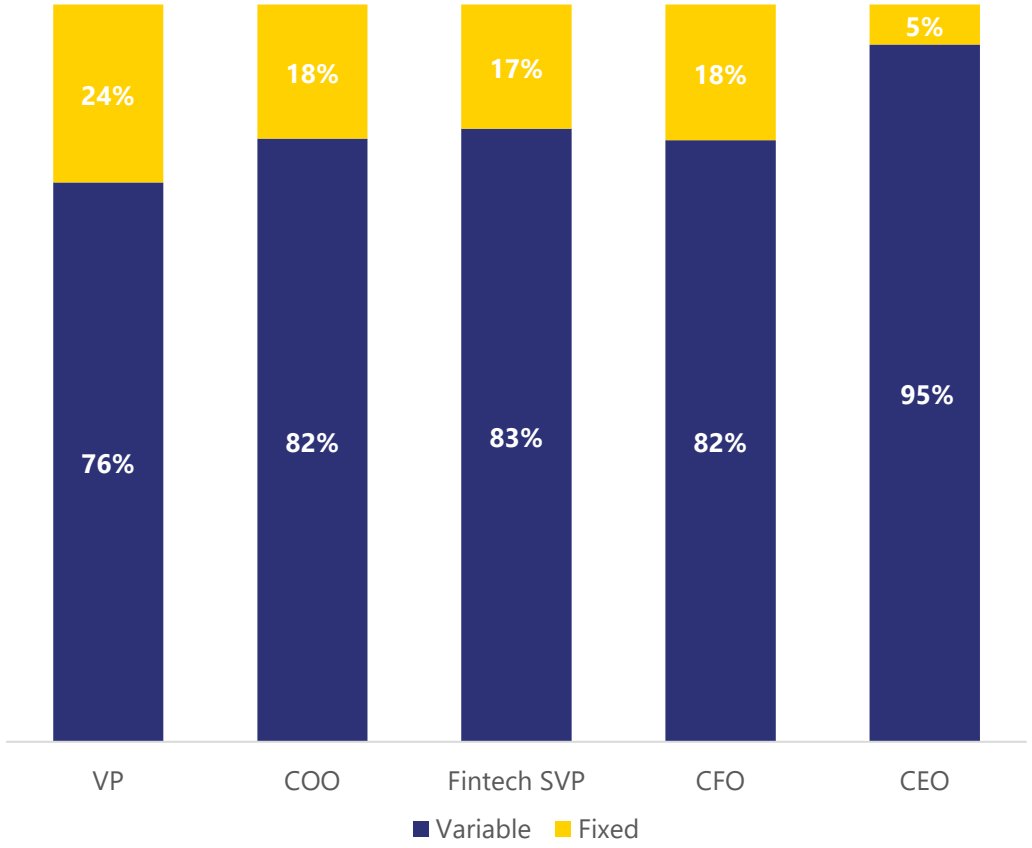
# Skin in the Game

*Driven by Performance: Rewarding Excellence*

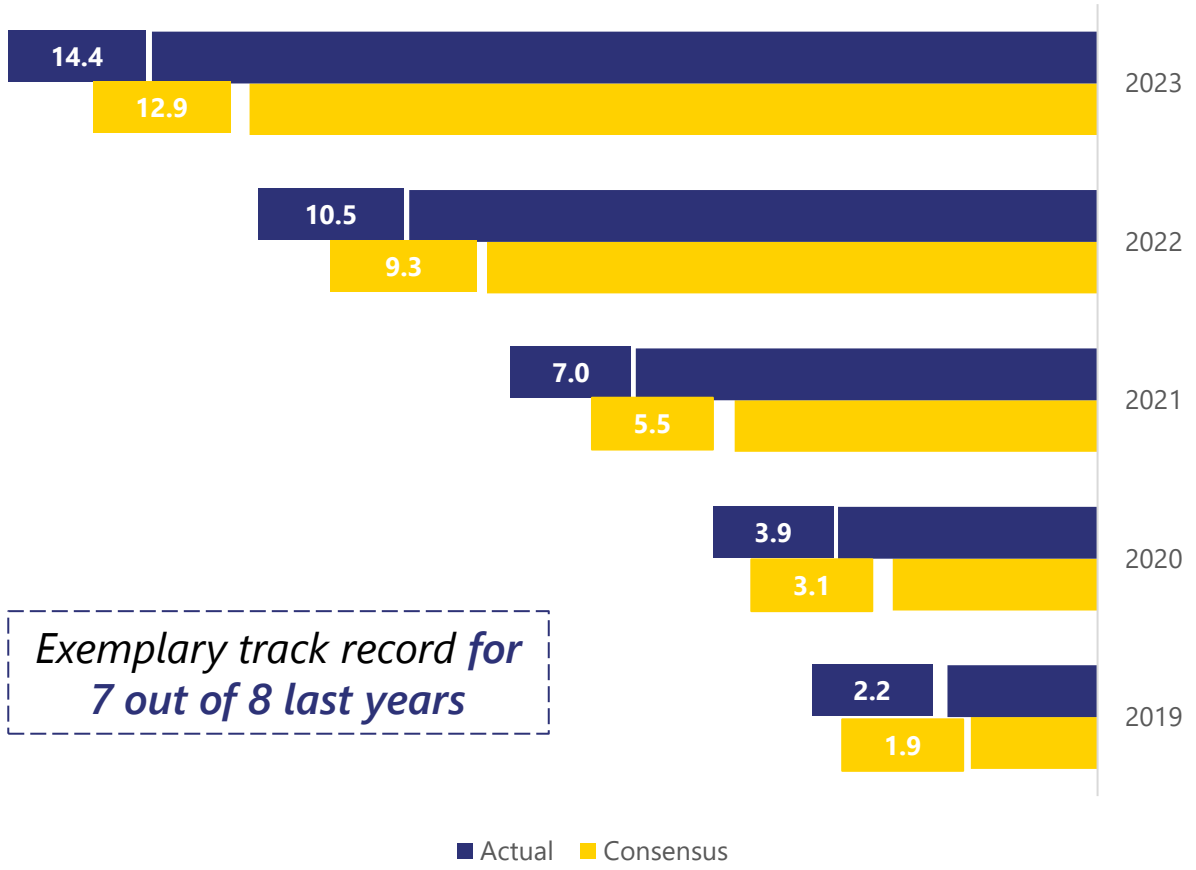


Mercado Libre's management **compensation** is tightly **tied** to **performance**, ensuring the team is **fully invested** and **motivated** to deliver **superior results** and make **optimal decisions** for the company.

*Composition of management's compensation (2022)*




*Revenue vs Revenue consensus 1 year before release (USD bn)*




*Exemplary track record **for 7 out of 8 last years***

Sources: Bloomberg, Company, RHB Capital

# The Heart of a Business

*The driving force behind success*

People | Ecosystem | Ads | Valuation

Mercado Libre's **management** is **uniquely effective**, fostering a **dynamic**, **meritocratic** environment that **motivates** the team to **excel**. This approach cultivates a sense of **purpose** and **enthusiasm**, driving members to consistently deliver their **best**.

*Worker satisfaction survey*

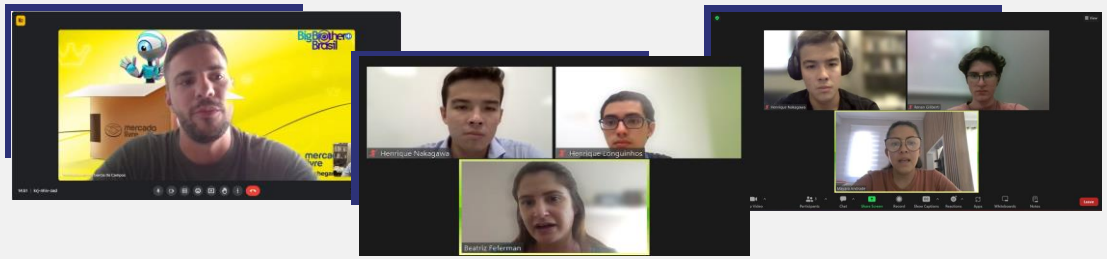
| | 'GLASSDOOR' | SCORE |
|---|---|---|
| mercado livre | ★★★★☆ | 4.04 |
| magazineluiza | ★★★½☆ | 3.82 |
| amazon | ★★★½☆ | 3.48 |
| CASAS BAHIA | ★★★½☆ | 3.46 |

"The good-to-great companies understood that the **flywheel** turns on the **accumulation** of visible results by **people** who are **supremely interested** in one **another's success**."




***How to make companies leap to superior results***

*Interview with employees among various segments from Mercado Libre*



*"With an eye on the **future**, we're committed to **innovation**, always thinking **long-term**"*

mercado livre

Sources: Glassdoor, RHB Capital

MELI - NASDAQ

Mercado Libre

**BUY**



Excelling Leadership

**Scaling the Ecosystem**

Advertising for Growth

**Upside: 29.9%**

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*Exit: 2028*

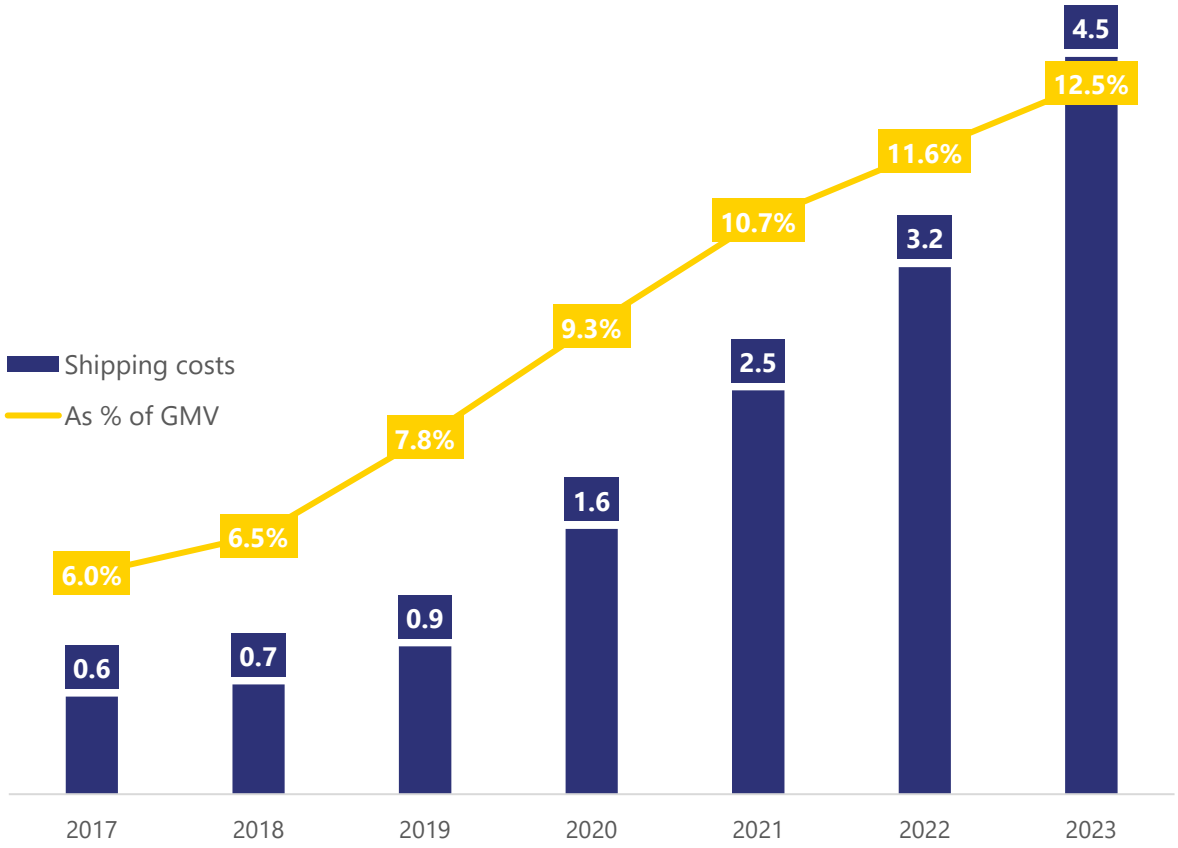
# I Buy, Therefore I am

*Understanding consumer preferences*

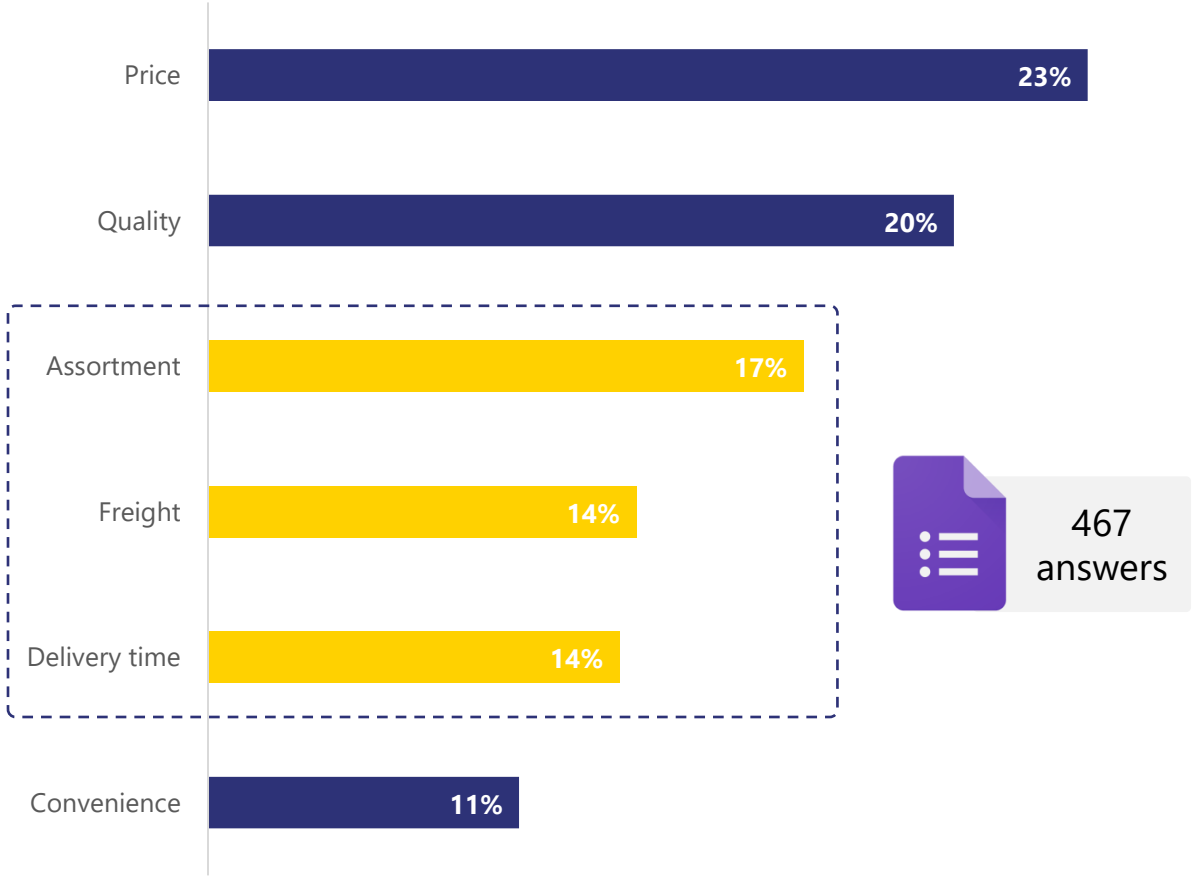


To better understand if **Mercado Libre's logistics investments** were rational, we conducted a **field research** asking consumers what they **value most in e-commerce platforms**. Without surprise, we saw major importance in providing **fast deliveries for cheap**.

*Total shipping costs (USD bn) and as percentage of GMV (%)*




*Top priorities when choosing e-commerce platforms (%)*






Sources: Company, RHB Capital

# The Epicenter of Consumers

*Navigating through Meli's logistics moat*

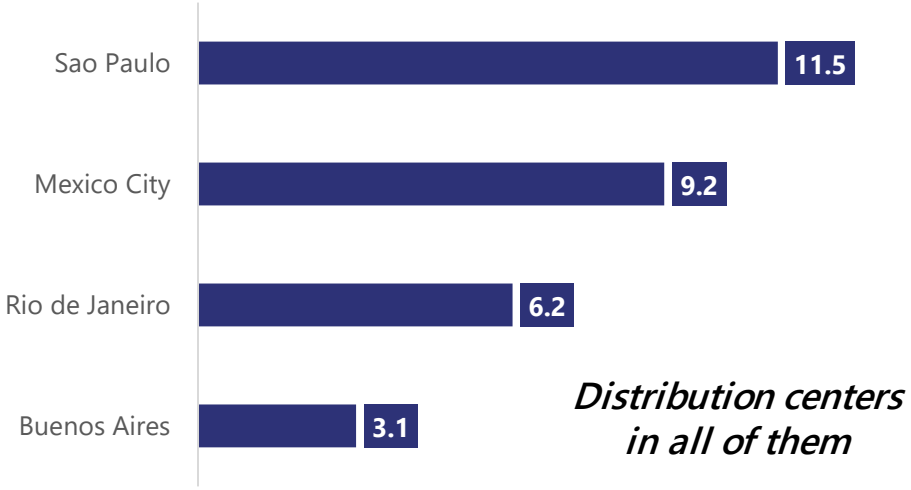


Focusing on **major population centers**, the company continues to **expand with its distribution centers**, made possible only through large scale. **MELI strengthens its logistics network.**




*Cajamar, SP*

*Most populous cities in Latin America (in mn)*




***Distribution centers in all of them***

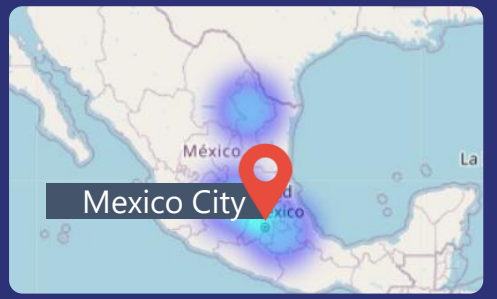
**Fernando Yunes**

*SVP and Country Lead Mercado Livre Brasil*



"The **focus is on reducing delivery times**... Throughout the year (2024), we will have **two more logistics announcements**"




*MELI Distribution Centers Heatmap*

mercado livre



Sources: Company, World Population Review, RHB Capital

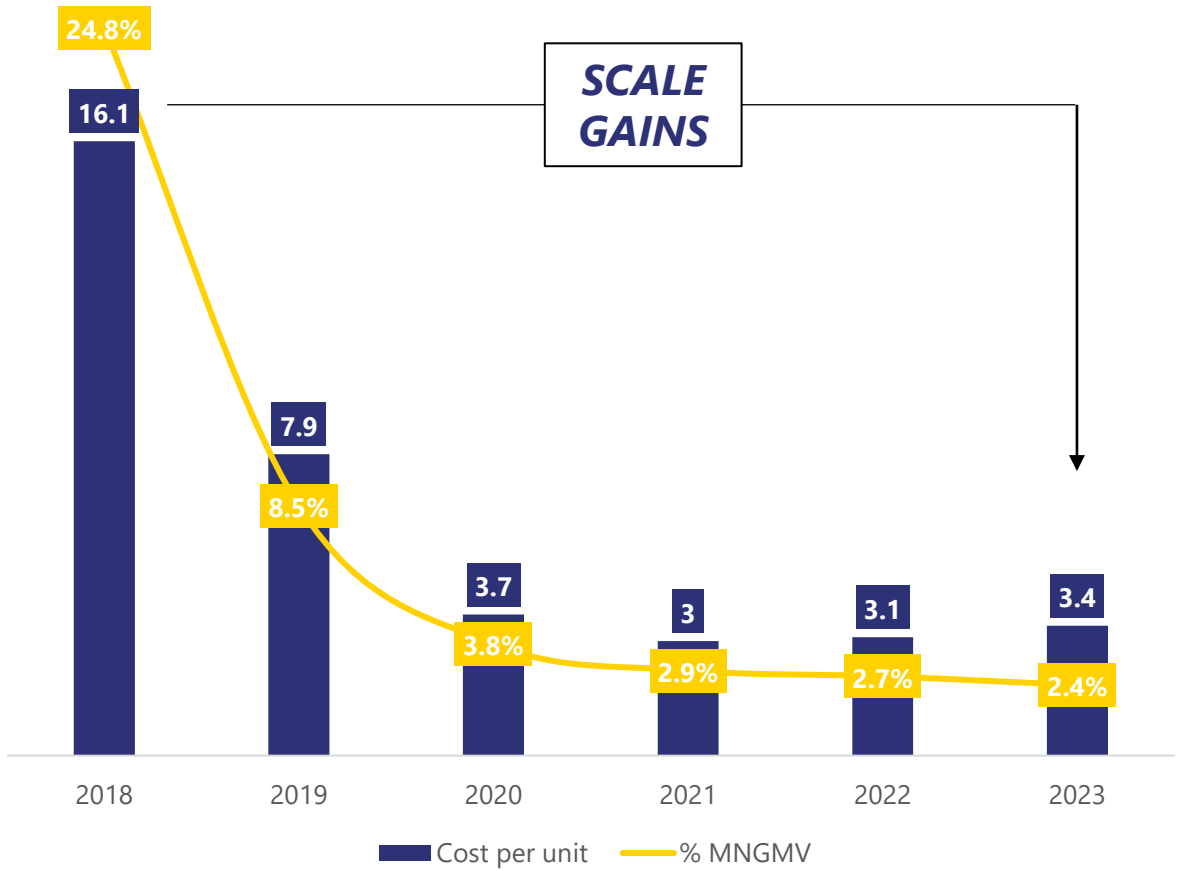
# Pay 2 Win!

*Mercado Libre's investments in its logistics moat*

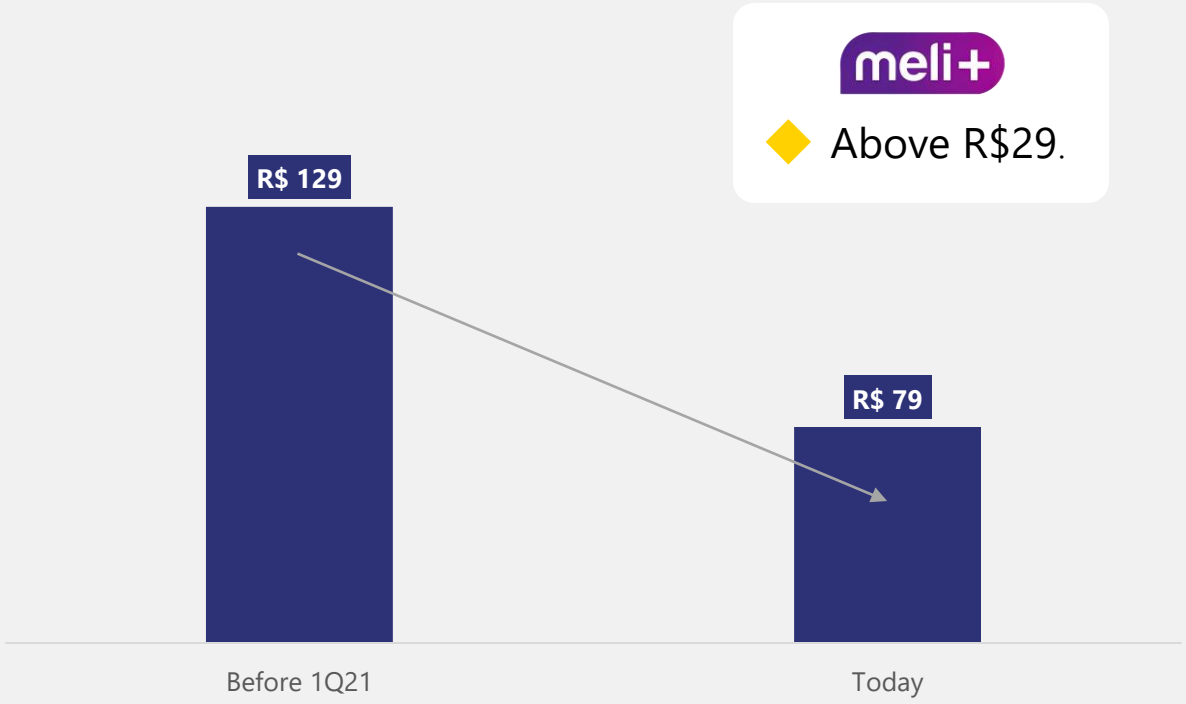


Mercado Libre has been **enhancing** its **logistics** capabilities to ensure **consumer loyalty**. These efforts have yielded significant success in terms of **demand**, and our estimates suggest that this **trend** will **continue to escalate**.

*Negative shipping result as % of MNGMV and shipping cost per unit (USD)*




*Free Shipping Purchase Requirements in Brazil:*




Sources: Company, RHB Capital

# Pay 2 Win!

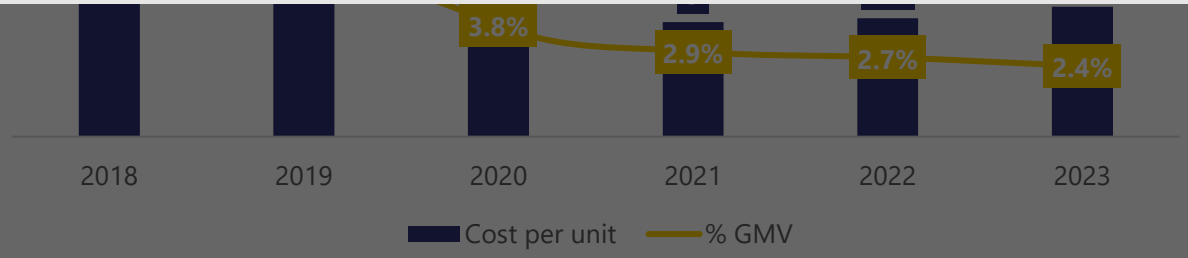
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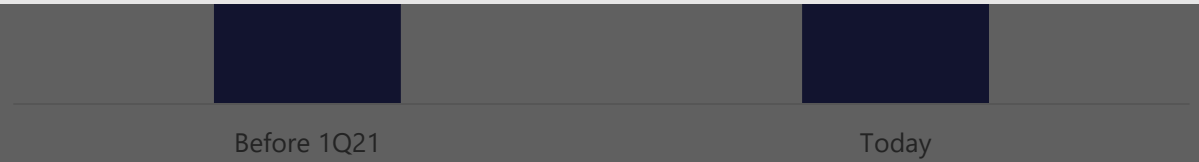


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*Negative shipping result as % of MNGMV and shipping cost per unit (USD)*

***What are the practical implications of this?***




Sources: Company, RHB Capital

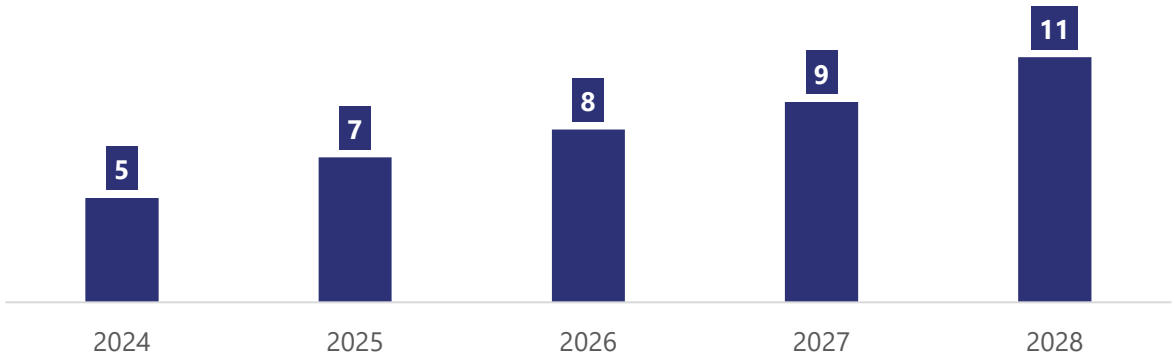
# One for the Road

*Mercado Libre logistic moat*



We were able to prove Mercado Envios' **fulfillment operational excellence** in providing costumers with the market's **fastest delivery time**, being a key **differentiating** factor for the **marketplace's customer captivity.**

*GMV gained by the expansion of the shipping facilities (USD bn)*




Why is it such an **efficient** delivery model?

- *Seller sends his product to Meli's distribution centers before purchase.*
- *Meli's team is responsible for storing and delivering the product.*
- *After receiving the purchase notification, the item is shipped right away.*

mercado envios

**14 Days**

amazon

**18 Days**

FULL

**7 Days**

```python
# Excel
arquivo_cep = "C:/Users/renan/FGV - EESP/CEP1.xlsx"
wb = openpyxl.load_workbook(arquivo_cep)
ws = wb.active

# Nova coluna para os prazos
coluna_preco = ws.max_column + 1
ws.cell(row=1, column=coluna_preco).value = 'Prazo'

for row in range(2, ws.max_row + 1):  # Começar do 2 para pular o cabeçalho
    try:
        driver = webdriver.Chrome()
        cep = ws.cell(row=row, column=1).value

        # Abrir página
        driver.get("https://www.mercadolivre.com.br/samsung-galaxy-a14-4g-128gb-4gb-ram-cor-preto/p/MLB223965
        # Aceitar cookies e acessar página do CEP
        WebDriverWait(driver, 10).until(EC.element_to_be_clickable((By.XPATH, '/html/body/div[2]/div[1]/div/d
        time.sleep(1)
        WebDriverWait(driver, 10).until(EC.element_to_be_clickable((By.XPATH, '/html/body/header/div/div[4]/d
        time.sleep(1)
        # Inserindo o CEP dentro do Iframe
        iframe = WebDriverWait(driver, 10).until(EC.presence_of_element_located((By.XPATH, "/html/body/div[6]
        driver.switch_to.frame(iframe)
        cep_input = WebDriverWait(driver, 10).until(EC.element_to_be_clickable((By.XPATH, '//*[@id=":R8sud2:"
        cep_input.send_keys(cep)
        time.sleep(1)
```

mercado livre



Sources: Companies, RHB Capital

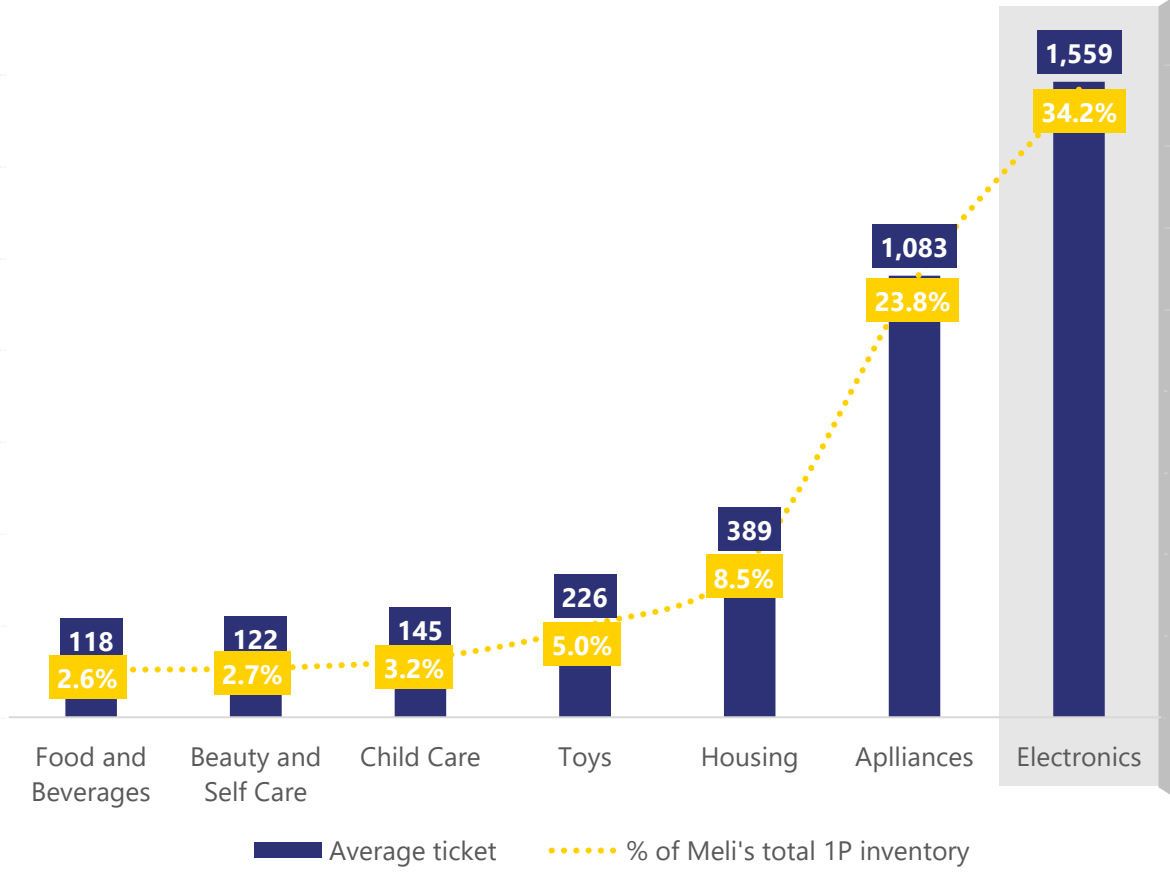
# The Bigger the Fish, the Better!

*Growing by the niche*



Mercado Libre is **refining** its **1P strategy** to emphasize high-value products, **aiming** to **enhance** its **ecosystem** and **market reach**. This move targets different business operations, looking forward to boosting their integration.

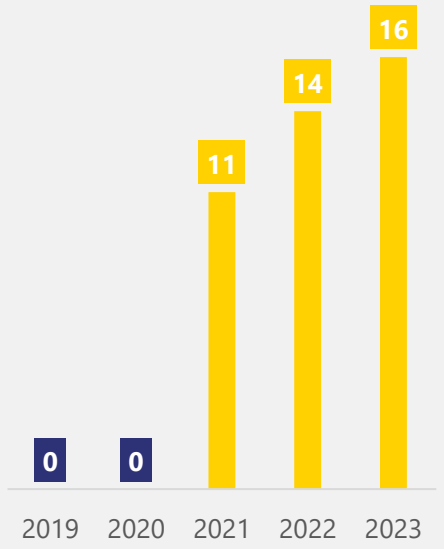
*Average ticket for 1P segments (BRL) and % of Meli's 1P inventory*




> *We had our **most competitive** offer ever in **Consumer Electronics** - still the **largest** single online **category** in **Latin America** - as a result of the **transformation** of our **first-party (1P) business.***

mercado livre **4Q23 Results**

*"first-party" appearances in 10-K releases*




```
for arquivo in arquivos_pdf:
    with open(os.path.join(diretorio, arquivo), 'rb') as file:
        reader = PyPDF2.PdfReader(file)
        texto = ""
        for page in reader.pages:
            texto += page.extract_text()

        palavras = re.findall( pattern: r'\b\w{5,}\b', texto)
        contagem_palavras = Counter(palavras)
        mais_comuns = contagem_palavras.most_common(25)

        frequencia_termo = contagem_palavras[termo_especifico] if termo_especifico els

        resultados.append((arquivo, mais_comuns, frequencia_termo))

return resultados
```



Sources: Company, RHB Capital

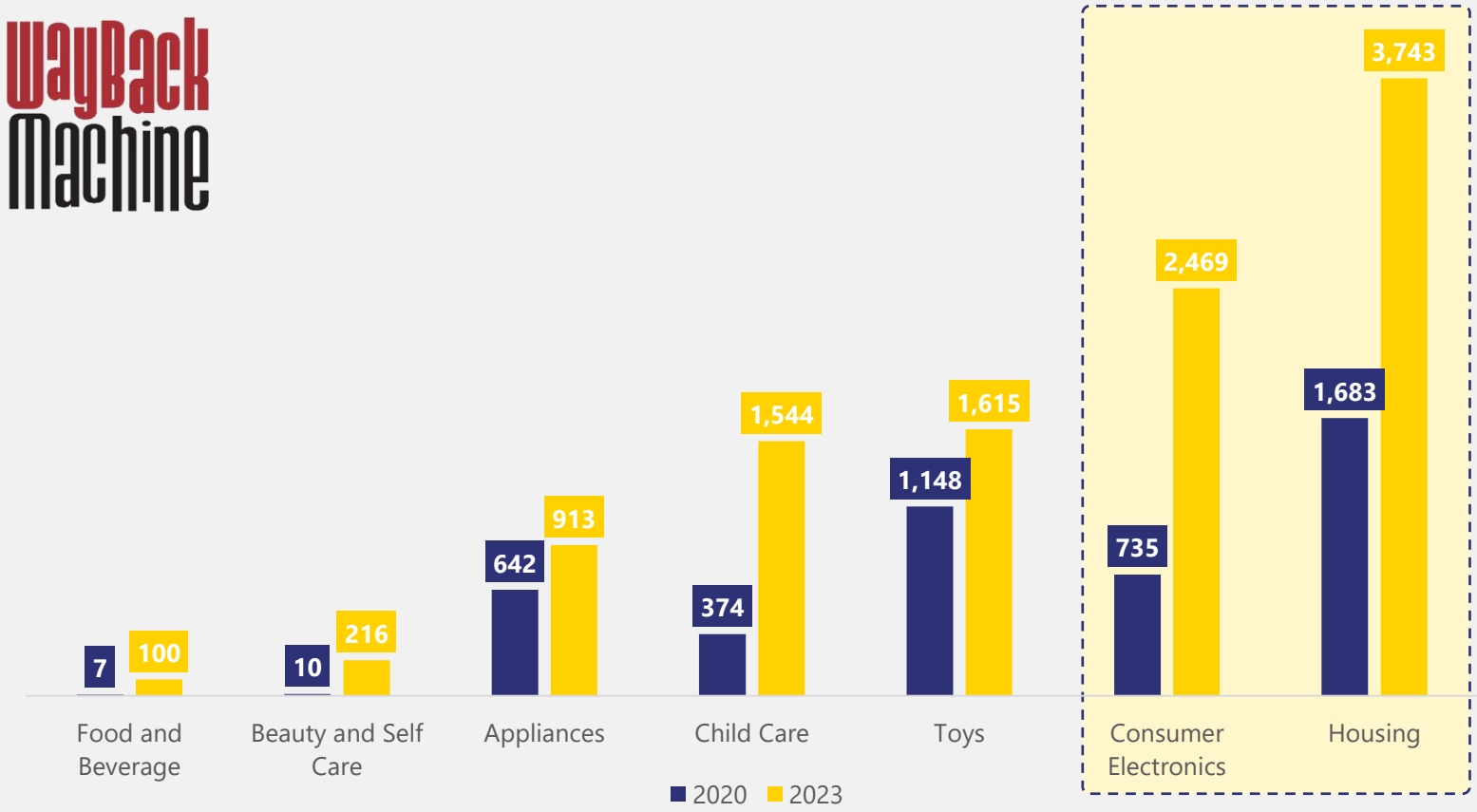
# Setting the Bait

*Leveraging the synergies of the ecosystem*



Mercado Libre is **refining** its **1P strategy** to emphasize high-value products, **aiming** to **enhance** its **ecosystem** and **market reach**. This move targets different business operations, looking forward to boosting their integration.

*Main categories live listings in Mercado Libre (in thousands)*




*The **1P segment** generates **synergies** for Mercado Libre's **business**, which is extremely **benefitial** for the whole **ecosystem***

***Attractiveness** for out of the platform **sellers***

***Increase** in demand for **credit***

Sources: The Wayback Machine, Company, RHB Capital

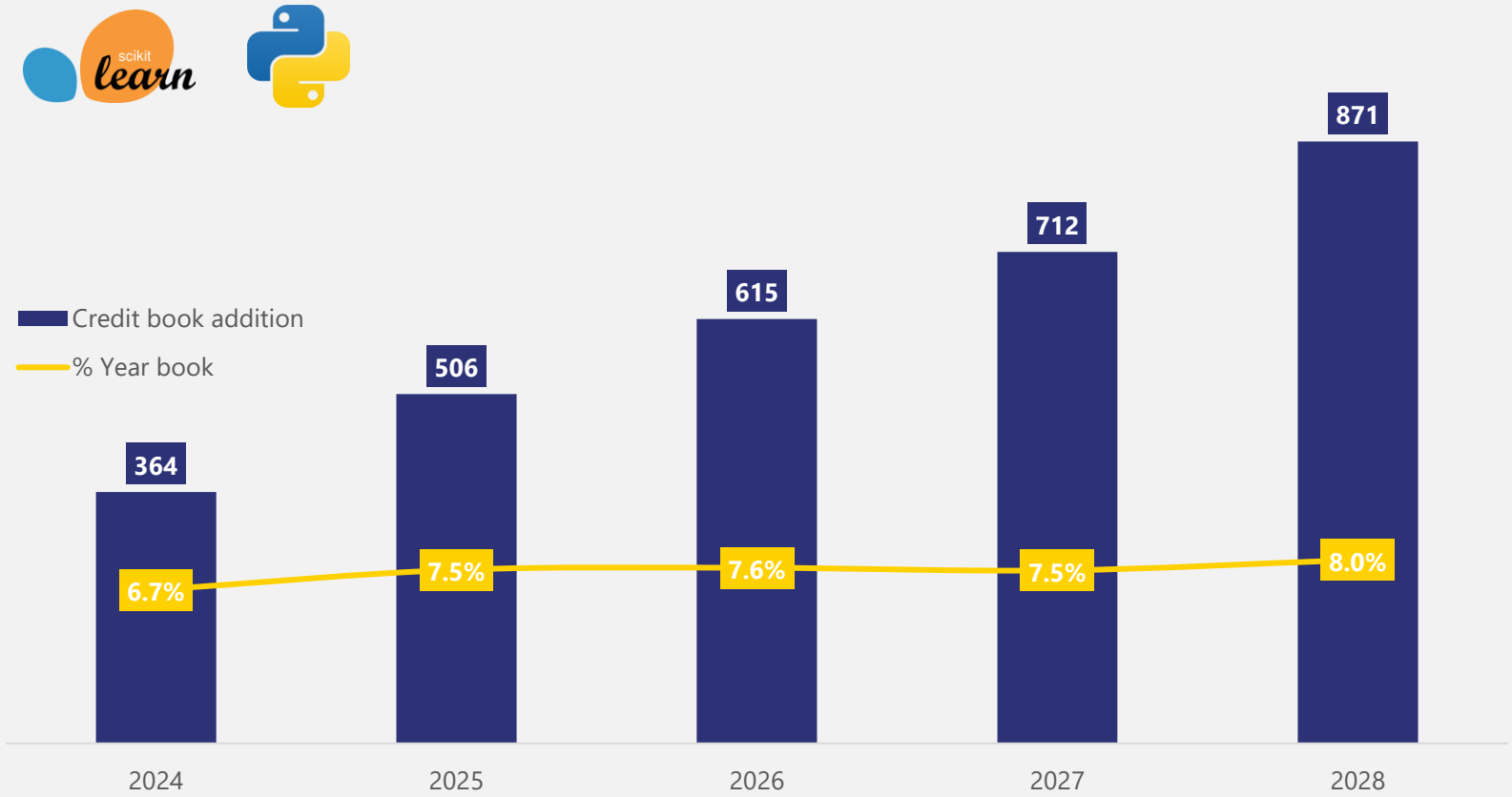
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*Credit book acquired by the expansion of 1P segment (USD mn) and as % of year's credit book*




*The **1P segment** generates **synergies** for Mercado Libre's **business**, which is extremely **benefitial** for the whole **ecosystem***

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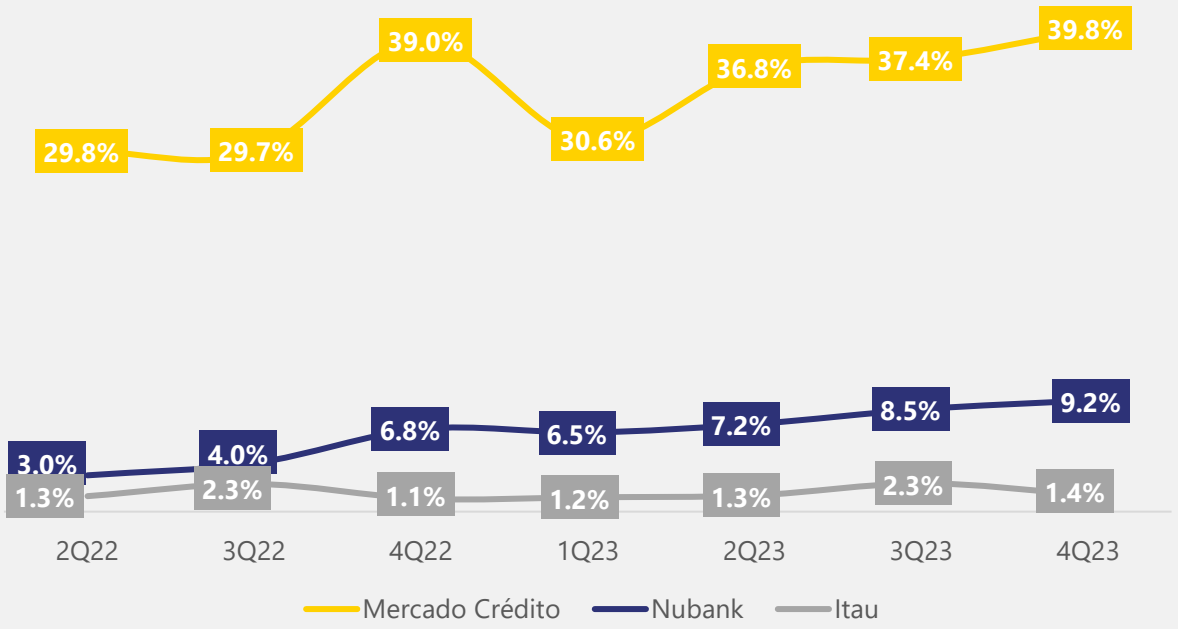
# The Best is yet to Come

*Leveraging the synergies of the ecosystem*

People | **Ecosystem** | Ads | Valuation

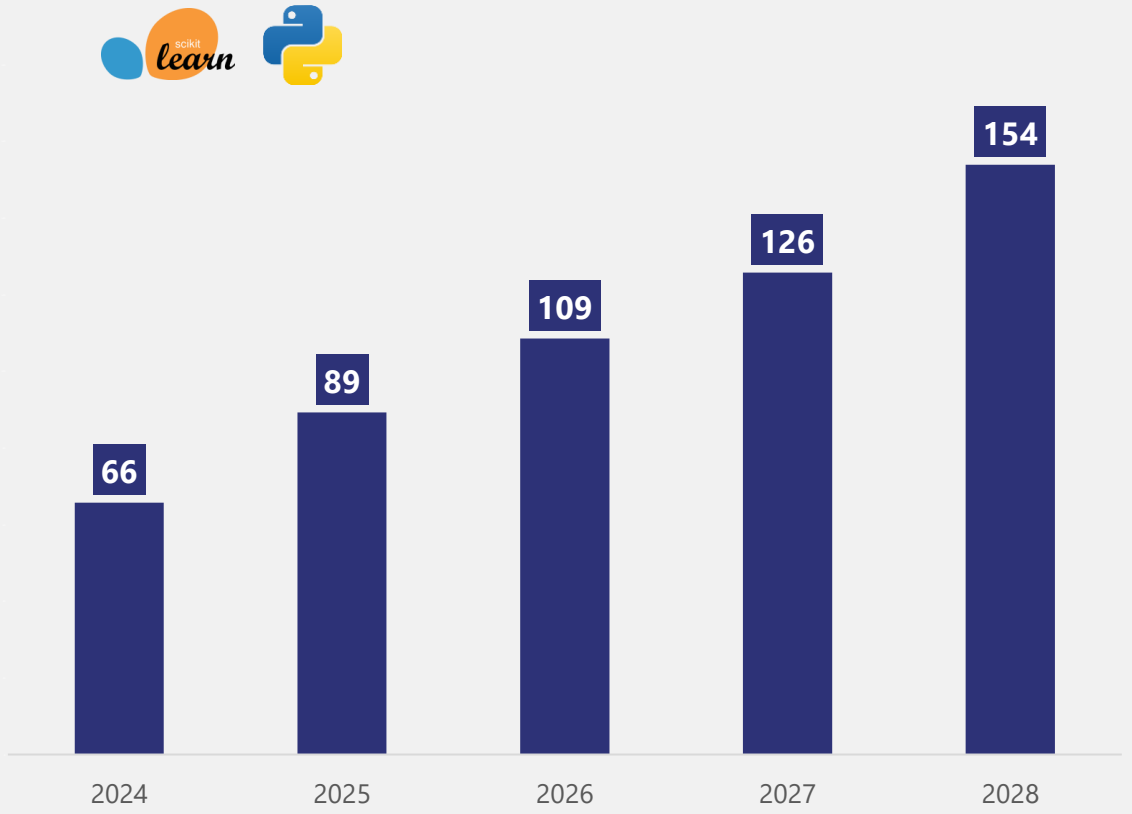
Mercado Libre is **refining** its **1P strategy** to emphasize high-value products, **aiming** to **enhance** its **ecosystem** and **market reach**. This move targets different business operations, looking forward to boosting their integration.

*NIMAL Spread (%)*




NIMAL = Revenue – Provision – Funding Costs

*Added EBIT (USD mn)*






Sources: Company, RHB Capital

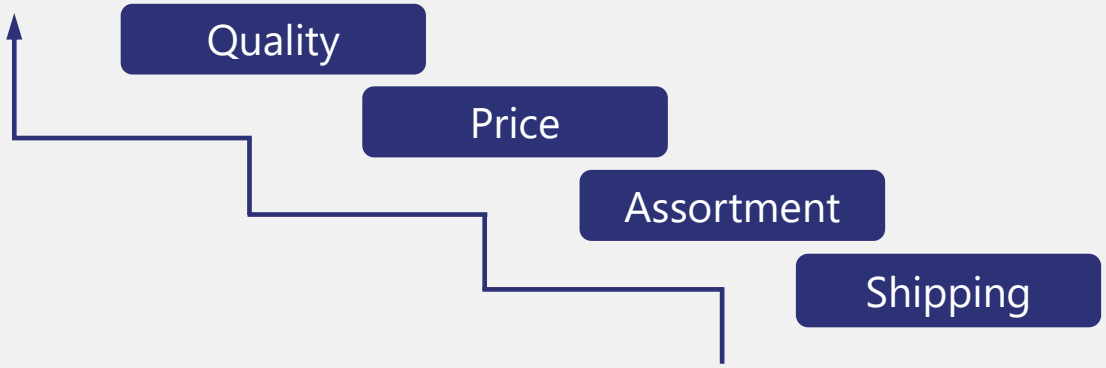
# Deepening the Moat!

*Strengthening its competitive advantages*



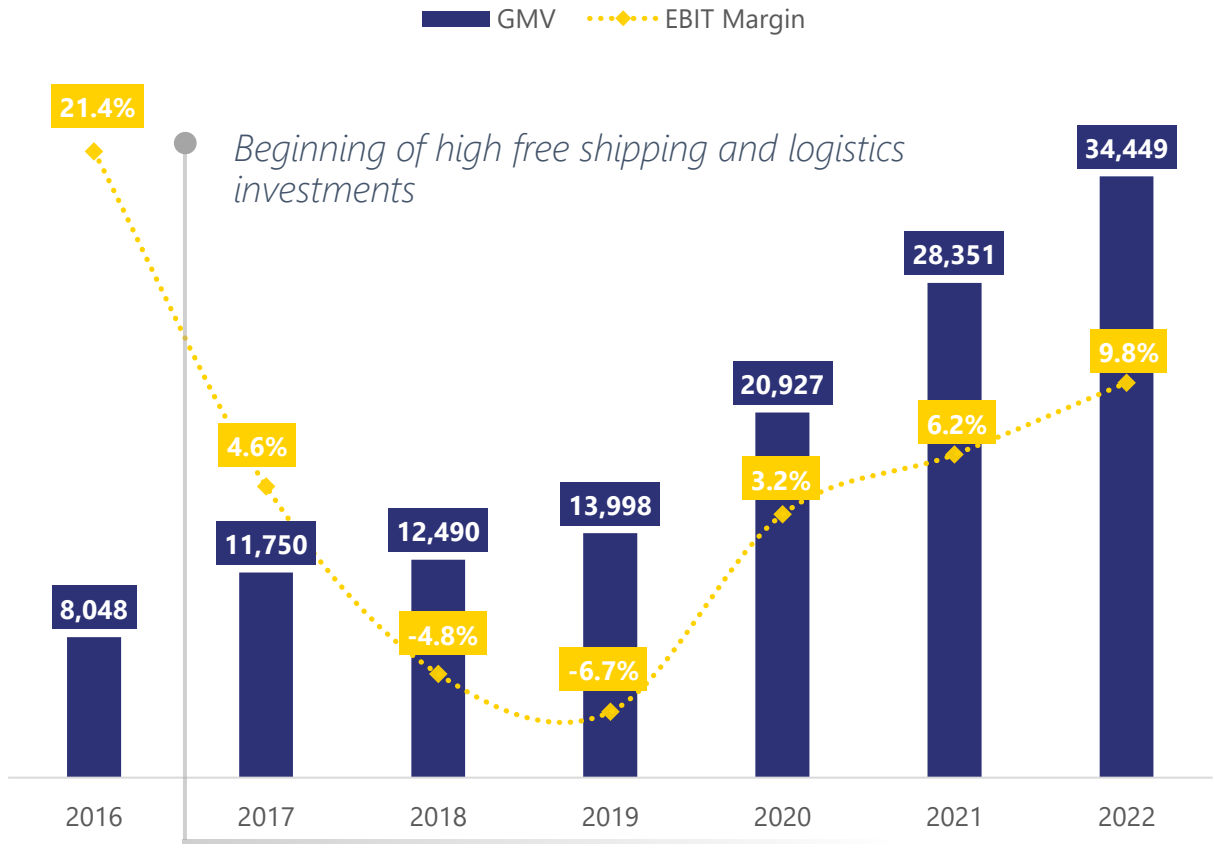
**Strengthening its competitive advantages**, MercadoLibre manages to invest in **customer captivity** while simultaneously diluting its expenses with its **large scale.**

**Mercado Libre invests to bring the highest customer satisfaction**




**ECONOMIES OF SCALE** + **CUSTOMER CAPTIVITY**

*GMV (in USD mn) and EBIT Margin (in %)*




Sources: Company, RHB Capital

# MELI - NASDAQ

Mercado Libre

**BUY**



Excelling Leadership

Scaling the Ecosystem

**Advertising for Growth**

**Upside: 29.9%**

**TIR: 23.2%**

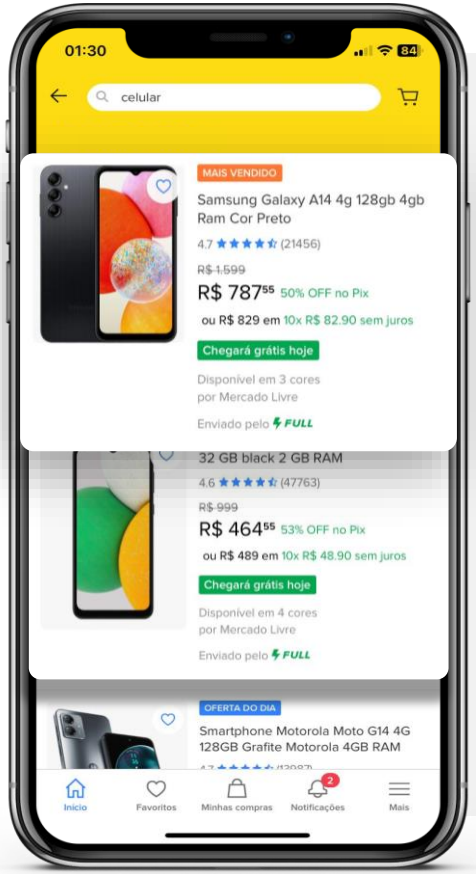
*Exit: 2028*

# Click-Driven Growth

*The Ads Catalyst: Fueling Business Expansion*



Boasting a CAGR of over **70%** in recent years, the Ads Market has proven to be an important part of the ecosystem, serving to **increase revenue** and **conversion rates.**

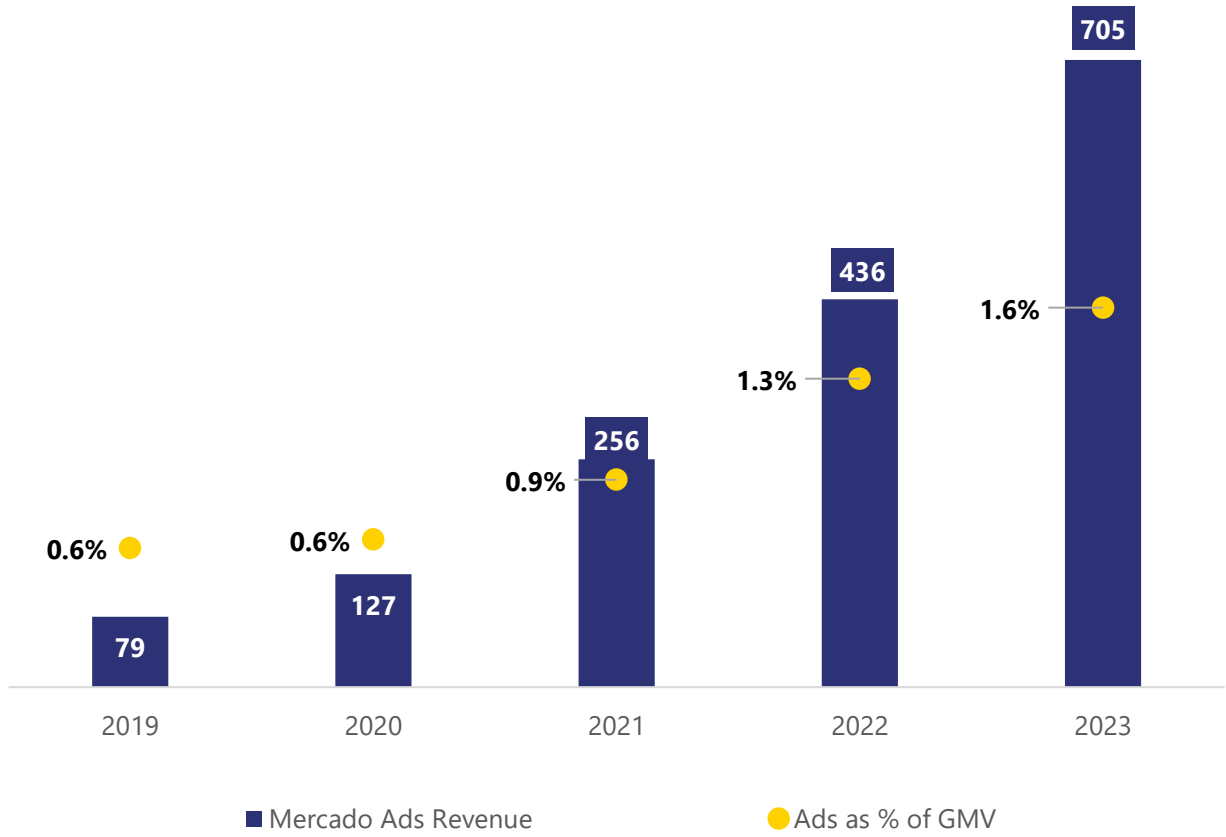



**Enhanced page positioning**

**Product promotion** within and beyond the Mercado Libre marketplace

**Essential** for **seller sales** and **customer satisfaction**

*Revenue (in USD mn) and Revenue as a % of Total GMV*



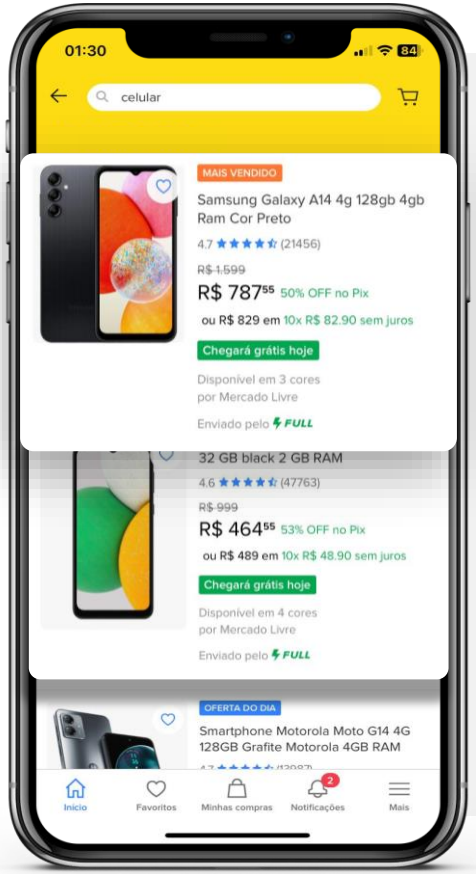

Sources: Company, RHB Capital

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**Enhanced page positioning**

**Product promotion** within and beyond the Mercado Libre marketplace

**Essential** for **seller sales** and **customer satisfaction**

**Kaio Martin**
*Certified Consultant*




> In Mercado Libre, it's **essential to use ads to competitively sell large volumes**

Sources: Company, RHB Capital

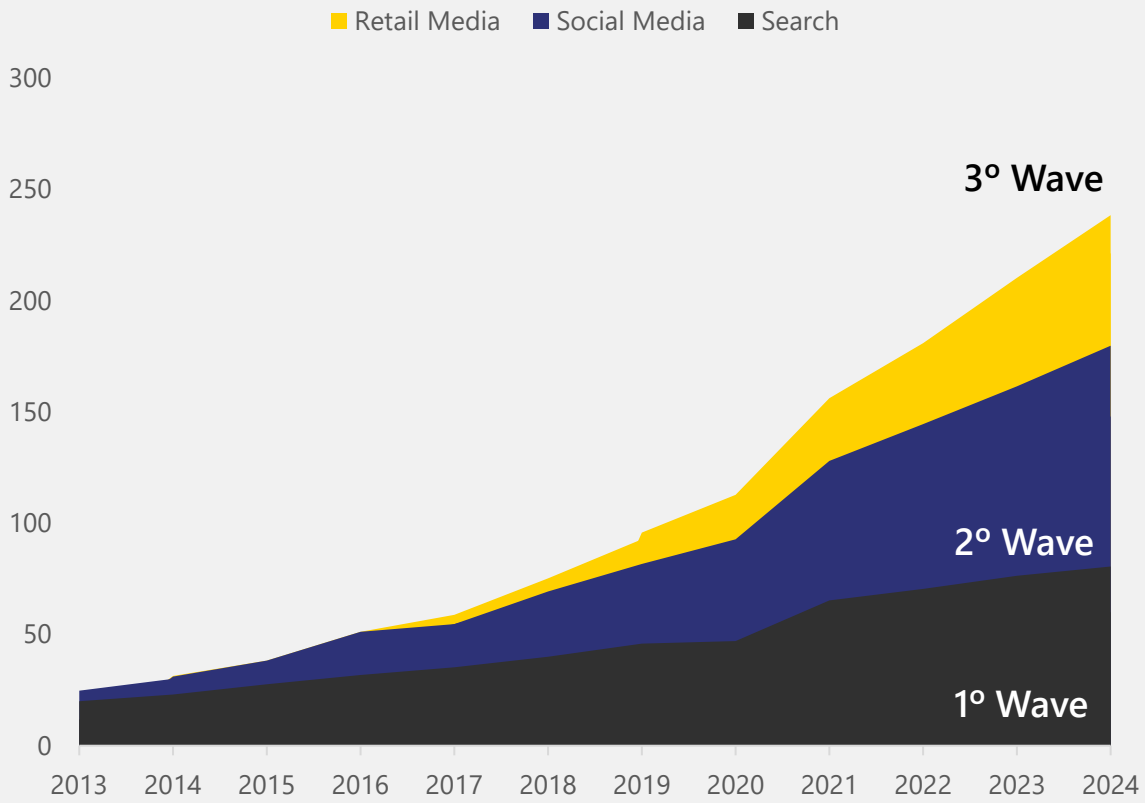
# First-party data: the map to customer gold!

*Surfing the third wave of digital advertising*



On a platform where consumers are **ready to make purchases**, we believe that companies will **increasingly seek Retail Medias to advertise** their products.

*U.S. Net Ad Revenues (in bn)*




On a platform where consumers are ready to make purchases, advertisers can increase:

**Targeting**

**Measurability**

**Conversion**

> "What retail media aims to change is to draw a direct correlation between an impression and a SKU-level sale"



Quentin George – Partner at McKinsey

Sources: eMarketer, RHB Capital

# First-party data: the map to customer gold!

*Surfing the third wave of digital advertising*



MercadoLibre manages to **keep users engaged on the page**, collecting more **consumer data**, which allows for a **much higher conversion rate** to enhance satisfaction for both the seller and the buyer.

The company **generates 140 customer segments** to which the seller can target their products, **selected by the following categories:**

- **Demographics**
- **Purchased mindset**
- **Interests and affinity**

**Mercado Ads boost sales by 26% in average**

| More time for data collection | Average time on site | Average page views |
|---|---|---|
| mercado livre | 7:32 min | 8.10 |
| amazon | 7:03 min | 9.93 |
| Magalu | 3:55 min | 3.44 |

Sources: SimilarWeb, RHB Capital

# Measuring the Surplus!

*We tested to see if our thoughts hold on practice*



To prove the **effectiveness of Ads**, we **participated in the entire campaign creation** process for a product.

*Growth in conversion rate after Ads:*

↑ 35.4%

We conclude that the tool **holds significant value for the seller**

*Mercado Libre's website printscreen*




Sources: Company, RHB Capital

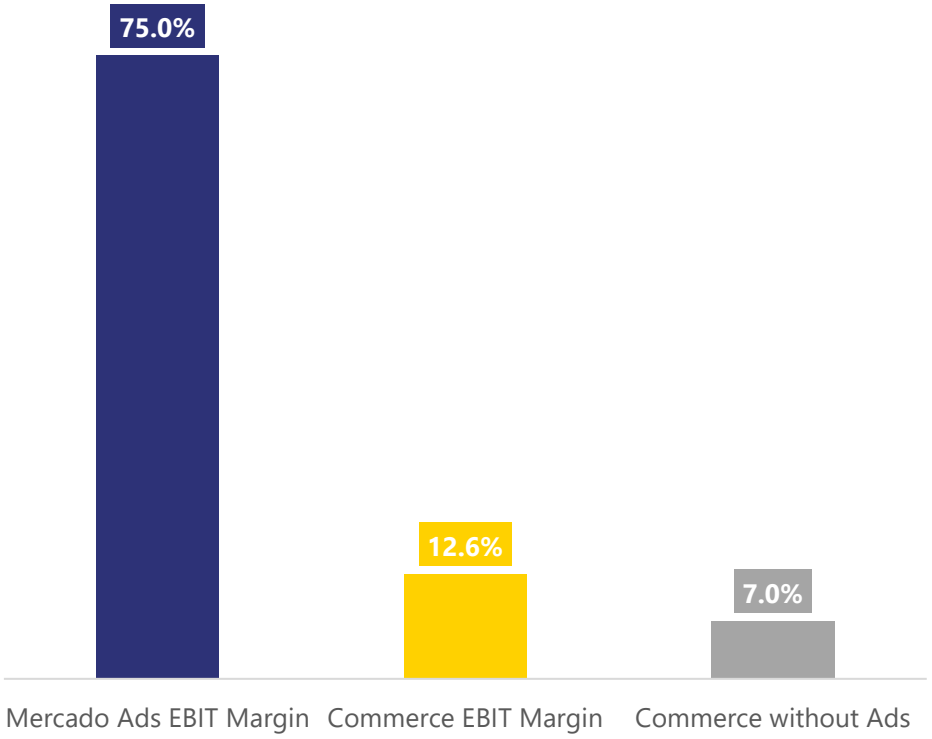
# The Cheat Code

*Advertising competitive advantages*



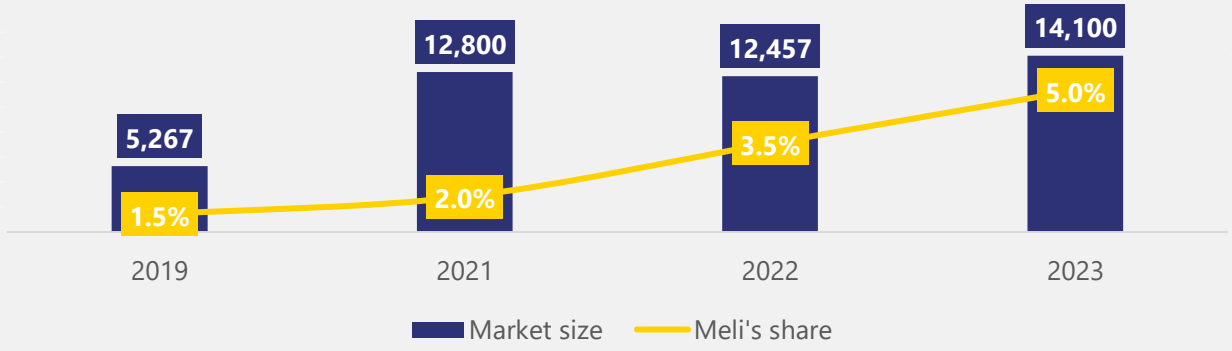
**Higher margins** in the segment **will unlock significant profit growth** for the company as revenue share increases.

*Mercado Ads EBIT Margin vs Commerce EBIT Margin 2023*




| | amazon | mercado livre |
|---|---|---|
| **Ads Revenue / Total GMV** | **6.7%** | **1.6%** |

*LatAm Digital Advertising market size (USD mn) and Mercado Libre's share (%)*




Sources: Companies, Statista, Marketplace Pulse, RHB Capital

# Ads as the grand upside!

*Sensitivity analysis*



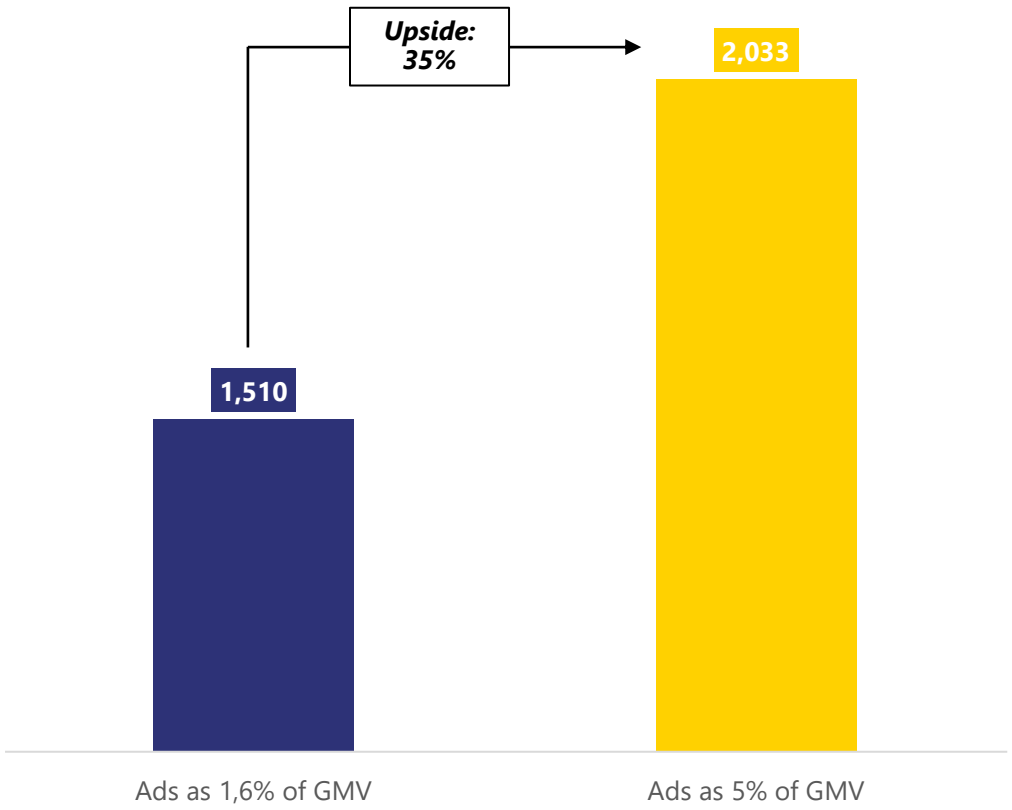
Based on our estimates, we see the **huge importance** that Ads will have for **Meli's profitability going forward**. Furthermore, to understand Ads potential in **increasing Meli's share price**, we conducted a **GMV x Multiple analysis.**

*Meli's share price considering the EV/EBIT multiple and Ads Rev. as % of GMV*

| Upside | 24x | 29x | 34x | 39x | 44x |
|---|---|---|---|---|---|
| **3%** | -24% | -9% | 6% | 21% | 36% |
| **4%** | -14% | 3% | 21% | 38% | 55% |
| **5%** | -3% | 16% | 35% | 55% | 74% |
| **6%** | 7% | 29% | 50% | 72% | 93% |
| **7%** | 17% | 41% | 65% | 89% | 113% |

***EV = (5% * 2023 GMV * Ads EBIT margin + EBIT w/o Ads) * Multiple***

*Share price with hypothetical Ads expansion today (USD)*




Sources: Company, RHB Capital

# Ads as the grand upside!

*Sensitivity analysis*



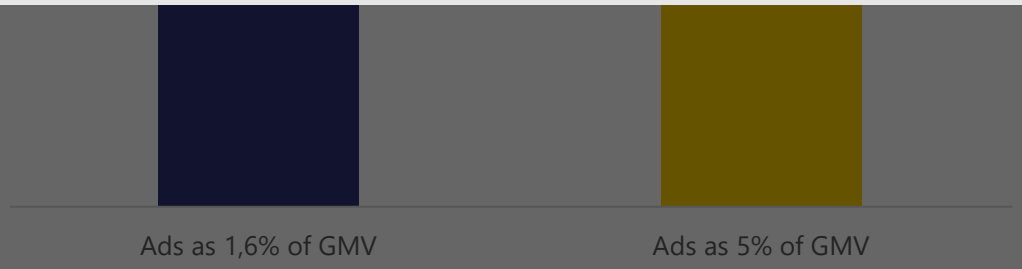
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*Meli's share price considering the EV/EBIT multiple and Ads Rev. as % of GMV*

*Share price with hypothetical Ads expansion today (USD)*

***But how does everything translate into numbers?***

***EV = (5% * 2023 GMV * Ads EBIT margin + EBIT w/o Ads) * Multiple***




Sources: Company, RHB Capital

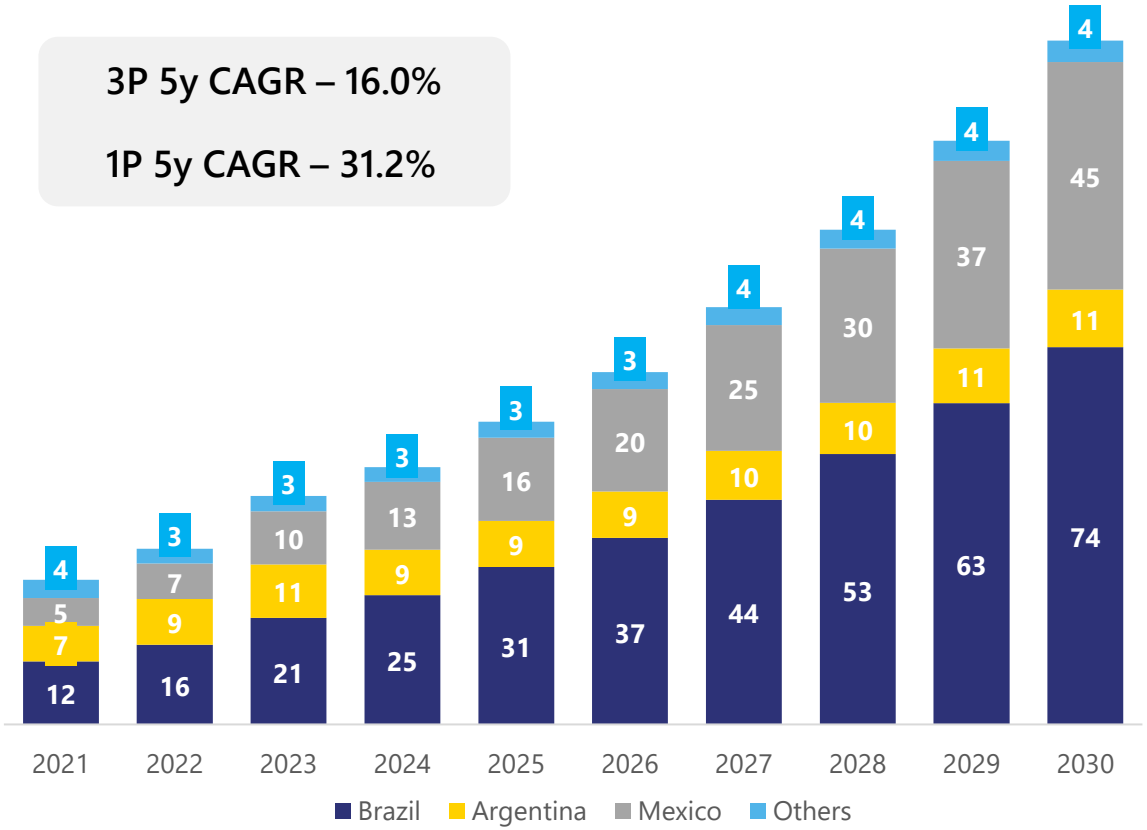
# Marketplace Projections

*Marketplace segments of growth*

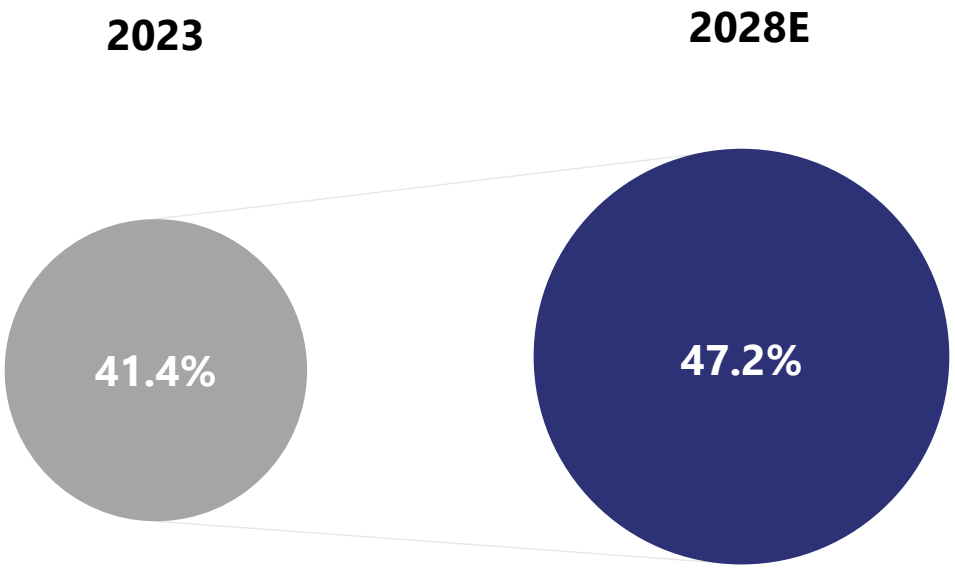


Our team projected the GMV in line with the **average growth premium** in comparison to the **LatAm e-commerce GMV growth**. Our premisses led to a **total GMV** of **$96 billions** through 2028.

*Mercado Libre's GMV per segment (USD bn)*




*Mercado Libre's LatAm e-commerce market share (%)*




Gains of share in a accelerating market

Sources: Company, RHB Capital

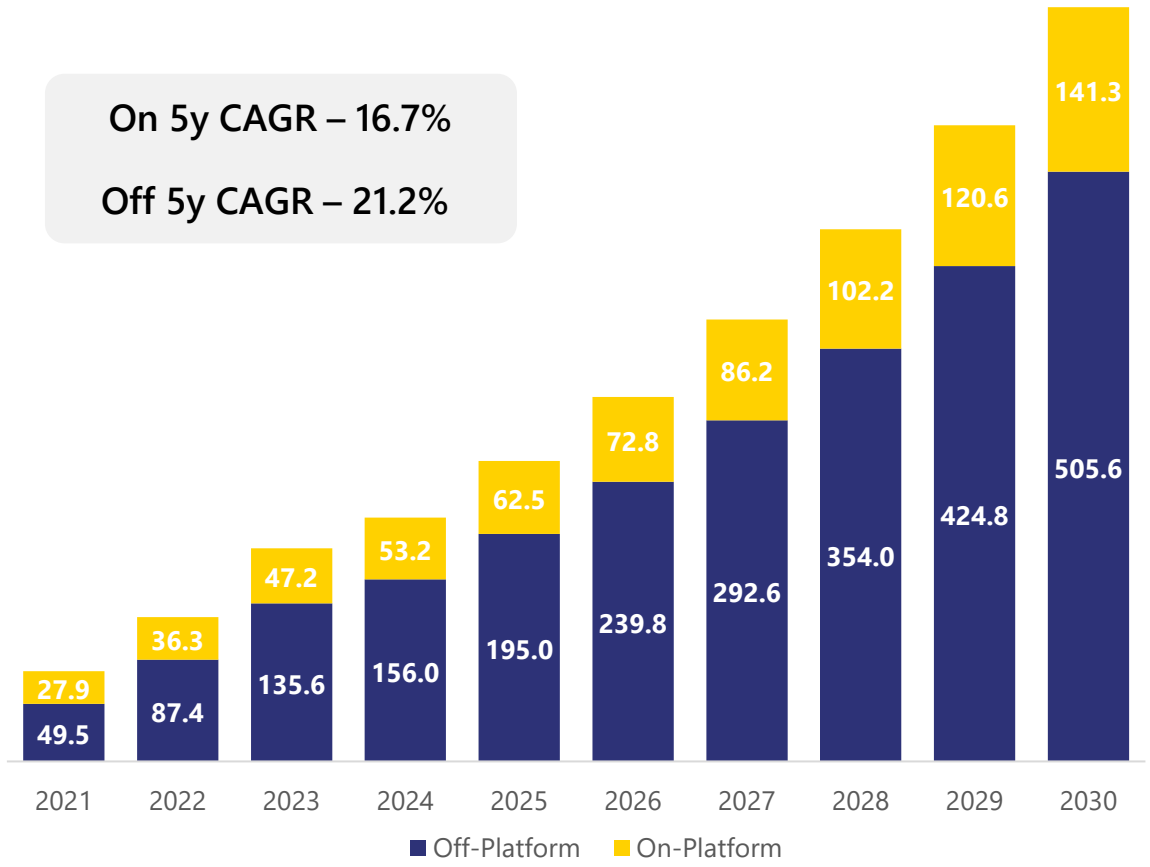
# Fintech Projections

*Fintech segments of growth*

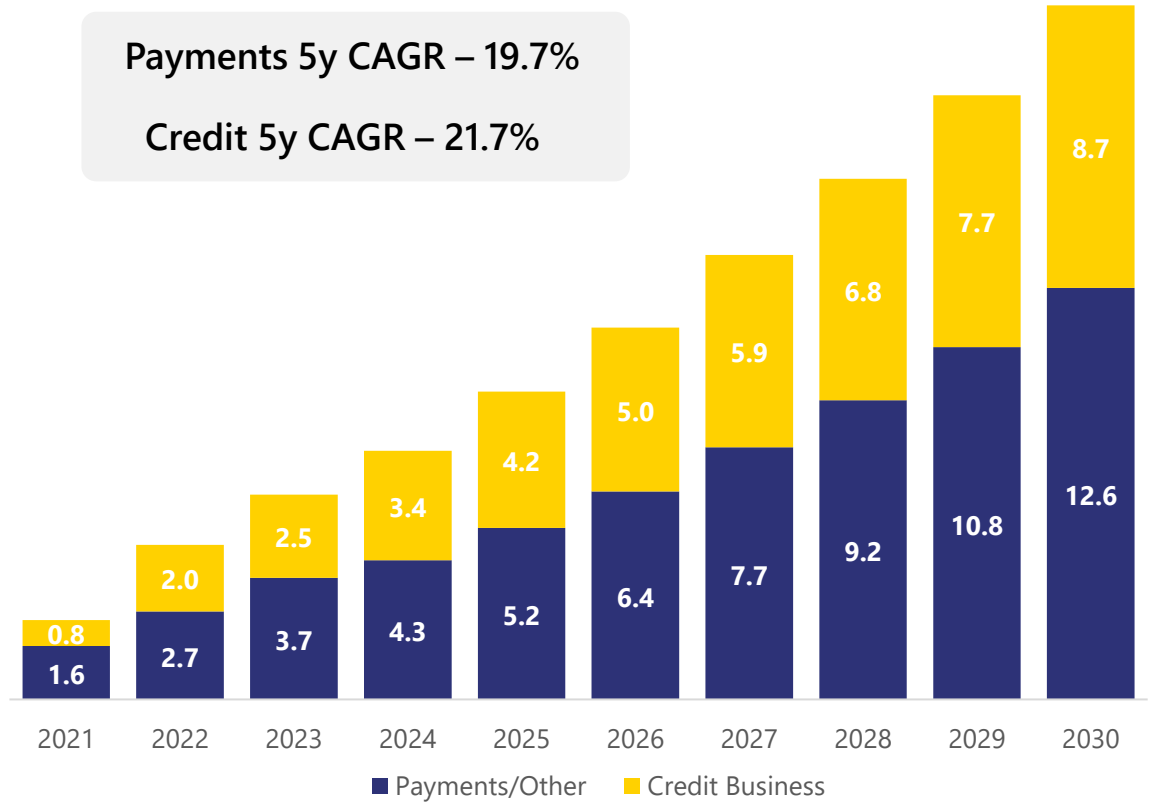


For the **Fintech segment**, we projected the TPV with **growth for On-Platform transactions** driven by our premisses of **higher ecosystem integration.** For the **credit business**, our premisses were **maintenance of interest rates** with a **conservative credit book growth.**

*Mercado Pago's TPV per segment (USD bn)*




*Mercado Pago's Net Revenue per segment (USD bn)*




Sources: Company, RHB Capital

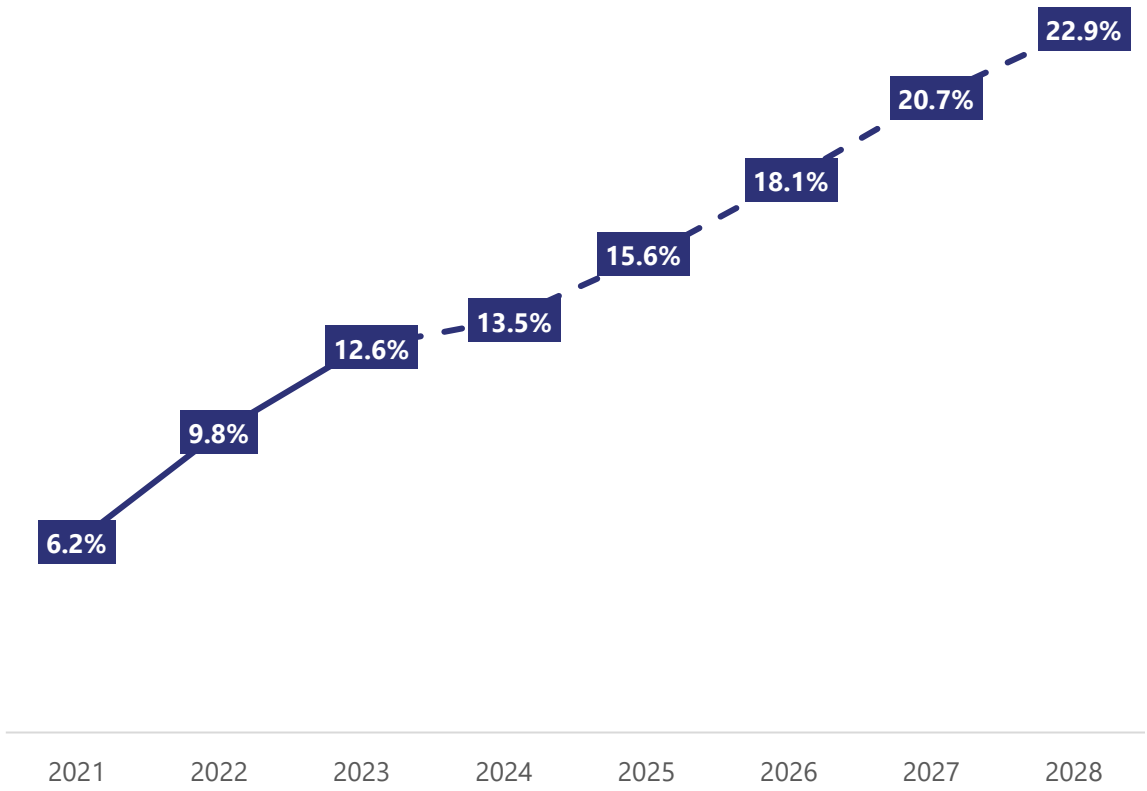
# Margin Analysis

*Measuring Meli's profitability*



Our **projections** resulted in a **22.9% EBIT Margin** in 2028, led by the value generated from **synergies**, cost dilution because of higher **integration** ecosystem and the **bottom line gains** generated from the expansion in the **Ads** segment.

*EBIT Margin (%)*




***Value generated from synergies***

***Cost dilution because of higher ecosystem integration***

***Bottom line gains because of the expansion of the Advertising segment***

# Sensitivity Analysis

*Scenario Build-up*



| | PRICE | ADS | GMV |
|---|---|---|---|
|  | ***$2,178/Share (45.1% upside)*** | ***5.0% of GMV as of 2028*** | ***Historical Premium vs Industry + Industry Average*** |
|  | ***$1,951/Share (29.9% upside)*** | ***4.1% of GMV as of 2028*** | ***50% of Historical Premium + Industry average*** |
|  | ***$1,628/Share (8.4% upside)*** | ***2.9% of GMV as of 2028*** | ***Industry Average*** |

168%

*5-year TSR*

| IRR | 22.5x | 25.0x | 27.5x | 30.0x | 32.5x | 35.0x |
|---|---|---|---|---|---|---|
| 1y | -44.6% | **-36.0%** | -27.2% | -18.0% | -8.6% | 1.2% |
| 2y | -3.4% | **2.6%** | 8.4% | 14.0% | 19.4% | 24.6% |
| 3y | 12.0% | **16.4%** | 20.6% | 24.5% | 28.1% | 31.7% |
| 4y | 18.0% | **21.4%** | 24.5% | 27.4% | 30.2% | 32.8% |
| 5y | 20.6% | **23.2%** | 25.7% | 28.0% | 30.2% | 32.2% |

*Exit Year: 2028*

IRR

23.2%

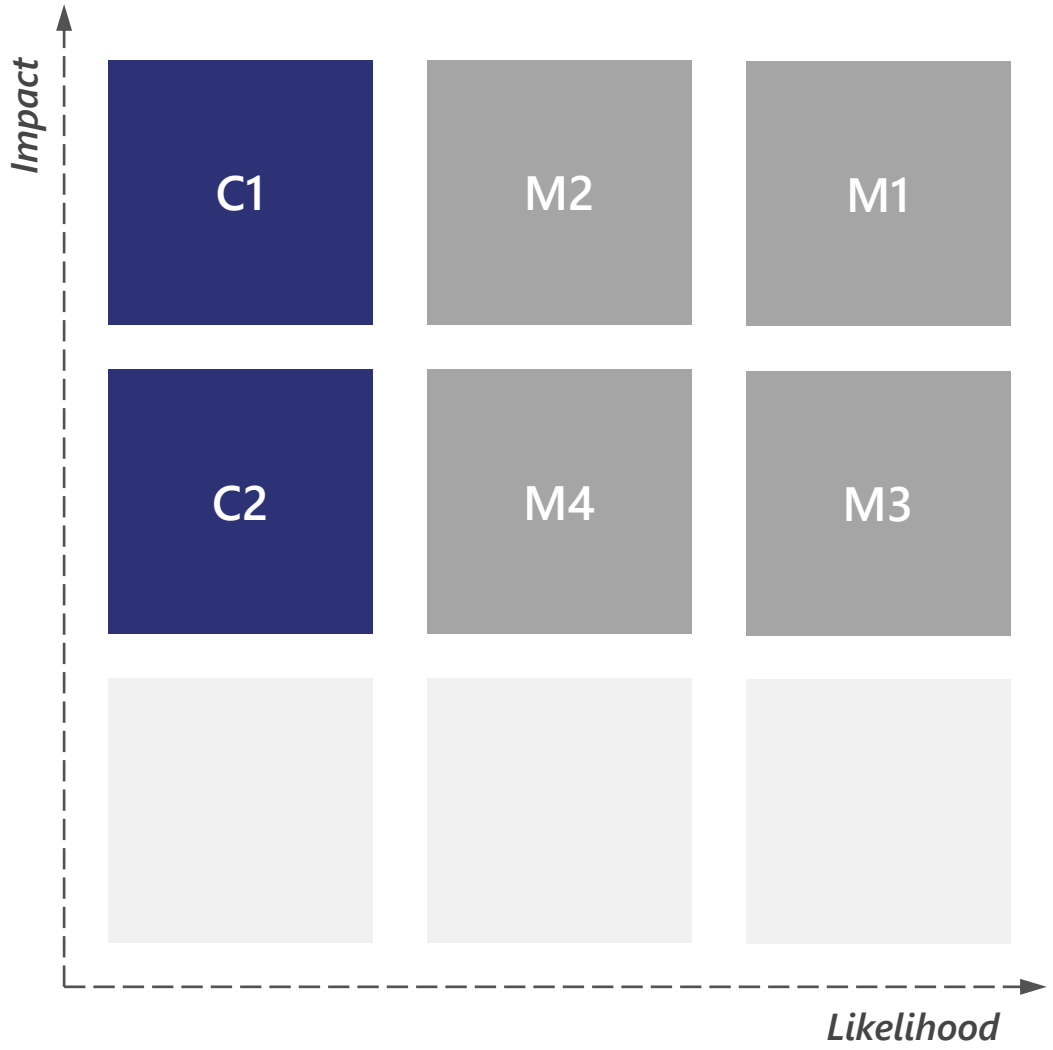
*Entry P/E NTM: 39.1x* *Exit P/E NTM: 25.0x*

Sources: Company, RHB Capital

# There are always Risks

*Risk Matrix: Points to pay attention to*






## *Company Risks*

**C1:** Failure in the expansion of the Advertising segment

**C2:** Lower than expected results from the 1P segment

## *Market Risks*

**M1:** Deterioration of Argentina's macroeconomic scenario

**M2:** Credit Risks

**M3:** Deterioration of consumption and inflation

**M4:** Regulatory risks

Sources: Company, RHB Capital

# MELI - NASDAQ

Mercado Libre

**BUY**

- **Excelling Leadership**
- **Scaling the Ecosystem**
- **Advertising for Growth**

**Upside: 29.9%**

**TIR: 23.2%**

*Exit: 2028*

mercado livre

# Q&A

Henrique Longuinhos | Henrique Nakagawa | Renan Giliberti

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- 9. A Lecture on Resource Distribution
- 10. Skin in the Game
- 11. The Heart of a Business

**2. Scaling the Ecosystem**
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- 14. The Epicenter of Consumers
- 15. Pay 2 Win!
- 17. One for the road
- 18. The Bigger the Fish, the Better
- 19. Setting the Bait
- 21. The best is yet to come
- 22. Deepening the Moat

**3. Advertising for Growth**
- 24. Click-Driven Growth
- 26. First-party data: the map to consumer gold
- 28. Measuring the Surplus
- 29. The Cheat Code
- 30. Ads as the Grand Upside

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- 32. Marketplace Projections
- 33. Fintech Projections
- 34. Margin Analysis
- 35. Sensitivity Analysis

**5. Risks**

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144. ARG: Consumption
145. ARG: Interest rate, foreign exchange, inflation

**10. Supporting Analysis**

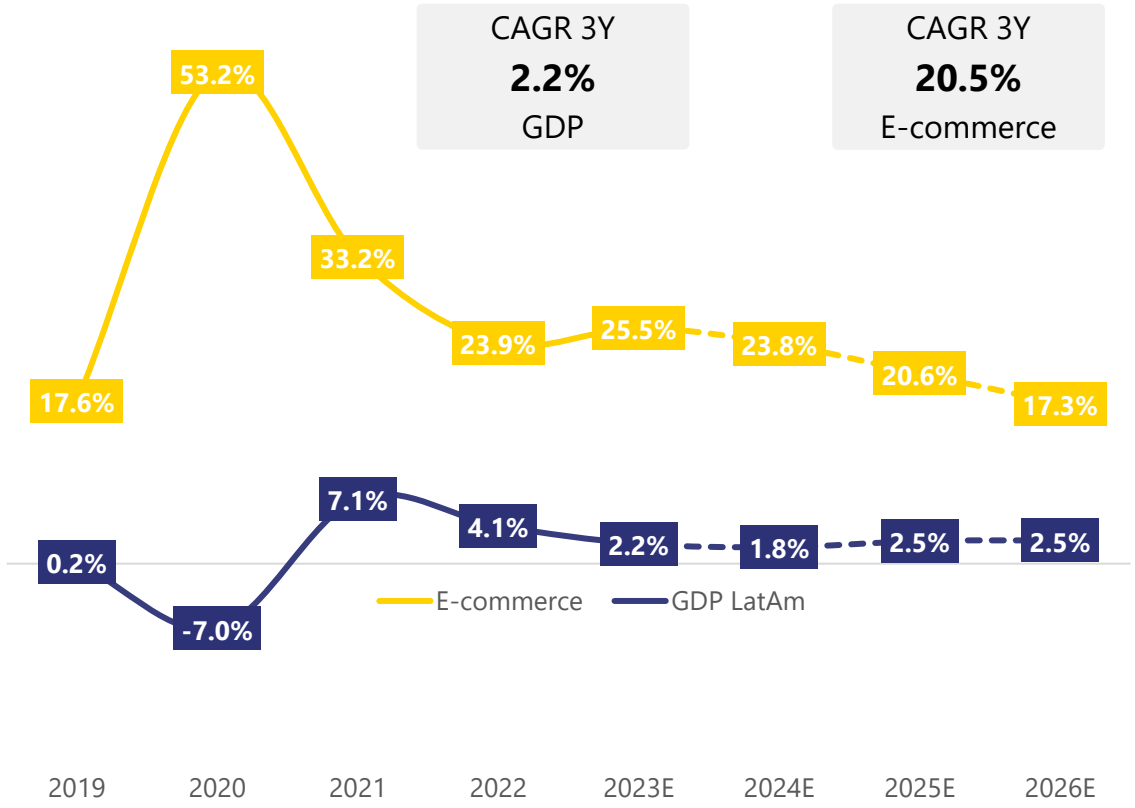
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# SECTOR INFORMATION

# Industry Growth

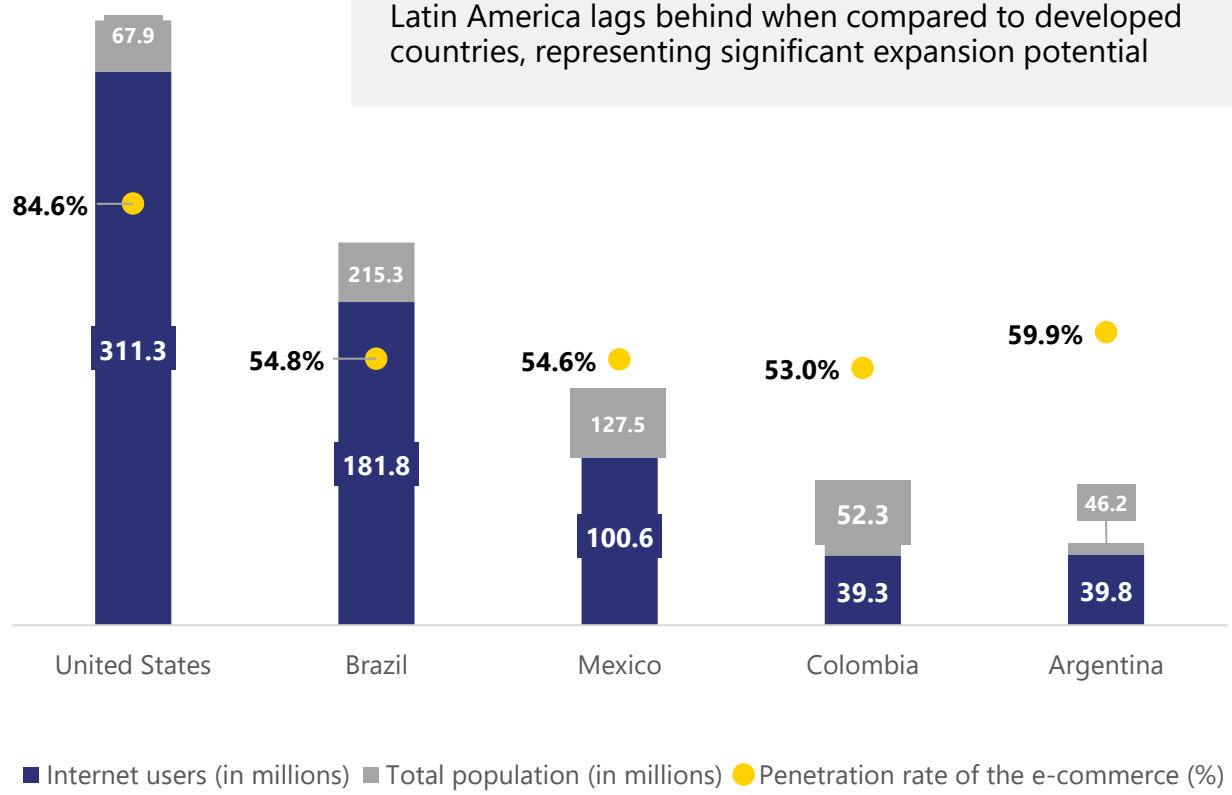
## An industry with **great growth potential** following **secular trends.**

*E-commerce and GDP real growth rate in Latin America (%)*




*Internet population and penetration rate of the e-commerce*

Latin America lags behind when compared to developed countries, representing significant expansion potential

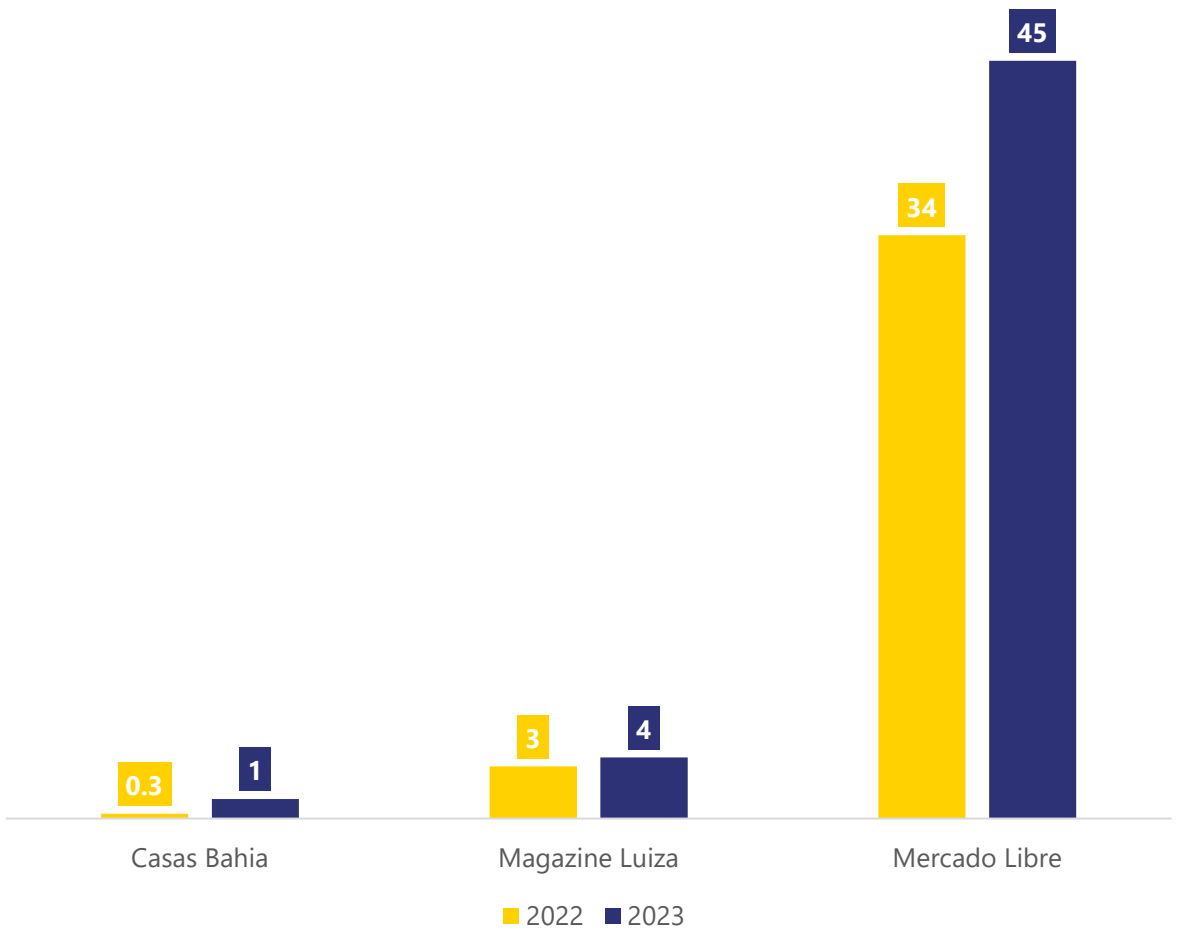



Sources: Euromontior

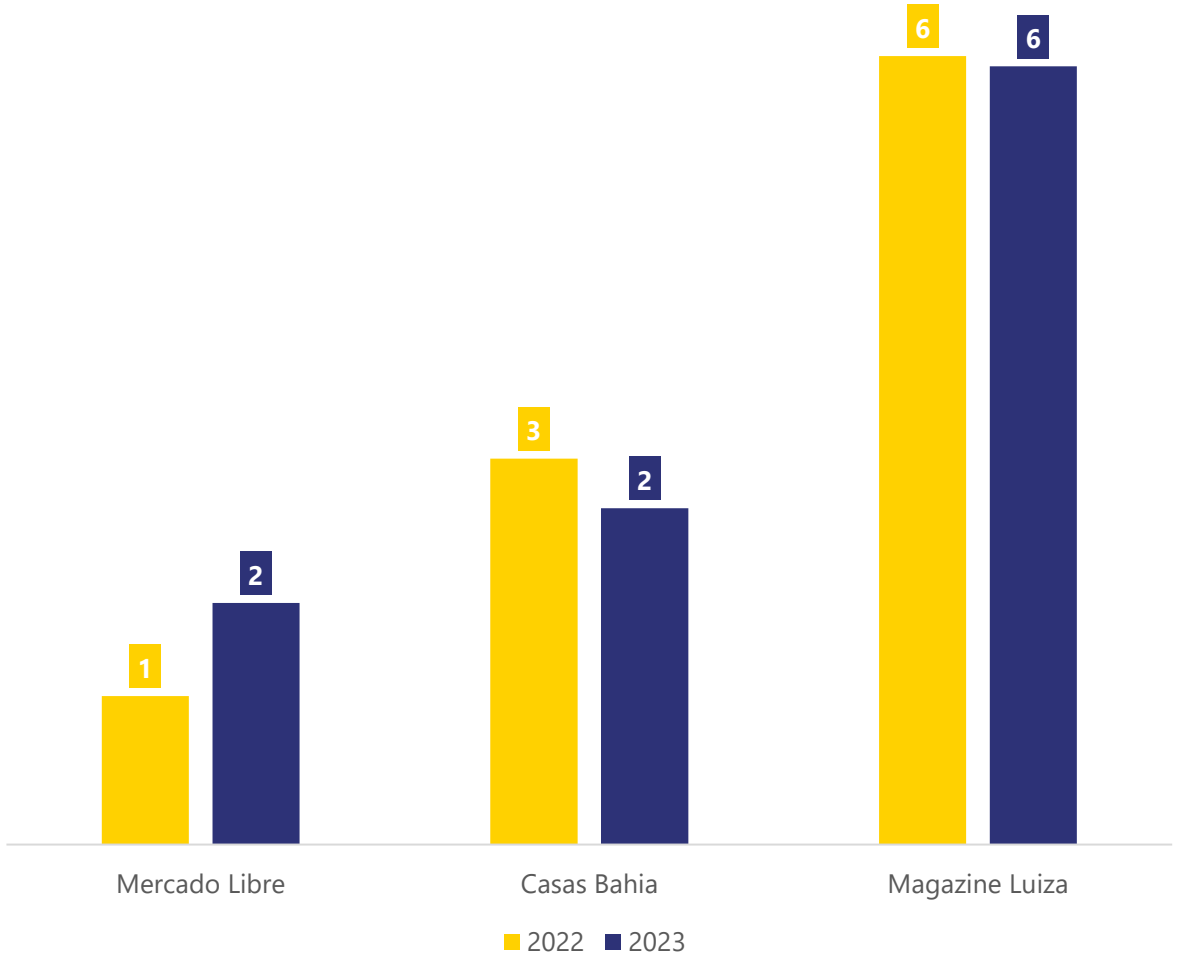
# Sector Analysis

## *Marketplace segment*

*GMV 3P (USD bn)*




*GMV 1P (USD bn)*




Sources: Companies

# Venezuela Time Line

In a country with **extensive government control and high and volatile inflation**, management has taken the following measures over time




**It began operating in Venezuela in 2005**, just as the country was experiencing an economic boom and there was a growing interest in e-commerce.

**Inflation** increases.
Change in to **SICAD 2** exchange rate.
**Investments in PP&E and intangible assets** to preserve the value of assets in Venezuela.

Government **prohibition and control of selling prices** for certain products.

Increased inflation rates in the country led to a reduction in operations within this geographical area.

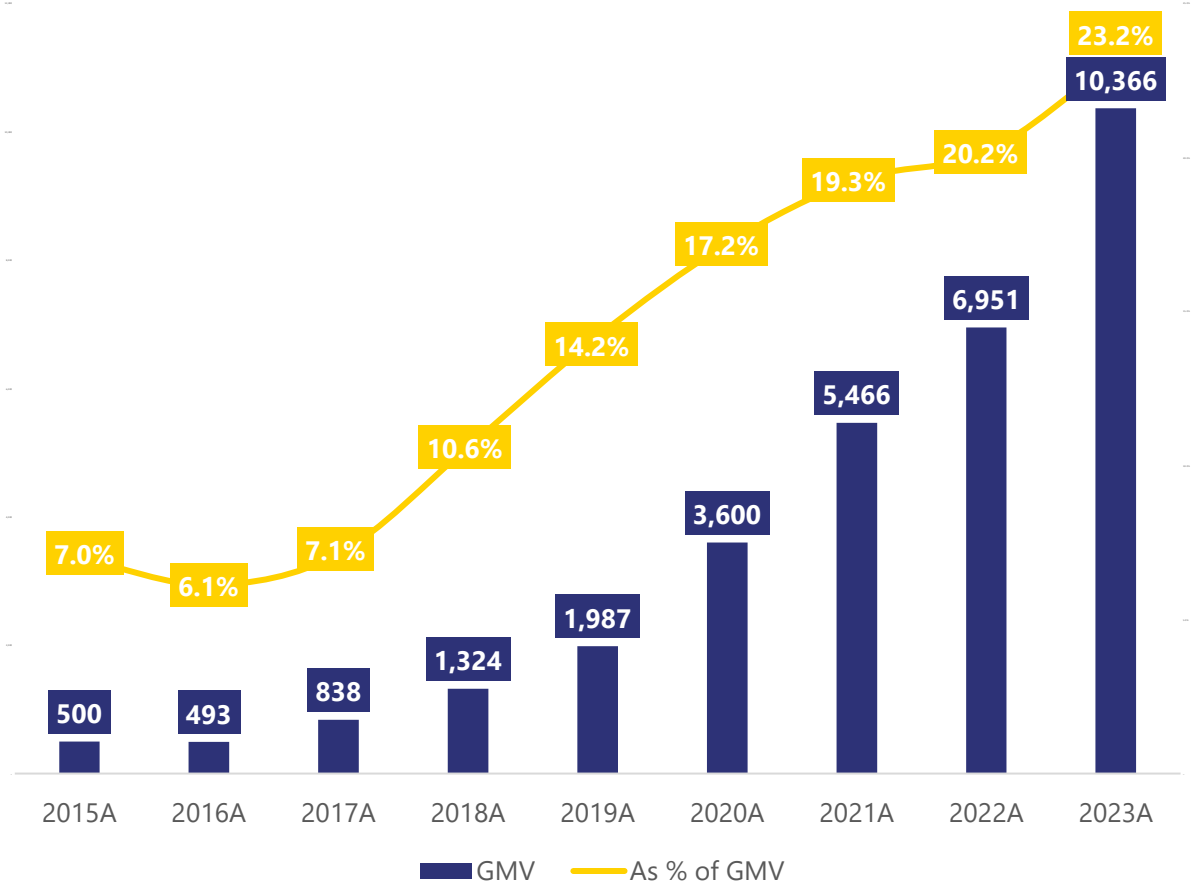
Sources: RHB Capital

# Mexico

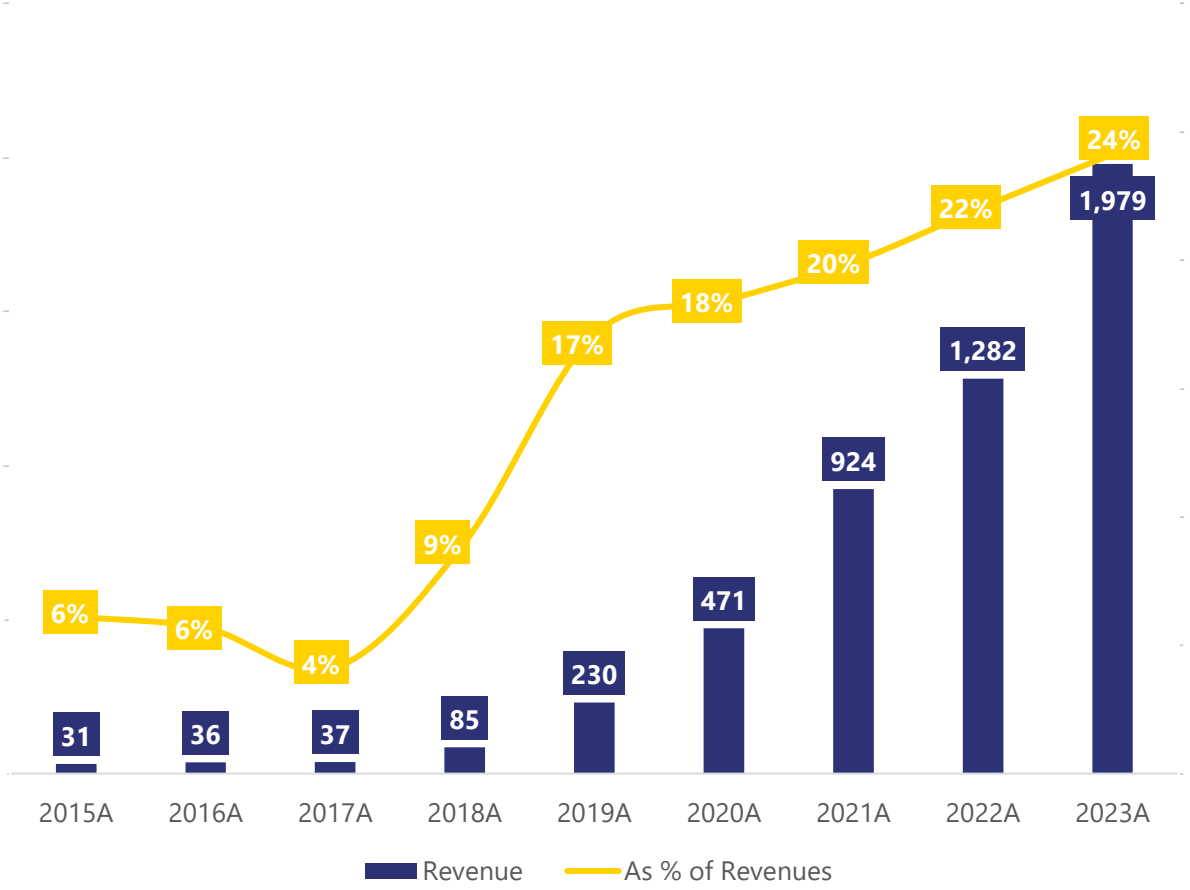
## *Marketplace framework*

Mexico has been gaining relevance towards the Mercado Libre ecosystem, given its underpenetrated market.

*Mexico's GMV (USD mn) as % of Total GMV*




*Mexico's Revenues (USD mn) as % of Total Revenue*





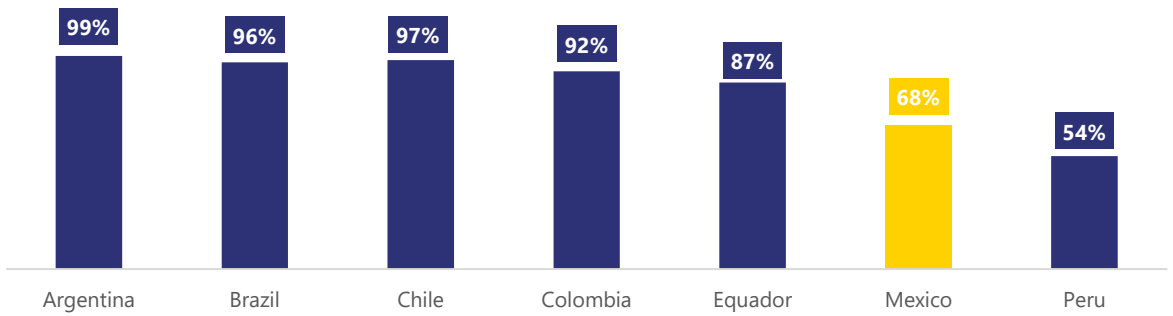

Sources: Company

# Mexico

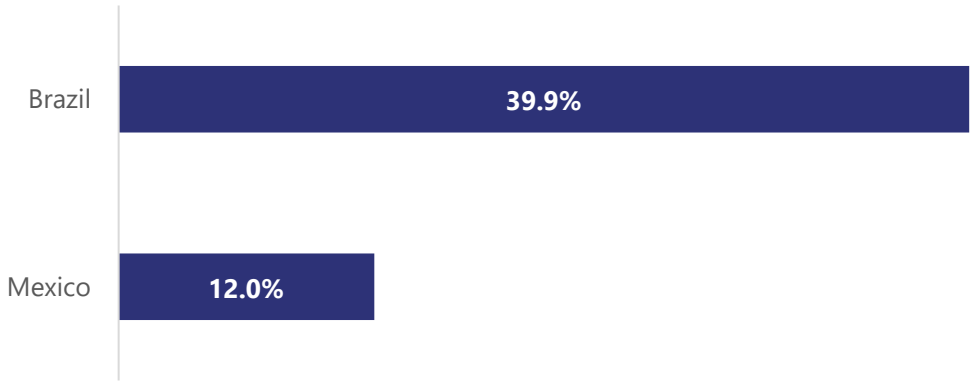
## *Fintech framework*

The financial scenario presentes itself as an opportunity in Mexico, given the lack of financial services that are being offered in the country

*Percentage of adults that have a bank account(%)*




*Credit card ownership (in %)*




- Lack of access to financial services
- Huge presence of cash on the most used methods of payments
- Significant space for companies to take advantage of this scenario in mexican territory

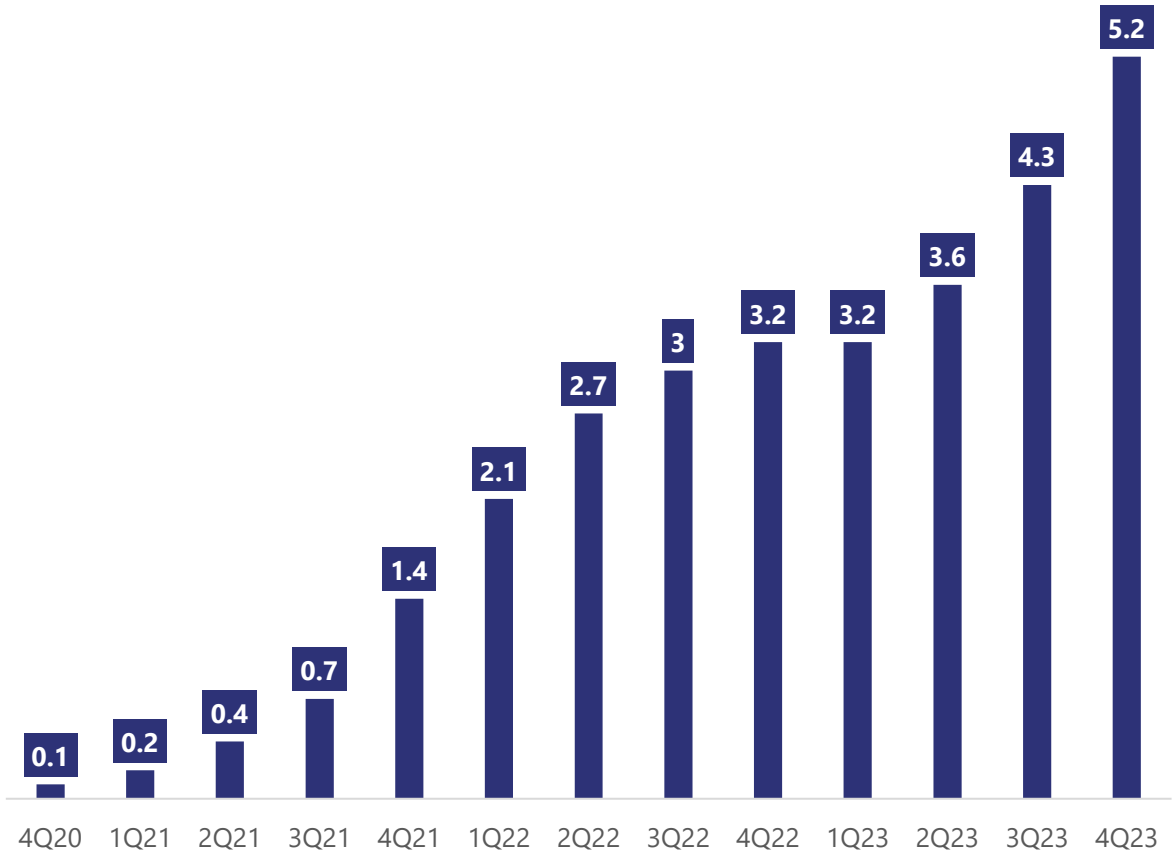
Sources: Statista, RHB Capital

# Mexico

## *Nubank's intention to enter Mexico*

Nubank, one of the mainstream fintech companies as of this moment, has been allocating efforts into the mexican territory, in order to gain that underpenetrated market.

*Nubank's Customers in Mexico (in millions)*




> *In **2024**, we will **double** our **investments** in new products and features, and we will double our investments in **Mexico** and Colombia. Although we **believe** we will continue to operate at healthy profitability levels, the opportunities ahead are so compelling that we believe it is time to sow, not to harvest.*

nubank

***4Q23 Results***

***"NUBANK, AFTER GROWING IN BRAZIl, BATTLES WITH FINTECHS FOR CUSTOMERS IN BRAZIL"***

Bloomberg

***"The bank announces yields of 15% over deposits on their bank accounts in the mexican territory."***

mercado livre



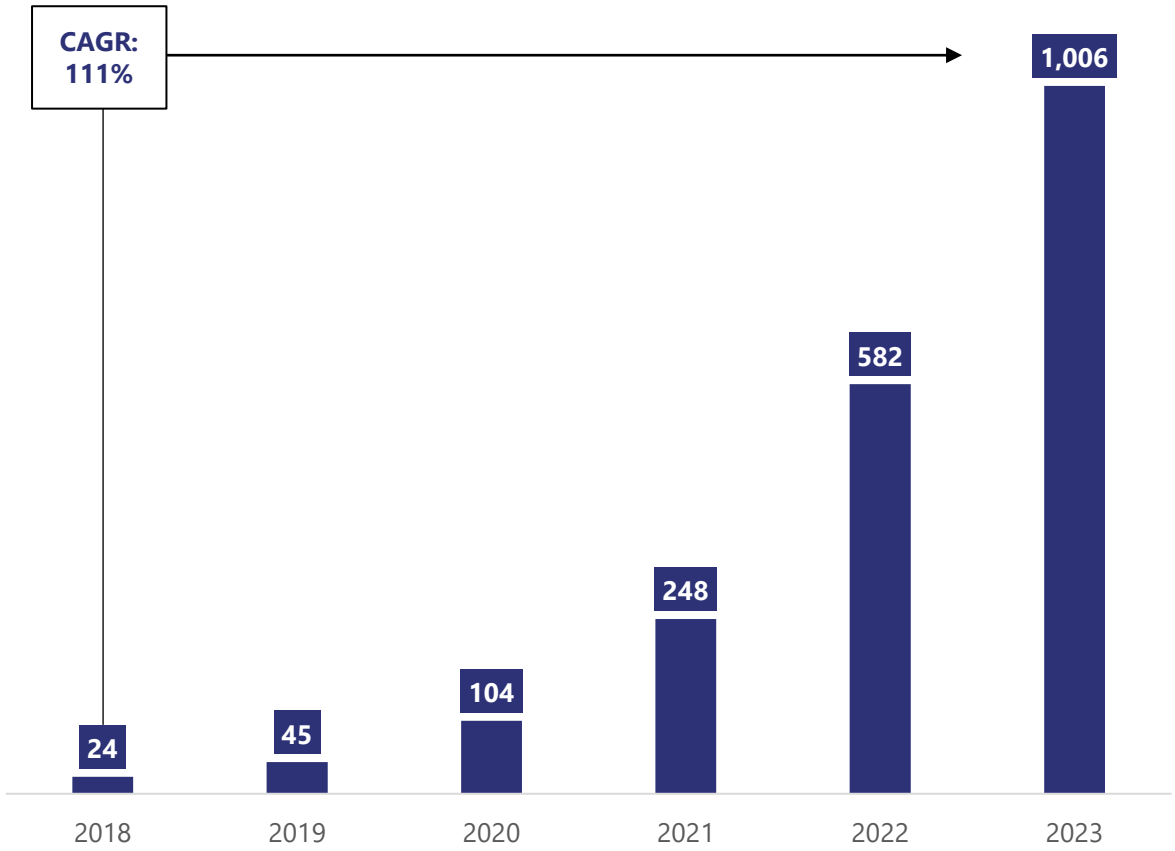
Sources: Nubank, Bloomberg

# Mexico

## *Meli's current positioning in Mexico*

Mexico has been gaining relevance towards the Mercado Libre ecosystem, given its underpenetrated market.

*Mexico's Fintech Revenue (USD mn)*




"For **Brazil**, we are **not** looking forward to becoming the **principal** bank, we are satisfied with **number 2**. However, in **Mexico**, we are going to allocate our **efforts** in order to **win** this **competition**.



***Richard Cathcart, Investor Relations Director in MELI***

**MELI's RESOURCES**

**+**

**MARKETPLACE POSITIONING**

**=**

**STRONG COMPETITIVE POWER**

***OUR TAKE:***

*Mercado Libre's efforts in Mexico are going to be faced with competition. However, the company's current positioning in the country with the marketplace platform might provide important synergies, besides the other efforts to gain principality.*

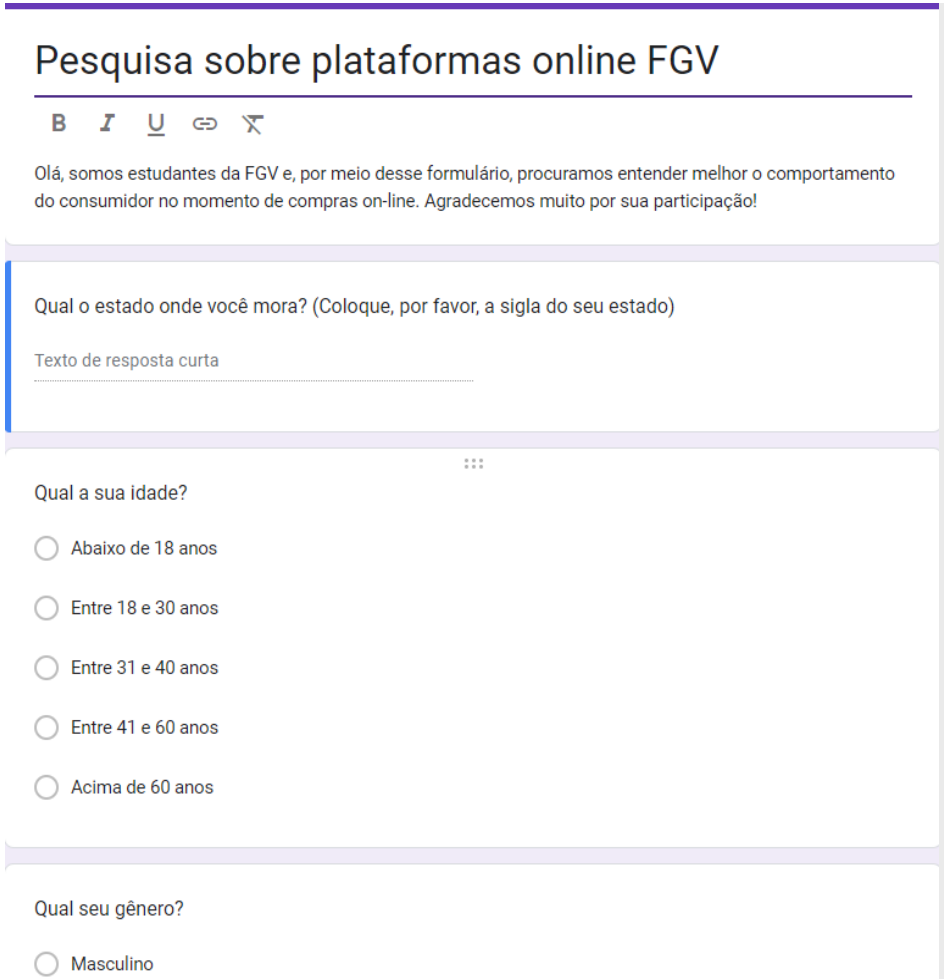


Sources: Companu and RHB Capital

# Field Research

## *Forms*

To better understand **consumer preferences**, we created an on-line forms. Answers pointed out to a **great positioning** for Meli among marketplaces peers. On the other hand, we see that Mercado Pago still has a **long way** regarding **penetration status.**




## Main Questions

- How frequent do you buy on-line?
- Which of the websites below do you are most used to buying on-line?
- Assign, in order of importance, the criteria that you use when choosing a website to buy products on-line.
- Which marketplaces apps do you have on your phone?
- What are the factors that make you buy in other marketplaces rather than Mercado Livre?
- Which of the digital banks below do you use?
- What were the reasons that led you into using this certain digital bank?

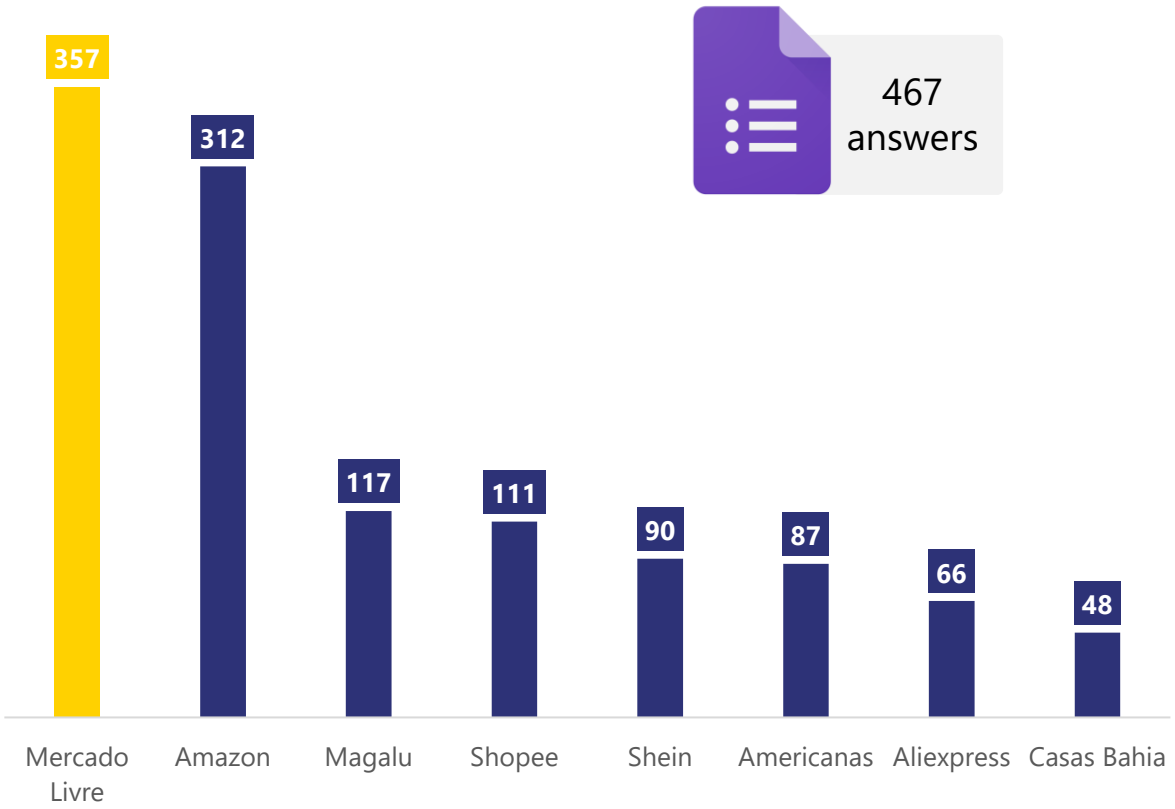
Sources: RHB Capital

# Field Research

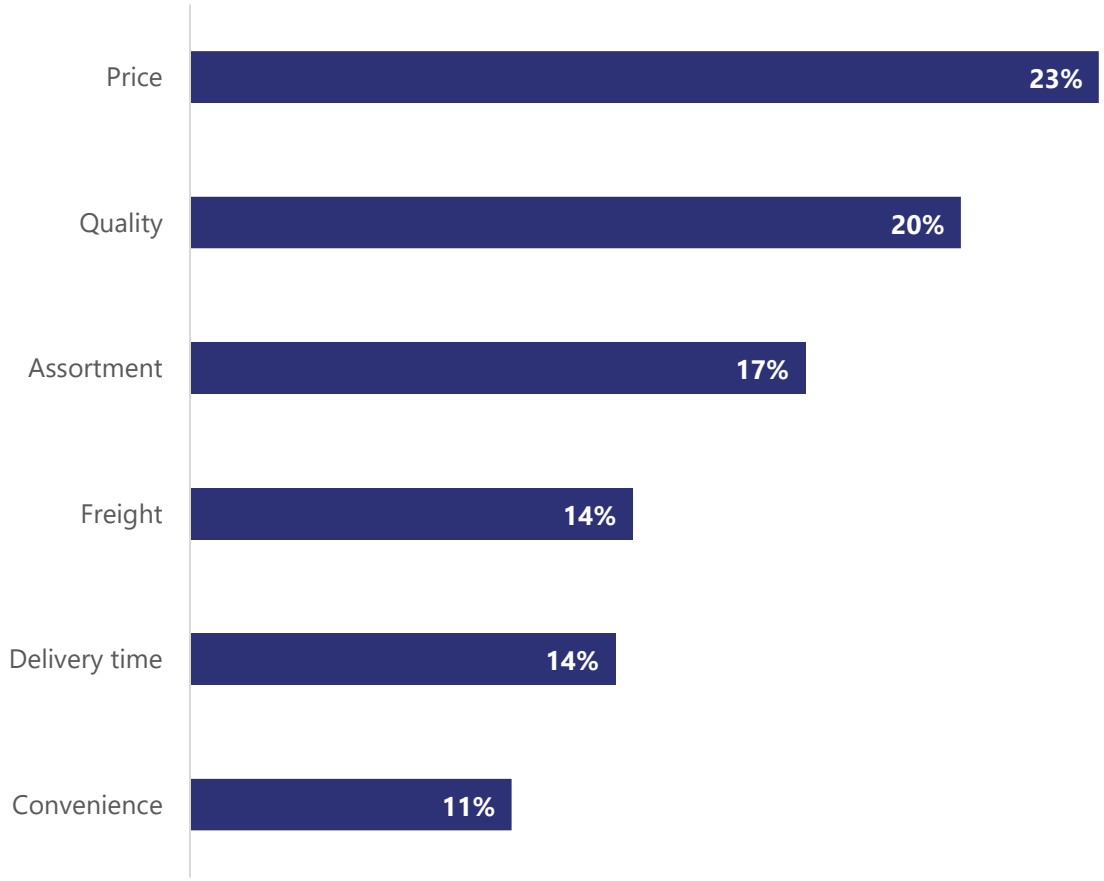
## *Forms*

Our forms reassures Mercado Libre's **positioning among Brazillian consumers**. Regarding preferences, costumers look for a **great variety of good (and fast delivered) products with fair pricing.**

*Which company do you buy the most?*




*Top priorities when choosing e-commerce platforms*



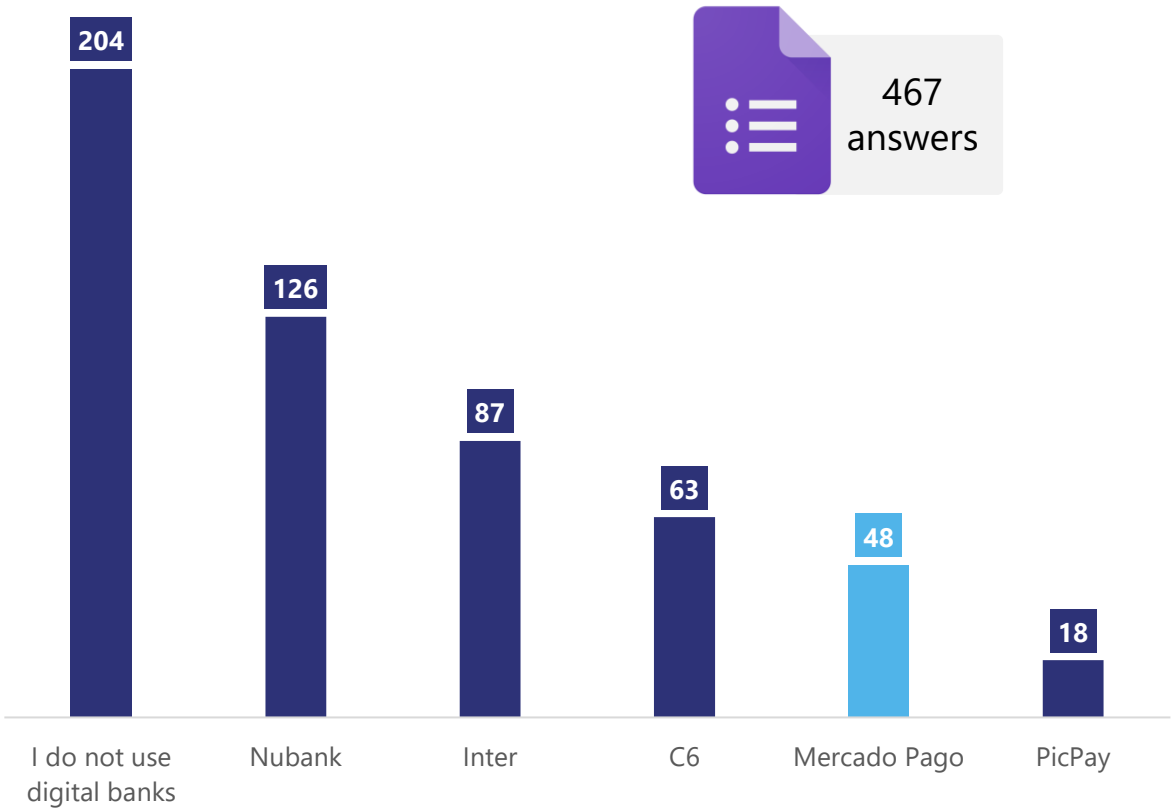

Sources: RHB Capital

# Field Research

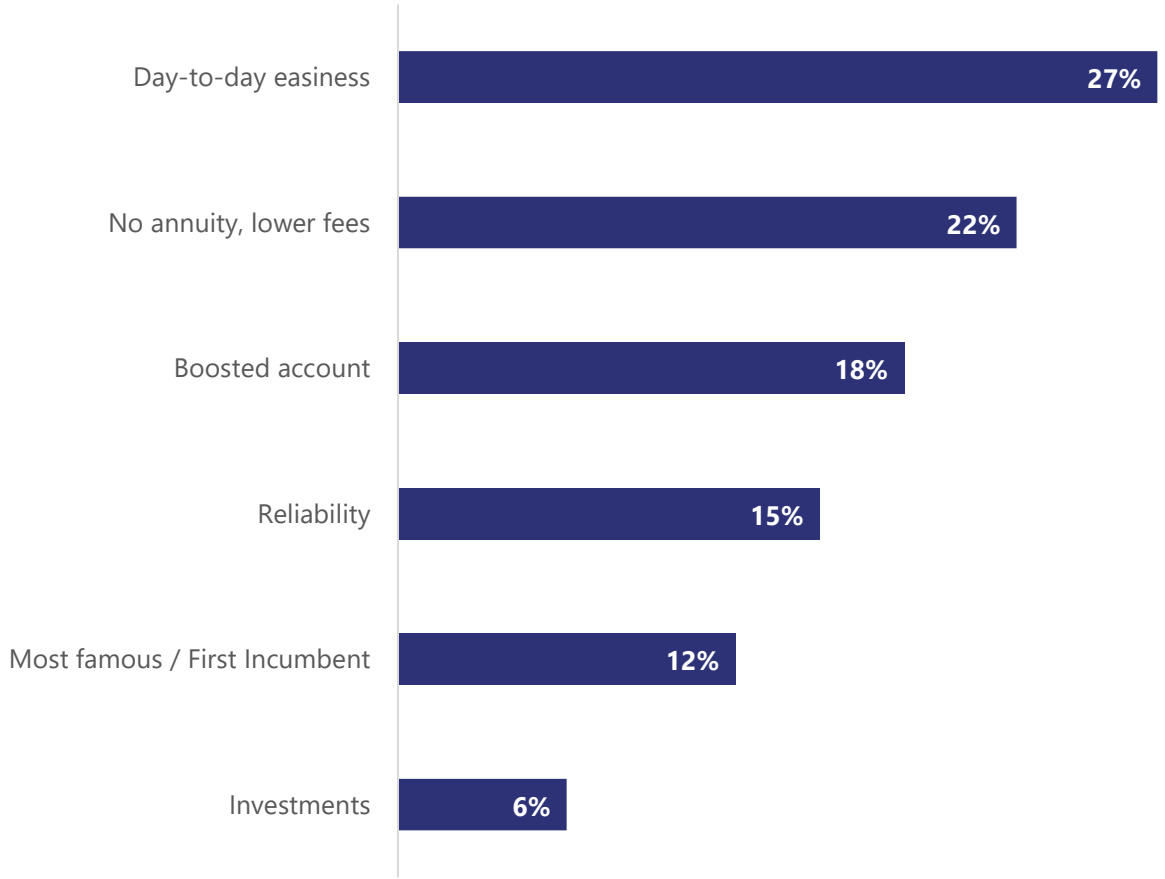
## *Forms - Fintech*

Our forms reassures that Mercado Pago's **positioning among Brazillian consumers** is far from the marketplace one. Regarding preferences, costumers look for a **great variety of good (and fast delivered) products with fair pricing.**

*Which digital bank(s) do you use?*




*Top priorities when choosing fintechs (%)*



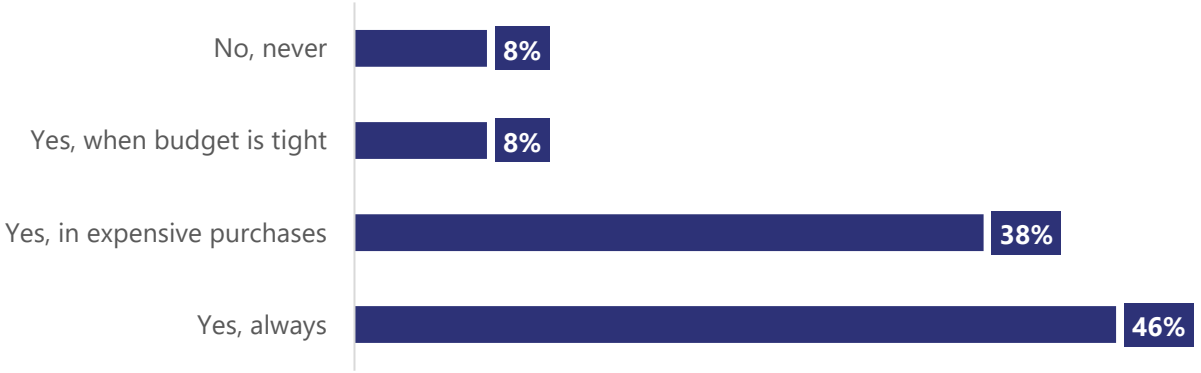

Sources: RHB Capital

# No tight money in this marketplace

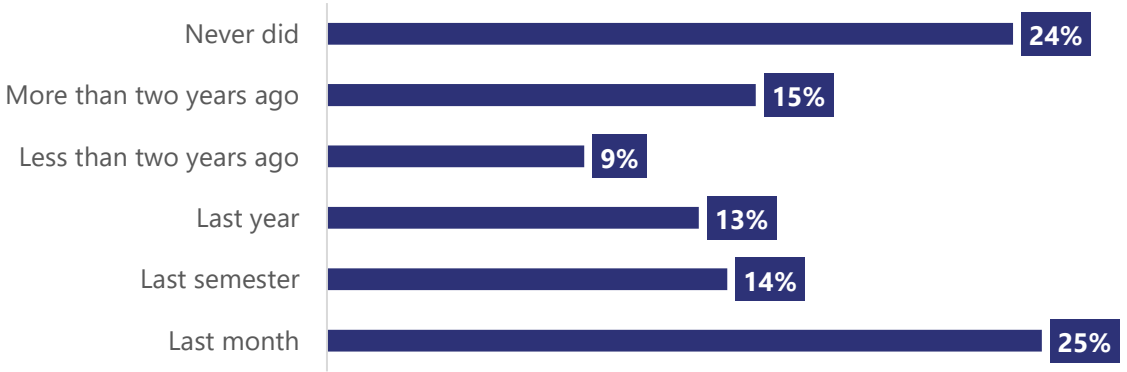
*Brazilian consumer behaviour is tightly related to credit*

Given **structural payment choices** and **more expensive items**, having **access to consumption benefits is key to lure buyers**. Understanding this, **Mercado Libre's ecosystem** offers **great user value**.

*Do you pay in installments? When?*




*When was the last time you asked for credit acquisition?*




***Offering payment facilities is a game changer!***

- *27% of Brazil's population are not able to pay in cash.*
- *25% pay in installments when there is no interest rate.*
- *24% pay in installments to increase consumption.*
- *Mercado Libre's fintech solutions encompasses all these factors!*

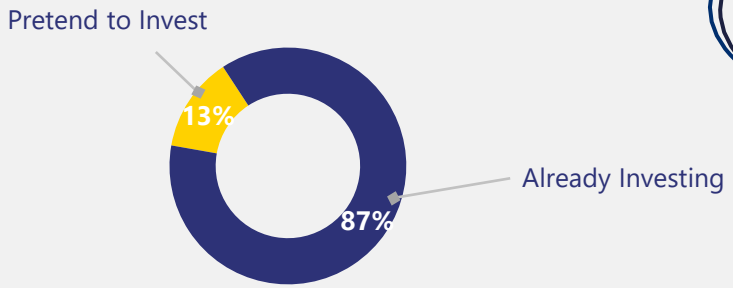
Sources: Serasa, Opinion Box, RHB Capital

# Understanding the landscape

*Digital Transformation*

## SELLERS

### Investment in digital transformation




*0% answered that don't pretend to invest in digital transformation*

*Why sellers want to turn their business into a digital model?*




*Why sellers initially tend to sell their products in a marketplace instead of their own store?*

**PROS**
They have a big base of costumers
More agility and ease to assemble profiles
Greater logistical capacity

**CONS**
Fees
Limited customization
The marketplace makes the rules

**66%** of consumers prefer **marketplaces** to **online stores**

**70%** believe it is the **most convenient way to shop**

*Third-party online marketplace sales among selected LatAm companies (USD bn)*




SBVC, Miraski, Statista

# Understanding the landscape

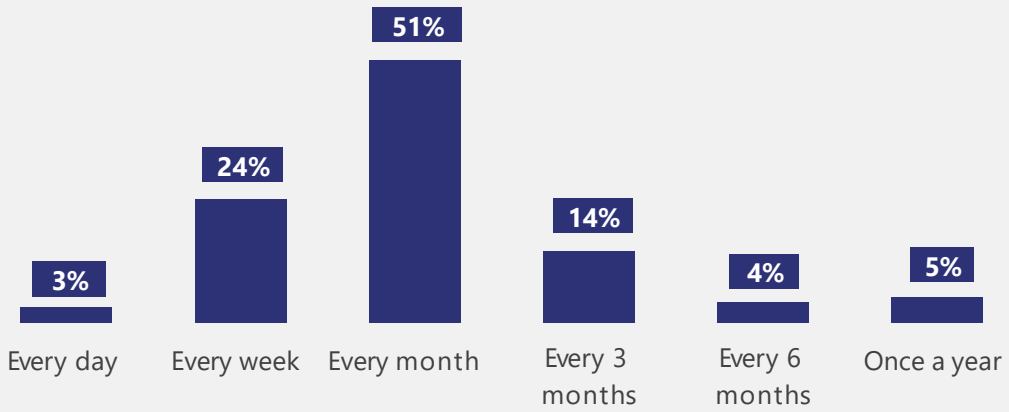
*Digital Transformation*

## BUYERS

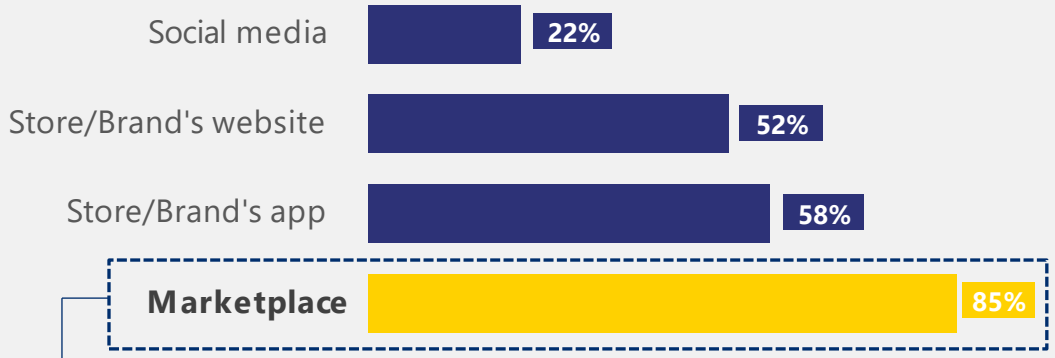
*Why do people choose to shop online instead of going to a physical store?*

- 38% Availability of items
- 42% Fast and reliable service
- 36% Easily navigable website

### Frequency of online shopping




### Most popular platform for online shopping




*Why consumers choose marketplaces?*

- 62% Better prices
- 53% Pool of products
- 43% Better shipping options
- 43% Better shopping experiences

**79%**

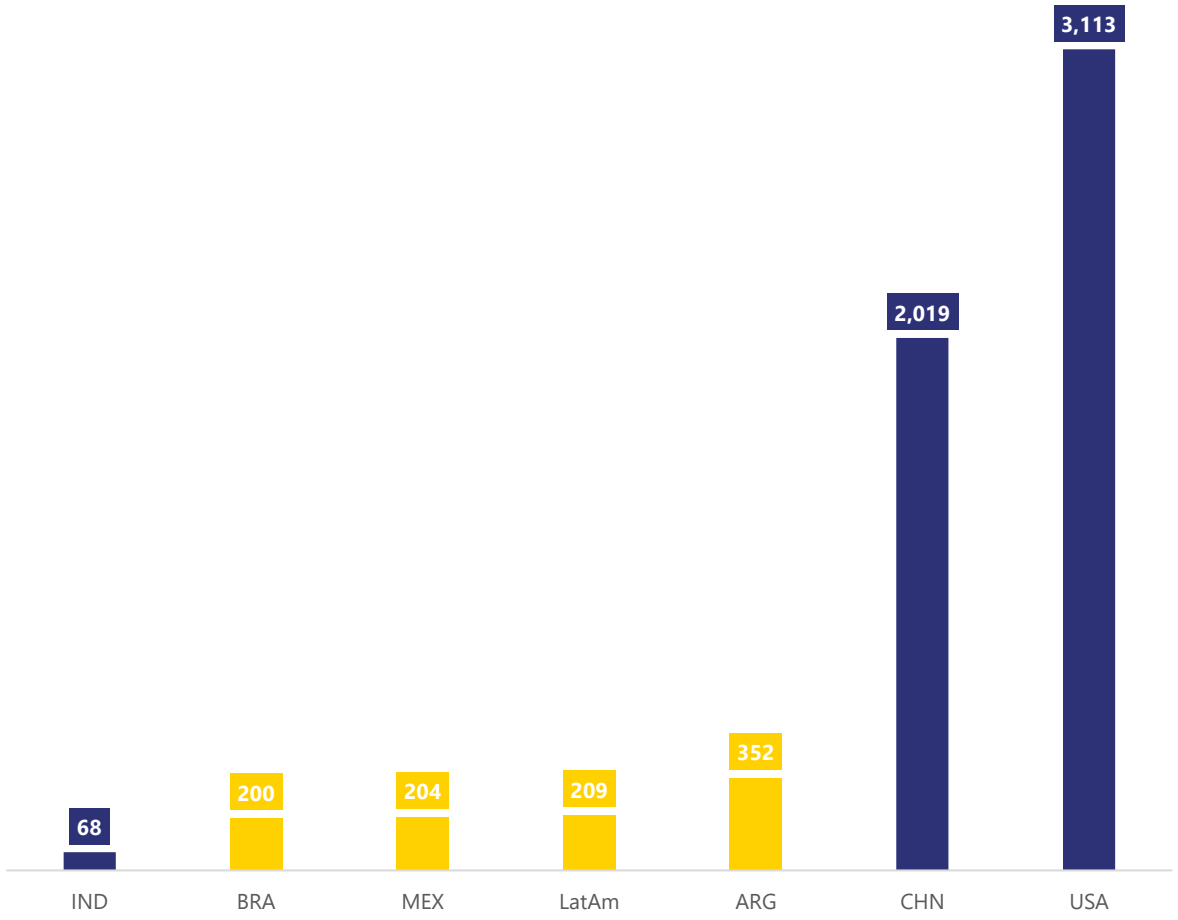
Of users said the shopping experience is crucial for them to continue shopping on marketplaces

Sources: Pwc, SVBC, Statista

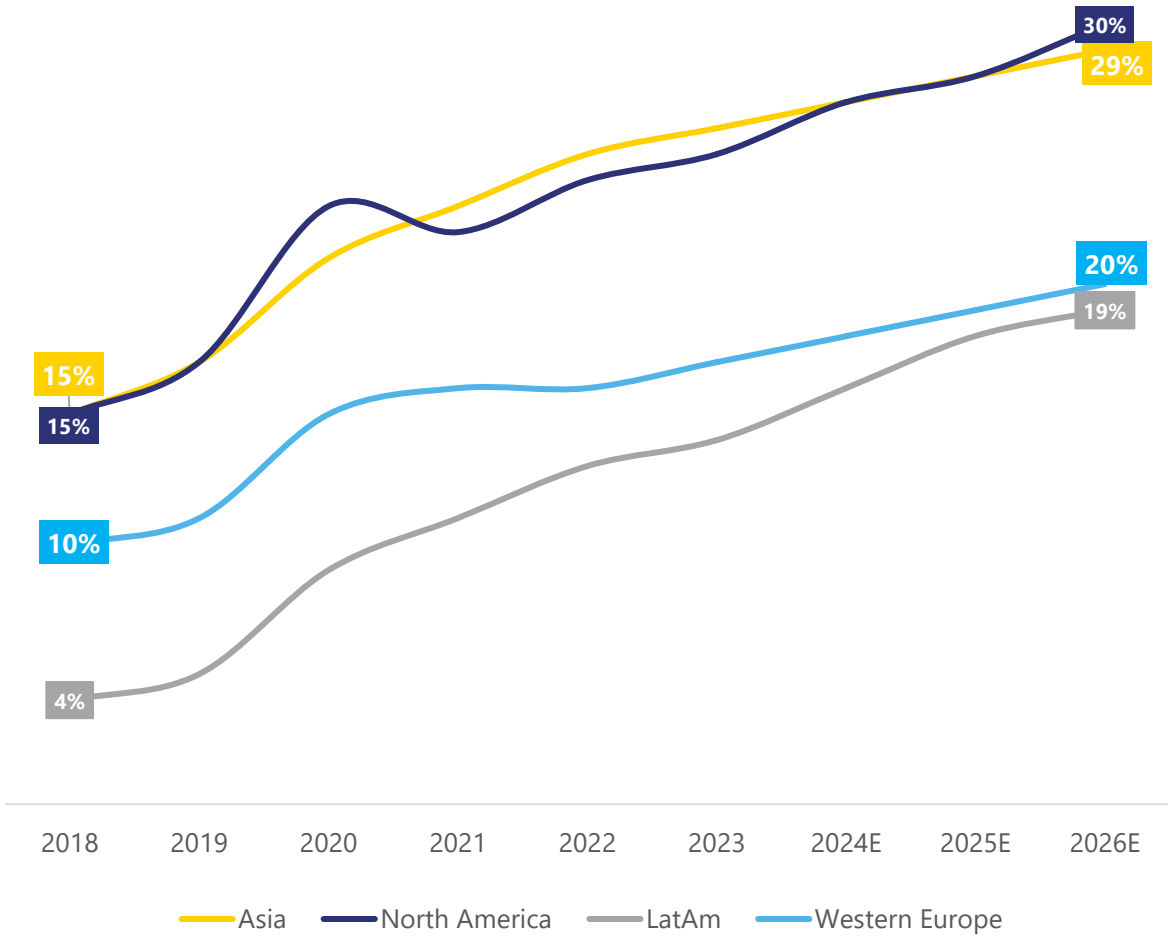
# The Size of the Market

## *Market Dynamics*

*2022 Retail GMV per capita (USD)*




*E-commerce as % of total retail revenue*






Sources: Statista, Euromonitor, eMarketer, RHB Capital

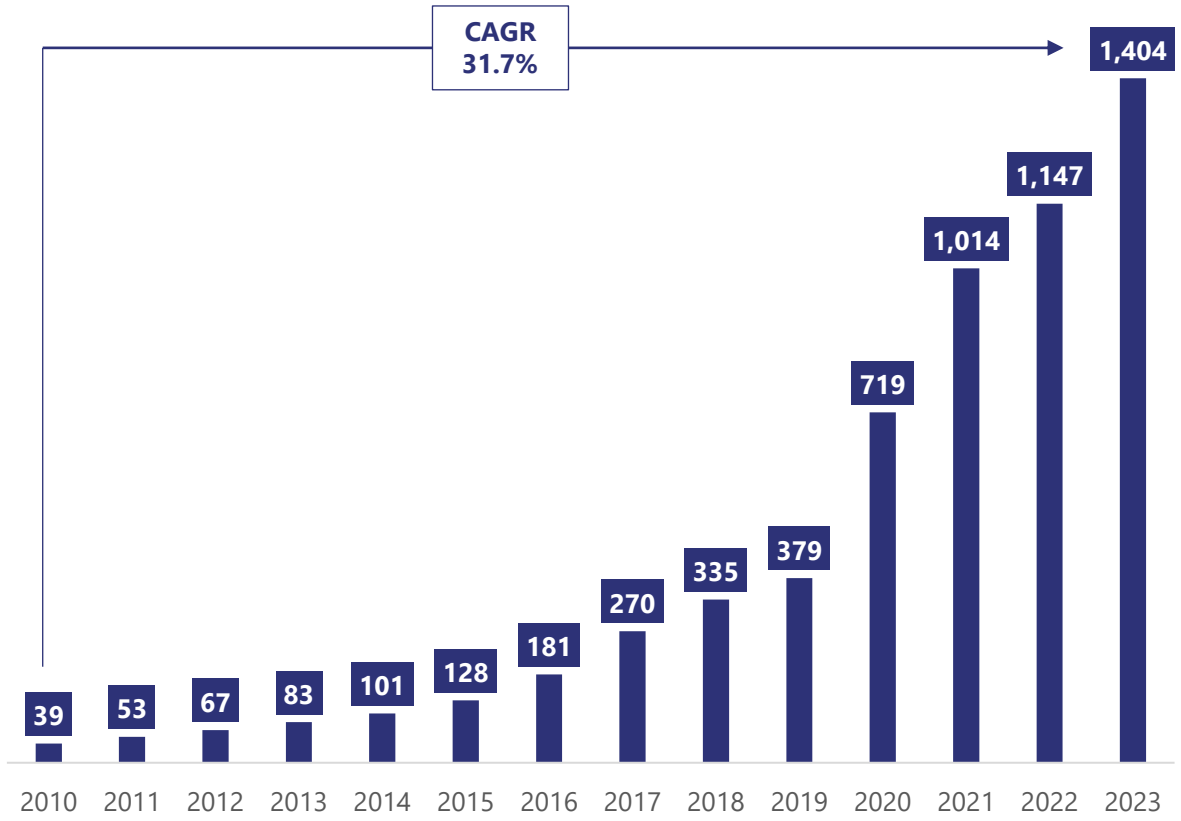
# COMPETITIVE LANDSCAPE

# Scale metrics

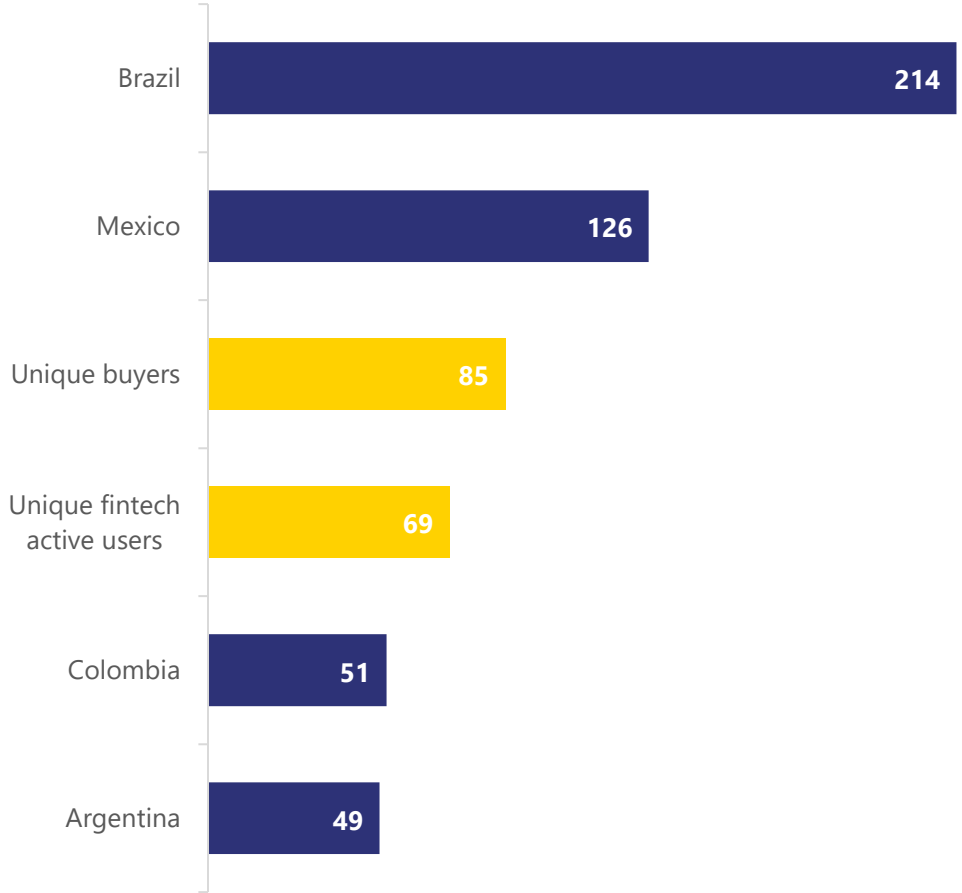
## *Meli's unreachable moat*

We believe that Mercado Libre has a **unreachable moat**, since reaching this **level of scale** in a highly competitive market is almost impossible for a **new incubent and current peers** without a lot of **cash to burn.**

*Meli's items sold (millions)*




*Population vs. Users (in millions)*



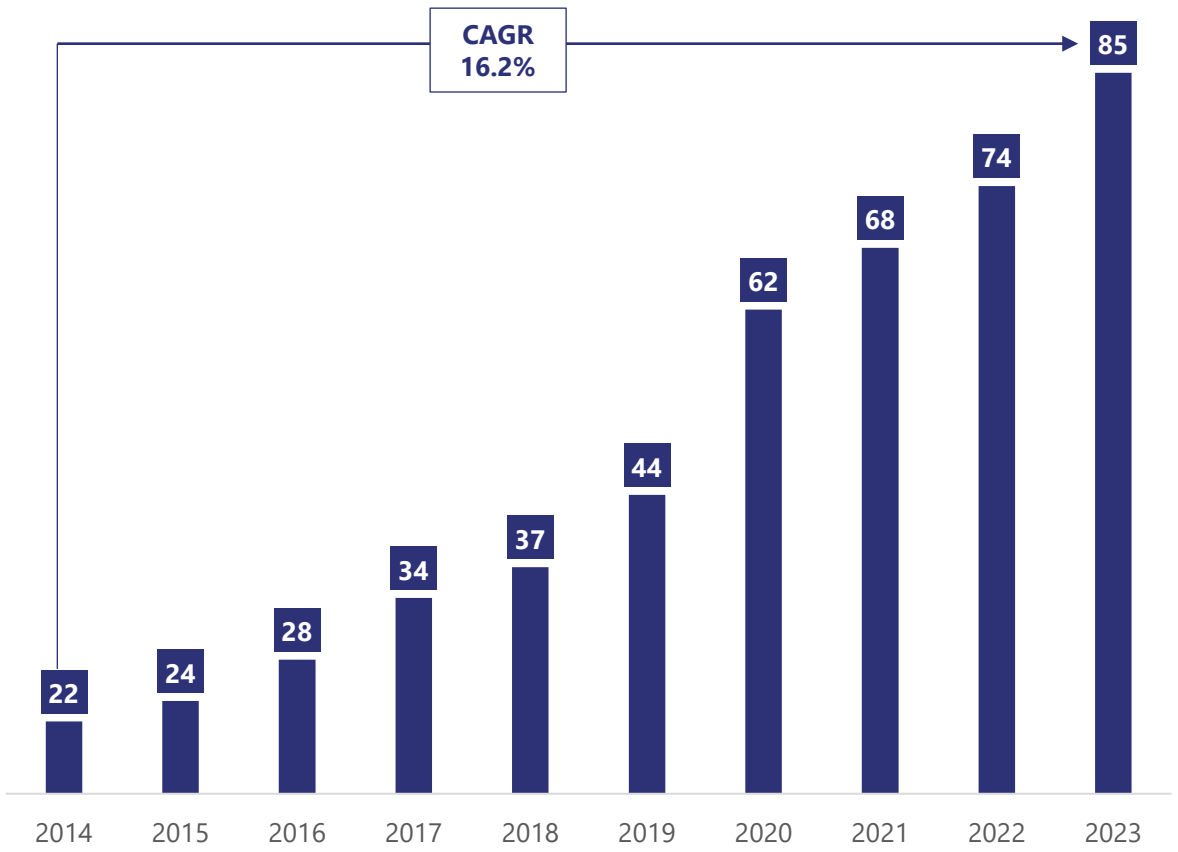

Sources: Company

# Scale metrics pt. 2

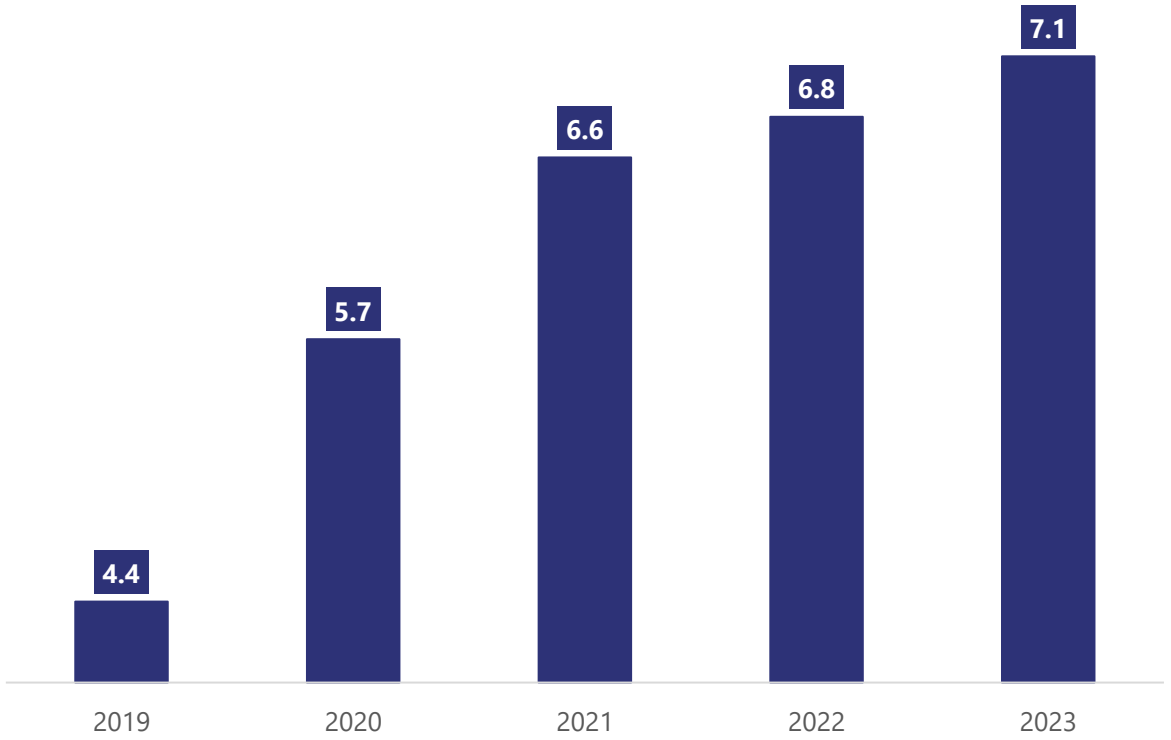
*Meli's unreachable moat*

We see that Meli, with the **continuous improvement of the marketplace**, has been able to gather more buyers and to increase purchasing frequency, being a great signal of **consumer satisfaction and retention.**

*Number of unique buyers (millions)*




*Average quarterly items purchased by buyer*



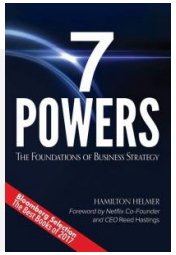

Sources: Company

# The Great Wall of Meli

*Networks effects*

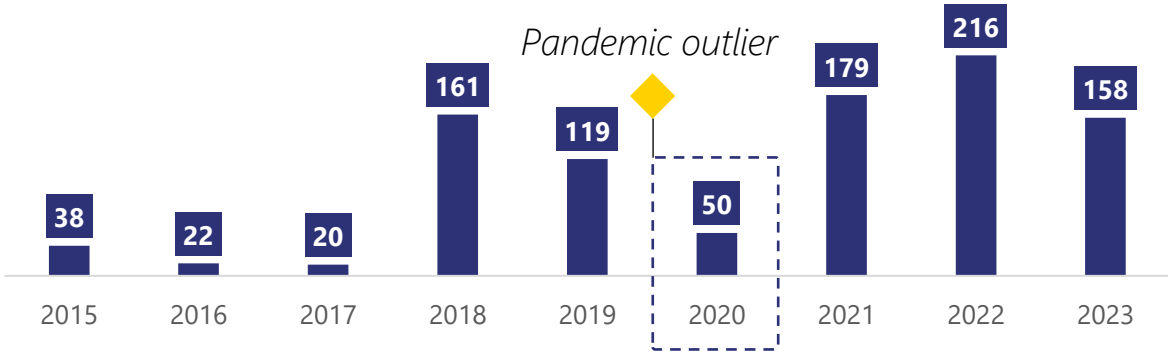
Understanding the **competitive prowess needed** in the marketplace sector **to captivate a client,** Meli does not take short cuts when **investing in marketing planning.** Furthermore, we see that Meli has been able to **increase their pricing power.**

How can Meli take advantage of network economies via its **scale** and **ecosystem?**

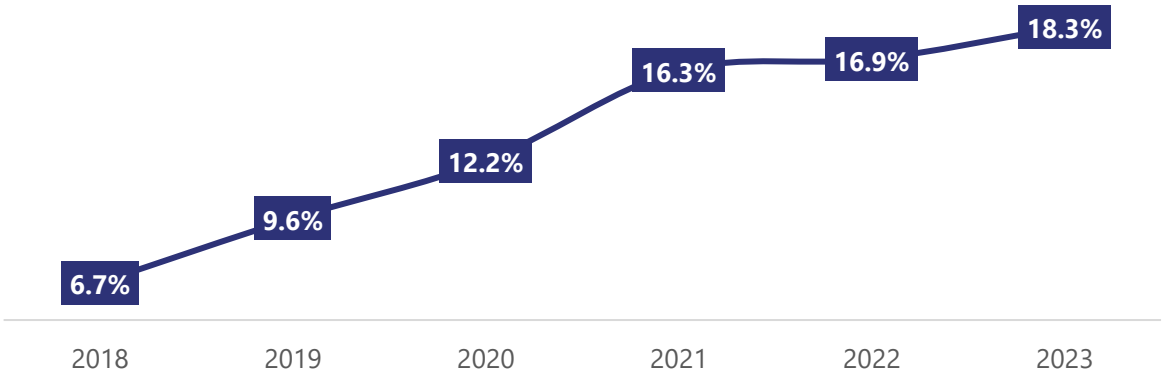



- *Network Economics central feature – value depending of others*
- *Barrier of network economies – unattractive cost/benefit of market gain*
- *Pricing power + profitable complements*
- ***Enhanced positioning***

*CAC (in USD)*




*Marketplace take rate (%)*



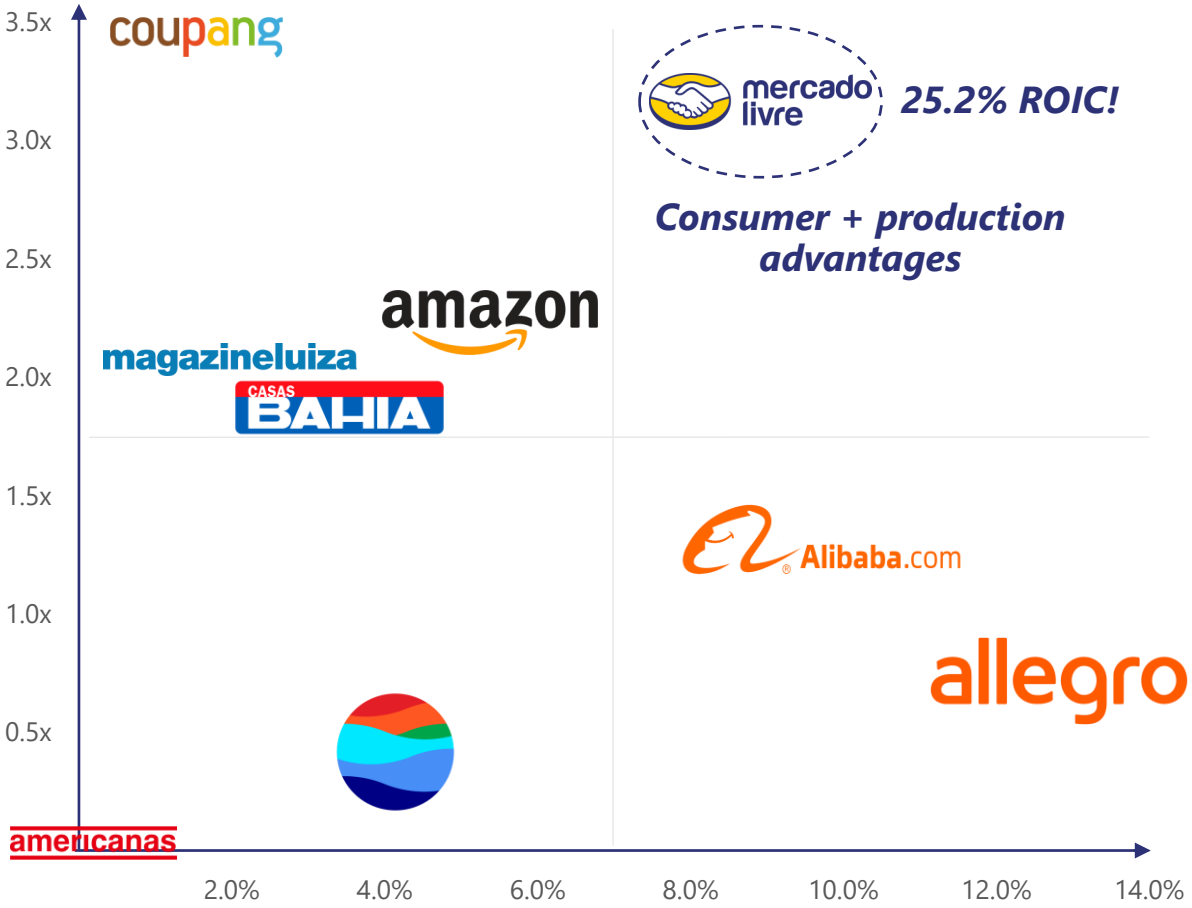

Sources: Company, RHB Capital, 7 Powers

# ROIC Decomposition

*Meli's unparalled operation*

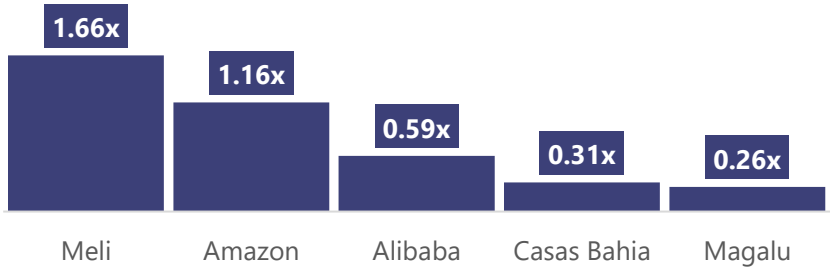
Mercado Libre's **impecable business model** materializes in an **outstanding return on invested capital**, being way ahead of all of its peers.

*2023 ROIC Decomposition - Nopat Margin (%) x Invested Capital Turnover*




- *We calculated ROIC using NOPAT as a fraction of Invested Capital.*
- *We calculated the Invested Capital through the liabilities side adapted to Meli's indebtness calculation (Equity + Debt + Operating Leases – Cash and Equivalents).*
- *For companies with tax incentives due to negative EBT, we normalized their tax rate to their country's corporate standard (ex: Brazil – 34%).*

*ROIC/WACC for MELI main marketplace peers*




**Meli** has been able to **sustain** a **higher ROIC/WACC ratio** in **comparison** to its **peers,** which demonstrates its **efficiency in capital allocation.**

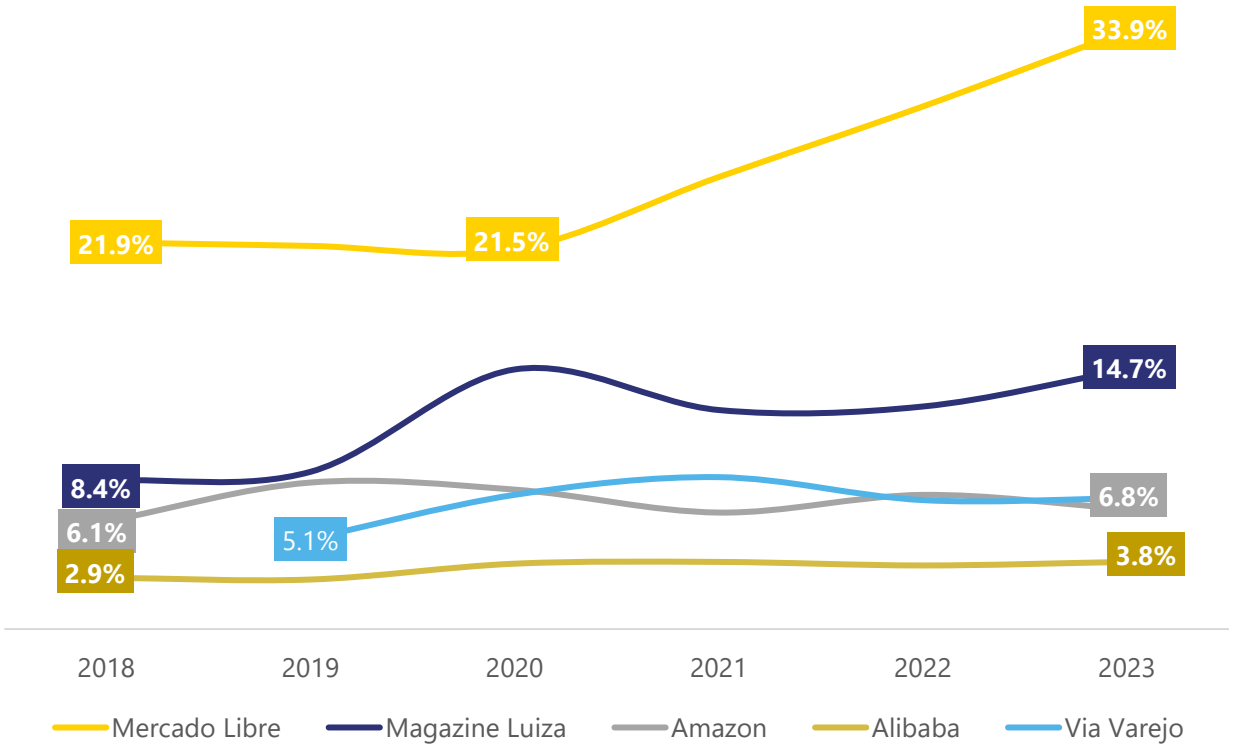
Sources: Companies, Bloomberg, RHB Capital

# Market Share Analysis

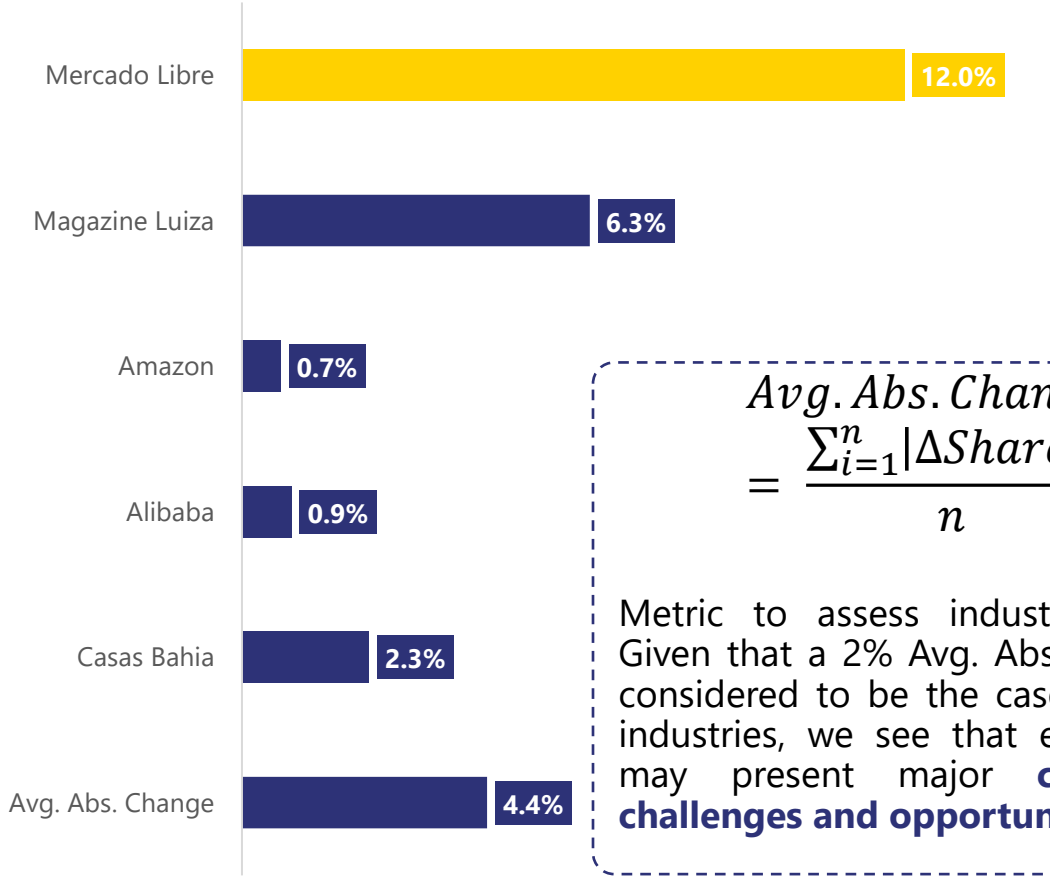
*Meli's imponence*

We see that Mercado Libre's **took advantage** of the pandemic period, given its noticeable **market share gain**, propelling the company to new highs – **the undisputed champion.**

*Retail E-commerce market share Brazil (%)*




*Market share variation (2018 – 2023)*




$$Avg.\,Abs.\,Change = \frac{\sum_{i=1}^{n}|\Delta Share_i|}{n}$$

Metric to assess industry stability. Given that a 2% Avg. Abs. Change is considered to be the case for stable industries, we see that e-commerce may present major **competitive challenges and opportunities.**



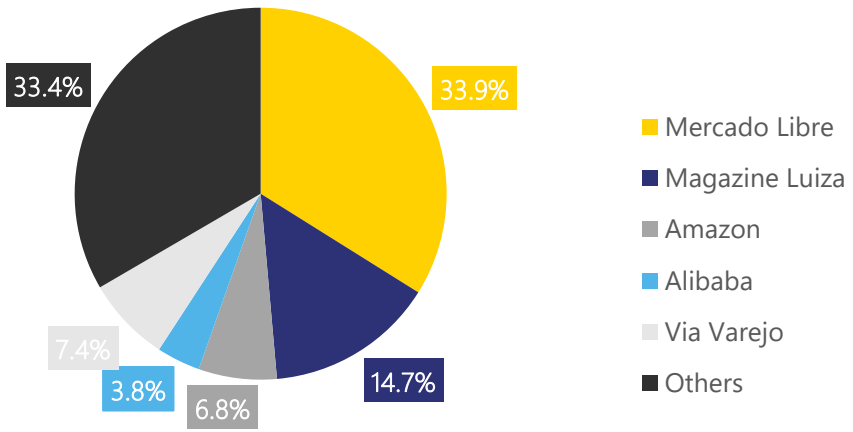
Sources: Euromonitor, RHB Capital, Measuring the Moat

# HHI Index

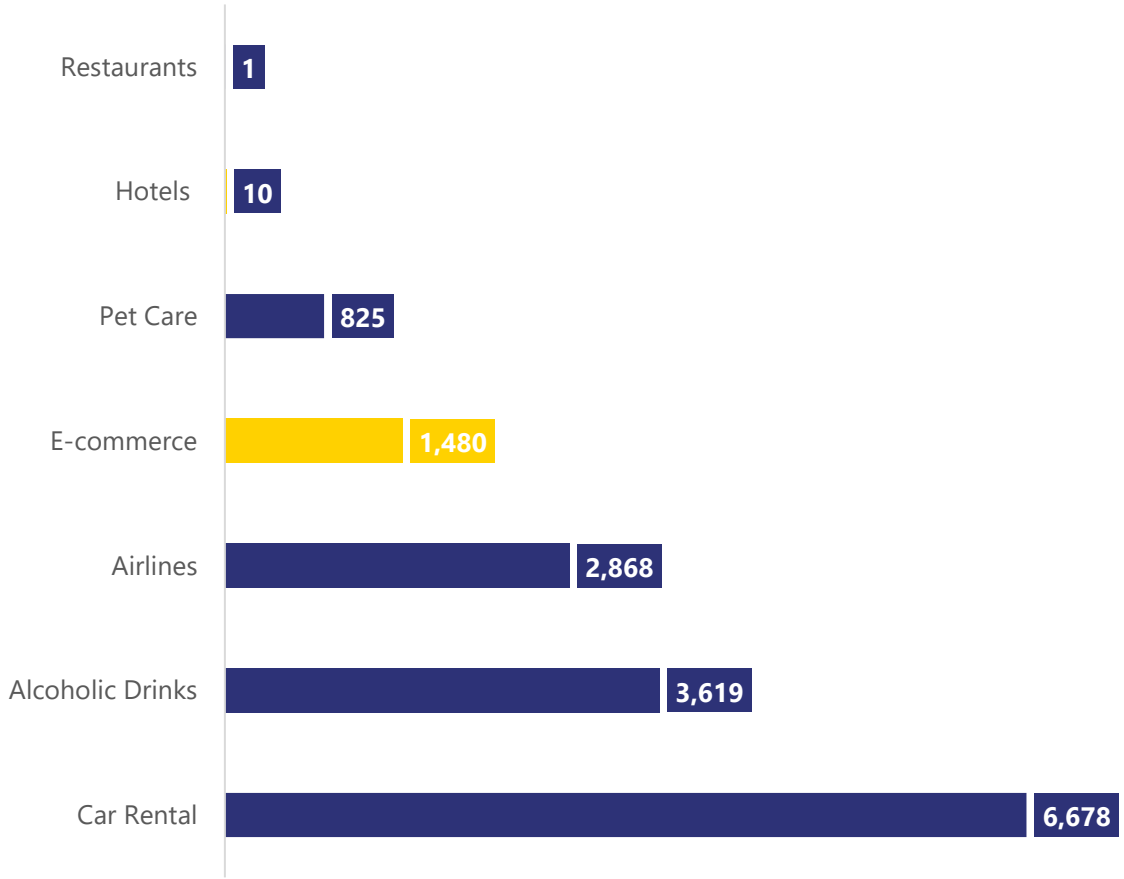
*Measuring industry concentration*

Retail e-comerce can be considered a **high fragmented market**, being the case for **competitive industries**. However, we see that Meli's stands at the top with a **great margin of safety** when compared to the second leader

*2023 Retail E-commerce market share Brazil (%)*




*HHI Index for different industries*




$$\text{HHI} = \sum_{i=1}^{n} Share_i{}^2$$

→ Share used in p.p

Metric to assess industry fragmentation. A 1480 HHI is considered to be the case for competitive and fragmented industries



Sources: Euromonitor, RHB Capital

# Mercado Libre x Chinese Marketplaces

Mercado Libre and Chinese marketplaces **differ both in terms of target audiences** and in relation to the **risks** involved in the operation

## *Average Selling Price*

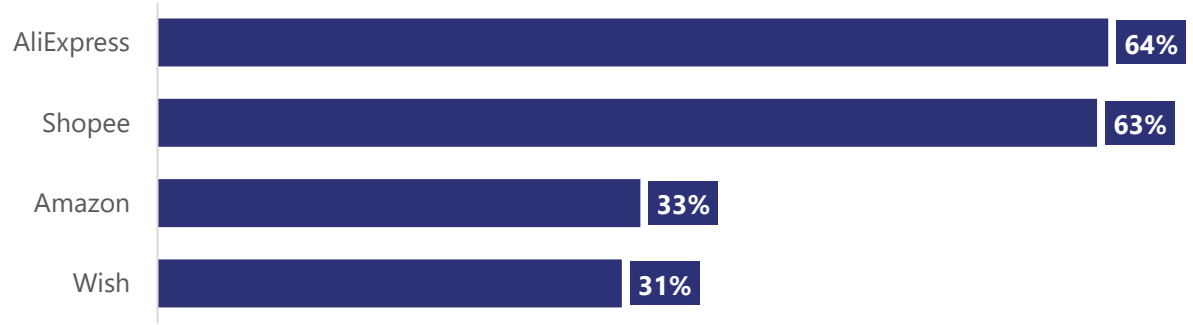
**USD 9.6**

**USD 31.9**

Lower average selling price limits GMV gains

## *Cross-border in Brazil*

*Top sites where Brazilians most purchase products from abroad (2021)*




**Andre Chaves**

*SVP & Country Head Mercado Pago Brazil*



"This model is less competitive (cross-border in Brazil)... as taxation increases, we believe this model will become even less relevant

*Kinea em Ação – Ed. 006 – Mercado Livre (YouTube: Kinea Investimentos)*

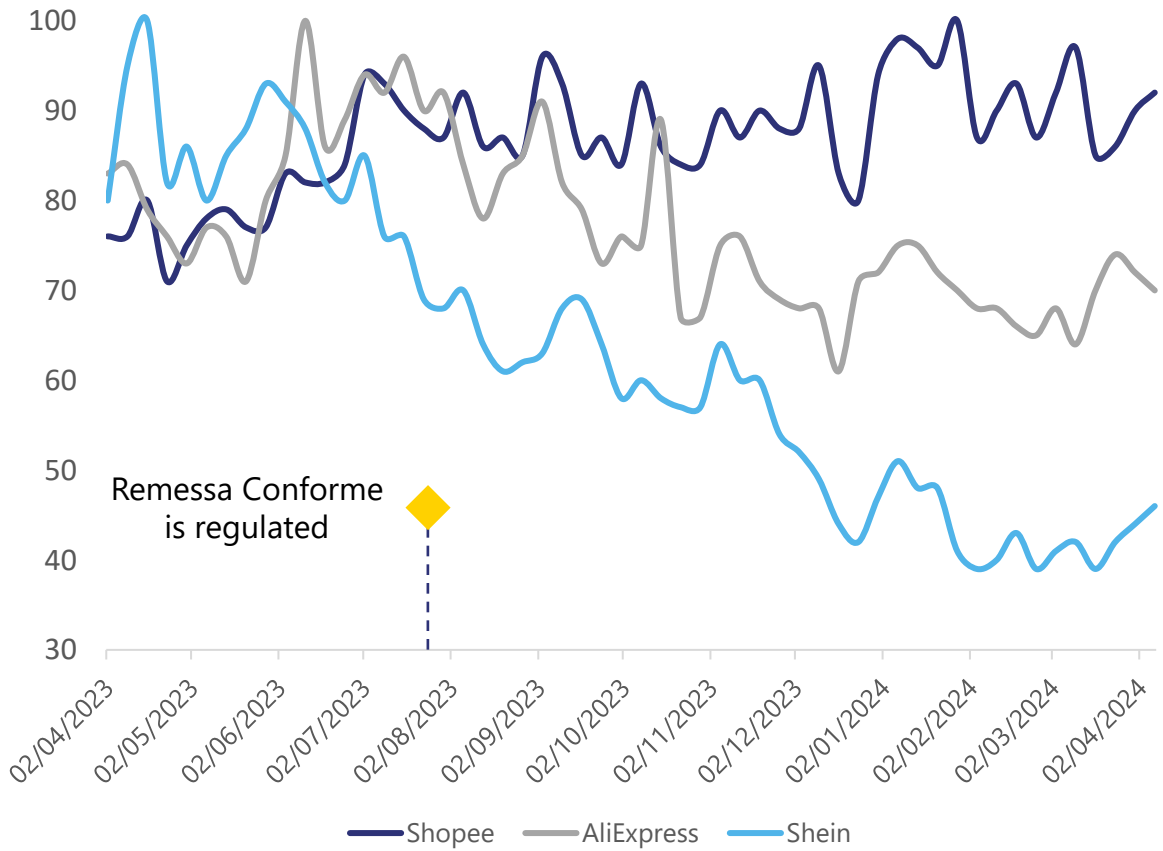
Sources: Companies, RHB Capital, Conversion (2021)

# Remessa Conforme Program

*How does it affect Meli?*

A Google Trends analysis show that major chinese e-commerce players **had a huge drop in interest after Remessa Conforme**. A return of **previous tax patterns** would probably **revert this trend**, but it would **not change our view regarding Meli's competitive positioning.**

*Google Trends interest over time (100 points means peak interest)*




**Remessa Conforme rules:**

- Products under 50 USD, including delivery fees, are taxed a ICMS of 17%
- Products above 50 USD, besides ICMS, are taxed by 60% (import tax)
- Brazilian federations want a ICMS of 25% for 2025 due to the lack of competitiveness with Chinese products' prices

**All major e-commerce players, such as Mercado Libre, Amazon, Shopee, AliExpress and Shein, have joined the Remessa Conforme program. While we think that it serves as another added barrier to Meli's moats, we understand that, even if the program were to be discontinued, no major impact to Meli's performance would occur, due to the company's competitive advantages and different purchasing behaviours.**

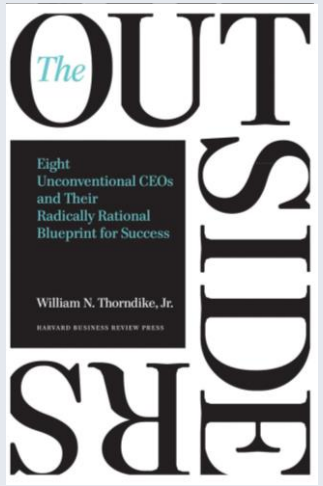
Sources: Google Trends, IstoÉ, RHB Capital

# First Thesis and ESG

# Buffett $1 Test

*Measuring capital allocation perfection*

**Proper capital allocation** is crucial for business development, ensuring **long-term growth and shareholder return.** To measure this key feature, we used the **Buffett Test** for the last ten years.




William N. Thorndike, Jr
**The Outsiders**

*"Simple test of capital allocation introduced by Warren Buffet:* ***has the CEO created at least a dolar of value for every dollar of retained earnings over his tenure?***

*"Buffet's metric captures in* ***a single number*** *the collective wisdom and folly of* ***decision-making over the course of an entire career"***

The Buffet $1 Test – comparing cumulative Warren Buffet ratio

| | Mercado Libre | Amazon | Magalu | Alibaba | Casas Bahia |
|---|---|---|---|---|---|
| **Test years** | | | | | |
| *Start* | 2014 | 2014 | 2014 | 2014 | 2014 |
| *End* | 2023 | 2023 | 2023 | 2023 | 2023 |
| **Cummulative Buffet ratio** | **46.9x** | **10.7x** | **14.2x** | **-0.24x** | **-0.02x** |

**We see Meli's management unparalled capital allocation when compared to main peers**

Sources: The Outsiders, RHB Capital, Factset

# Board of Directors

*Close look*

Meli's BoD combines **highly experienced** individuals with **young minds** that went to **top schools** with each one bringing **something unique to the table** regarding work experience and formal education.

*Schools:*




**Marcos Galperin:**
- Founder and CEO of Mercado Libre
- Bachelors in Economics, Finance at Wharton; MBA at Stanford

**Andrea Mayumi:**
- BoD member since 2022
- Bachelors in Business Administration at FGV EAESP.

**Nicolás Galperin:**
- BoD member since 1999
- Bachelors in Finance at Wharton.



Sources: Company, LinkedIn

# Board of Directors

*Close look*

Meli's BoD combines **highly experienced** individuals with **young minds** that went to **top schools** with each one bringing **something unique to the table** regarding work experience and formal education.

*Schools:*




- **Nicolas Aguzin:**
  - BoD member since 2017
  - Bachelors in Economics at Wharton
- **Emiliano Calemzuk:**
  - BoD member since 2007
  - Bachelors in Communication and Media Studies at UPenn
- **Henrique Dubugras:**
  - BoD member since 2021
  - Bachelors in Computer Science at Standford



Sources: Company, LinkedIn

# Board of Directors

*Close look*

Meli's BoD combines **highly experienced** individuals with **young minds** that went to **top schools** with each one bringing **something unique to the table** regarding work experience and formal education.

*Schools:*




**Mario Vázquez:**
- BoD member since 2008.
- Bachelors in Accounting at University of Buenos Aires.

**Susan Segal:**
- BoD member since 2012
- CEO of the Americas Society

**Richard Sanders:**
- BoD member since 2022; BoD member at Allegro
- MA Literae Humaniores at Oxford; MBA at Stanford.



Sources: Company, LinkedIn

# Board of Directors

*Close look*

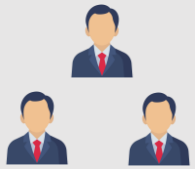
Meli's BoD combines **highly experienced** individuals with **young minds** that went to **top schools** with each one bringing **something unique to the table** regarding work experience and formal education.

## Board of Directors

Independent Board Members



Nominating and Corporate Finance



Executive Directors

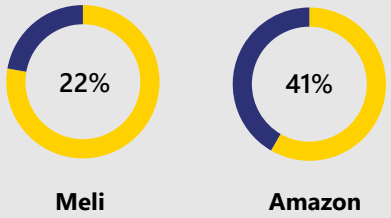


Audit Comitee



### Gender Participation

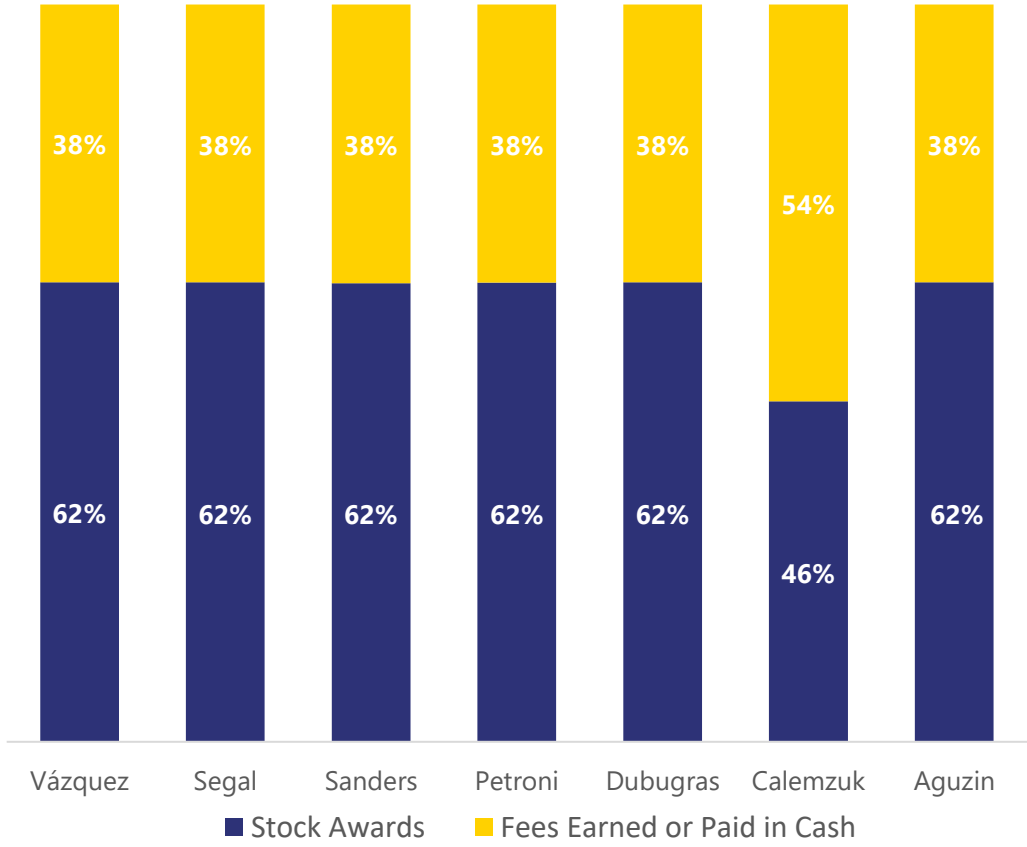
Woman in Board (%)




**Meli** **Amazon**

7 out of the 9 Board of Directors Members are independent

*Board Compensation (%)*





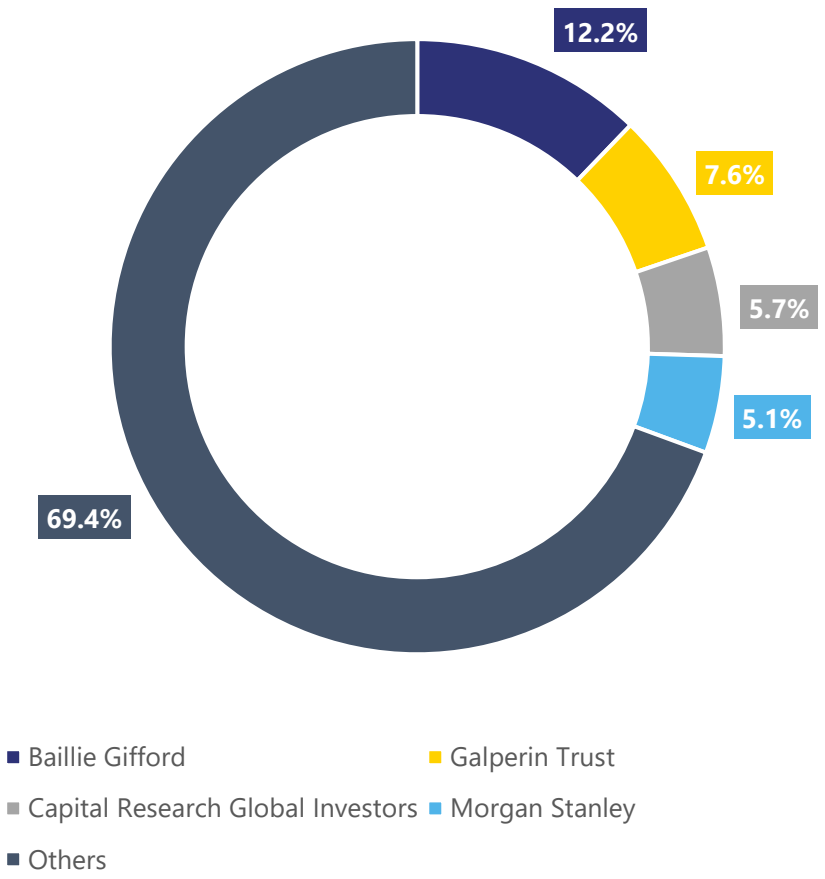

Sources: Company

# Ownership structure

*Who owns the company?*

Aside from being an **owned and operated** company by its **founder**, Meli's shareholder structure is highly **diluted** with all executives having **share participation.**

*Ownership structure (%)*




"**Owner operators** are the **ideal managers** to partner with in a business. An owner operator is a manager who has **genuine passion** for their particular business and is typically the **founder** of that business."




**Shareholder structure is diluted with only 4 stakeholders with more than 5% of the company.**

**All of Meli's executive leaders and board members have stocks, showing their alignment with LT performance!**

Sources: Company, The Investment Checklist

# Management

*Who is running the company?*

Meli's extraordinary leadership have the **longevity, experience and compensation structure** needed to **excel** at driving the company forward.

**23y** — Wharton

**28y** — Meli is born

**36y** — IPO

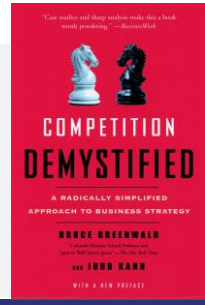


Marcos Galperín (CEO)

| Martin de Los Santos (CFO) | Daniel Rabinovich (COO) | Ariel Szarfsztejn (VP Commerce) | Osvaldo Giménez (Fintech President) | Marcelo Melamud (SVP and CAO) | Juan Martín de la Serna (VP Corporate Affairs) |
|---|---|---|---|---|---|
| **16 years** | **24 years** | **7 years** | **24 years** | **16 years** | **25 years** |

- Management executives have a high tenure with Meli (mean = 19.5 years)
- All of them have previous experience in other positions within Mercado Libre before their current appointment
- Right incentives: **variable remuneration based on performance**, focusing on **Revenue, EBIT, TPV and NPS**

"The rewards from **superior management** can be comparable to those arising from **structural competitive advantages.** Well-managed companies have been able to **outperform their peers over long periods of time.**"



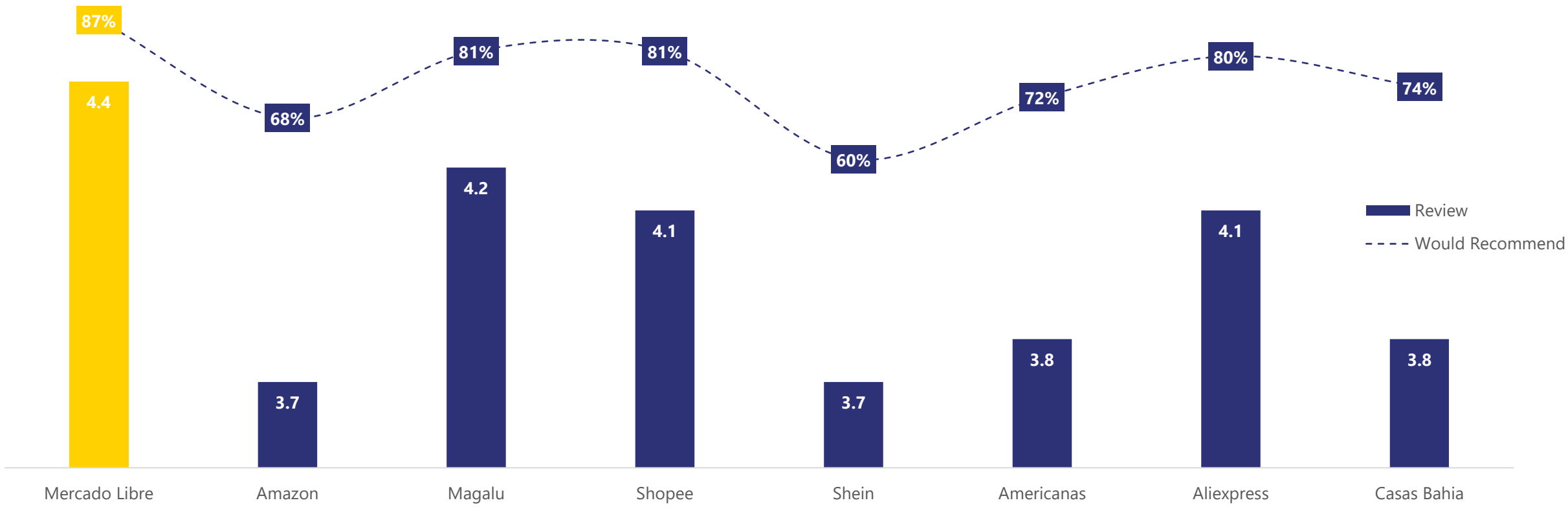

Sources: Company, RHB Capital, Competition Demystified

# Worker satisfaction

*Are Meli's employees satisfied with their routine?*

Mercado Libre stand at the **top position** regarding reviews average and reccomendation, being **in line** with what the **employees that we interviewed** said about the **company working experience.**

*Review of your working experience and would you recommend it to a friend?*



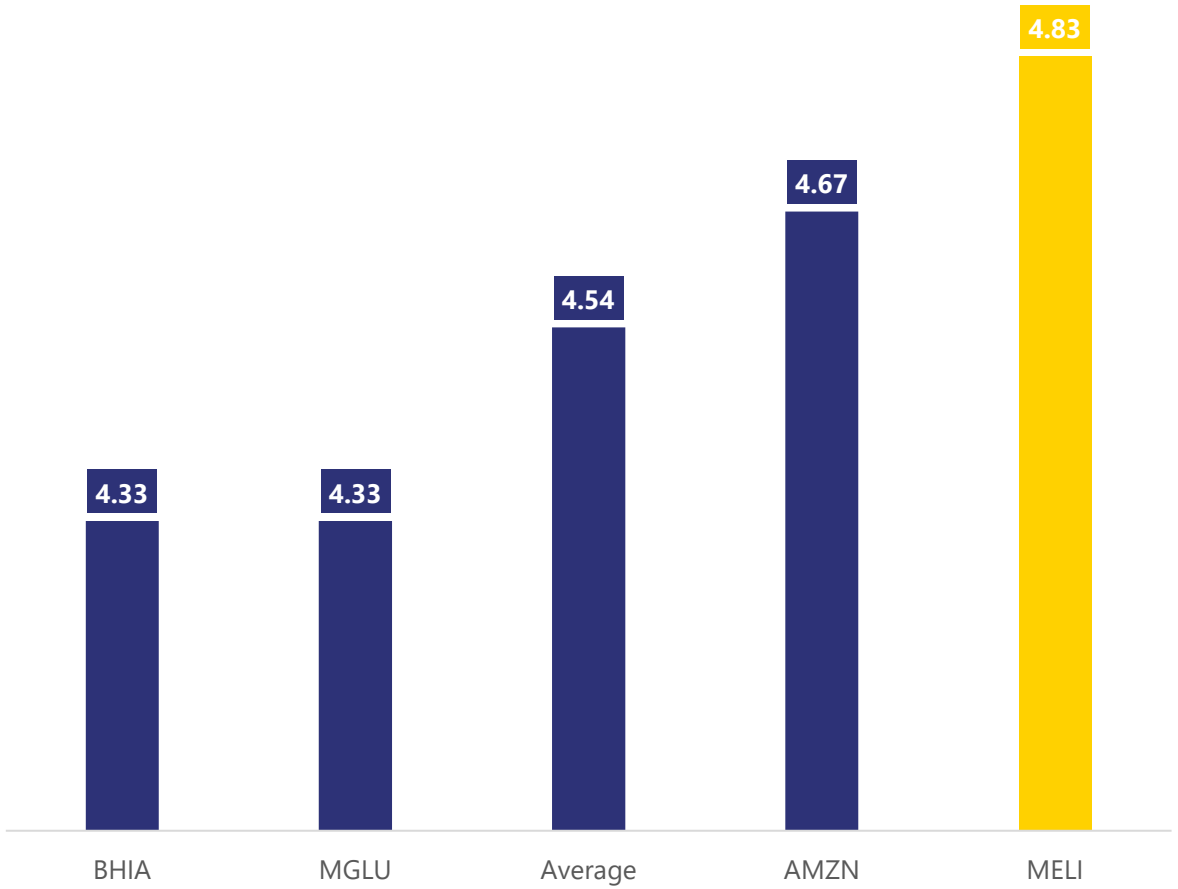

Sources: Glassdoor

# ESG Index I

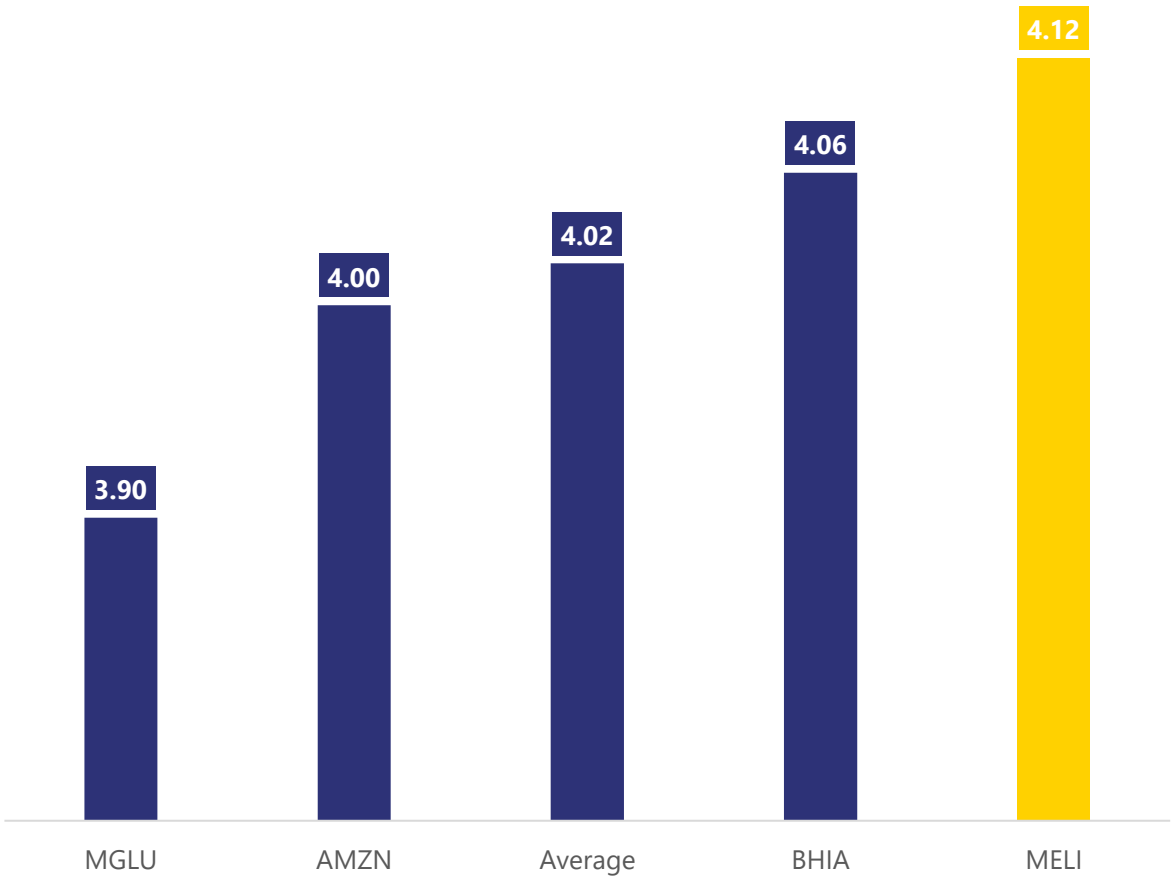
## *Environmental and Social*

With the expansion of its services, Meli has managed to maintain sustainable practices while maximizing their efficiency. Besides that, the inclusion measures from the company are extremely well seen by our group.

*E Score*




*S Score*



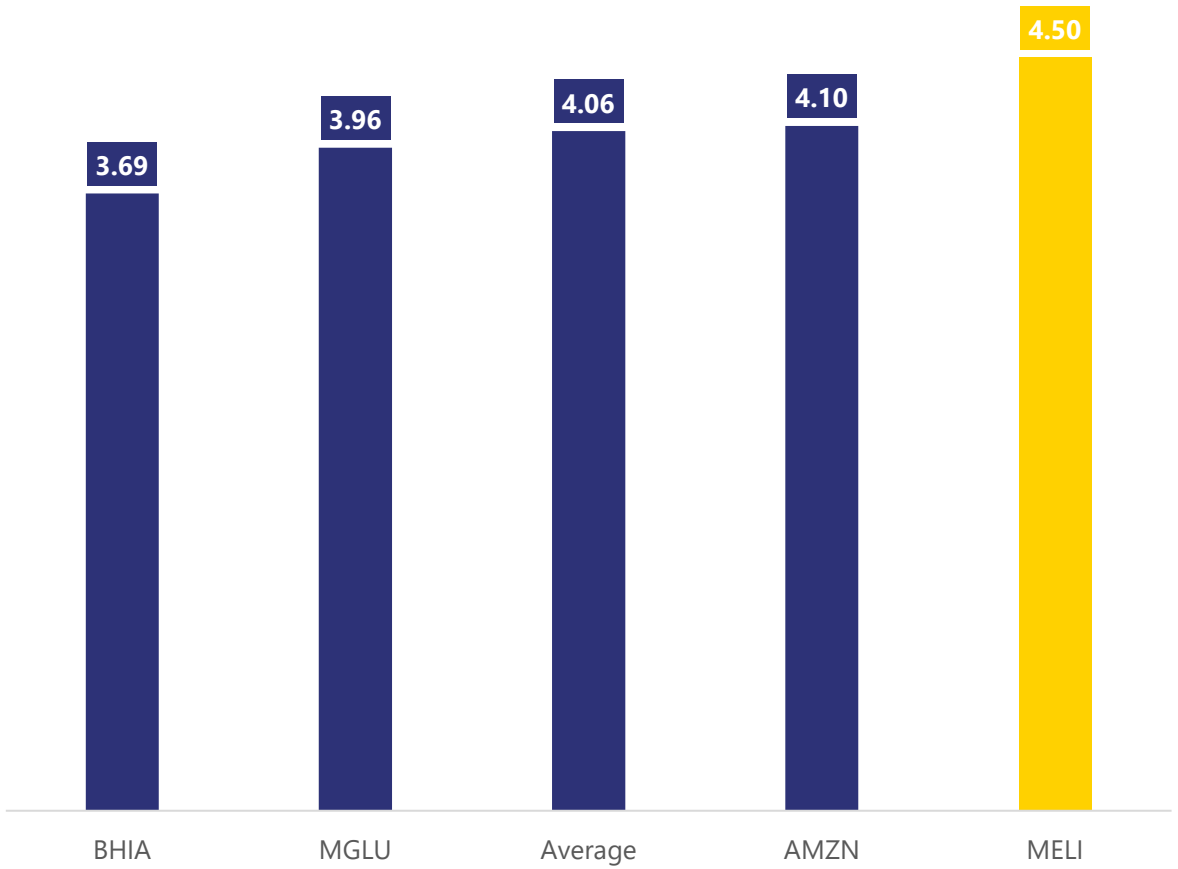

Sources: RHB Capital

# ESG Index II

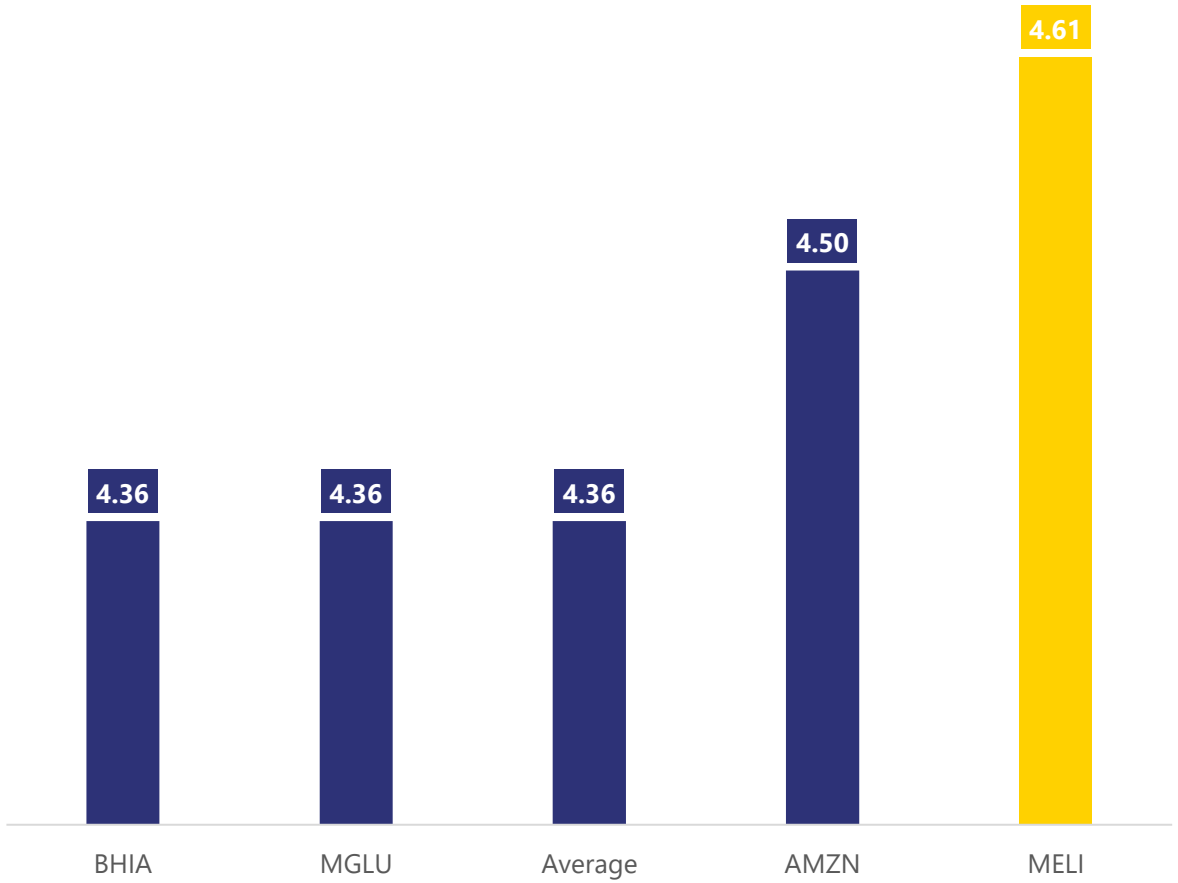
## *Governance and Future Commitment*

The Governance has already proven to be extremely competent. It passes through most of our criteria to analyze the G Score. With that being said, we see huge potential for the future given the company's commitment to long term initiatives.

*G Score*




*FC Score*




Sources: RHB Capital

# ESG Index III

## *Index Rationale*

| | Question/Feature | MELI | AMZN | MGLU | BHIA | Average |
|---|---|---|---|---|---|---|
| | **Governance** | | | | | |
| G1 | Board Composition: is there at least 20% of women, ii) 1/3 of independent members or any ESG specialist in the board? | 5 | 5 | 5 | 3 | 4.5 |
| G2 | Does the company have any corruption-related scandals recorded in the past? Have they done anything to change that? | 5 | 4 | 2 | 3.5 | 3.625 |
| G3 | The company is transparent with your shareholders | 3.5 | 3 | 5 | 5 | 4.125 |
| G4 | Does the company have strong and clear value propositions? Are they innovation-led? | 5 | 5 | 4 | 3.5 | 4.375 |
| G5 | Score of the company in sites, such as Glassdoor | 4.02 | 3.48 | 3.82 | 3.46 | 3.70 |
| **G Score** | | **4.50** | **4.10** | **3.96** | **3.69** | **4.06** |
| | **Environmental** | | | | | |
| E1 | Does the company have a well-defined environmental responsibility policy, with relevant purposes? | 5 | 5 | 5 | 5 | 5 |
| E2 | Is the company a signatory to pacts with major global institutions? And sectoral? Does it associate environmental responsibility with the products and services offered? | 5 | 5 | 5 | 5 | 5 |
| E3 | Is the company transparent about its practices? How are ESG disclosures? | 4 | 5 | 5 | 5 | 4.75 |
| E4 | Are there well-defined goals for the coming years? Are they ambitious? Have they been fullfilled historically? | 5 | 5 | 5 | 5 | 5 |
| E5 | Is there a clear waste management policy? Has it evolved in this aspect? | 5 | 4 | 3 | 3 | 3.75 |
| E6 | Does the company have one specific goal for water? | 5 | 4 | 3 | 3 | 3.75 |
| **E Score** | | **4.83** | **4.67** | **4.33** | **4.33** | **4.54** |

Sources: RHB Capital

# ESG Index IV

*Index Rationale*

| | Question/Feature | MELI | AMZN | MGLU | BHIA | Average |
|---|---|---|---|---|---|---|
| | **Social** | | | | | |
| S1 | Customer Focused Culture (Reclame Aqui) | 3.75 | 4.2 | 4.1 | 4 | 4.0125 |
| S2 | Initiatives to promote diversity in the company (proprietary research) | 4.5 | 3.5 | 3 | 4.5 | 3.875 |
| S3 | Participation of women in leadership positions in the company (proprietary research) | 3 | 4 | 3.75 | 4 | 3.6875 |
| S4 | Employees perception of the company (Glassdoor) | 4.04 | 3.48 | 3.82 | 3.46 | 3.7 |
| S5 | Talent Attraction: Career Opportunities and Remuneration (Glassdoor) | 4.4 | 3.8 | 3.7 | 3.4 | 3.825 |
| S6 | Does the company seek to make donations or investments in projects focused on the community? | 5 | 5 | 5 | 5 | 5 |
| **S Score** | | **4.12** | **4.00** | **3.90** | **4.06** | **4.02** |
| | **Future Commitment** | | | | | |
| FC1 | Management Awareness | 5 | 5 | 5 | 5 | 5 |
| FC2 | Clear Goals | 5 | 5 | 5 | 4.5 | 4.875 |
| FC3 | Evolution | 5 | 5 | 4.5 | 4.5 | 4.75 |
| **FC Score** | | **5** | **5** | **4.83** | **4.67** | **4.875** |
| | **ESG Score** | **4.61** | **4.50** | **4.36** | **4.36** | **4.46** |



Sources: RHB Capital

# Digging deeper I

*Analysis of Meli's ESG*

| Environmental | Score | |
|---|---|---|
| Does the company have a well-defined environmental responsibility policy, with relevant purposes? | 5 | Meli leaves it crystal clear which are its sustainability policies that are being applied in their operations. They aim to minimize whichever impact that the company would make with the expansion of its operations. The company participates in various projects in order to ensure sustainable practices |
| Is the company a signatory to pacts with major global institutions? And sectoral? Does it associate environmental responsibility with the products and services offered? | 5 | Yes, such examples are TCFD and CDP, which are companies that aim to standardize ESG disclorue reports in order to spread the information about companies that are actually following the rules. |
| Is the company transparent about its practices? How are ESG disclosures? | 4 | Meli publishes a transparency report each year following the SASB, GRI and IR standards. However, some of the data could be a little more specific |
| Are there well-defined goals for the coming years? Are they ambitious? Have they been fullfilled historically? | 4 | The company always provides guidances about which specific measures they are directioning their efforts to, be it social, governmental or environmental. |
| Is there a clear waste management policy? Has it evolved in this aspect? | 5 | Yes, Meli has been bettering all of their sustainable systems in order to follow the standards and decrease their environmental impact. |
| Does the company have one specific goal for water? | 5 | Meli follows the UN Sustainable development goals. |
| **E Score** | **4.67** | |



Sources: RHB Capital

# Digging deeper II

*Analysis of Meli's ESG*

| Social | Score | |
|---|---|---|
| Customer Focused Culture | 3.75 | Meli has been developing its ecosystem exponentially in the latest years. With that being said, the customer experience has not been able to follow those trends, which justifies the score |
| Initiatives to promote diversity | 4.5 | There is a huge participation of minorities in the company's operation, which shows its compromise to follow the current trends of ESG. |
| Participation of women in leadership | 3.5 | However, there are few women in actual leadership positions, which externalizes its need to try and have more women in the decision-making positions. |
| Employees perception of the company | 4.02 | Meli has developed a great work environment, being able to bring the employees into a common objective, which is reflected by the results that the company has been delivering. |
| Talent Attraction: Career Opportunities and Remuneration (Glassdoor) | 4.4 | In a meritocratic environment, Meli has great opportunities to rise in the carrer, that come with great benefits for those that excel. |
| Does the company seek to make donations or investments in projects focused on the community? | 5 | There are several examples of investments and donations that the company has been making in order to develop ther ESG practices. |
| **S Score** | **4.20** | |



Sources: RHB Capital

# Digging deeper III

*Analysis of Meli's ESG*

| Governance | Score | |
|---|---|---|
| Board Composition: is there at least 20% of women, ii) 1/3 of independent members or any ESG specialist in the board? | 5 | The company presents 22.5% of women in the board and 77.5% of indepenent members. However, there is no ESG specialist. With that being said, we believe the company's leadership, whilst not having specific certifications on ESG, is perfectly capable of dealing with this situations. |
| Does the company have any corruption-related scandals recorded in the past? Have they done anything to change that? | 5 | No corruption scandals related to the company's management. |
| The company is transparent with your shareholders | 3.5 | Specially for financial specialists, there is a lack of informations related to the company's operational indicators. |
| Does the company have strong and clear value propositions? Are they innovation-led? | 5 | Undoubtfully Meli is a company that has strong and clear value propositions, always aiming to innovate to make their ecosystem even more integrated. |
| Score of the company in sites, such as Glassdoor | 4.02 | |
| **G Score** | **4.504** | |



Sources: RHB Capital

# SECOND THESIS

# Reaching more places in less time

With Meli Air and Meli Places, Mercado Libre is **reaching more places in less time**



**Mayara Andrade**
*MELI Process Improvement Team Leader*

> One of Mercado Livre's goals is to **democratize commerce**, particularly in logistics, always aiming to **reach regions that are still challenging to integrate** throughout Latin America

### *MELI PLACES*

- Meli Places complement the logistics system, allowing third-party properties to contribute and expedite the delivery process
- Meli Places **has over 10,000 partner locations**



### *MELI AIR*

- Mercado Libre has counts on dedicated aircrafts in a partnership with a third party airline
- Focus on reaching remote regions from distribution centers (DCs)



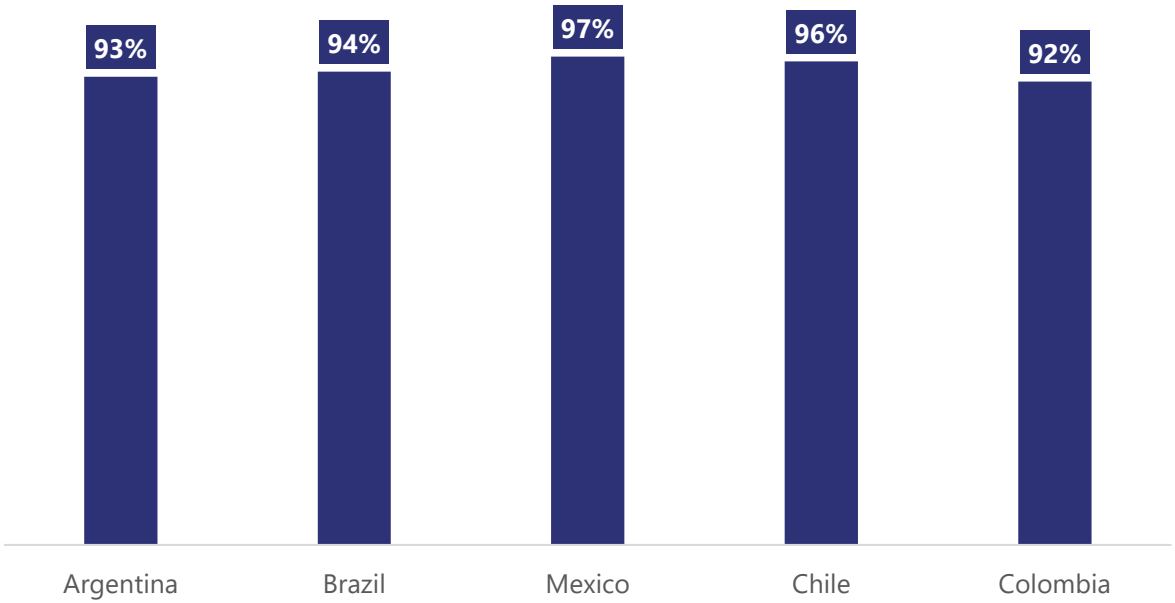



Sources: Company, RHB Capital

# Managed Network

## Meli is increasing the penetration of its managed network

*Managed Network Penetration (%)*




*Managed Network includes: Fulfillment, Cross Docking & Flex*

***Fulfillment represents almost 50% of all shipments (~7% improvement YoY)***

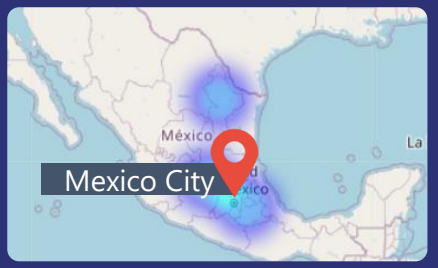
**Fernando Yunes**

*SVP and Country Lead Mercado Livre Brasil*



"The **focus is on reducing delivery times**... Throughout the year (2024), we will have **two more logistics announcements**"




*MELI Distribution Centers Heatmap*

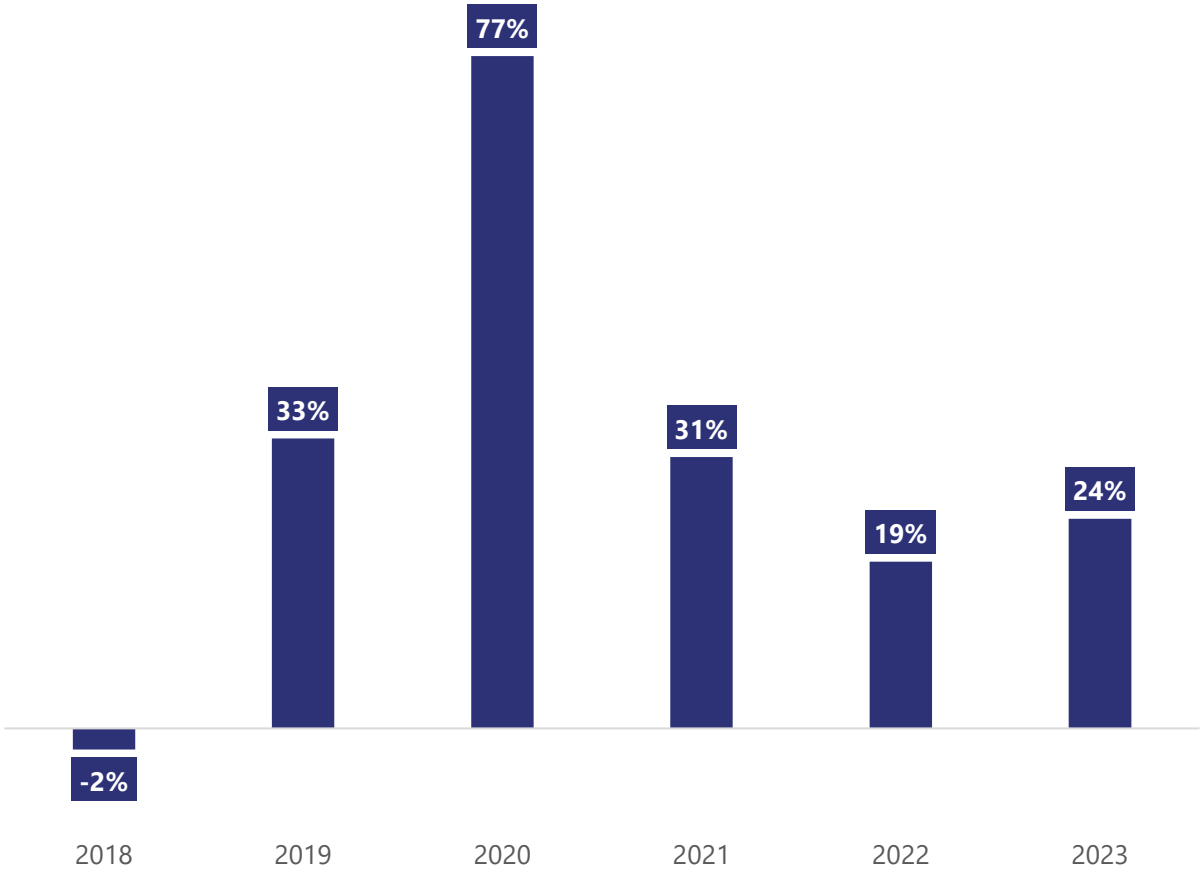
Sources: Company, RHB Capital

# First Party or Growth Party?

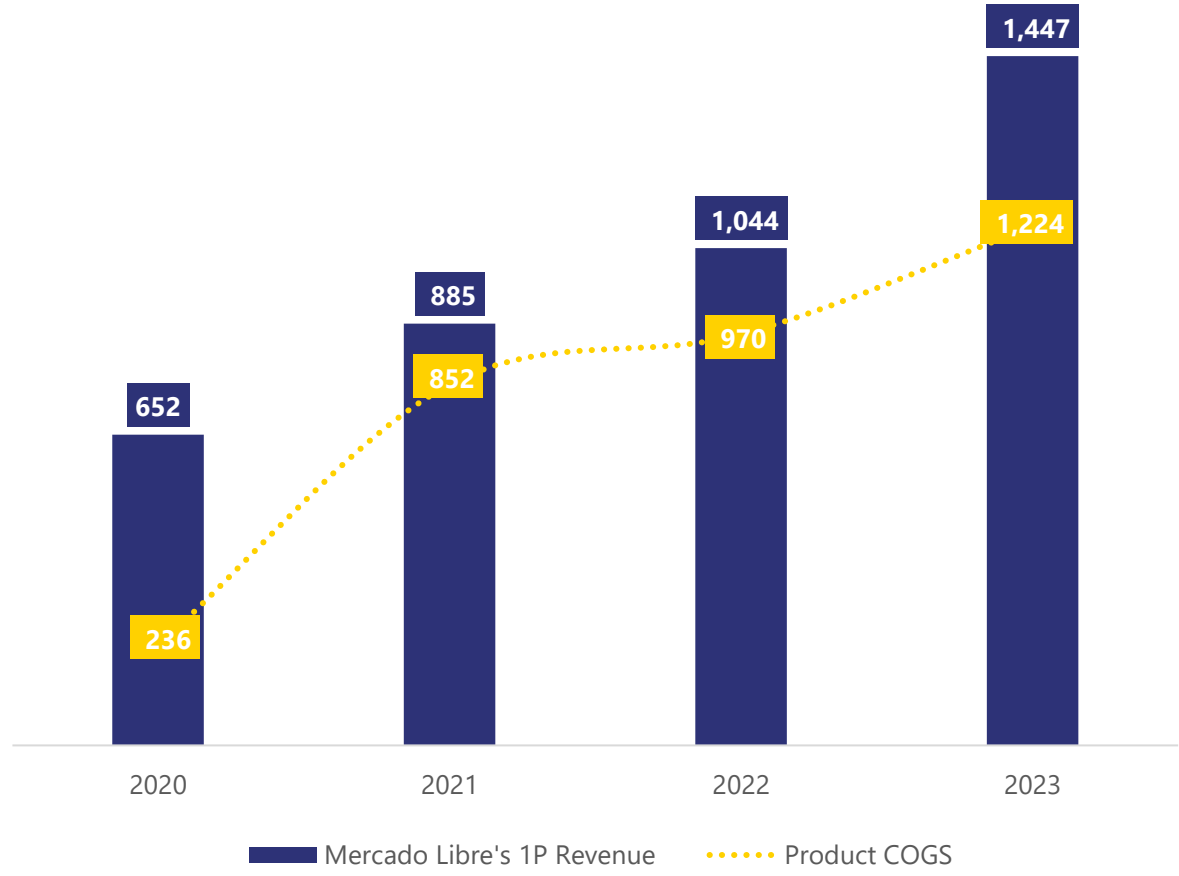
*Understanding 1P's addressable market*

Mercado Libre has **initiated** a **strategic transition** towards the **first-party (1P)** marketplace model. This shift in approach has already yielded **positive results**, demonstrating a **noteworthy growth** in revenue within the **1P segment**.

*Retail E-commerce 1P Revenue growth in LatAm (%)*



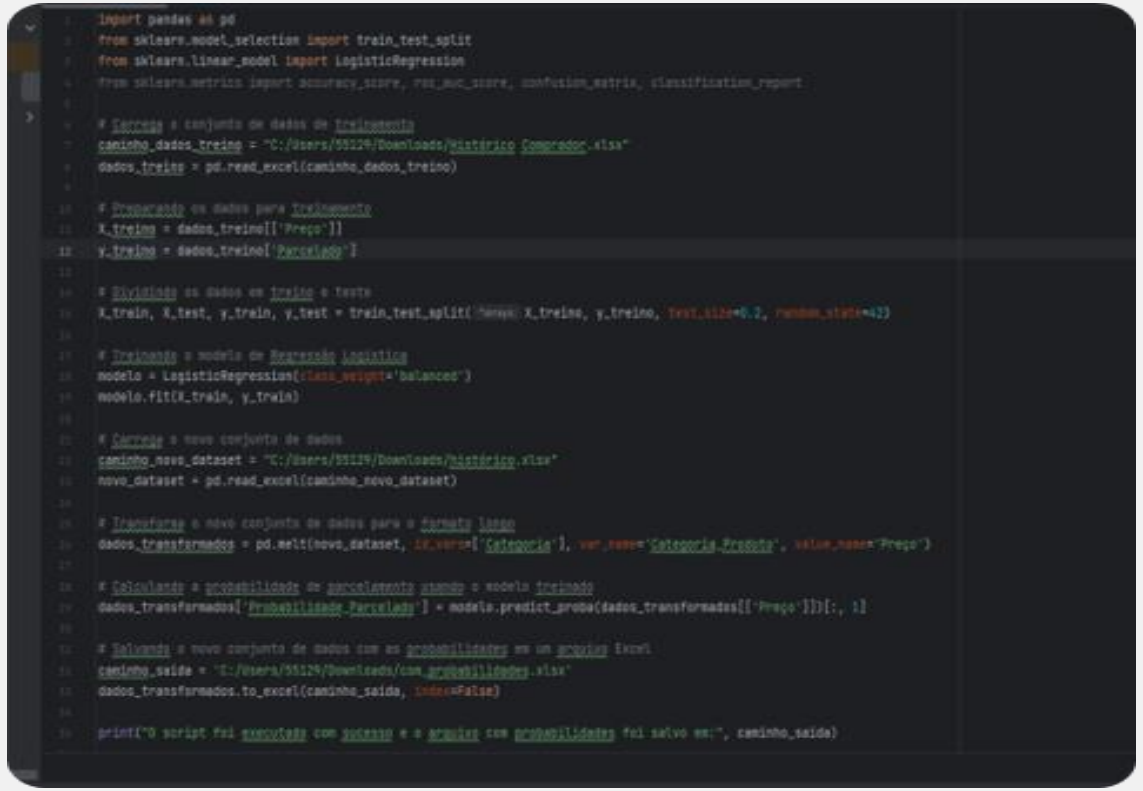

*Mercado Libre's 1P Revenue (USD mn) x Product COGS (USD mn)*




Sources: Company, Euromonitor

# Credit Book Estimation

*The beginning of the act*



```python
import pandas as pd
from sklearn.model_selection import train_test_split
from sklearn.linear_model import LogisticRegression
from sklearn.metrics import accuracy_score, roc_auc_score, confusion_matrix, classification_report

# Carrega o conjunto de dados de treinamento
caminho_dados_treino = "C:/Users/55129/Downloads/Histórico Comprador.xlsx"
dados_treino = pd.read_excel(caminho_dados_treino)

# Preparando os dados para treinamento
X_treino = dados_treino[['Preço']]
y_treino = dados_treino['Parcelado']

# Dividindo os dados em treino e teste
X_train, X_test, y_train, y_test = train_test_split(X_treino, y_treino, test_size=0.2, random_state=42)

# Treinando o modelo de Regressão Logística
modelo = LogisticRegression(class_weight='balanced')
modelo.fit(X_train, y_train)

# Carrega o novo conjunto de dados
caminho_novo_dataset = "C:/Users/55129/Downloads/Histórico.xlsx"
novo_dataset = pd.read_excel(caminho_novo_dataset)

# Transforma o novo conjunto de dados para o formato longo
dados_transformados = pd.melt(novo_dataset, id_vars=['Categoria'], var_name='Categoria_Produto', value_name='Preço')

# Calculando a probabilidade de parcelamento usando o modelo treinado
dados_transformados['Probabilidade_Parcelado'] = modelo.predict_proba(dados_transformados[['Preço']])[:, 1]

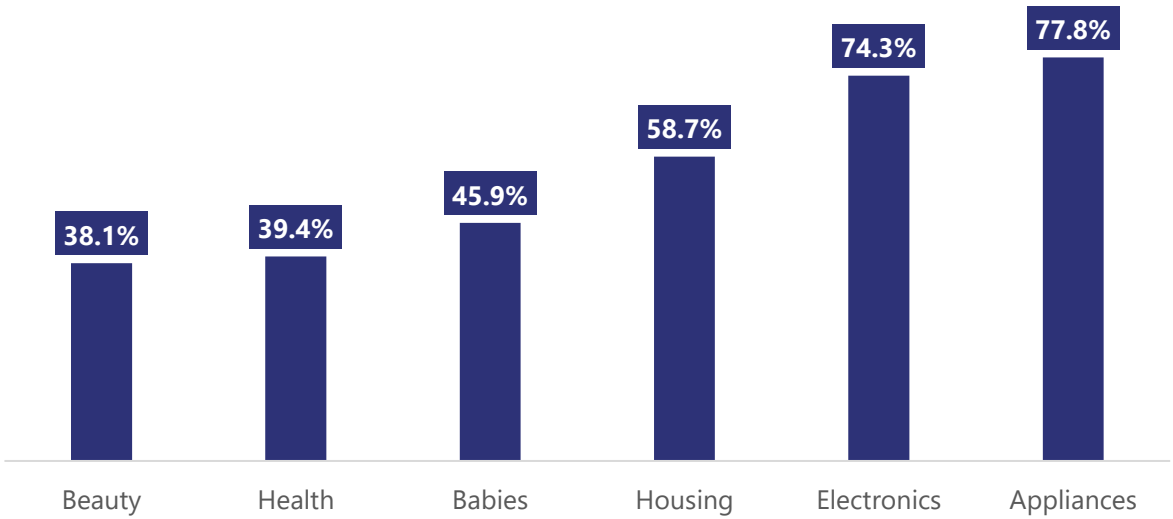
# Salvando o novo conjunto de dados com as probabilidades em um arquivo Excel
caminho_saida = 'C:/Users/55129/Downloads/com_probabilidades.xlsx'
dados_transformados.to_excel(caminho_saida, index=False)

print("O script foi executado com sucesso e o arquivo com probabilidades foi salvo em:", caminho_saida)
```

***Consumer History Analysis***

- *Leveraged consumer data history to better understand their behavior regarding installment payments.*
- *Priced the probability of using installment payments for each price level and applied it to the actual categories and products.*

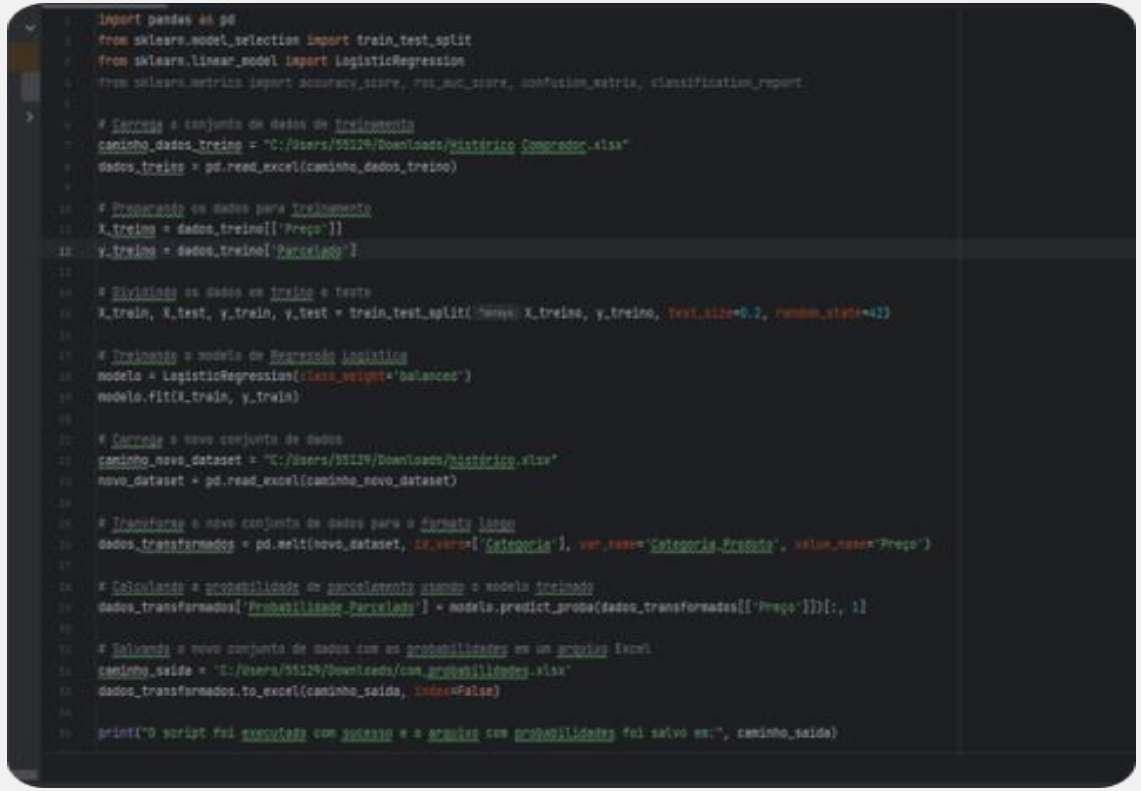
*Estimated probability of installments usage*




Sources: RHB Capital

# Credit Book Estimation

*1P's impact on GMV*



```python
import pandas as pd
from sklearn.model_selection import train_test_split
from sklearn.linear_model import LogisticRegression
from sklearn.metrics import accuracy_score, roc_auc_score, confusion_matrix, classification_report

# Carrega o conjunto de dados de treinamento
caminho_dados_treino = "C:/Users/55129/Downloads/Histórico Comprador.xlsx"
dados_treino = pd.read_excel(caminho_dados_treino)

# Preparando os dados para treinamento
X_treino = dados_treino[['Preço']]
y_treino = dados_treino['Parcelado']

# Dividindo os dados em treino e teste
X_train, X_test, y_train, y_test = train_test_split(X_treino, y_treino, test_size=0.2, random_state=42)

# Treinando o modelo de Regressão Logística
modelo = LogisticRegression(class_weight='balanced')
modelo.fit(X_train, y_train)

# Carrega o novo conjunto de dados
caminho_novo_dataset = "C:/Users/55129/Downloads/Histórico.xlsx"
novo_dataset = pd.read_excel(caminho_novo_dataset)

# Transforma o novo conjunto de dados para o formato longo
dados_transformados = pd.melt(novo_dataset, id_vars=['Categoria'], var_name='Categoria_Produto', value_name='Preço')

# Calculando a probabilidade de parcelamento usando o modelo treinado
dados_transformados['Probabilidade_Parcelado'] = modelo.predict_proba(dados_transformados[['Preço']])[:, 1]

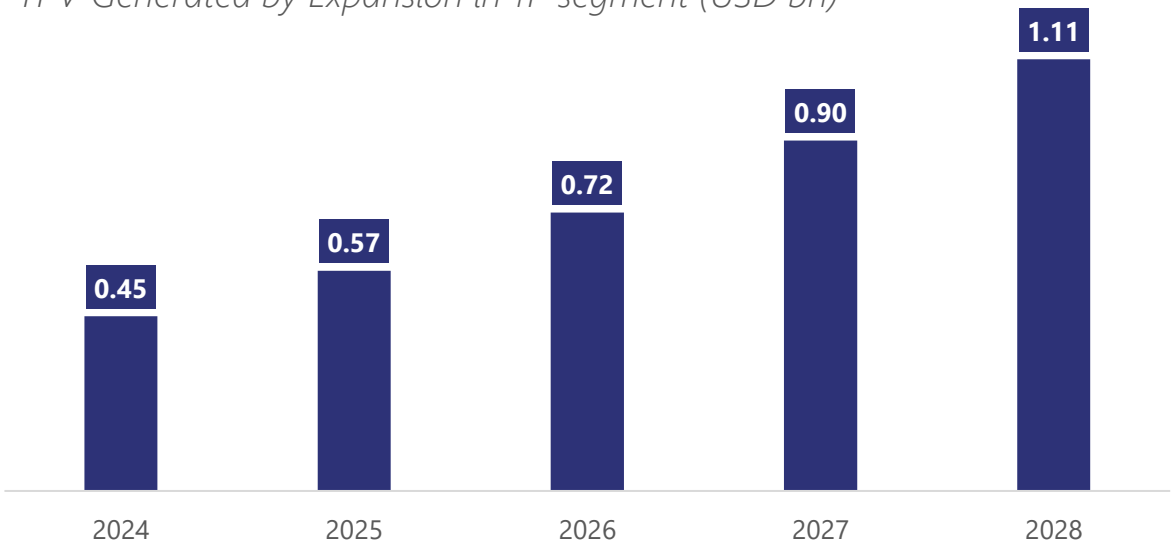
# Salvando o novo conjunto de dados com as probabilidades em um arquivo Excel
caminho_saida = 'C:/Users/55129/Downloads/com_probabilidades.xlsx'
dados_transformados.to_excel(caminho_saida, index=False)

print("O script foi executado com sucesso e o arquivo com probabilidades foi salvo em:", caminho_saida)
```

***Consumer History Analysis***

- *Leveraged consumer data history to better understand their behavior regarding installment payments.*
- *Priced the probability of using installment payments for each price level and applied it to the actual categories and products.*

*TPV Generated by Expansion in 1P segment (USD bn)*




Sources: RHB Capital

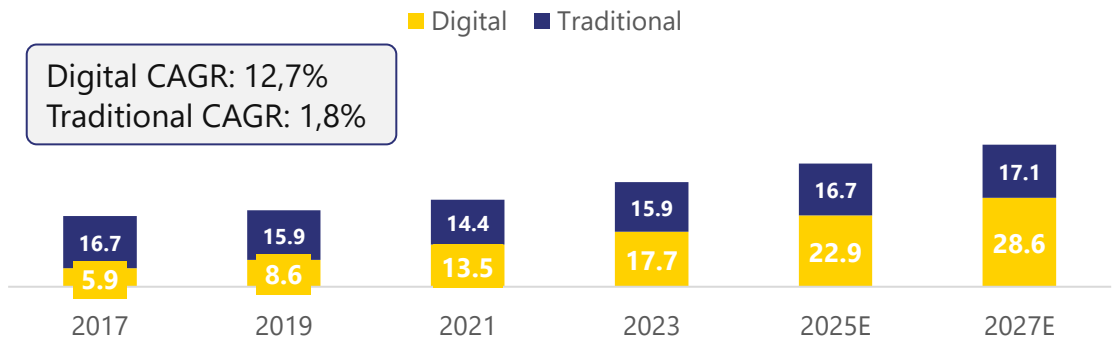
# THIRD THESIS

# Mercado Ads

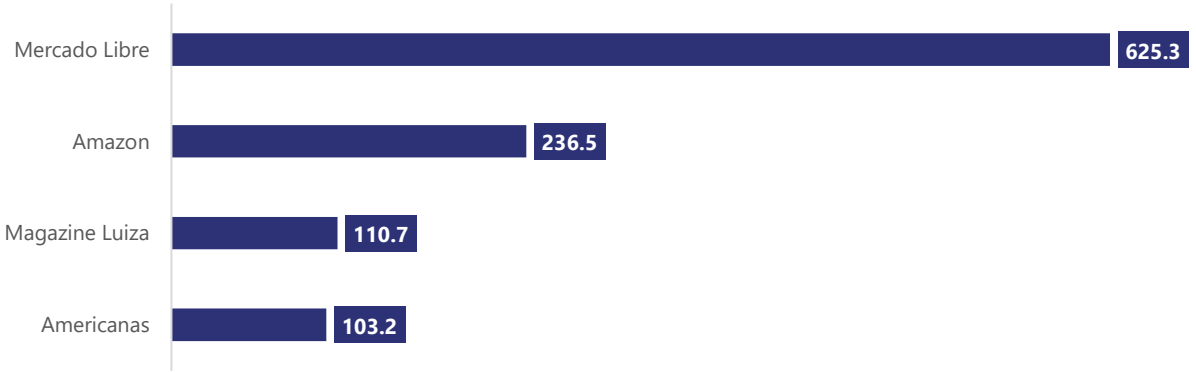
With a **growing demand for online advertisements**, we believe there is **significant room for market growth** in Latin America

| | amazon | mercado livre |
|---|---|---|
| **Ads Revenue / Total GMV** | **6,7%** | **1,6%** |

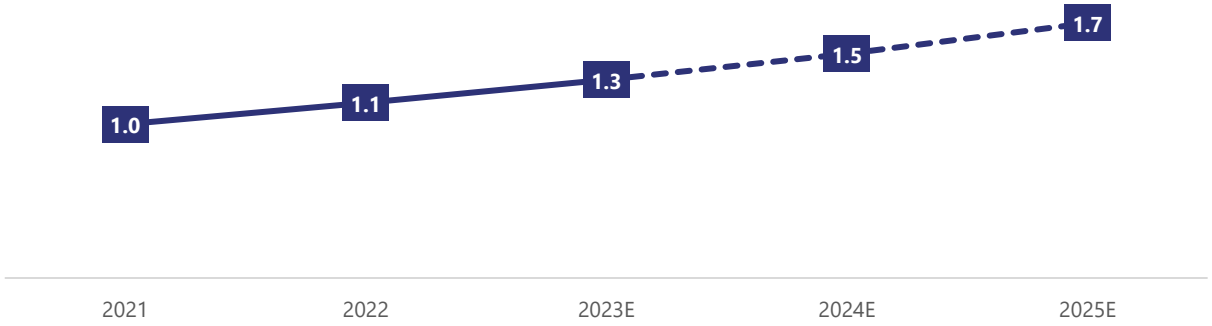
*Digital and traditional advertising spending in Latin America (in USD billion)*




*Digital retail media advertising revenue of e-commerce platforms in Latin America in 2023 (in USD million)*




*Digital retail media advertising revenues in Latin America (USD bn)*




Sources: Companies, Statitsta, Euromonitor, Marketplace Pulse, RHB Capital

# Amazon Advertising

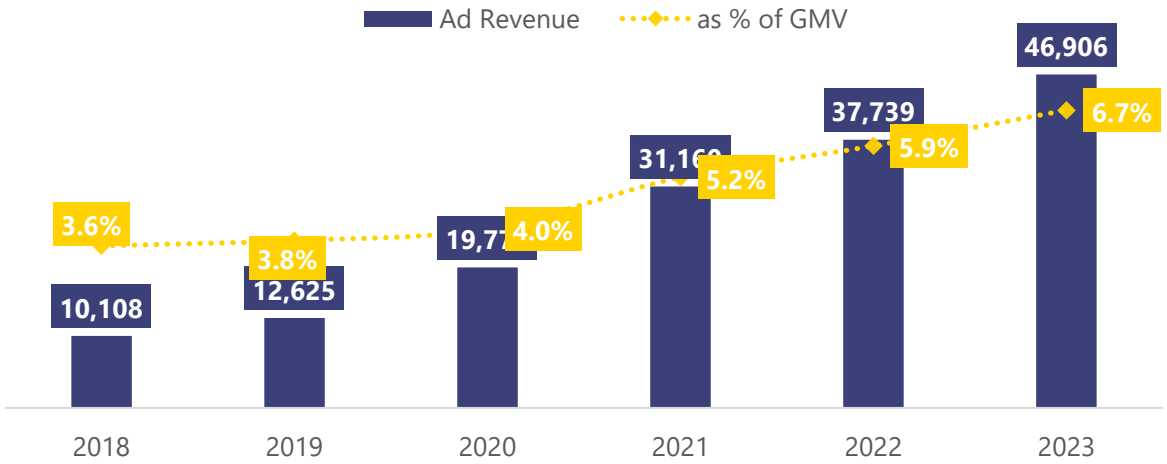
As happened with Amazon in the USA, we believe that **Retail Medias have great growth potential driven by the same reasons that benefited Amazon**

**Customer ready to buy**

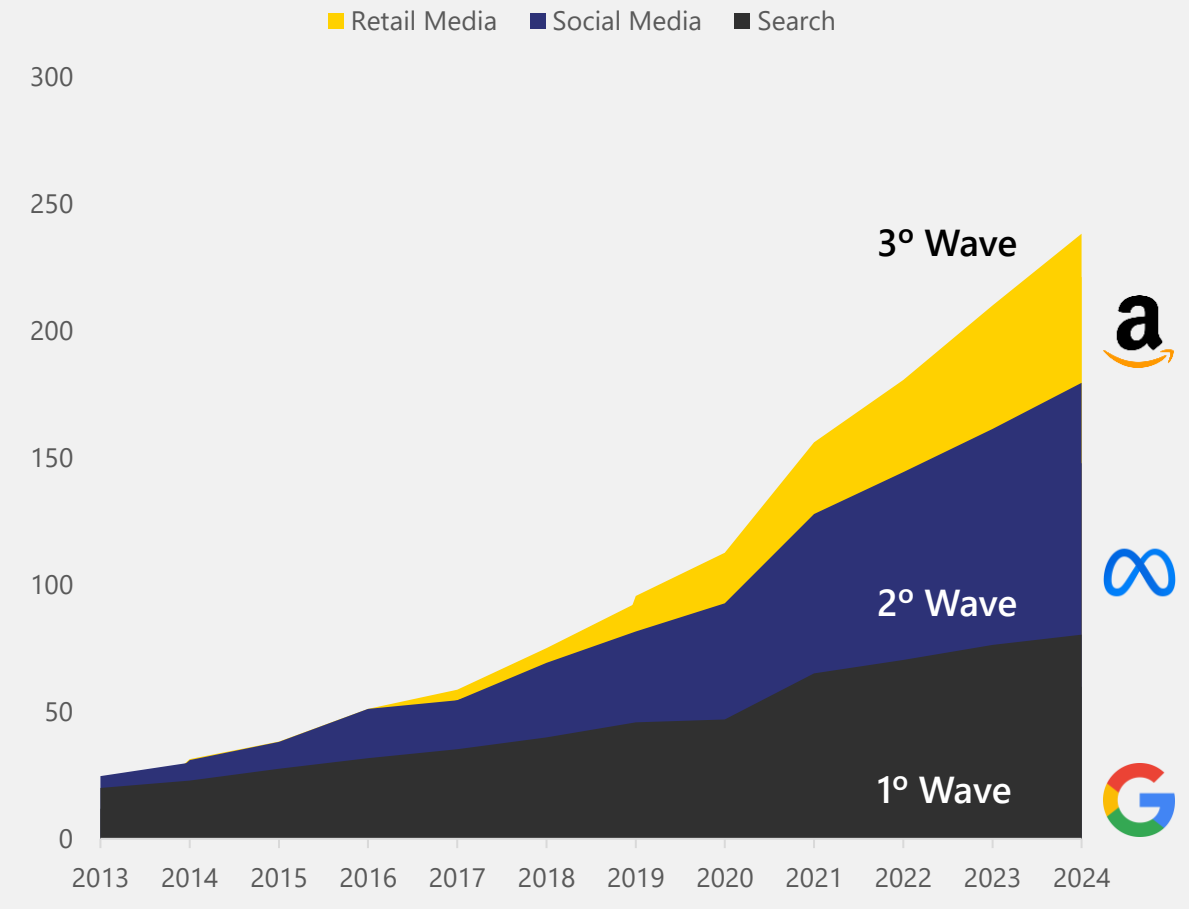
**Regulation, and the decline of cookies**

**Value of first-party data.**

*Amazon Ad revenue (in USD mn) and Ad revenue as % of GMV (%)*




*U.S. Net Ad Revenues (in bn)*




Sources: Company, RHB Capital, Marketplace Pulse, eMarketer

# Ads sensitivity analysis

*Valuation*

To assess **Mercado Ads potential** of positively impacting Meli's value in the long term, we asked ourselves: **what if Ads revenue reached 5% of Meli's GMV in 2028?** To see that in numbers, we conducted a **sensivity analysis.**

*Meli's share price considering the EV/EBIT multiple and Ads Rev. as % of GMV*

| Upside | 24x | 29x | 34x | 39x | 44x |
|---|---|---|---|---|---|
| **3%** | -24% | -9% | 6% | 21% | 36% |
| **4%** | -14% | 3% | 21% | 38% | 55% |
| **5%** | -3% | 16% | 35% | 55% | 74% |
| **6%** | 7% | 29% | 50% | 72% | 93% |
| **7%** | 17% | 41% | 65% | 89% | 113% |

***EV = (5% * 2023 GMV * Ads EBIT margin + EBIT w/o Ads)*Multiple***

Main premisses for calculation

- *2023 GMV – 44,750 USD mn*
- *Given a 1.6% Ads penetration, we would have 529 USD mn Ads EBIT, given that we asssumed a 75% EBIT margin, due to company's guidance*
- *If Ads Revenue had a 5% GMV penetration, Ads EBIT would be 1,678 USD mn meaning that company's EBIT would go from 1,823 to 2,972 USD mn*
- *We used the EV/EBIT multiple (33.8x) using 04/05/24 price and 2023 EBIT*
- *For the Equity Value, we used 2023 Net Debt (-2,995 USD mn)*

***We would like to reiterate that this analysis is based on a hypothetical scenario to illustrate Ads suberb potential <u>today</u> based on <u>future</u> projections. Thus, these results are not necessarily linked to our DCF valuation and target price.***



Sources: RHB Capital

# Valuation

## *Ads Potential Analysis*

| Ads Analysis EV/EBIT | | | | | | | |
|---|---|---|---|---|---|---|---|
| EBIT margin | 75% | | 24x | 29x | 34x | 39x | 44x |
| Ads revenue as % of GMV | 5.0% | 3.0% | -24% | -9% | 6% | 21% | 36% |
| 2023 GMV | 44,750 | 4.0% | -14% | 3% | 21% | 38% | 55% |
| Ads EBIT | 529 | 5.0% | -3% | 16% | 35% | 55% | 74% |
| Ads EBIT If it reached 5% today | 1,678 | 6.0% | 7% | 29% | 50% | 72% | 93% |
| 2023 EBIT | 1823 | 7.0% | 17% | 41% | 65% | 89% | 113% |
| New EBIT | 2,972 | | | | | | |
| EV/EBIT | 34x | | | | | | |
| EV | 100,679 | | | | | | |

Sources: RHB Capital

# Product Ads

*Positioning system*

How does **product ads pricing** looks like for a **seller?**

$$ACoS \times Conversion\ rate \times Selling\ price \times AdScore = AdRank$$

*Companies with the best AdRank will be the ones that first pop up on product searches and pages*

*Higher exposure for buyers with purchase intention, leading to higher revenue and number of items sold*

- *Score based on the seller's reputation inside the platform and the quality of the ad that he (she) is trying to promote*
- *Revenue of listed item*
- *Percentage of clicks that becomes purchases (Meli's estimation based on historical data)*
- *Seller's willingness to pay for advertising as a percentage of revenue*

When we multiply the advertising cost of sales by the conversion rate and selling price, we arrive at the maximum cost-per-click (CPC). It is basically a measure of how much the seller is willing to pay per click on his product via its own page or website searches. We see that higher CPCs massively help to get a good spot regarding AdRank. However, being an outstanding seller, with good reputation and a well listed product, is equally important. In this sense, we note that this pricing system guarantees that the great users with high willingness to use Product Ads are the ones in top positions, consequently "rewarding" the best users in the marketplace.



Sources: Company, RHB Capital

# Product Ads

## *Bidding system*

Why, according to **game theory**, is a **second price auction** (the auction winner pays the second highest offer) system a **good option** for Meli?

*Consider that Vi is the valuation of the item auctioned in player i's opinion and that Xi is the bid of player i. Rationally, it does not make sense to bid higher than your valuation, since the agent's net utility (utility from winning the auction minus the bid) would be negative. Therefore, the agent must decide between bidding his valuation or a lower value (note: there is no cost in losing the auction and that bidder i does not know bidder j's valuation)*

*Utility scenarios:*

*1. Xi < Vi < Xj (bid of a j player)*

- 0, if i bids Xi
- 0, if i bids Vi

*2. Xi < Xj < Vi*

- 0, if i bids Xi
- Vi - Xj, if i bids Vi

*3. Xj < Xi < Vi*

- Vi - Xj, if i bids Xi
- Vi - Xj, if i bids Vi

*Why do these scenarios matter?*

*We see that bidding the valuation is always better or equivalent to bidding a lower value.*

*Rational agents only play dominant strategies (the best option in all scenarios).*

***This type of auction makes players bid their valuation, the highest they would pay for the item being sold!***

*Further considerations:*

*However, we see, given scenarios 2 and 3, that the auction generates an utility surplus for bidders that is not captured by Meli.*

*This means that Meli may be "leaving money on the table".*

*Thus, a first price auction will become more attractive if the number of bidders continues to grow, since it solves the issue mentioned.*



Sources: RHB Capital

# We tested!

To prove the **effectiveness of Ads**, we **participated in the entire campaign creation** process for a product

| ***Previous EBIT margin*** | | | | |
|---|---|---|---|---|
| 28.5% | | | | |
| ***EBIT margin impact for the seller*** | | | | |
| -5.9% | | | | |
| ***Final EBIT margin*** | | | | |
| 22.6% | | | | |

| ***Sales with Ads*** | > | ***Sales without ads*** |
|---|---|---|
| 41 | | 6 |

| ***ACOS*** *(advertising cost of sales)* | = | **5.9%** |
|---|---|---|

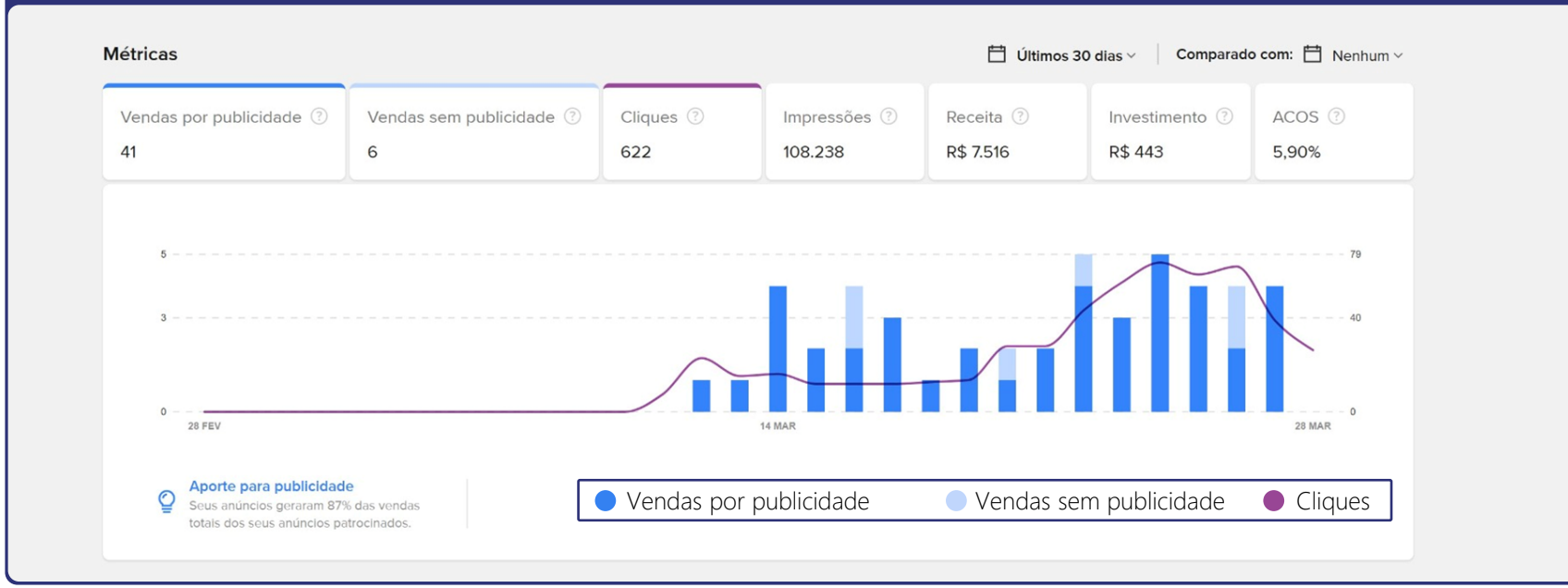
| ***Amazon average ACOS*** |
|---|
| **29%** |

*Growth in conversion rate after Ads:*

↑ 35.4%

We conclude that the tool **holds significant value for the seller**

*Mercado Libre's website printscreen*




Sources: RHB Capital, AdBadger

# VALUATION

# Valuation

## *Bull Case*

| Bull case ($mn) | | | | | | 2024E | 2025E | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | Perp. |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Date | | | | | | 31-Dec-24 | 31-Dec-25 | 31-Dec-26 | 31-Dec-27 | 31-Dec-28 | 31-Dec-29 | 31-Dec-30 | 31-Dec-31 | 31-Dec-32 | 31-Dec-33 | 31-Dec-34 |
| Period | | | | | | 0.7x | 1.7x | 2.7x | 3.7x | 4.7x | 5.7x | 6.7x | 7.7x | 8.7x | 9.7x | 9.7x |
| Net Income | | | | | | 1,398 | 2,300 | 3,475 | 5,032 | 6,835 | 8,910 | 11,365 | 14,270 | 17,422 | 20,487 | 21,512 |
| (+) D&A | | | | | | 660 | 731 | 858 | 1,021 | 1,210 | 1,431 | 1,660 | 1,898 | 2,135 | 2,365 | 2,483 |
| (-) CAPEX | | | | | | (783) | (957) | (1,137) | (1,338) | (1,555) | (1,775) | (2,004) | (2,227) | (2,438) | (2,632) | (2,483) |
| (+/-) Non-Financial WK | | | | | | 206 | 90 | 254 | 267 | 492 | 450 | 388 | 164 | 172 | 222 | 233 |
| (+/-) Net Borrowings | | | | | | – | – | – | – | – | – | – | – | – | – | – |
| **FCFE** | | | | | | 1,482 | 2,164 | 3,450 | 4,982 | 6,982 | 9,016 | 11,410 | 14,105 | 17,290 | 20,442 | 21,744 |
| **Present Values** | **Equity Value** | **US$/ Share** | **Upside (%)** | **Perp. Growth** | | | | | | | | | | | | |
| 12% | 155,679 | 3,052 | 103% | 5.0% | | 1,367 | 1,788 | 2,554 | 3,305 | 4,148 | 4,799 | 5,441 | 6,026 | 6,616 | 7,008 | 112,627 |
| 13% | 130,340 | 2,555 | 70% | 5.0% | | 1,358 | 1,761 | 2,493 | 3,197 | 3,977 | 4,559 | 5,124 | 5,624 | 6,120 | 6,425 | 89,703 |
| 14% | 111,149 | 2,179 | 45.1% | 5.0% | | 1,349 | 1,734 | 2,433 | 3,093 | 3,814 | 4,334 | 4,827 | 5,252 | 5,665 | 5,895 | 72,753 |
| 15% | 96,172 | 1,885 | 26% | 5.0% | | 1,341 | 1,708 | 2,376 | 2,993 | 3,659 | 4,121 | 4,551 | 4,908 | 5,247 | 5,412 | 59,856 |
| 16% | 84,203 | 1,651 | 10% | 5.0% | | 1,332 | 1,682 | 2,320 | 2,898 | 3,511 | 3,921 | 4,292 | 4,589 | 4,864 | 4,973 | 49,821 |



Sources: RHB Capital

# Valuation

## *Base Case*

| Base Case ($mn) | | | | | | 2024E | 2025E | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | Perp. |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Date | | | | | | 31-Dec-24 | 31-Dec-25 | 31-Dec-26 | 31-Dec-27 | 31-Dec-28 | 31-Dec-29 | 31-Dec-30 | 31-Dec-31 | 31-Dec-32 | 31-Dec-33 | 31-Dec-34 |
| Period | | | | | | 0.7x | 1.7x | 2.7x | 3.7x | 4.7x | 5.7x | 6.7x | 7.7x | 8.7x | 9.7x | 9.7x |
| **Net Income** | | | | | | **1,409** | **2,207** | **3,205** | **4,644** | **6,272** | **8,120** | **10,312** | **12,847** | **15,550** | **18,111** | **19,016** |
| (+) D&A | | | | | | 660 | 724 | 841 | 990 | 1,162 | 1,361 | 1,563 | 1,769 | 1,969 | 2,157 | 2,265 |
| (-) CAPEX | | | | | | (770) | (930) | (1,095) | (1,277) | (1,469) | (1,661) | (1,857) | (2,041) | (2,210) | (2,358) | (2,265) |
| (+/-) Non-Financial WK | | | | | | 204 | 92 | 266 | 276 | 482 | 447 | 385 | 168 | 176 | 223 | 234 |
| (+/-) Net Borrowings | | | | | | – | – | – | – | – | – | – | – | – | – | – |
| **FCFE** | | | | | | **1,503** | **2,093** | **3,216** | **4,633** | **6,447** | **8,266** | **10,403** | **12,743** | **15,485** | **18,133** | **19,251** |
| **Present Values** | **Equity Value** | **US$/ Share** | **Upside (%)** | **Perp. Growth** | | | | | | | | | | | | |
| 12% | 139,058 | 2,726 | 82% | 5.0% | | 1,386 | 1,730 | 2,382 | 3,073 | 3,830 | 4,400 | 4,961 | 5,444 | 5,925 | 6,216 | 99,710 |
| 13% | 116,577 | 2,286 | 52% | 5.0% | | 1,377 | 1,704 | 2,324 | 2,973 | 3,672 | 4,180 | 4,672 | 5,081 | 5,481 | 5,699 | 79,415 |
| **14%** | **99,544** | **1,952** | **30.0%** | **5.0%** | | **1,368** | **1,678** | **2,269** | **2,876** | **3,521** | **3,974** | **4,401** | **4,745** | **5,073** | **5,229** | **64,409** |
| 15% | 86,242 | 1,691 | 13% | 5.0% | | 1,360 | 1,652 | 2,215 | 2,783 | 3,378 | 3,779 | 4,149 | 4,434 | 4,699 | 4,801 | 52,991 |
| 16% | 75,607 | 1,482 | (1%) | 5.0% | | 1,351 | 1,628 | 2,163 | 2,695 | 3,242 | 3,595 | 3,913 | 4,146 | 4,356 | 4,412 | 44,107 |

Sources: RHB Capital

# Valuation

## *Bear Case*

| Bear Case ($mn) | | | | | | 2024E | 2025E | 2026E | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | Perp. |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Date | | | | | | 31-Dec-24 | 31-Dec-25 | 31-Dec-26 | 31-Dec-27 | 31-Dec-28 | 31-Dec-29 | 31-Dec-30 | 31-Dec-31 | 31-Dec-32 | 31-Dec-33 | 31-Dec-34 |
| Period | | | | | | 0.7x | 1.7x | 2.7x | 3.7x | 4.7x | 5.7x | 6.7x | 7.7x | 8.7x | 9.7x | 9.7x |
| **Net Income** | | | | | | **1,334** | **2,063** | **3,027** | **4,266** | **5,621** | **7,157** | **8,903** | **10,901** | **12,994** | **14,832** | **15,573** |
| (+) D&A | | | | | | 660 | 719 | 826 | 960 | 1,109 | 1,277 | 1,445 | 1,610 | 1,765 | 1,906 | 2,001 |
| (-) CAPEX | | | | | | (760) | (907) | (1,051) | (1,206) | (1,364) | (1,520) | (1,674) | (1,812) | (1,936) | (2,037) | (2,001) |
| (+/-) Non-Financial WK | | | | | | 175 | 55 | 239 | 236 | 410 | 361 | 291 | 79 | 93 | 116 | 122 |
| (+/-) Net Borrowings | | | | | | – | – | – | – | – | – | – | – | – | – | – |
| **FCFE** | | | | | | **1,408** | **1,930** | **3,041** | **4,256** | **5,775** | **7,276** | **8,965** | **10,778** | **12,916** | **14,817** | **15,695** |
| **Present Values** | **Equity Value** | **US$/ Share** | **Upside (%)** | **Perp. Growth** | | | | | | | | | | | | |
| 12% | 115,470 | 2,264 | 51% | 5.0% | | 1,299 | 1,595 | 2,251 | 2,823 | 3,431 | 3,873 | 4,275 | 4,605 | 4,942 | 5,079 | 81,295 |
| 13% | 97,059 | 1,903 | 27% | 5.0% | | 1,291 | 1,571 | 2,197 | 2,731 | 3,289 | 3,679 | 4,026 | 4,298 | 4,572 | 4,657 | 64,748 |
| **14%** | **83,093** | **1,629** | **8.5%** | **5.0%** | | **1,282** | **1,547** | **2,145** | **2,642** | **3,154** | **3,498** | **3,793** | **4,013** | **4,232** | **4,273** | **52,514** |
| 15% | 72,175 | 1,415 | (6%) | 5.0% | | 1,274 | 1,524 | 2,094 | 2,557 | 3,026 | 3,326 | 3,576 | 3,750 | 3,920 | 3,923 | 43,205 |
| 16% | 63,434 | 1,244 | (17%) | 5.0% | | 1,266 | 1,501 | 2,045 | 2,476 | 2,904 | 3,164 | 3,373 | 3,507 | 3,633 | 3,605 | 35,961 |



Sources: RHB Capital

# Valuation

## *Multiple Analysis*

| Multiples | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| EV/GMV | 1.1x | 0.7x | 0.4x | 0.7x | 0.6x | 0.6x | 0.6x | 0.6x | 0.7x | 0.7x | 0.9x | 1.2x | 1.7x | 2.2x | 2.8x | 1.3x | 1.4x | 1.4x | 1.2x | 0.9x | 0.7x | 0.5x | 0.4x | 0.2x | 0.1x | 0.1x | (0.0x) |
| EV / (GMV + TPV Off) | 1.1x | 0.7x | 0.4x | 0.7x | 0.6x | 0.5x | 0.6x | 0.5x | 0.6x | 0.6x | 0.7x | 0.7x | 0.8x | 0.9x | 1.0x | 0.4x | 0.3x | 0.3x | 0.3x | 0.2x | 0.2x | 0.1x | 0.1x | 0.0x | 0.0x | 0.0x | (0.0x) |
| EV/Sales | 20.0x | 10.2x | 6.7x | 10.6x | 10.2x | 8.9x | 9.5x | 7.6x | 7.9x | 7.0x | 8.7x | 10.2x | 10.4x | 11.5x | 11.2x | 4.4x | 4.3x | 4.0x | 3.0x | 2.3x | 1.7x | 1.2x | 0.9x | 0.5x | 0.3x | 0.1x | (0.0x) |
| **EV/EBITDA** | **71x** | **34x** | **19x** | **29x** | **28x** | **24x** | **27x** | **31x** | **32x** | **28x** | **109x** | **n.m.** | **n.m.** | **197x** | **122x** | **32x** | **23x** | **23x** | **16x** | **11x** | **7x** | **5x** | **3x** | **2x** | **1x** | **0x** | **n.m.** |
| **P/E** | **180x** | **76x** | **38x** | **43x** | **42x** | **35x** | **40x** | **62x** | **51x** | **46x** | **790x** | **n.m.** | **n.m.** | **n.m.** | **957x** | **98x** | **54x** | **54x** | **35x** | **24x** | **16x** | **12x** | **9x** | **7x** | **6x** | **5x** | **4x** |
| **PEG** | **–** | **0.8x** | **0.5x** | **0.6x** | **1.1x** | **1.1x** | **2.5x** | **(1.6x)** | **1.1x** | **1.6x** | **(8.8x)** | **–** | **–** | **–** | **(0.1x)** | **0.2x** | **0.4x** | **3.2x** | **0.6x** | **0.5x** | **0.4x** | **0.3x** | **0.3x** | **0.3x** | **0.2x** | **0.2x** | **0.3x** |
| **P/FCF (ex. financial op.)** | **n.m.** | **30x** | **38x** | **63x** | **76x** | **44x** | **n.m.** | **45x** | **144x** | **n.m.** | **n.m.** | **n.m.** | **565x** | **n.m.** | **n.m.** | **36x** | **27x** | **51x** | **37x** | **24x** | **17x** | **11.9x** | **9.3x** | **7.4x** | **6.0x** | **4.9x** | **4.2x** |
| FCF yield | (0.1%) | 3.4% | 2.6% | 1.6% | 1.3% | 2.3% | (0.4%) | 2.2% | 0.7% | (0.8%) | (0.4%) | (0.3%) | 0.2% | (0.0%) | (1.0%) | 2.8% | 3.8% | 2.0% | 2.7% | 4.2% | 6.0% | 8.4% | 10.8% | 13.6% | 16.6% | 20.2% | 23.7% |
| Net Debt / EBITDA (adj.) | (2.5x) | (1.0x) | (1.5x) | (1.8x) | (1.7x) | (2.0x) | (1.5x) | (2.1x) | (1.6x) | (1.6x) | (2.7x) | 19.8x | 31.2x | (10.8x) | (1.6x) | (0.9x) | (1.1x) | (1.6x) | (1.9x) | (2.2x) | (2.3x) | (2.4x) | (2.6x) | (2.7x) | (2.7x) | (2.7x) | (2.7x) |
| ROE | 11% | 20% | 32% | 39% | 39% | 40% | 37% | 21% | 30% | 35% | 4% | (11%) | (15%) | (0%) | 5% | 29% | 49% | 37% | 40% | 39% | 40% | 40% | 38% | 37% | 37% | 37% | 36% |



Sources: RHB Capital

# Valuation

## *IRR*

| | IRR | Market Cap | Exit P/E | Net Income | Target Market Cap | Entry P/E |
|---|---|---|---|---|---|---|
| 1y | -35.8% | 76,598 | 25.0x | 2,207 | 55,177 | 39.1x |
| 2y | 2.6% | 76,598 | 25.0x | 3,205 | 80,119 | 39.1x |
| 3y | 16.4% | 76,598 | 25.0x | 4,644 | 116,091 | 39.1x |
| 4y | 21.4% | 76,598 | 25.0x | 6,272 | 156,810 | 39.1x |
| 5y | 23.2% | 76,598 | 25.0x | 8,120 | 202,992 | 39.1x |

| 5/4/24 | 31/12/24 | 31/12/25 | 31/12/26 | 31/12/27 | 31/12/28 |
|---|---|---|---|---|---|
| (76,598) | 55,177 | | | | |
| (76,598) | - | 80,119 | | | |
| (76,598) | - | - | 116,091 | | |
| (76,598) | - | - | - | 157,971 | |
| (76,598) | - | - | - | 1,161 | 204,560 |

| IRR sensitivity | 22.5x | 25.0x | 27.5x | 30.0x | 32.5x | 35.0x |
|---|---|---|---|---|---|---|
| 1y | -44.3% | -35.8% | -27.0% | -17.9% | -8.5% | 1.1% |
| 2y | -3.4% | 2.6% | 8.4% | 14.0% | 19.3% | 24.5% |
| 3y | 12.0% | 16.4% | 20.5% | 24.4% | 28.1% | 31.6% |
| 4y | 18.0% | 21.4% | 24.5% | 27.4% | 30.1% | 32.7% |
| 5y | 20.5% | 23.2% | 25.7% | 28.0% | 30.1% | 32.1% |

| | |
|---|---|
| 5y IRR | 23.19% |
| 5y TSR | 168.57% |
| Annualized TSR | 23.19% |

Sources: RHB Capital

# Valuation

## *Ke x g sensitivity*

| Ke x g sensibility analysis | | | | | |
|---|---|---|---|---|---|
| 1,952 | 3% | 4% | 5% | 6% | 7% |
| 14.6% | 1,495.6 | 1,584.0 | 1,690.8 | 1,822.4 | 1,988.5 |
| 14.1% | 1,590.0 | 1,690.7 | 1,813.6 | 1,966.6 | 2,162.7 |
| 13.6% | 1,694.2 | 1,809.5 | 1,951.6 | 2,130.9 | 2,364.5 |
| 13.1% | 1,809.7 | 1,942.4 | 2,107.7 | 2,319.5 | 2,600.5 |
| 12.6% | 1,938.3 | 2,091.8 | 2,285.5 | 2,537.8 | 2,879.9 |

Sources: RHB Capital

# Valuation

## *KPIs*

| KPIs ($mn) | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| GMV | 44,750 | 50,411 | 59,306 | 69,059 | 81,785 | 96,963 | 114,416 | 134,000 | 155,689 | 179,370 | 204,821 |
| TPV | 182,820 | 209,134 | 257,508 | 312,638 | 378,816 | 456,262 | 545,469 | 646,836 | 760,705 | 887,087 | 1,025,596 |
| TPV OFF | 135,638 | 155,984 | 194,980 | 239,825 | 292,586 | 354,030 | 424,835 | 505,554 | 596,554 | 697,968 | 809,643 |
| Net Revenues | 14,473 | 17,919 | 22,478 | 27,509 | 33,835 | 41,139 | 49,327 | 58,675 | 68,874 | 80,012 | 92,108 |
| Net Debt | (2,995) | (4,789) | (8,141) | (12,930) | (18,461) | (25,904) | (34,597) | (45,183) | (54,789) | (65,993) | (79,112) |
| EBITDA (MELI) | 2,697 | 3,074 | 4,222 | 5,812 | 8,011 | 10,587 | 13,557 | 16,762 | 20,419 | 24,383 | 28,772 |
| EBIT (MELI) | 2,173 | 2,414 | 3,497 | 4,972 | 7,021 | 9,425 | 12,197 | 15,199 | 18,649 | 22,414 | 26,615 |
| Dividends | – | – | – | – | 1,161 | 1,568 | 2,030 | 2,578 | 6,424 | 7,775 | 9,055 |
| Net income | 1,205 | 1,409 | 2,207 | 3,205 | 4,644 | 6,272 | 8,120 | 10,312 | 12,847 | 15,550 | 18,111 |
| FCF (ex. financial op.) | 2,436 | 1,503 | 2,093 | 3,216 | 4,633 | 6,447 | 8,266 | 10,403 | 12,743 | 15,485 | 18,133 |
| Book Value | 3,071 | 4,480 | 6,687 | 9,891 | 13,374 | 18,078 | 24,168 | 31,902 | 38,326 | 46,101 | 55,156 |
| # shares | 51 | 51 | 51 | 51 | 51 | 51 | 51 | 51 | 51 | 51 | 51 |
| MELI - average | 1,270 | 1,502 | 1,502 | 1,502 | 1,502 | 1,502 | 1,502 | 1,502 | 1,502 | 1,502 | 1,502 |
| EPS | 23.6 | 27.6 | 43.3 | 62.8 | 91.0 | 123.0 | 159.2 | 202.2 | 251.9 | 304.9 | 355.1 |
| % growth | 151% | 17% | 57% | 45% | 45% | 35% | 29% | 27% | 25% | 21% | 16% |



Sources: RHB Capital

# Valuation

## *Ke*

| Cost of equity | |
|---|---|
| Risk Free Rate | 4.20% |
| | |
| Equity Risk Premium | 4.60% |
| | |
| Beta | 1.50 |
| | |
| Ke (USD Nominal) | 13.62% |

Sources:

Bloomberg (10Y Treasury Yield)

Damodaran Equity Risk Premium

| Country Risk Premium Buildup | | |
|---|---|---|
| Countries | 2025e Weight | Risk |
| | | - |
| Brazil | 59.85% | 2.30% |
| | | |
| Argentina | 9.07% | 8.00% |
| | | - |
| Mexico | 26.53% | 1.30% |
| | | |
| Others | 4.54% | 1.57% |
| Chile | 33.34% | 1.30% |
| Peru | 33.33% | 1.60% |
| Colombia | 33.33% | 1.80% |
| | | |
| Consolidated Country Risk | | 2.52% |



Sources: RHB Capital

# Valuation

## *Reverse DCF*

**Reverse DCF Model**

| ($ in millions) | Year 2023 | Year 2024 | Year 2025 | Year 2026 | Year 2027 | Year 2028 | Year 2029 | Year 2030 | Year 2031 | Year 2032 | Year 2033 |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Revenue | $14,473 | $17,919 | $22,478 | $27,509 | $33,835 | $41,139 | $49,327 | $58,675 | $68,874 | $80,012 | $92,108 |
| % Growth Rate % CAGR **20.3%** | | | | | | | | | | | |
| Net Income | $987 | $1,409 | $2,207 | $3,205 | $4,644 | $6,272 | $8,120 | $10,312 | $12,847 | $15,550 | $18,111 |
| % Net Income | 6.8% | 7.9% | 9.8% | 11.6% | 13.7% | 15.2% | 16.5% | 17.6% | 18.7% | 19.4% | 19.7% |
| Plus: D&A | | 660 | 724 | 841 | 990 | 1,162 | 1,361 | 1,563 | 1,769 | 1,969 | 2,157 |
| Less: Capex | | (770) | (930) | (1,095) | (1,277) | (1,469) | (1,661) | (1,857) | (2,041) | (2,210) | (2,358) |
| Less: Change in NWC | | 204 | 92 | 266 | 276 | 482 | 447 | 385 | 168 | 176 | 223 |
| Less: Change in Debt | | -- | -- | -- | -- | -- | -- | -- | -- | -- | -- |
| Less: Change in Other BS items | | -- | -- | -- | -- | -- | -- | -- | -- | -- | -- |
| **FCFE** | | **$1,503** | **$2,093** | **$3,216** | **$4,633** | **$6,447** | **$8,266** | **$10,403** | **$12,743** | **$15,485** | **$18,133** |
| Discount Factor % Ke 13.6% | | 0.73 | 1.73 | 2.73 | 3.73 | 4.73 | 5.73 | 6.73 | 7.73 | 8.74 | 9.74 |
| **Present Value of FCFE** | | **$1,369** | **$1,678** | **$2,269** | **$2,877** | **$3,523** | **$3,975** | **$4,403** | **$4,747** | **$5,075** | **$5,231** |

**Implied DCF Valuation**

| | |
|---|---|
| Present Value of FCFEs | $35,147 |
| Long-Term Growth Rate | 5.0% |
| Final Year FCF × (1 + g) | $19,039 |
| Terminal Value in Final Year | $220,911 |
| Present Value of Terminal Value | $63,725 |
| **Equity Value** | **$98,872** |

**Share Price Calculation**

| | |
|---|---|
| Diluted Shares Outstanding (mm) | 51 |
| Implied Share Price | $1,938.40 |
| Current Market Share Price | $1,501.72 |
| **Implied Growth Rate** | **17.2%** |
| **Our View on Growth Rate** | **20.3%** |
| **5Y CAGR (2018-2023)** | **58.7%** |

Sources: RHB Capital

# Trading comps

## *Valuation*

| Comparables | EV/Revenue | |
|---|---|---|
| | Today | NTM |
| Commerce | | |
| Magazine Luiza | 0.6x | 0.5x |
| Amazon | 3.4x | 2.9x |
| Alibaba | 0.9x | 0.9x |
| Allegro | 3.9x | 3.3x |
| Coupang | 1.2x | 1.0x |
| Sea | 1.9x | 1.6x |
| Average | 2.0x | 1.7x |
| MELI Premium/Discount | 164% | 139% |
| MELI Multiple | 5.2x | 4.1x |

| Comparables | EV/EBIT | |
|---|---|---|
| | Today | NTM |
| Commerce | | |
| Magazine Luiza | 62.4x | 10.9x |
| Amazon | 51.6x | 32.9x |
| Alibaba | 7.0x | 6.1x |
| Allegro | 27.8x | 18.0x |
| Coupang | 61.5x | 33.1x |
| Sea | 206.2x | 39.9x |
| Average | 69.4x | 23.5x |
| MELI Premium/Discount | -40% | 10% |
| MELI Multiple | 41.6x | 25.9x |

| Comparables | P/E | |
|---|---|---|
| | Today | NTM |
| Commerce | | |
| Magazine Luiza | - | 39.8x |
| Amazon | 62.2x | 40.4x |
| Alibaba | 12.9x | 8.4x |
| Allegro | 117.6x | 22.9x |
| Coupang | 23.6x | 48.8x |
| Sea | 214.8x | 40.0x |
| Average | 86.2x | 33.4x |
| MELI Premium/Discount | -11% | 17% |
| MELI Multiple | 77.0x | 39.1x |

| Comparables | EV/Revenue | |
|---|---|---|
| | Today | NTM |
| Fintech | | |
| PagSeguro | 2.2x | 2.0x |
| Stone | 4.8x | 1.8x |
| Nu Holdings | 7.6x | 5.1x |
| Block | 2.3x | 1.9x |
| Paypal | 2.3x | 2.1x |
| Average | 3.8x | 2.6x |
| MELI Premium/Discount | 36% | 58% |
| MELI Multiple | 5.2x | 4.1x |

| Comparables | EV/EBIT | |
|---|---|---|
| | Today | NTM |
| Fintech | | |
| PagSeguro | 6.4x | 11.5x |
| Stone | 4.0x | 3.9x |
| Nu Holdings | 34.7x | 17.8x |
| Block | 65.0x | 46.2x |
| Paypal | 14.3x | 10.2x |
| Average | 24.9x | 17.9x |
| MELI Premium/Discount | 67% | 44% |
| MELI Multiple | 41.6x | 25.9x |

| Comparables | P/E | |
|---|---|---|
| | Today | NTM |
| Fintech | | |
| PagSeguro | 13.9x | 10.6x |
| Stone | 16.3x | 12.1x |
| Nu Holdings | 54.9x | 27.3x |
| Block | - | 24.4x |
| Paypal | 17.5x | 12.7x |
| Average | 25.6x | 17.4x |
| MELI Premium/Discount | 201% | 124% |
| MELI Multiple | 77.0x | 39.1x |

Sources: RHB Capital

# Valuation

## *SOTP and P/E Valuation*

| Sum of the Parts | | Sum of the Parts | | P/E Valuation | |
|---|---|---|---|---|---|
| Commerce | | Commerce | | Using commerce peers multiple | |
| GMV 2025 | 61,534 | EBIT 2025 | 2,206 | P/E Commerce Peers | 39.9x |
| EV/GMV | 0.9x | EV/EBIT | 25.4x | Earnings 2025 | 2,207 |
| EV End-2024 | 56,121 | EV End-2024 | 56,121 | Price End-2024 | 1,726 |
| Net Revenue 2025 | 13,053 | | | Upside | 15% |
| Implied EV/Revenue 2025 | 4.3x | Fintech | | | |
| | | EBIT 2025 | 1,527 | | |
| Fintech | | EV/EBIT | 17.9x | | |
| Net Revenue 2025 | 9,425 | EV End-2024 | 27,358 | | |
| EV/Revenue | 2.9x | | | | |
| EV End-2024 | 27,358 | Consolidated | | | |
| TPV-off 2025 | 194,980 | EV End-2024 | 83,479 | | |
| Implied EV/TPV 2025 | 0.1x | (+) Net Debt | 4,499 | | |
| | | Equity Value End-2024 | 87,978 | | |
| Consolidated | | # of shares (mn) | 51 | | |
| EV End-2024 | 83,479 | Fair Value per Share | 1,725 | | |
| | | Upside | 15% | | |



Sources: RHB Capital

# Valuation

## *GMV per segment*

| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **GMV (USD mn)** | **44,750** | **50,411** | **59,306** | **69,059** | **81,785** | **96,963** | **114,416** | **134,000** | **155,689** | **179,370** | **204,821** | **231,755** | **259,801** |
| Var. YoY (in USD mn terms) | 10,301 | 5,661 | 8,895 | 9,754 | 12,726 | 15,178 | 17,453 | 19,584 | 21,690 | 23,681 | 25,451 | 26,934 | 28,045 |
| Var. YoY (in % terms) | 29.9% | 12.6% | 17.6% | 16.4% | 18.4% | 18.6% | 18.0% | 17.1% | 16.2% | 15.2% | 14.2% | 13.1% | 12.1% |
| 1. GMV (3P) | 43,038 | 48,112 | 56,191 | 64,959 | 76,540 | 90,316 | 106,099 | 123,721 | 143,405 | 164,852 | 187,936 | 212,359 | 237,782 |
| Var. YoY (in USD mn terms) | 9,641 | 5,074 | 8,079 | 8,769 | 11,581 | 13,776 | 15,783 | 17,622 | 19,683 | 21,448 | 23,083 | 24,424 | 25,423 |
| Var. YoY (in % terms) | 28.9% | 11.8% | 16.8% | 15.6% | 17.8% | 18.0% | 17.5% | 16.6% | 15.9% | 15.0% | 14.0% | 13.0% | 12.0% |
| As % of Total GMV | 96.2% | 95.4% | 94.7% | 94.1% | 93.6% | 93.1% | 92.7% | 92.3% | 92.1% | 91.9% | 91.8% | 91.6% | 91.5% |
| 2. GMV (1P) | 1,712 | 2,299 | 3,115 | 4,100 | 5,245 | 6,647 | 8,317 | 10,279 | 12,285 | 14,518 | 16,886 | 19,396 | 22,018 |
| Var. YoY (in USD mn terms) | 660 | 587 | 816 | 985 | 1,145 | 1,402 | 1,670 | 1,962 | 2,006 | 2,233 | 2,368 | 2,510 | 2,622 |
| Var. YoY (in % terms) | 62.7% | 34.3% | 35.5% | 31.6% | 27.9% | 26.7% | 25.1% | 23.6% | 19.5% | 18.2% | 16.3% | 14.9% | 13.5% |
| As % of Total GMV | 3.8% | 4.6% | 5.3% | 5.9% | 6.4% | 6.9% | 7.3% | 7.7% | 7.9% | 8.1% | 8.2% | 8.4% | 8.5% |



Sources: RHB Capital

# Valuation

## *GMV per country*

| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **GMV (USD mn)** | **44,750** | **50,411** | **59,306** | **69,059** | **81,785** | **96,963** | **114,416** | **134,000** | **155,689** | **179,370** | **204,821** | **231,755** | **259,801** |
| Var. YoY (in USD mn terms) | 10,301 | 5,661 | 8,895 | 9,754 | 12,726 | 15,178 | 17,453 | 19,584 | 21,690 | 23,681 | 25,451 | 26,934 | 28,045 |
| Var. YoY (in % terms \| USD) | 29.9% | 12.6% | 17.6% | 16.4% | 18.4% | 18.6% | 18.0% | 17.1% | 16.2% | 15.2% | 14.2% | 13.1% | 12.1% |
| **1. Brazil** | 20,863 | 25,319 | 30,841 | 36,553 | 44,020 | 52,976 | 62,982 | 73,957 | 85,766 | 98,208 | 111,021 | 123,885 | 136,431 |
| % of total GMV | 46.6% | 50.2% | 52.0% | 52.9% | 53.8% | 54.6% | 55.0% | 55.2% | 55.1% | 54.8% | 54.2% | 53.5% | 52.5% |
| **2. Argentina** | 10,522 | 8,926 | 9,072 | 9,101 | 9,575 | 10,077 | 10,710 | 11,274 | 11,868 | 12,493 | 13,151 | 13,843 | 14,572 |
| % of total GMV | 23.5% | 17.7% | 15.3% | 13.2% | 11.7% | 10.4% | 9.4% | 8.4% | 7.6% | 7.0% | 6.4% | 6.0% | 5.6% |
| **3. Mexico** | 10,366 | 13,261 | 16,284 | 20,079 | 24,664 | 30,173 | 36,762 | 44,608 | 53,688 | 64,083 | 75,857 | 89,043 | 103,639 |
| % of total GMV | 23.2% | 26.3% | 27.5% | 29.1% | 30.2% | 31.1% | 32.1% | 33.3% | 34.5% | 35.7% | 37.0% | 38.4% | 39.9% |
| **4. Other Countries** | 2,999 | 2,905 | 3,109 | 3,326 | 3,526 | 3,737 | 3,962 | 4,160 | 4,368 | 4,586 | 4,792 | 4,984 | 5,159 |
| % of total GMV | 6.7% | 5.8% | 5.2% | 4.8% | 4.3% | 3.9% | 3.5% | 3.1% | 2.8% | 2.6% | 2.3% | 2.2% | 2.0% |

Sources: RHB Capital

# Valuation

## *TPV per segment*

| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **TPV (USD mn)** | **182,820** | **209,134** | **257,508** | **312,638** | **378,816** | **456,262** | **545,469** | **646,836** | **760,705** | **887,087** | **1,025,596** | **1,175,440** | **1,335,362** |
| Var. YoY | 47.9% | 14.4% | 23.1% | 21.4% | 21.2% | 20.4% | 19.6% | 18.6% | 17.6% | 16.6% | 15.6% | 14.6% | 13.6% |
| Delta TPV | 59,186 | 26,314 | 48,374 | 55,129 | 66,179 | 77,446 | 89,207 | 101,367 | 113,868 | 126,382 | 138,509 | 149,844 | 159,922 |
| (+) TPV On Platform | 47,182 | 53,150 | 62,529 | 72,813 | 86,230 | 102,232 | 120,634 | 141,282 | 164,151 | 189,118 | 215,953 | 244,350 | 273,920 |
| Marketplace Penetration | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% | 105.4% |
| As % of TPV | 25.8% | 25.4% | 24.3% | 23.3% | 22.8% | 22.4% | 22.1% | 21.8% | 21.6% | 21.3% | 21.1% | 20.8% | 20.5% |
| (+) TPV Off Platform | 135,638 | 155,984 | 194,980 | 239,825 | 292,586 | 354,030 | 424,835 | 505,554 | 596,554 | 697,968 | 809,643 | 931,090 | 1,061,442 |
| Var. YoY (in % terms) | 55.3% | 15.0% | 25.0% | 23.0% | 22.0% | 21.0% | 20.0% | 19.0% | 18.0% | 17.0% | 16.0% | 15.0% | 14.0% |
| Var. YoY (in USD mn terms) | 48,280 | 20,346 | 38,996 | 44,845 | 52,761 | 61,443 | 70,806 | 80,719 | 91,000 | 101,414 | 111,675 | 121,446 | 130,353 |
| As % of TPV | 74% | 75% | 76% | 77% | 77% | 78% | 78% | 78% | 78% | 79% | 79% | 79% | 79% |

Sources: RHB Capital

# Valuation

## *Commerce Revenues*

| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| **(+) Commerce** | **8,201** | **10,302** | **13,053** | **16,124** | **20,224** | **25,193** | **30,825** | **37,419** | **44,739** | **52,814** | **61,628** | **71,121** | **81,200** |
| As % of Net Revenues | 56.7% | 57.5% | 58.1% | 58.6% | 59.8% | 61.2% | 62.5% | 63.8% | 65.0% | 66.0% | 66.9% | 67.7% | 68.4% |
| Consolidated Take Rate | 18.3% | 20.4% | 22.0% | 23.3% | 24.7% | 26.0% | 26.9% | 27.9% | 28.7% | 29.4% | 30.1% | 30.7% | 31.3% |
| (++) Commerce 3P With Ads | 6,754 | 8,221 | 10,206 | 12,483 | 15,490 | 19,201 | 23,362 | 28,163 | 33,685 | 39,758 | 46,433 | 53,672 | 61,392 |
| (++) Commerce 3P Without Ads | 6,049 | 7,175 | 8,678 | 10,359 | 12,566 | 15,249 | 18,241 | 21,630 | 25,471 | 29,578 | 34,399 | 39,592 | 45,089 |
| Ad Revenue | 705 | 1,046 | 1,527 | 2,124 | 2,924 | 3,952 | 5,121 | 6,533 | 8,213 | 10,180 | 12,034 | 14,080 | 16,304 |
| Marketplace Take rate | 15.7% | 14.9% | 15.4% | 15.9% | 16.4% | 16.9% | 17.2% | 17.5% | 17.8% | 17.9% | 18.3% | 18.6% | 19.0% |
| (++) Commerce 1P | 1,447 | 2,081 | 2,848 | 3,642 | 4,734 | 5,993 | 7,464 | 9,256 | 11,054 | 13,055 | 15,195 | 17,449 | 19,807 |
| As % of Revenues | 10.0% | 11.6% | 12.7% | 13.2% | 14.0% | 14.6% | 15.1% | 15.8% | 16.0% | 16.3% | 16.5% | 16.6% | 16.7% |
| As % of GMV | 3.2% | 4.1% | 4.8% | 5.3% | 5.8% | 6.2% | 6.5% | 6.9% | 7.1% | 7.3% | 7.4% | 7.5% | 7.6% |
| % of taxes and deductions | (15%) | (9%) | (9%) | (11%) | (10%) | (10%) | (10%) | (10%) | (10%) | (10%) | (10%) | (10%) | (10%) |



Sources: RHB Capital

# Valuation

## *Fintech Revenues*

| | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| (+) Fintech | 6,272 | 7,617 | 9,425 | 11,385 | 13,611 | 15,946 | 18,502 | 21,256 | 24,135 | 27,198 | 30,480 | 33,920 | 37,491 |
| Var. YoY (in % terms) | 32.6% | 21.4% | 23.7% | 20.8% | 19.6% | 17.2% | 16.0% | 14.9% | 13.5% | 12.7% | 12.1% | 11.3% | 10.5% |
| Var. YoY (in USD mn terms) | 1,543 | 1,345 | 1,808 | 1,960 | 2,227 | 2,334 | 2,556 | 2,754 | 2,880 | 3,063 | 3,282 | 3,440 | 3,571 |
| As % of Net Revenues | 43.3% | 42.5% | 41.9% | 41.4% | 40.2% | 38.8% | 37.5% | 36.2% | 35.0% | 34.0% | 33.1% | 32.3% | 31.6% |
| As % of TPV | 3.43% | 3.64% | 3.66% | 3.64% | 3.59% | 3.49% | 3.39% | 3.29% | 3.17% | 3.07% | 2.97% | 2.89% | 2.81% |
| (+) Credit business | 2,546 | 3,355 | 4,177 | 5,013 | 5,891 | 6,784 | 7,712 | 8,655 | 9,544 | 10,449 | 11,424 | 12,432 | 13,480 |
| As % of fintech revenues | 40.6% | 44.0% | 44.3% | 44.0% | 43.3% | 42.5% | 41.7% | 40.7% | 39.5% | 38.4% | 37.5% | 36.7% | 36.0% |
| As % of Net Revenues | 17.6% | 18.7% | 18.6% | 18.2% | 17.4% | 16.5% | 15.6% | 14.8% | 13.9% | 13.1% | 12.4% | 11.8% | 11.4% |
| As % of Credit Portfolio | 76.9% | 75.3% | 73.6% | 73.6% | 73.6% | 73.6% | 73.6% | 73.6% | 73.6% | 73.6% | 73.6% | 73.6% | 73.6% |
| As % of TPV | 1.4% | 1.6% | 1.6% | 1.6% | 1.6% | 1.5% | 1.4% | 1.3% | 1.3% | 1.2% | 1.1% | 1.1% | 1.0% |
| (+) Payments / Other Fintech | 3,726 | 4,262 | 5,248 | 6,372 | 7,721 | 9,162 | 10,790 | 12,601 | 14,591 | 16,749 | 19,056 | 21,488 | 24,011 |
| As % of fintech revenues | 59% | 56% | 56% | 56% | 57% | 57% | 58% | 59% | 60% | 62% | 63% | 63% | 64% |
| As % of Net Revenues | 26% | 24% | 23% | 23% | 23% | 22% | 22% | 21% | 21% | 21% | 21% | 20% | 20% |
| As % of TPV | 2.04% | 2.04% | 2.04% | 2.04% | 2.04% | 2.01% | 1.98% | 1.95% | 1.92% | 1.89% | 1.86% | 1.83% | 1.80% |

Sources: RHB Capital

# Valuation

## *Balance Sheet - Assets*

| | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027 | 2028 | 2029 | 2030 | 2031 | 2032 | 2033 | 2034 | 2035 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Cash & Equivalents | 2,508 | 3,648 | 3,363 | 3,848 | 6,171 | 9,883 | 15,052 | 20,938 | 28,728 | 37,872 | 48,904 | 58,911 | 70,576 | 84,161 | 99,704 | 117,145 |
| Short-Term Investments | 1,241 | 810 | 2,339 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 | 3,480 |
| Accounts Receivable | 50 | 98 | 130 | 156 | 161 | 190 | 222 | 263 | 284 | 336 | 394 | 457 | 525 | 601 | 681 | 763 |
| Credit Card Receivables | 863 | 1,839 | 2,946 | 3,632 | 4,011 | 4,732 | 5,415 | 6,301 | 7,317 | 8,500 | 9,771 | 11,353 | 13,044 | 14,936 | 16,900 | 18,945 |
| Prepaid Expenses | 28 | 40 | 38 | – | – | – | – | – | – | – | – | – | – | – | – | – |
| Deferred Tax Assets | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – |
| Loans Receivable, Net | 385 | 1,199 | 1,704 | 2,629 | 3,650 | 4,368 | 5,162 | 5,941 | 6,741 | 7,559 | 8,349 | 9,024 | 9,825 | 10,629 | 11,483 | 12,354 |
| Inventory | 118 | 253 | 152 | 238 | 312 | 420 | 542 | 679 | 849 | 1,065 | 1,316 | 1,573 | 1,854 | 2,162 | 2,483 | 2,819 |
| Other Current Assets | 153 | 287 | 281 | 311 | 384 | 452 | 516 | 634 | 769 | 924 | 1,100 | 1,291 | 1,495 | 1,726 | 1,969 | 2,224 |
| **Total current assets** | 5,347 | 8,175 | 10,953 | 14,294 | 18,170 | 23,526 | 30,388 | 38,236 | 48,167 | 59,736 | 73,313 | 86,089 | 100,799 | 117,696 | 136,700 | 157,730 |
| Long-Term Investments | 166 | 89 | 322 | 162 | 162 | 162 | 162 | 162 | 162 | 162 | 162 | 162 | 162 | 162 | 162 | 162 |
| Loans Receivable, Net | 17 | 61 | 32 | 65 | | | | | | | | | | | | |
| Deferred Tax Assets | 135 | 181 | 346 | 710 | 852 | 1,041 | 1,236 | 1,474 | 1,731 | 2,013 | 2,395 | 2,811 | 3,257 | 3,759 | 4,287 | 4,844 |
| Other Non-Current Assets | 68 | 134 | 256 | 68 | 68 | 68 | 68 | 68 | 68 | 68 | 68 | 68 | 68 | 68 | 68 | 68 |
| Goodwill | 85 | 148 | 153 | 163 | 163 | 163 | 163 | 163 | 163 | 163 | 163 | 163 | 163 | 163 | 163 | 163 |
| PP&E+Intangible Assets | 406 | 852 | 1,018 | 1,285 | 1,395 | 1,600 | 1,855 | 2,141 | 2,448 | 2,749 | 3,043 | 3,315 | 3,555 | 3,756 | 3,908 | 4,237 |
| PP&E | 392 | 807 | 993 | 1,250 | 1,360 | 1,565 | 1,820 | 2,106 | 2,413 | 2,714 | 3,008 | 3,280 | 3,520 | 3,721 | 3,873 | 4,202 |
| Intangible Assets | 14 | 45 | 25 | 35 | 35 | 35 | 35 | 35 | 35 | 35 | 35 | 35 | 35 | 35 | 35 | 35 |
| Right-of-Use of Leases | 303 | 461 | 656 | 899 | 899 | 899 | 899 | 899 | 899 | 899 | 899 | 899 | 899 | 899 | 899 | 899 |
| **Total long-term assets** | 1,180 | 1,926 | 2,783 | 3,352 | 3,539 | 3,933 | 4,383 | 4,907 | 5,471 | 6,054 | 6,730 | 7,418 | 8,104 | 8,807 | 9,487 | 10,374 |
| **Total assets** | 6,526 | 10,101 | 13,736 | 17,646 | 21,709 | 27,459 | 34,771 | 43,143 | 53,638 | 65,790 | 80,043 | 93,506 | 108,903 | 126,503 | 146,186 | 168,103 |

Sources: RHB Capital

# Valuation

## *Balance Sheet - Liabilities*

| | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | 2034E | 2035E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Accounts Payable and Accrued Expenses | 767 | 1,036 | 1,393 | 2,117 | 2,638 | 3,350 | 4,137 | 5,135 | 6,339 | 7,622 | 9,066 | 10,642 | 12,329 | 14,232 | 16,230 | 18,339 |
| Funds Payable to Customers | 1,733 | 2,393 | 3,454 | 4,475 | 5,392 | 7,011 | 8,941 | 11,354 | 14,263 | 17,098 | 20,276 | 23,845 | 27,730 | 32,148 | 36,845 | 41,858 |
| Amounts payable due to card transactions | – | 337 | 483 | 1,072 | 1,402 | 1,761 | 2,197 | 2,622 | 3,077 | 3,515 | 3,890 | 4,282 | 4,691 | 5,119 | 5,564 | 6,026 |
| Leases Payable | 55 | 92 | 142 | 166 | 166 | 166 | 166 | 166 | 166 | 166 | 166 | 166 | 166 | 166 | 166 | 166 |
| Payroll and Social Security Payable | 207 | 313 | 401 | 545 | 697 | 908 | 1,149 | 1,460 | 1,827 | 2,264 | 2,693 | 3,161 | 3,662 | 4,228 | 4,821 | 5,448 |
| Taxes Payable | 216 | 291 | 414 | 477 | 614 | 803 | 1,020 | 1,301 | 1,634 | 2,032 | 2,498 | 2,932 | 3,397 | 3,921 | 4,472 | 5,053 |
| Loans Payable and Other Financial Liabilities | 548 | 1,285 | 2,131 | 2,292 | 5,025 | 5,384 | 5,763 | 6,119 | 6,465 | 6,917 | 7,363 | 7,764 | 8,225 | 8,692 | 9,185 | 9,689 |
| o.w. Collateralized Debt | 25 | 77 | 535 | 693 | 2,005 | 2,364 | 2,743 | 3,099 | 3,445 | 3,897 | 4,343 | 4,744 | 5,205 | 5,672 | 6,165 | 6,669 |
| o.w. Other | 523 | 1,208 | 1,596 | 1,599 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 | 3,020 |
| Deferred Tax Liabilities | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – |
| Other Current Liabilities | 109 | 88 | 144 | 153 | 153 | 153 | 153 | 153 | 153 | 153 | 153 | 153 | 153 | 153 | 153 | 153 |
| Dividends Payable | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – |
| **Total current liabilities** | 3,636 | 5,837 | 8,562 | 11,297 | 16,087 | 19,534 | 23,526 | 28,310 | 33,923 | 39,768 | 46,104 | 52,945 | 60,354 | 68,658 | 77,436 | 86,733 |
| Amounts payable due to card transactions | – | 4 | 5 | 20 | 20 | 20 | 20 | 20 | 20 | 20 | 20 | 20 | 20 | 20 | 20 | 20 |
| Payroll and Social Security Payable | 50 | 20 | – | – | | | | | | | | | | | | |
| Loans Payable and Other Financial Liabilities | 861 | 2,233 | 2,627 | 2,203 | | | | | | | | | | | | |
| o.w. Collateralized Debt | 249 | 674 | 703 | 782 | | | | | | | | | | | | |
| o.w. Other | 612 | 1,559 | 1,924 | 1,421 | | | | | | | | | | | | |
| Leases Payable | 244 | 372 | 514 | 672 | 672 | 672 | 672 | 672 | 672 | 672 | 672 | 672 | 672 | 672 | 672 | 672 |
| Deferred Tax Liabilities | 64 | 62 | 106 | 183 | 251 | 346 | 461 | 567 | 744 | 962 | 1,145 | 1,344 | 1,557 | 1,797 | 2,050 | 2,316 |
| Redeemable Convertible Preferred Shares | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – |
| Other Non-Current Liabilities | 20 | 41 | 95 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 | 200 |
| **Total long-term liabilities** | 1,239 | 2,733 | 3,347 | 3,278 | 1,143 | 1,238 | 1,353 | 1,459 | 1,636 | 1,854 | 2,037 | 2,236 | 2,449 | 2,689 | 2,942 | 3,208 |



Sources: RHB Capital

# Valuation

## *Balance Sheet – Equity*

| | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | 2027E | 2028E | 2029E | 2030E | 2031E | 2032E | 2033E | 2034E | 2035E |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Preferred Equity | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – |
| Common Equity | 0 | 0 | – | – | – | – | – | – | – | – | – | – | – | – | – | – |
| Additional Paid-In Capital | 1,861 | 2,439 | 2,309 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 | 1,770 |
| Treasury Stock | (55) | (790) | (931) | (310) | (310) | (310) | (310) | (310) | (310) | (310) | (310) | (310) | (310) | (310) | (310) | (310) |
| Retained Earnings | 314 | 397 | 913 | 1,901 | 3,310 | 5,517 | 8,721 | 12,204 | 16,908 | 22,998 | 30,732 | 37,156 | 44,931 | 53,986 | 64,639 | 76,992 |
| AOC Income/(Loss) | (468) | (515) | (464) | (290) | (290) | (290) | (290) | (290) | (290) | (290) | (290) | (290) | (290) | (290) | (290) | (290) |
| **Shareholders' Equity** | 1,652 | 1,532 | 1,827 | 3,071 | 4,480 | 6,687 | 9,891 | 13,374 | 18,078 | 24,168 | 31,902 | 38,326 | 46,101 | 55,156 | 65,809 | 78,162 |
| Non-Controlling Interest | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – | – |
| **Total shareholders' equity** | 1,652 | 1,532 | 1,827 | 3,071 | 4,480 | 6,687 | 9,891 | 13,374 | 18,078 | 24,168 | 31,902 | 38,326 | 46,101 | 55,156 | 65,809 | 78,162 |
| | | | | | | | | – | | | | | | | | |
| **Total liabilities and sh. Equity** | 6,526 | 10,101 | 13,736 | 17,646 | 21,709 | 27,459 | 34,771 | 43,143 | 53,638 | 65,790 | 80,043 | 93,506 | 108,903 | 126,503 | 146,186 | 168,103 |



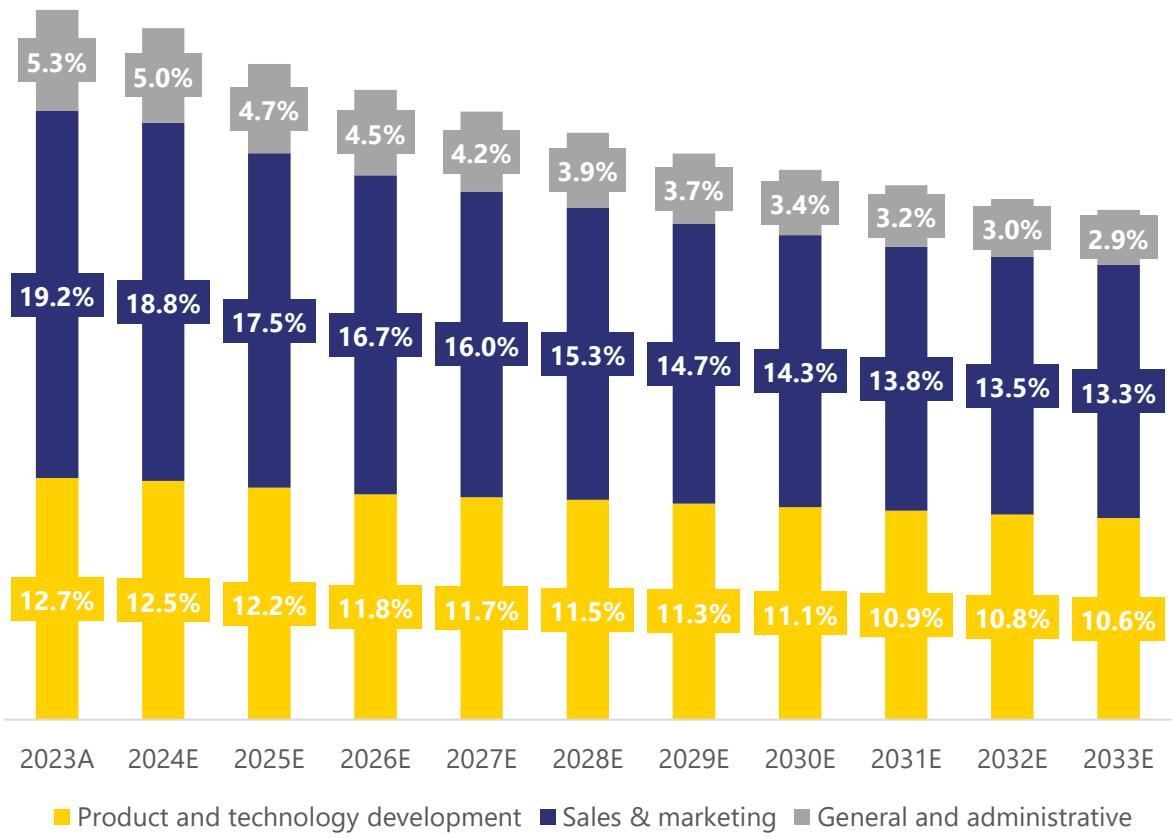
Sources: RHB Capital

# Valuation

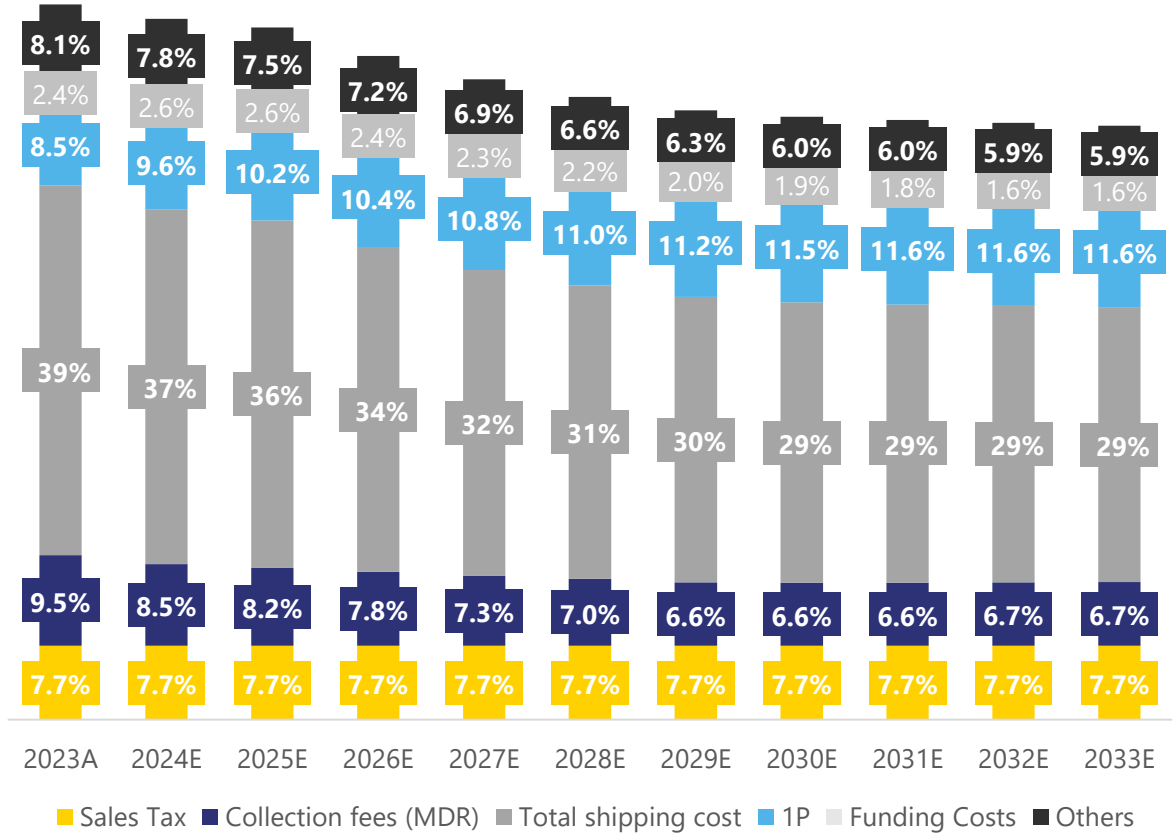
## *OPEX and COGS Projections*

Through our premisses of higher ecosystem integration, we are projecting a dilution for both OPEX and COGS.

*OPEX as % of Total Revenue (%)*




*COGS as % of Total Revenue (%)*



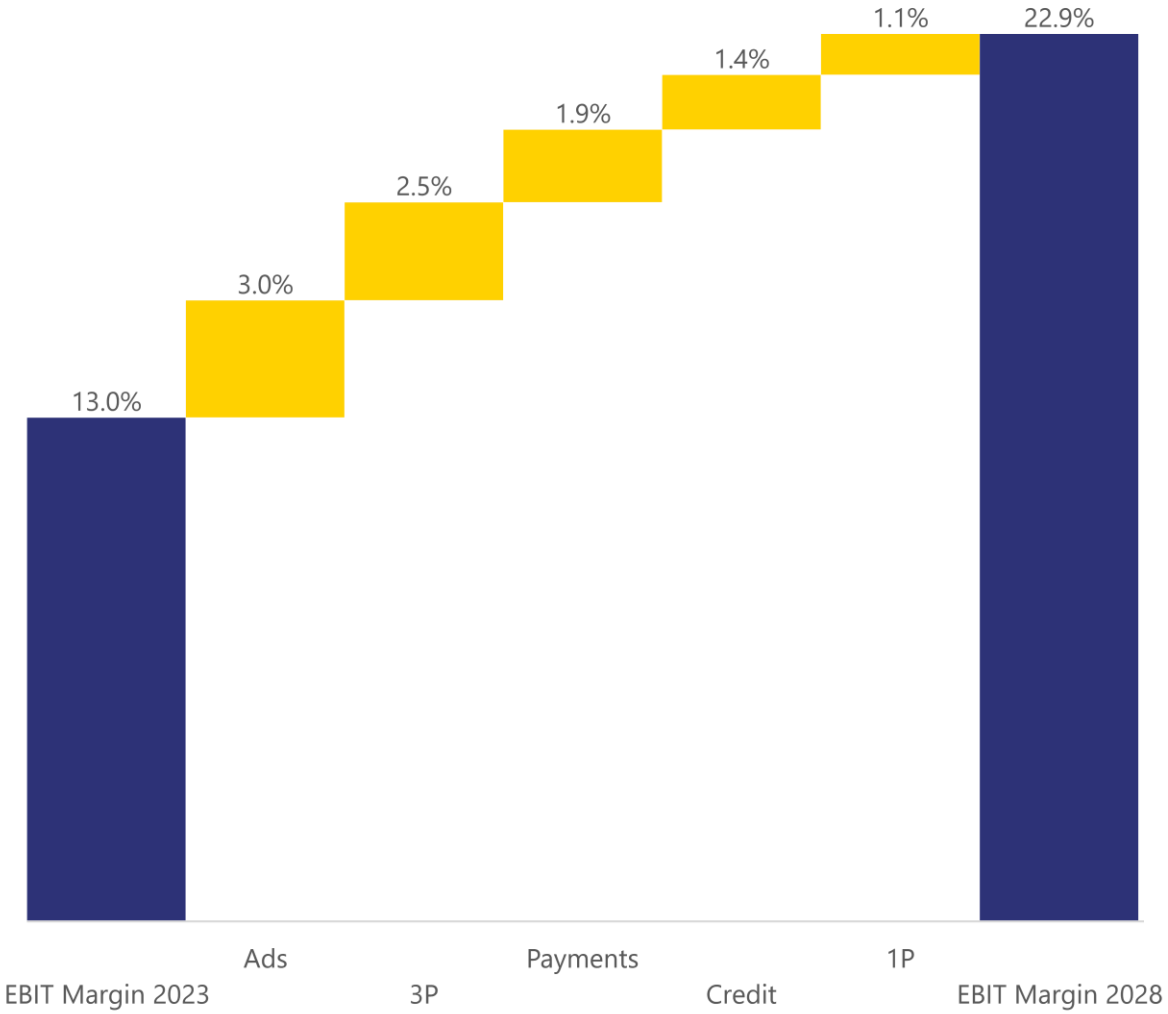



Sources: RHB Capital

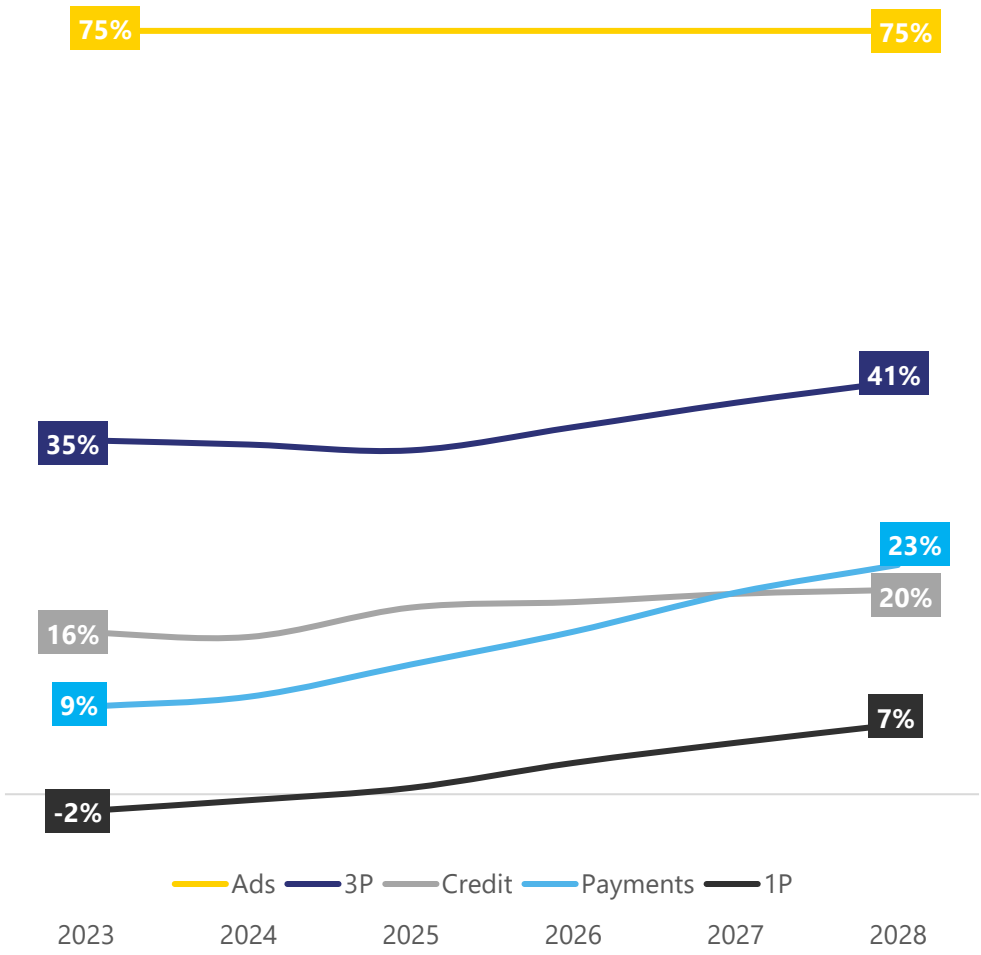
# Margin Breakdown by Segment

*Understanding the expansion*

*EBIT addition by segment (in %)*




*EBIT Margins by segment (%)*



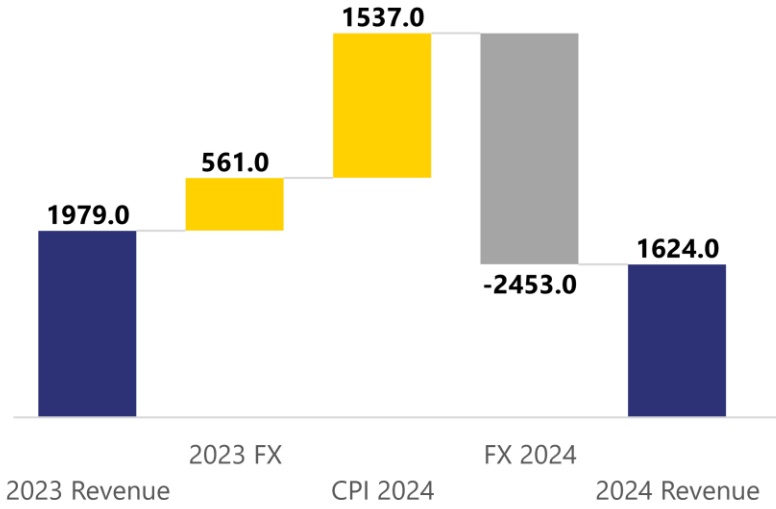

Sources: RHB Capital

# TPV Off Platform projection

*Valuation*

What was the **thought process** behind it?

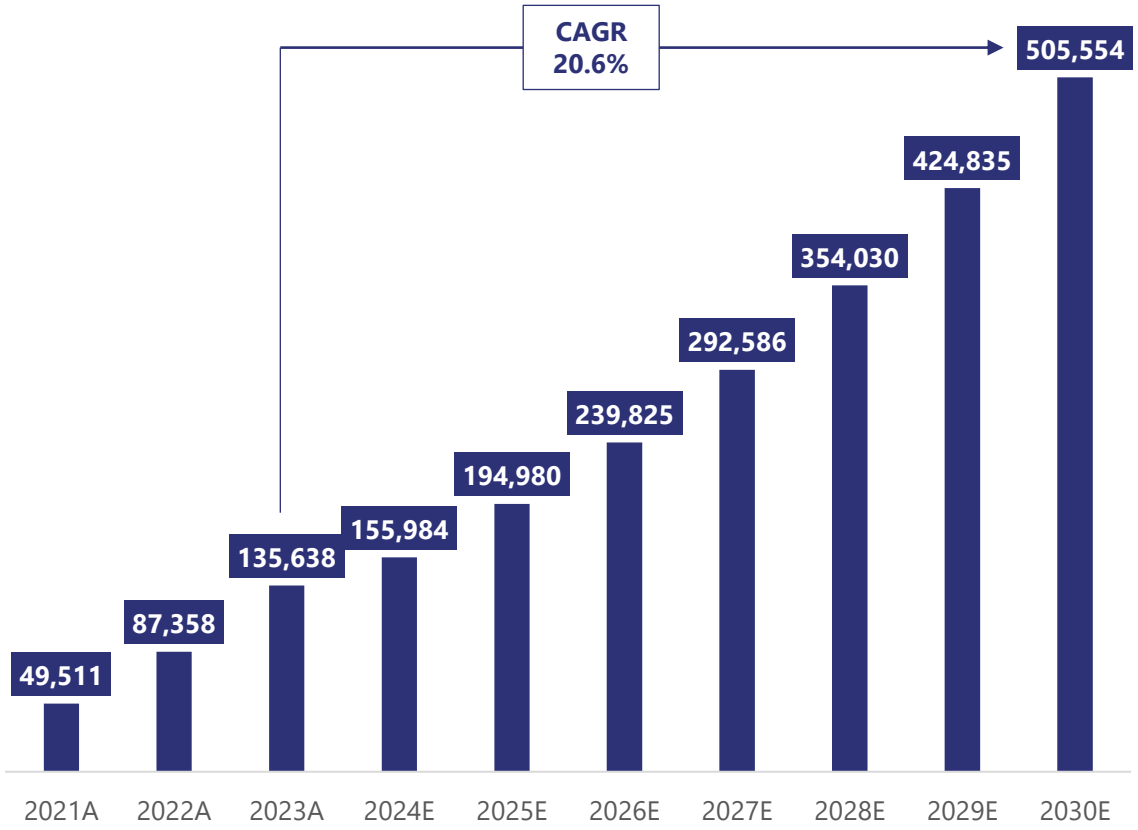
To forecast TPV growth, we used fintech revenue as a proxy. In this sense, our main concern was Argentina, with a 33% share of fintech revenue in 2023.




Even with a revenue growth in line with the CPI, Argentina's Fintech would take a 18% hit in 2024 due to major FX changes

Given this scenario, we were conservative in forecasting 2024. We assumed that the group of countries would grow 30%, a smaller number than the historical basis. For the following years, since Argentina would not have such a impact, our premisses were of a higher growth with Pago's increasing penetration.

*TPV Off Platform (USD mn)*




Sources: RHB Capital

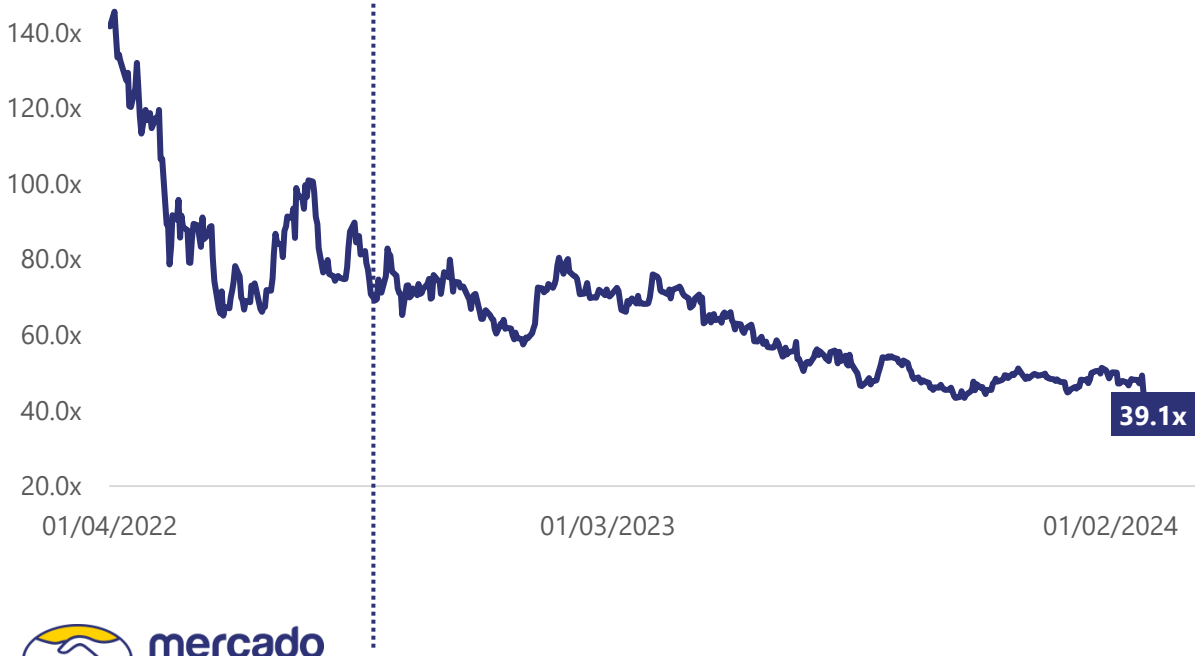
# IRR: Exit Multiple

*Valuation*

## Why a **25x P/E** as the exit multiple?

To choose our exit P/E multiple in our IRR and TSR analysis, we analyzed Meli's current NTM multiple. Furthermore, we conducted a trading comps to measure Meli's premium (or discount) when compared to e-commerce peers.

*Meli's Historical P/E NTM**




E-commerce peers P/E multiple*

| | LTM | NTM |
|---|---|---|
| mercado livre | **77.0x** | **39.1x** |
| amazon | 62.2x | 40.4x |
| magazineluiza | - | 39.8x |
| Alibaba.com | 12.9x | 8.4x |
| allegro | 117.6x | 22.9x |
| coupang | 23.6x | 48.8x |
| | 214.8x | 40.0x |
| **Average** | **86.2x** | **33.4x** |
| **Median** | **62.2x** | **39.9x** |

**Having a conservative approach, we chose our exit P/E as the NTM peers average with a 25% discount, resulting in a 25x multiple.**

* Data gathered on Factset on 03/31

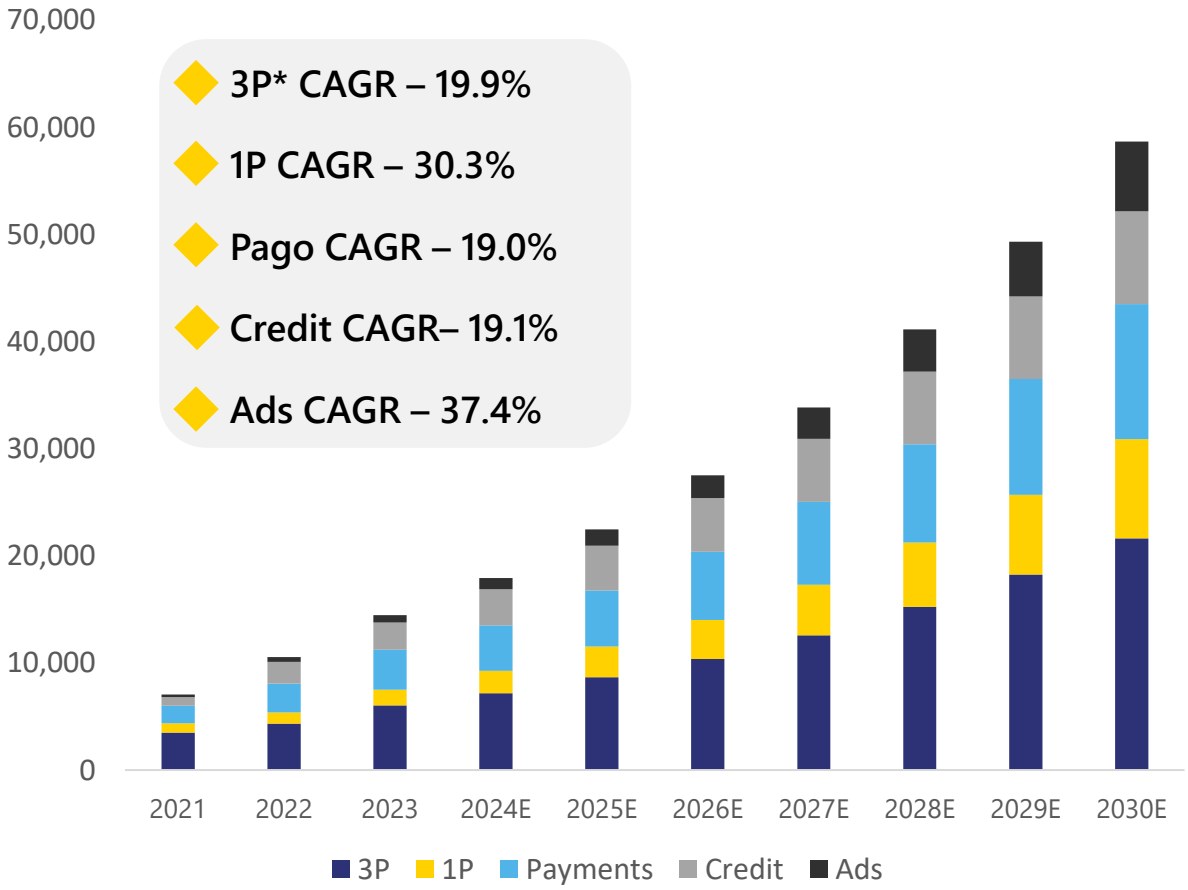
Sources: RHB Capital, Factset

# Revenue Buildup

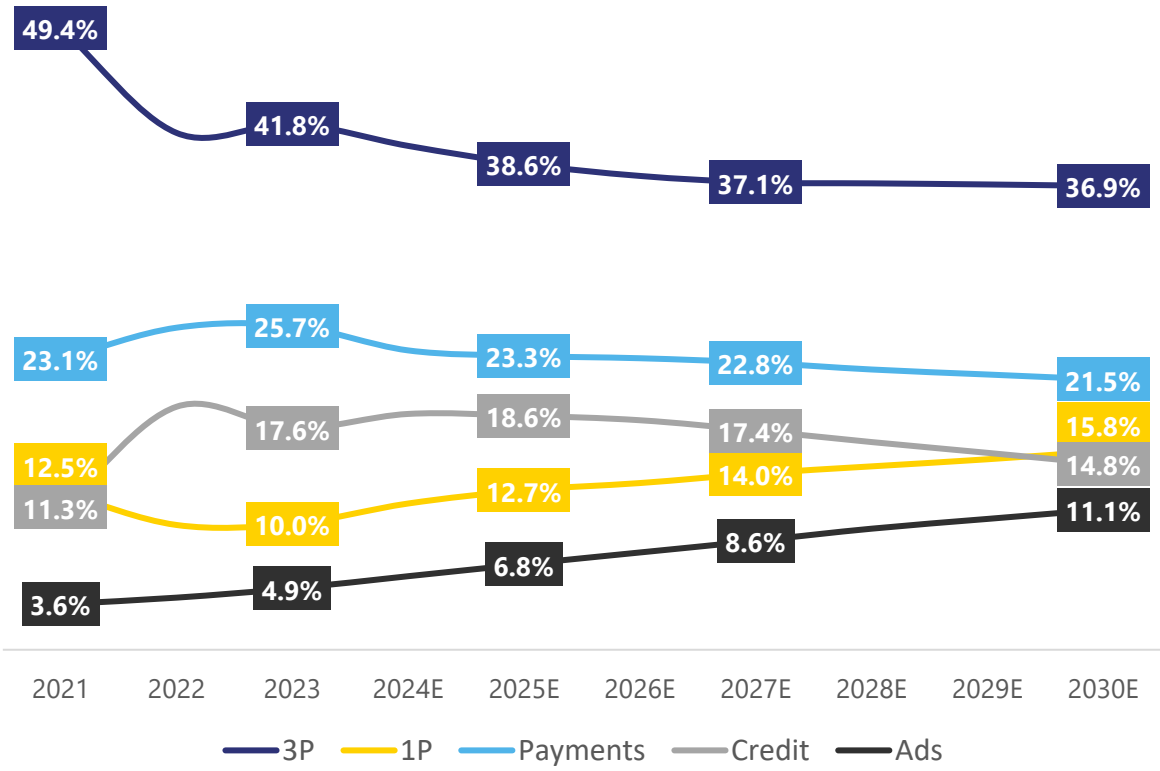
## *Valuation*

How does Meli's revenue look like in a **7-year span?**

*Revenue by segment (USD bn)*




*Segment share of total revenue (%)*




* 3P is excluding Ads revenue

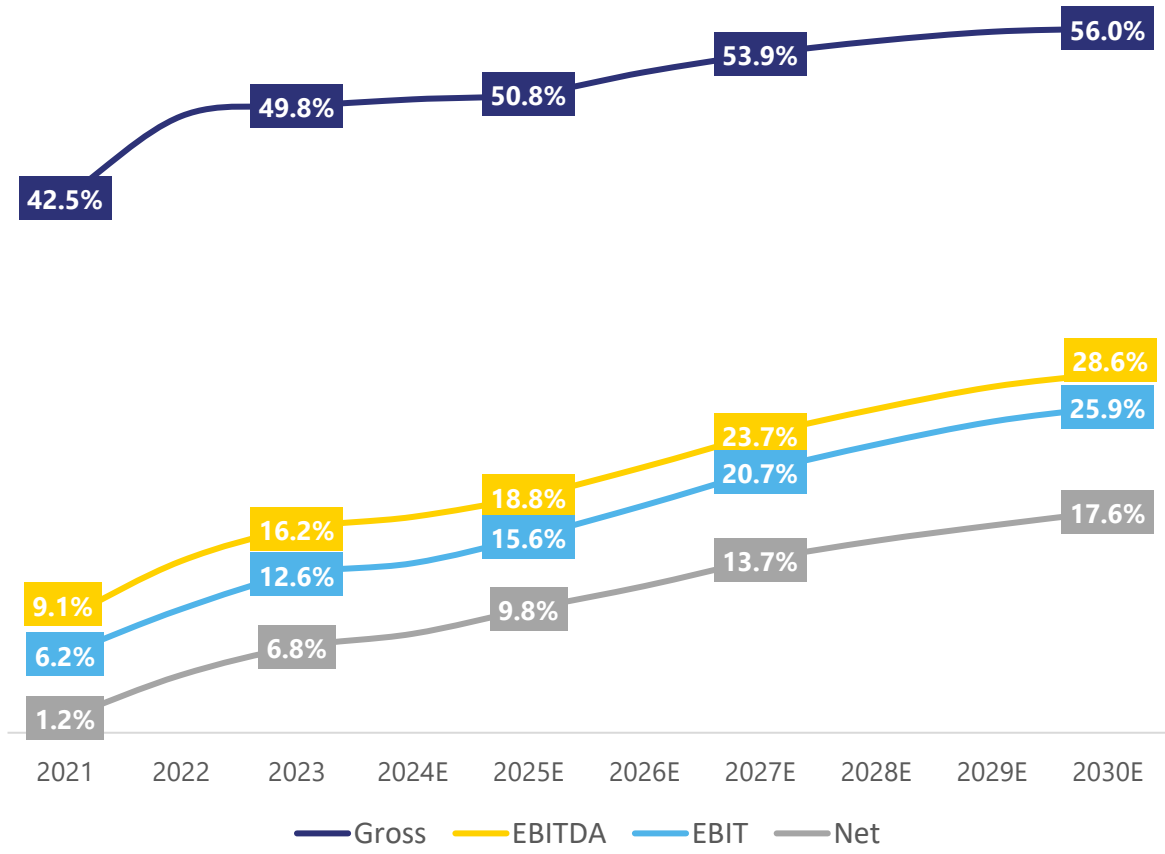
Sources: RHB Capital

# Margins and return metrics

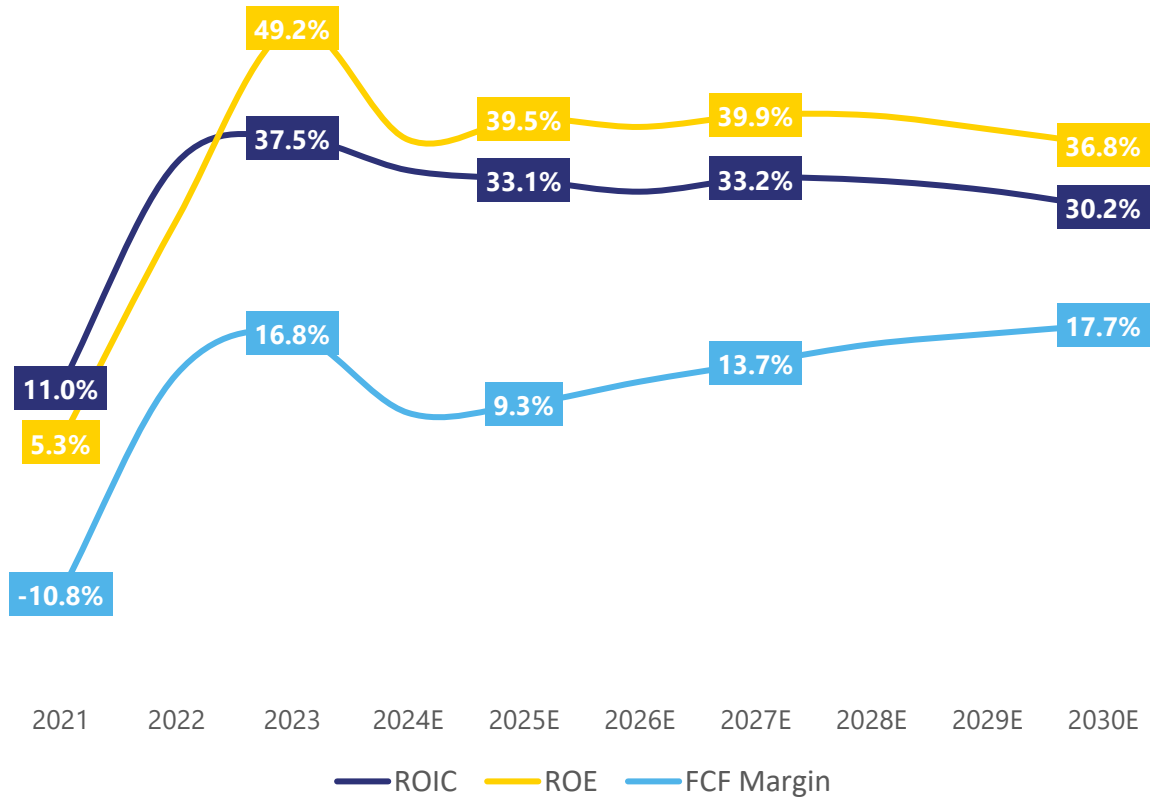
## *Valuation*

We expect a **considerable growth for Meli's margins**, given our theses of **ecosystem scale and Ads growth**, a business segment that will heavily help boost the IS bottomline. When we look at return metrics, we expect **high and stable ROIC and ROE levels.**

*Margins (%)*




*ROIC (Const View), ROE and FCF Margin (%)*



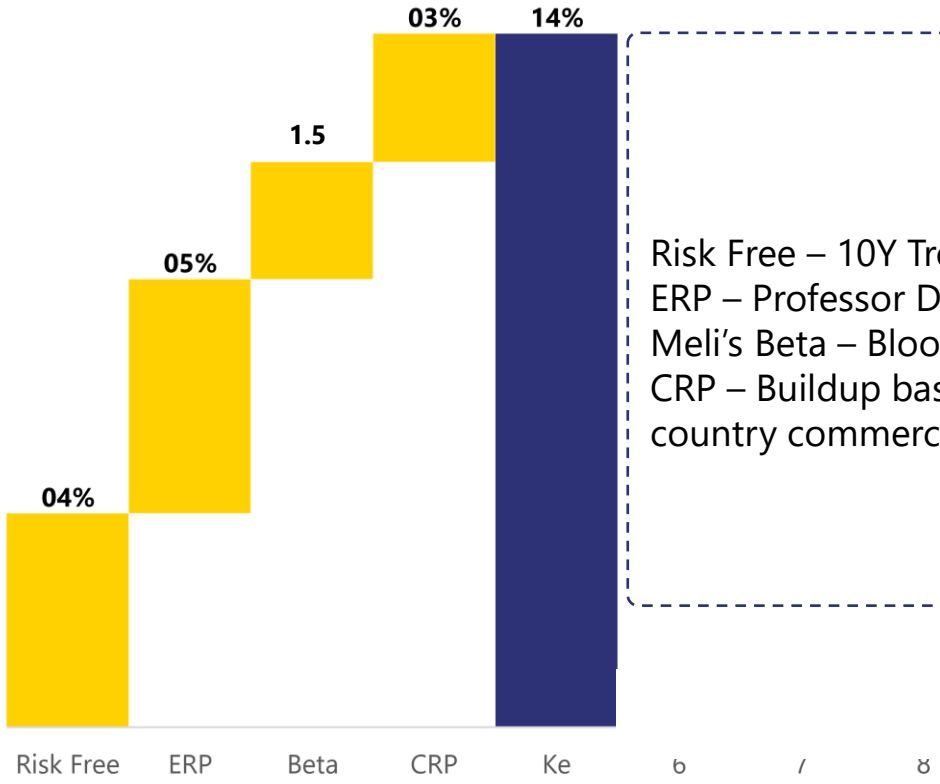

Sources: Team Elaboration

# Ke and FCFE sensibility

*Valuation*

We calculated the **cost of equity** using the **CAPM methodology**, reaching a **13.6% Ke in USD**. Furthermore, we **sensitized our upside** based on premisses of **perpetuity growth rate and discount rate.**

*Ke Buildup*




Risk Free – 10Y Treasury Yield
ERP – Professor Damodaran
Meli's Beta – Bloomberg
CRP – Buildup based on 2025E country commerce share

*FCFE upside – sensibility analysis Ke x g*

| Cost of Equity (%) \ Perpetuity growth (%) | 3.0% | 4.0% | 5.0% | 6.0% | 7.0% |
|---|---|---|---|---|---|
| 14.6% | -0.4% | 5.5% | 12.6% | 21.4% | 32.4% |
| 14.1% | 5.9% | 12.6% | 20.8% | 31.0% | 44.0% |
| 13.6% | 12.8% | 20.5% | 30.0% | 41.9% | 57.5% |
| 13.1% | 20.5% | 29.3% | 40.4% | 54.5% | 73.2% |
| 12.6% | 29.1% | 39.3% | 52.2% | 69.0% | 91.8% |

**The only cenarios in which the cost of equity is higher than the upside, meaning that our investment would not be worth it, are the ones in which Meli's does not grow in line with IPCA and a higher opportunity cost is set.**



Sources: Bloomberg, Damodaran, RHB Capital

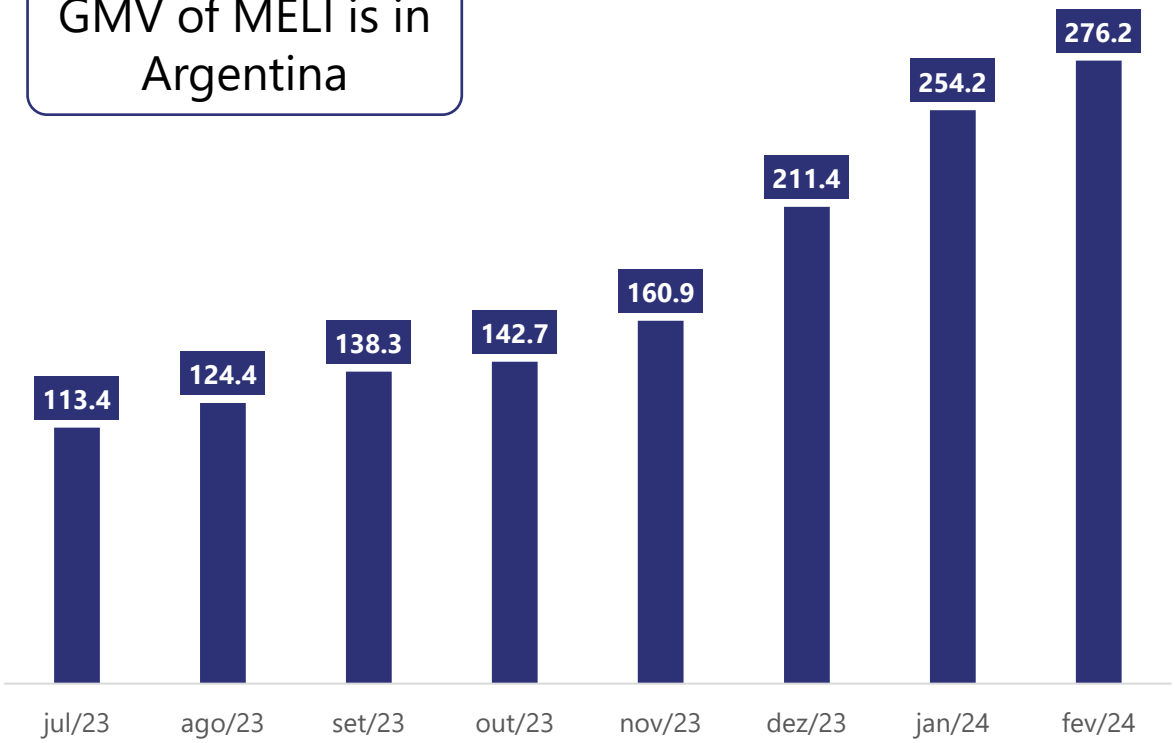
# RISKS

# Argentina Risks

The macroeconomic situation in Argentina represents risks for the company, given the **country's inflationary situation and its importance to Mercado Libre's revenue**

*Year-on-year variation of National CPI (Consumer Price Index) in Argentina*

24.3% of the total GMV of MELI is in Argentina




**In 2023, the 'Other expenses' were pressured by Argentine inflation**

- $417 mn loss due to the acquisition of own MELI common stock in the Argentine market
- $183 mn loss due to foreign exchange losses from their Argentinian subsidiaries

*Two different exchange rates for the dollar:*

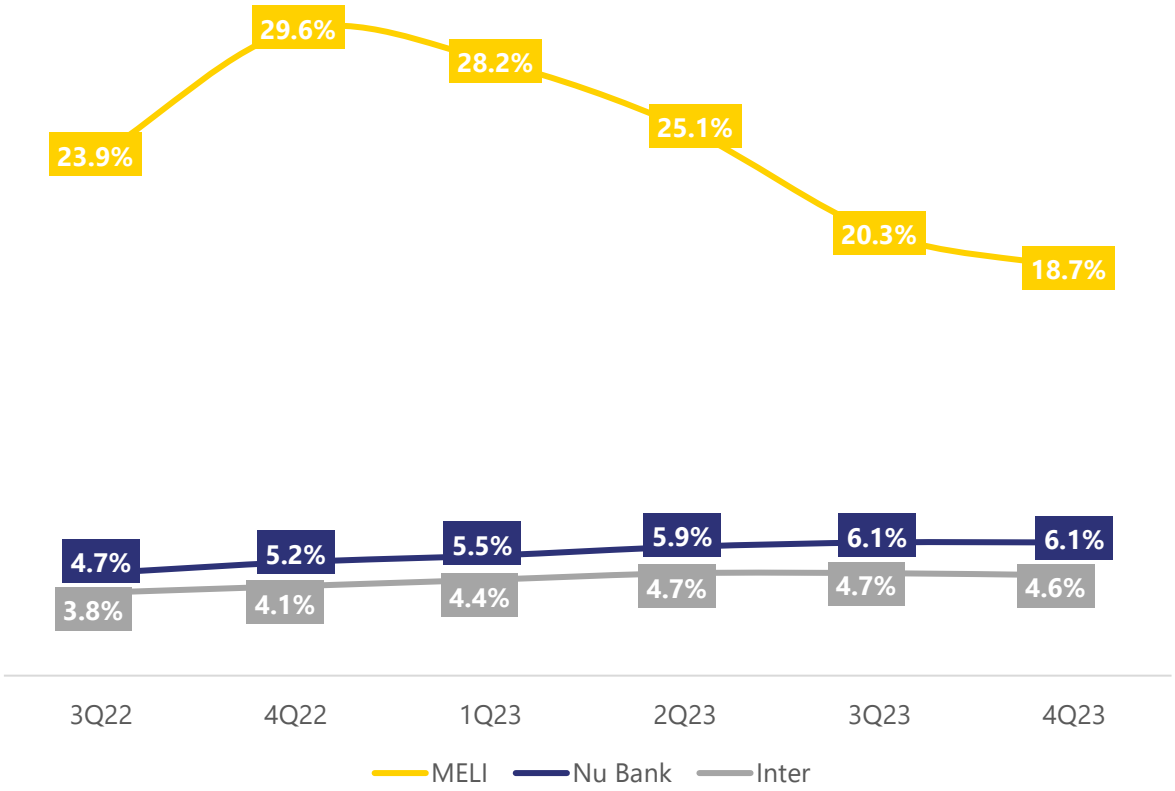
| Official Dollar Exchange Rate (CBA) | Dollar Blue (Unofficial) |
|---|---|

Sources: Company, RHB Capital, Instituto Nacional de Estadística y Censos (INCED)

# Credit Risk

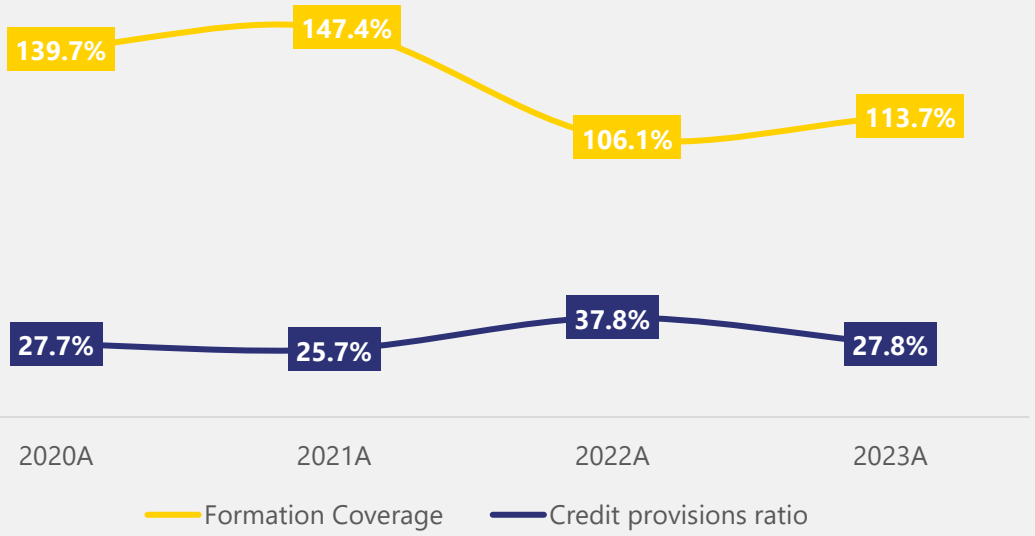
We believe that Mercado Libre is quite **exposed to a potential credit** risk; however, due to the high provision, **we do not see significant liquidity risks**

*Non Performing Loans +90 (%)*




In 2023, MELI had 113.7% of its NPL+90 covered by provisions. Despite this, **a deterioration in the credit scenario could bring future cash losses to the company**, given that in the same year 25.9% of the total credit portfolio is provisioned

*Formation coverage (%) and Credit provision ratio (%)*



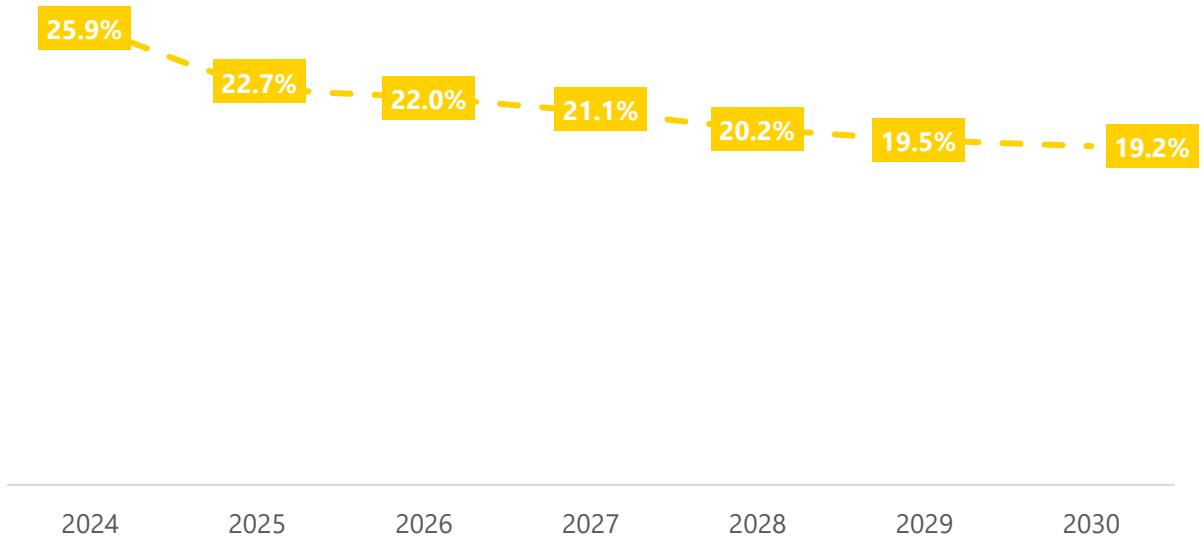



Sources: Companies, RHB Capital

# Credit Risk

We believe that Mercado Libre is quite **exposed to a potential credit** risk; however, due to the high provision, **we do not see significant liquidity risks**

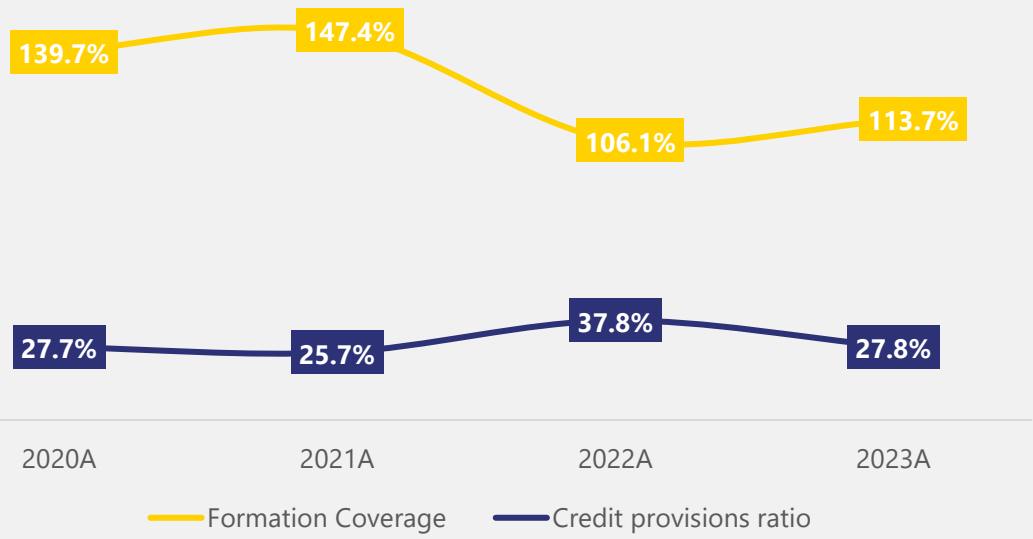
*Non Performing Loans +90 (%)*




***We expect MELI to keep improving its credit portfolio, although its delinquency rate will still rank high compared to its competitors***

In 2023, MELI had 113.7% of its NPL+90 covered by provisions. Despite this, **a deterioration in the credit scenario could bring future cash losses to the company**, given that in the same year 25.9% of the total credit portfolio is provisioned

*Formation coverage (%) and Credit provision ratio (%)*




Sources: Companies, RHB Capital

# MERCADO PAGO/CRÉDITO

# No Pago, No Libre!

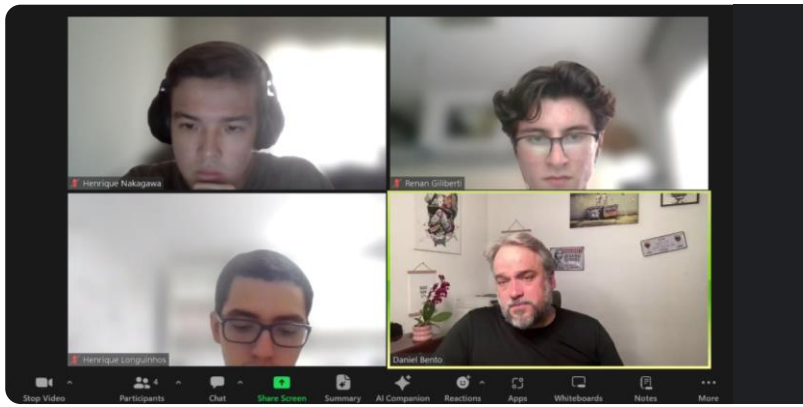
*Synergies between marketplace and payments*

Mercado Pago and Crédito offers **different payments propositions for the user**, ensuring that the costumer will **buy the product that he is looking for with the best pricing terms.**

*Mercado Pago allows greater control regarding marketplaces transactions:*

- Buy Now Pay Later solution
- Personal loans and purchases in installments without credit cards.
- Conversation rates and sales of products with higher tickets boost.

**Daniel Bento**
*ABComm Fintech Director*




"The possibilities of e-commerce growth **with no credit access available** are close to **none.** Mercado Libre **does not live** without Mercado Pago."

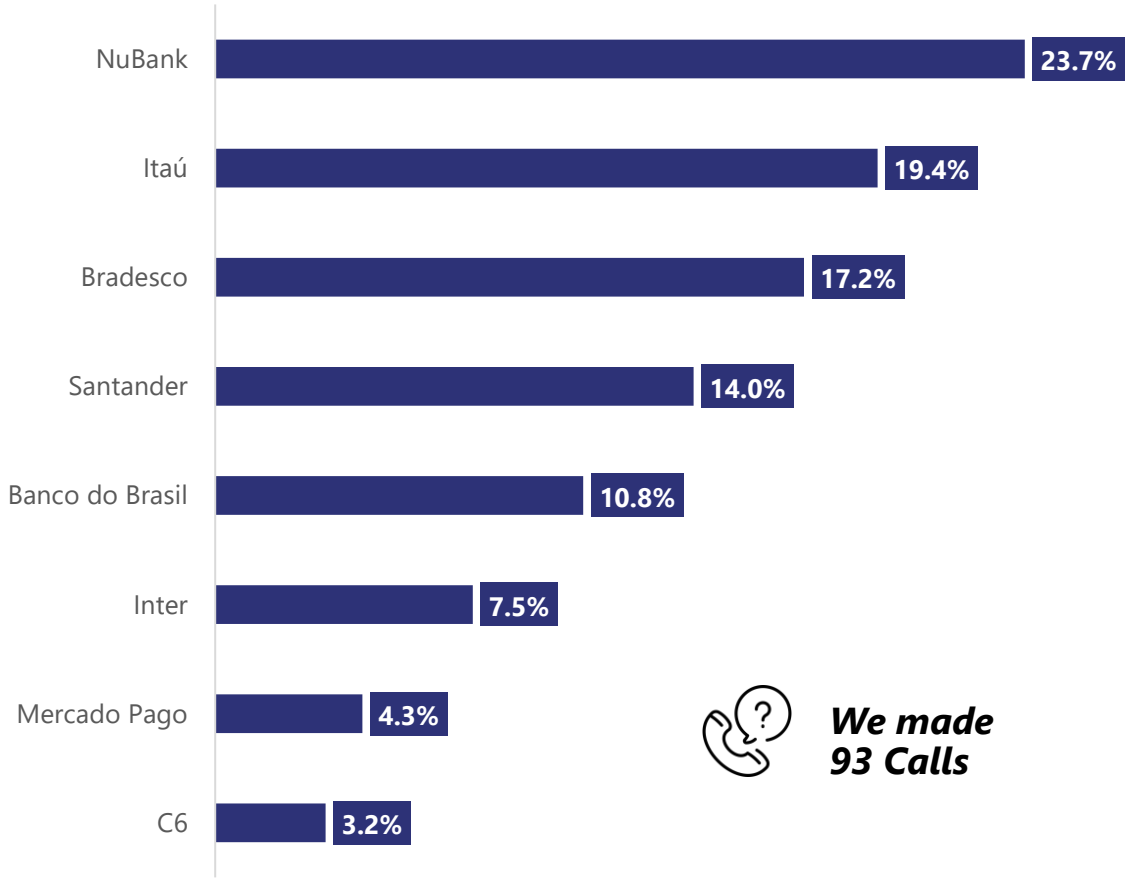
Sources: Company, RHB Capital

# Mercado Crédito

## *What we believe about Mercado Crédito growth*

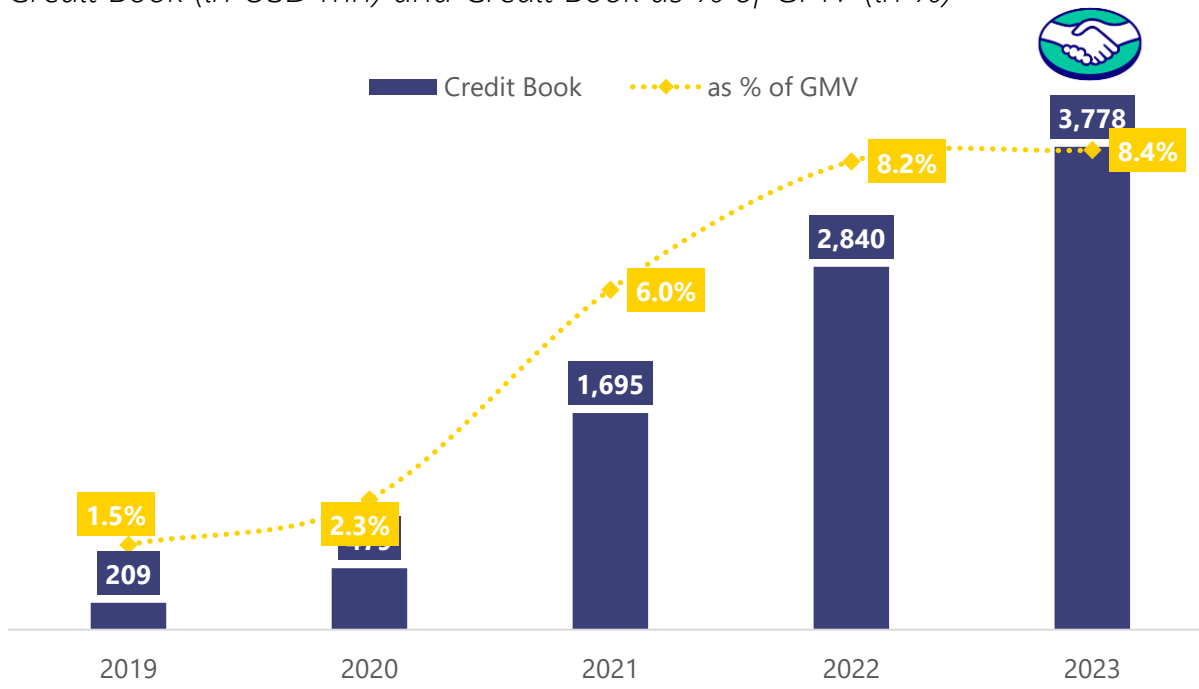
Given the principality of Mercado Pago, we believe the company will find greater ease in growing within its own ecosystem, as has been happening in recent years

*What is your main bank account?*




***We made 93 Calls***

*Credit Book (in USD mn) and Credit Book as % of GMV (in %)*




**The credit penetration in comparison to the Whole fintech business revolves Around 14.4%**

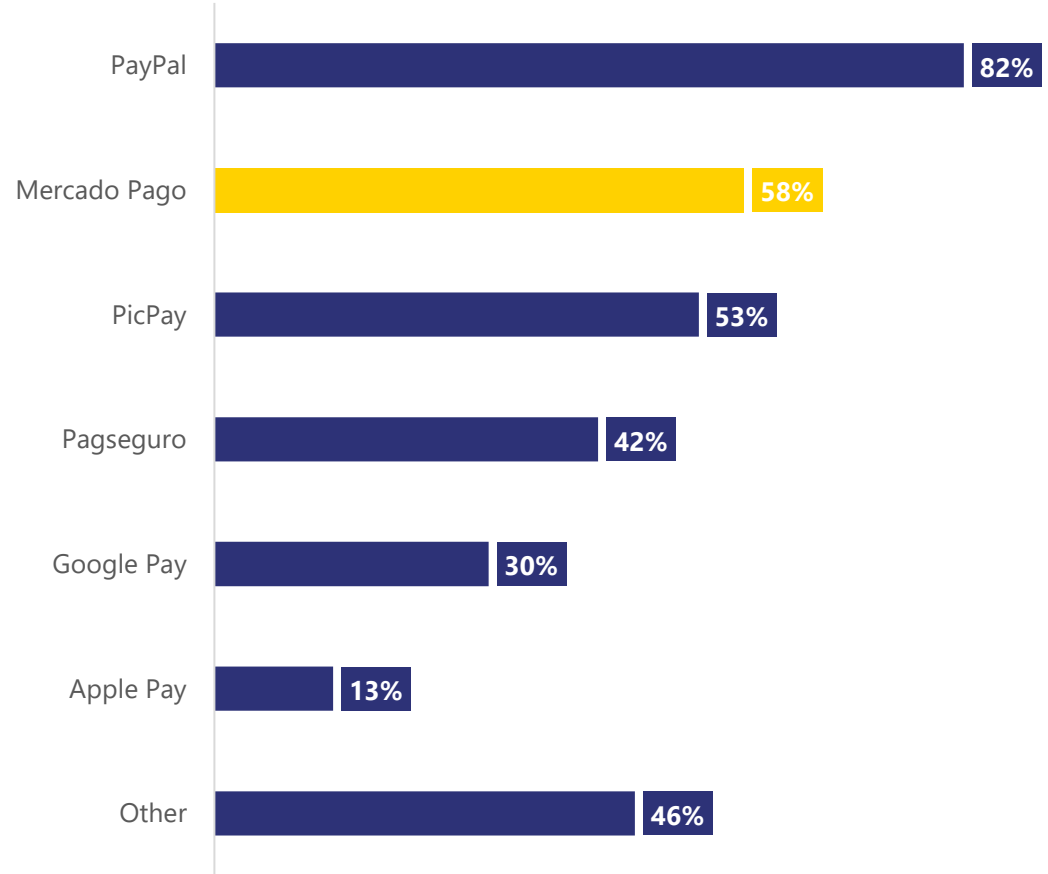


Sources: Company, RHB Capital

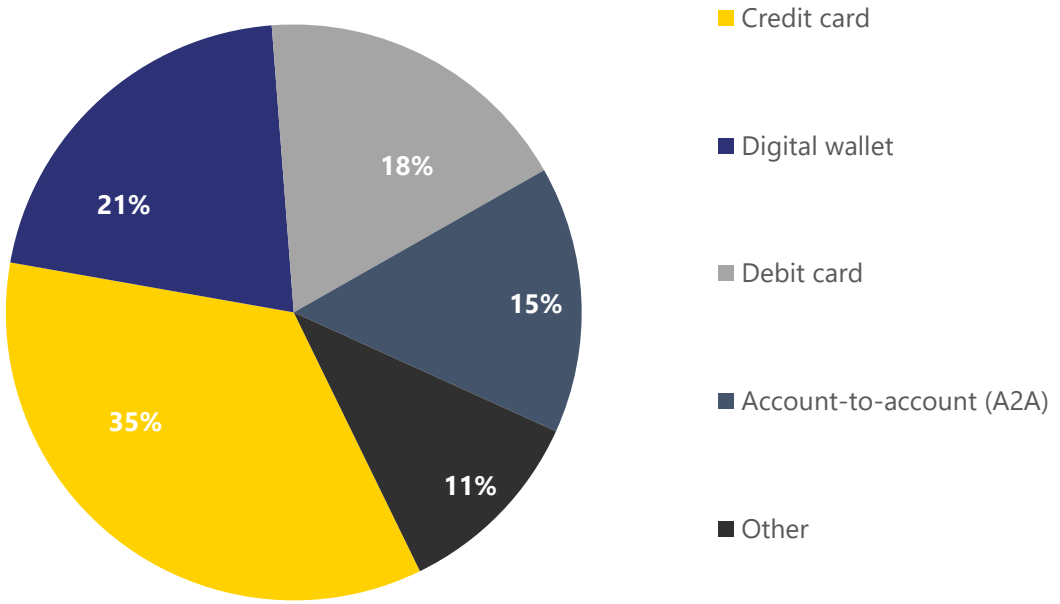
# Payments Share

In 2023, PayPal and Mercado Pago were the most used online payment services in Brazil. Furthermore, credit card was the most used payment method in 2022

*Most used online payments by brand in Brazil, 2023 (%)*




*Market share of payment methods in the total e-commerce transaction value in Latin America in 2022 (%)*




Sources: Companies, Statista, RHB Capital

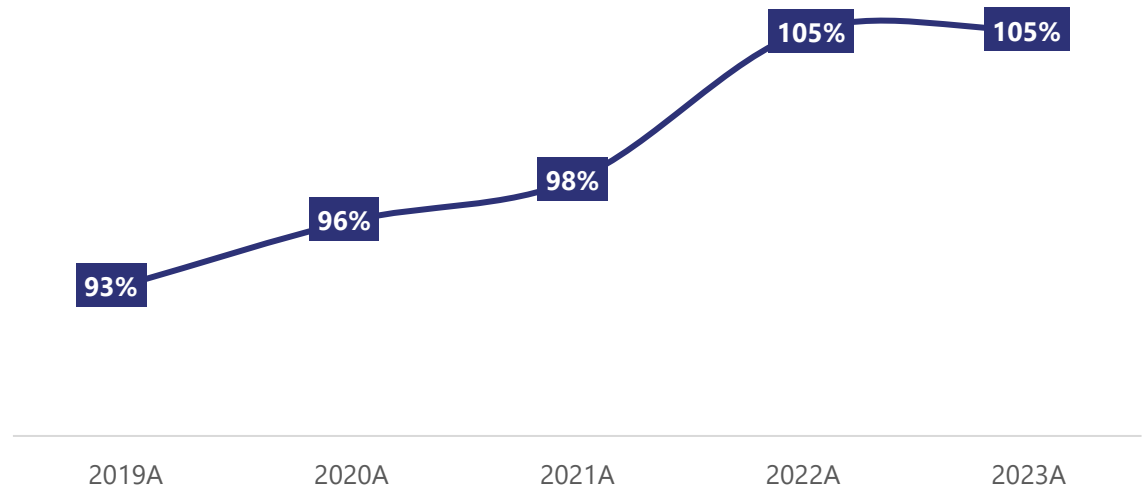
# Mercado Pago: Payments

Mercado Pago is **already fully integrated into on-platform** purchases, and we believe there is **room for expansion off-platform**

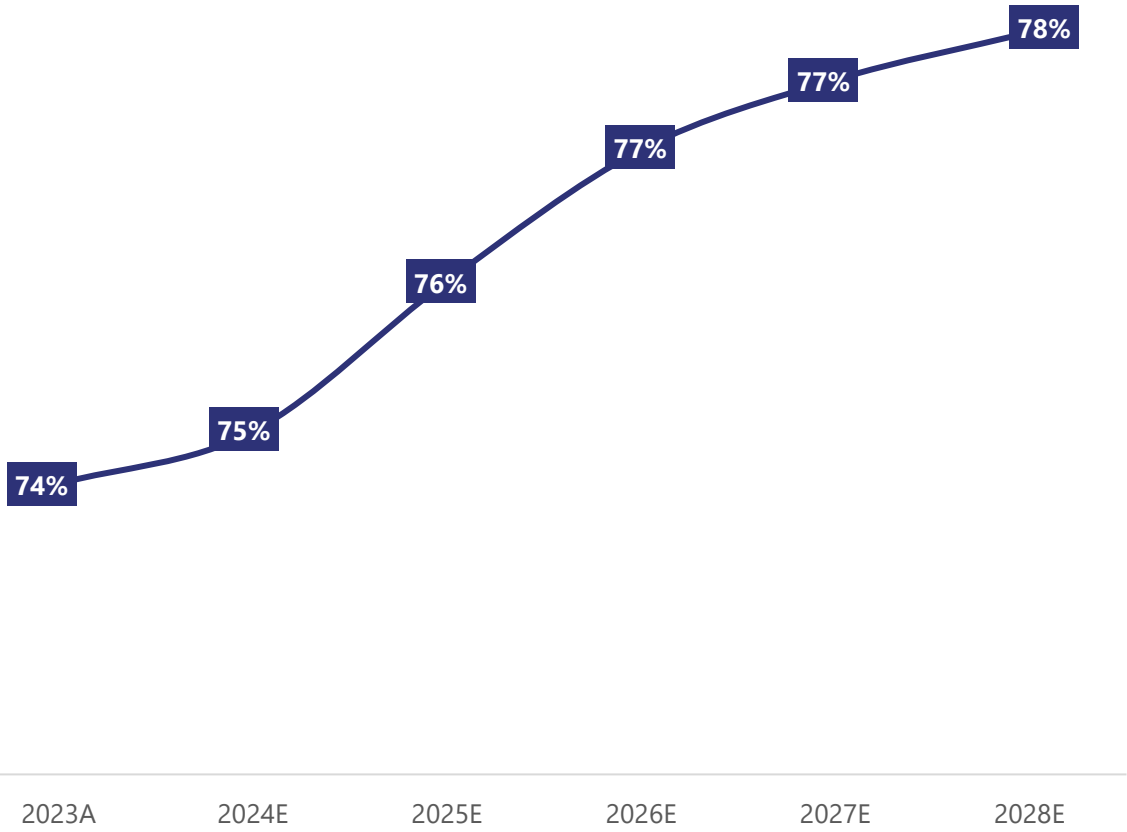
mercado pago

Fully penetrated in the marketplace:
**105.4%**
of on platform TPV

*TPV On platform as % of GMV (%)*




*TPV Off platform as % of Total TPV forecast (%)*




mercado livre

Sources: Company, PHB Capital

# Mercado Pago: Payments

Mercado Pago has **low fees and a wider range of services**

## Digital Account

- *Investments*
- *Insurance*
- *Crypto Wallet*
- *Card*

*Despite the advantages offered in the digital account, we still do not see it gaining principality in relation to competitors*




## MERCHANT

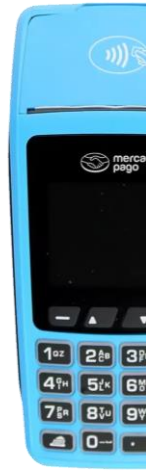
*Average fee charged per checkout service per company*

| | | PicPay | PayPal |
|---|---|---|---|
| **Average Fee** | **4.48%** | **4.56%** | **4.79% + fixed fee** |

**Average fees charged for credit card payments in cash*

*Mobile point-of-sale (MPOS)*

| | Point | PagBank | cielo |
|---|---|---|---|
| **Debt Card** | **1.99%** | **1.99%** | **1.99%** |
| **Credit Card** | **3.03%** | **3.99%** | **3.03%** |



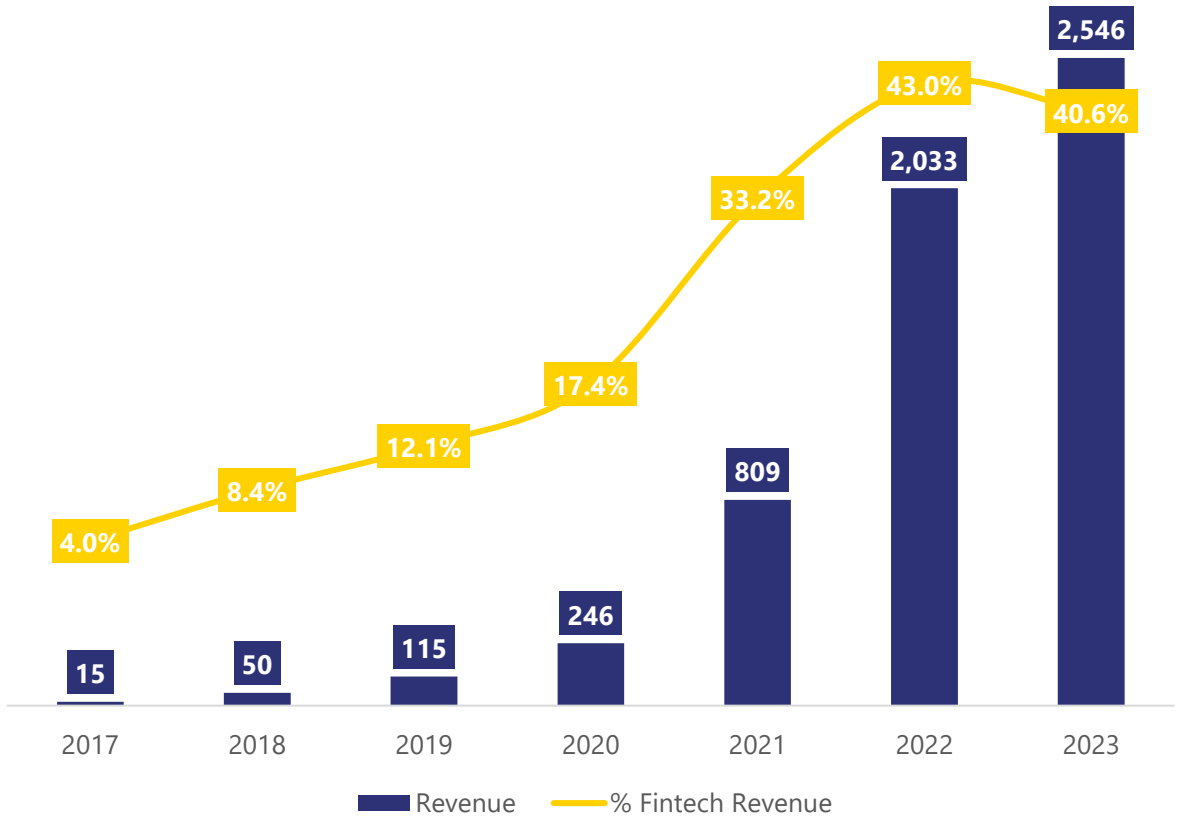
Sources: Companies Websites, RHB Capital

# Mercado Crédito is booming

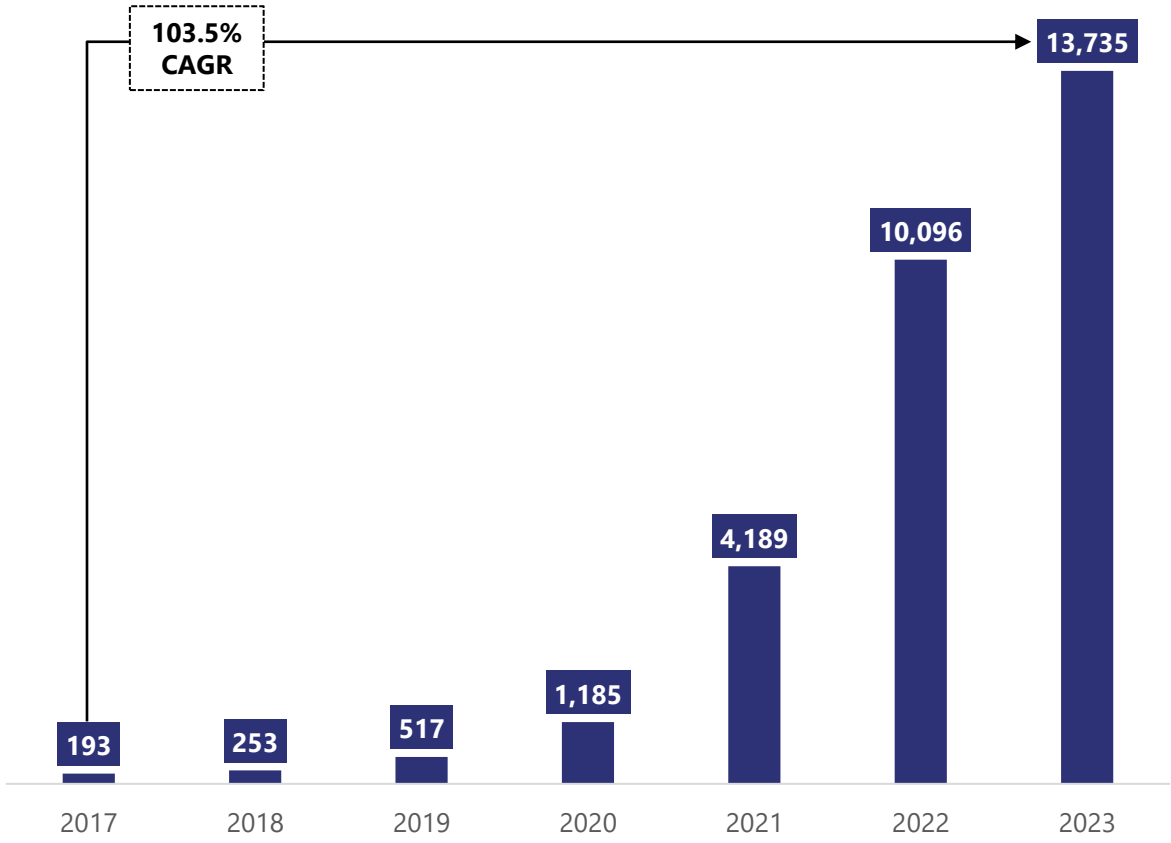
*Democratizing financial access is carving great results*

As a result of the implementation of financial services within the marketplace, Mercado Libre has taken its **credit portfolio to incredible heights in a very short time span**, increasing **Crédito importance** in the **company fintech revenue composition**

*Credit Revenue (USD mn) and as % of Fintech Revenue*




*Credit originations (USD mn)*






Sources: Company, RHB Capital

# Integration of Mercado Pago into the Ecosystem

The use of Mercado Pago presents significant **advantages for those involved in the ecosystem**

**Seller**



- **18-month installments** with Mercado Pago card
- Participate in the **points program to gain advantages**
- **12-month installments even without Mercado Crédito card**
- **Convenience**

mercado pago + mercado livre

**Consumer**



- Offer of **credit with less bureaucracy**
- **Transparent fees** and get the money whenever is needed
- **High security** for both seller and buyer
- **Convenience**



Sources: Company and RHB Capital

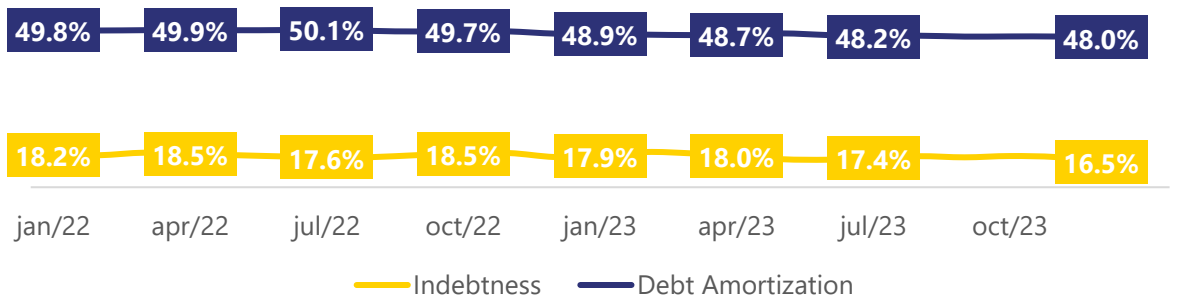
# MACRO ANALYSIS

# Employment and debt indexes

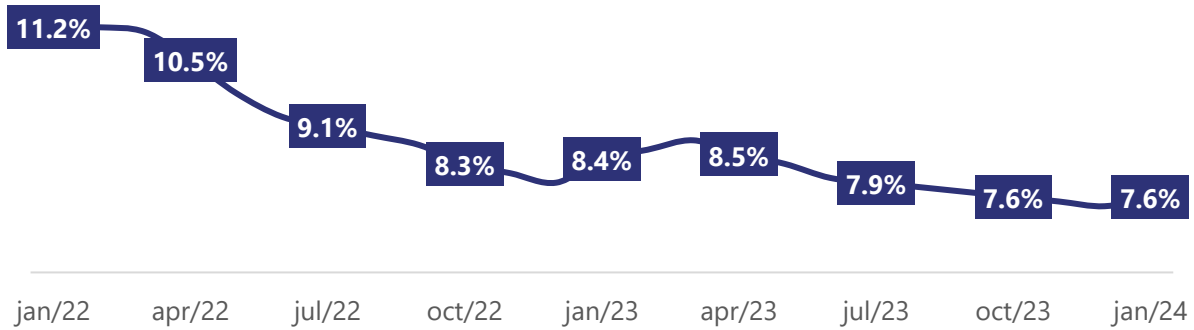
## *Brazil*

Major indexes point out to a greater **future consumption** in Brazil, due to **less indebted families and great employment levels.**

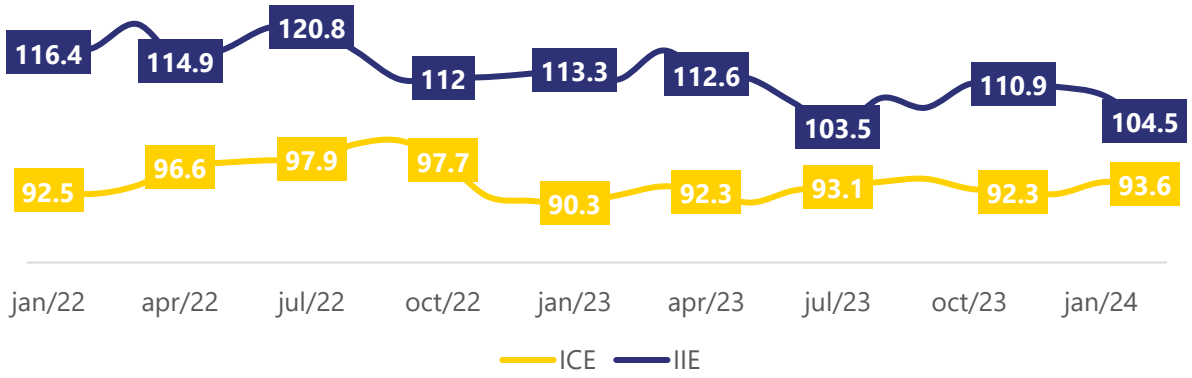
*Debt as a % of income and debt payments as a % of income*



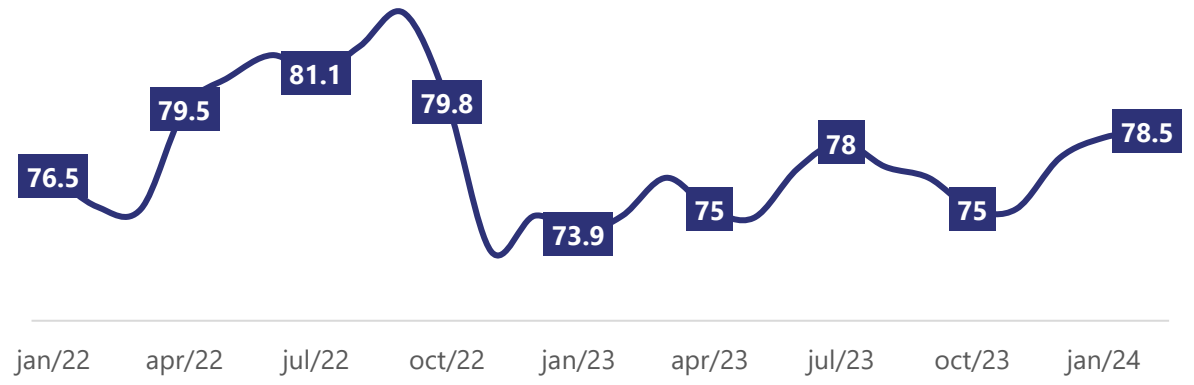

*Unemployment rate (%)*




*ICE (Business confidence), IIE (Economic uncertainty index)*




*IAEmp sazonally adjusted (Leading employment index)*



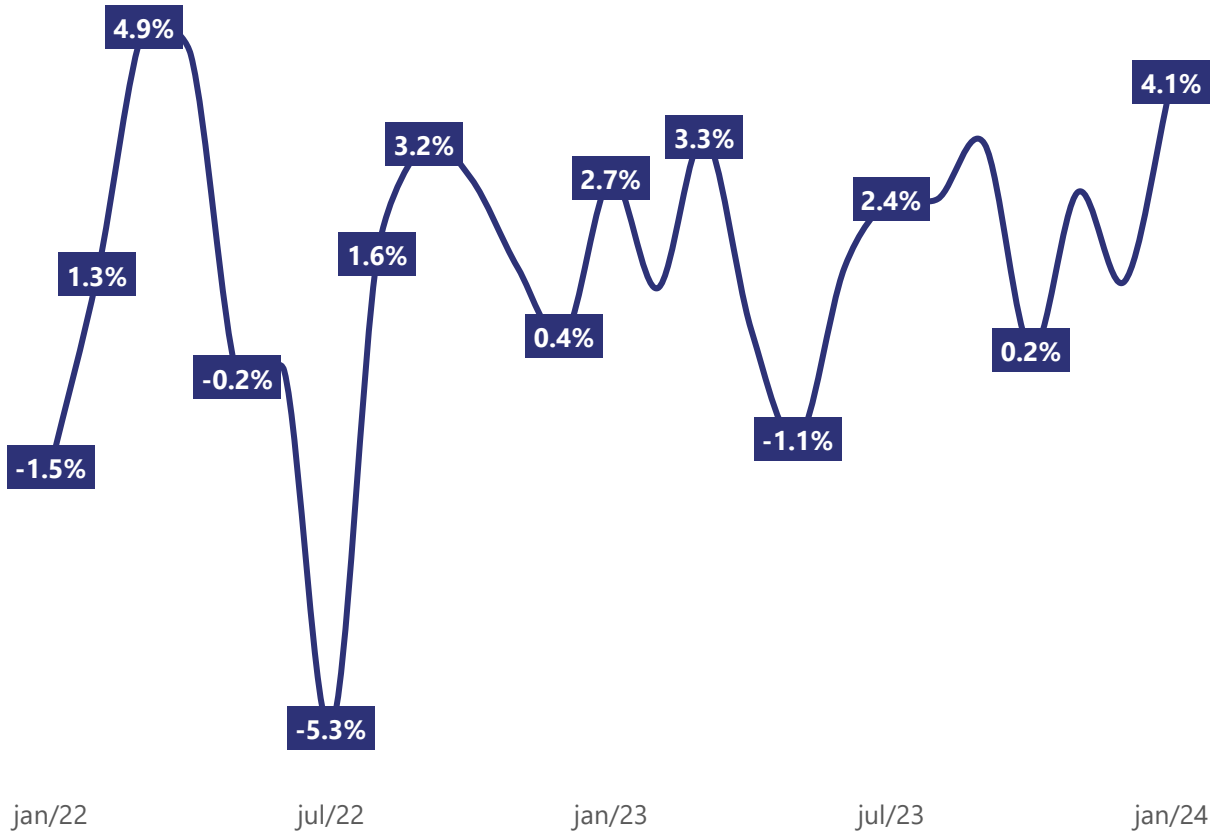

Sources: Trading Economics, IBGE, BCB, FGV IBRE

# Consumption

## *Brazil*

Retail sales are having a **great last twelve months, with continuous growth**. Consumer confidence, after really low levels during 2022, are **near to the 100 mark.**

*Retail Sales YoY (%)*




*Consumer Confidence Index (CCI)*



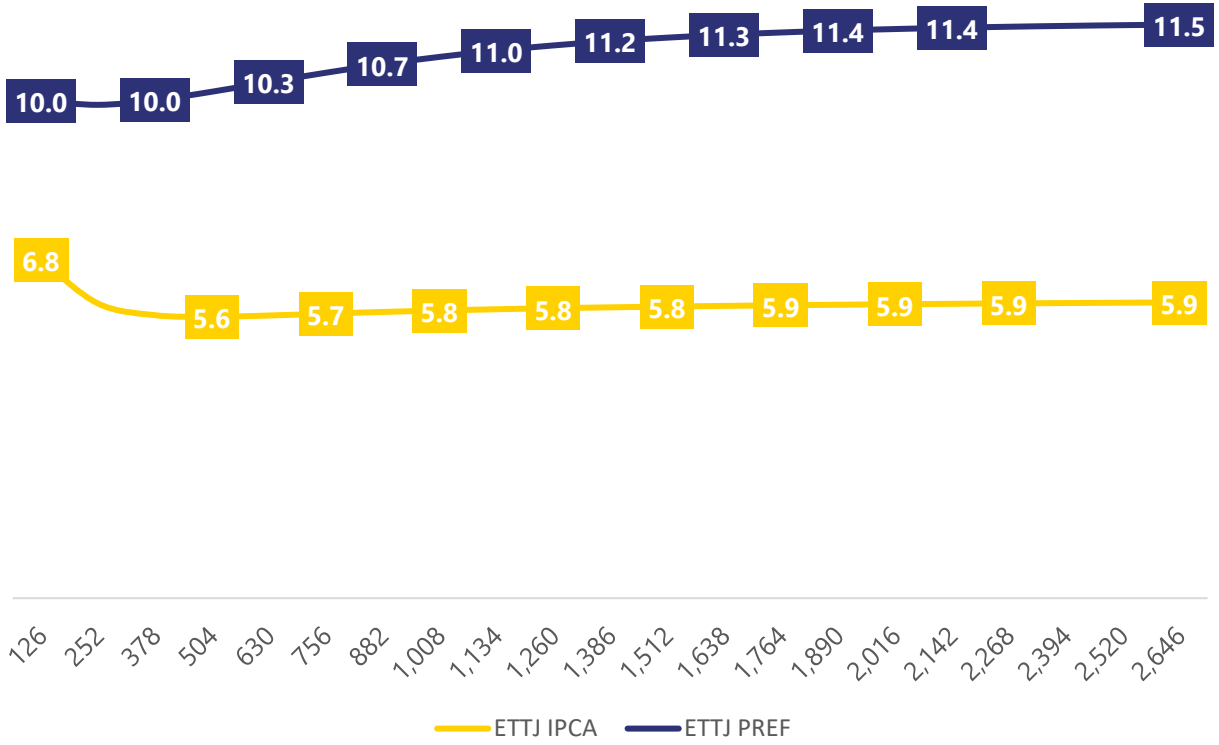

Sources: Trading Economics, FGV IBRE

# Yield curve, foreign exchange, inflation

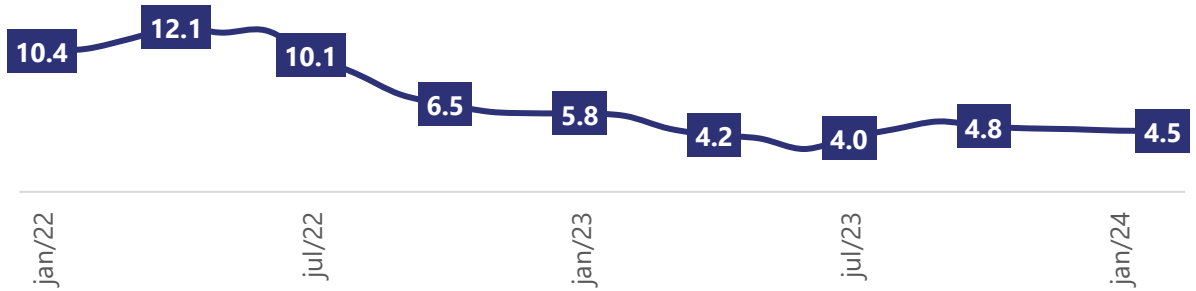
## *Brazil*

While the yield curve still prices a a terminal interest rate above 10%, we see that **Brazil's inflation has been under control ever since 2022.** Furthermore, while above 2019 levels, USD/BRL seems to **"walk" sideways** for the last years.

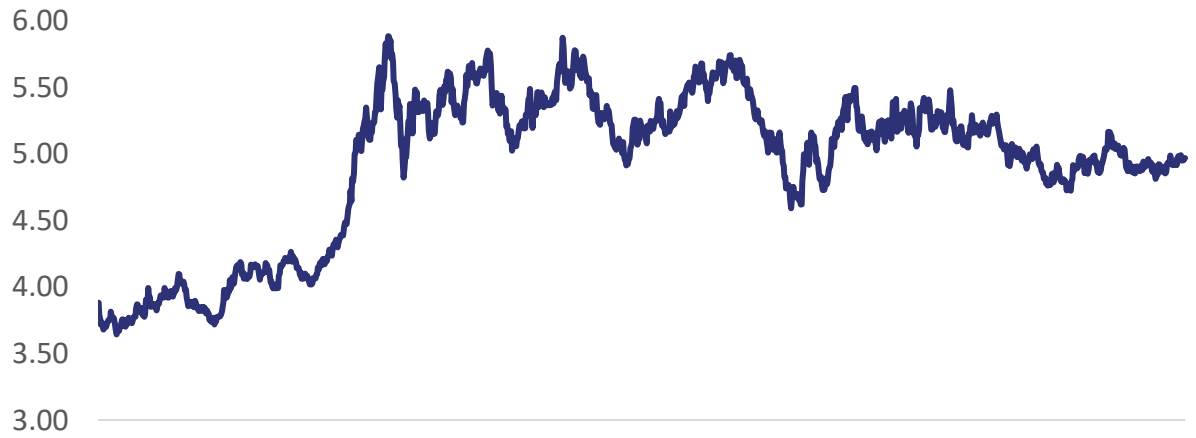
*Yield Curve (%)*




*Accumulated LTM IPCA (%)*




*USD/BRL FX since 2019 (in Reais)*



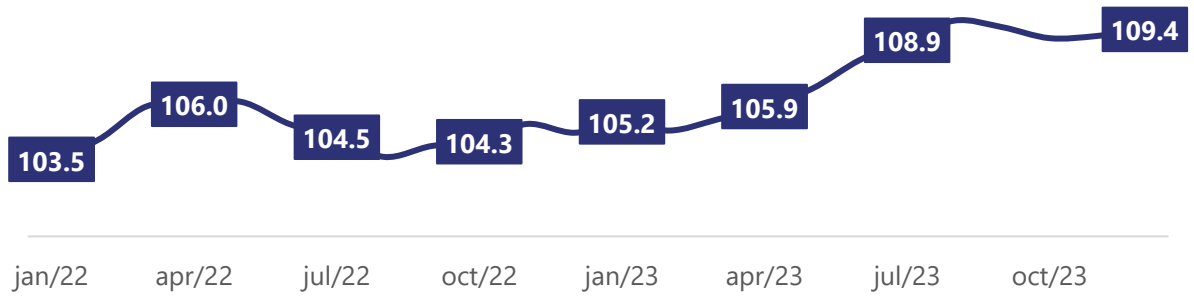

Sources: Anbima, IBGE, Investing

# Economic activity and employment

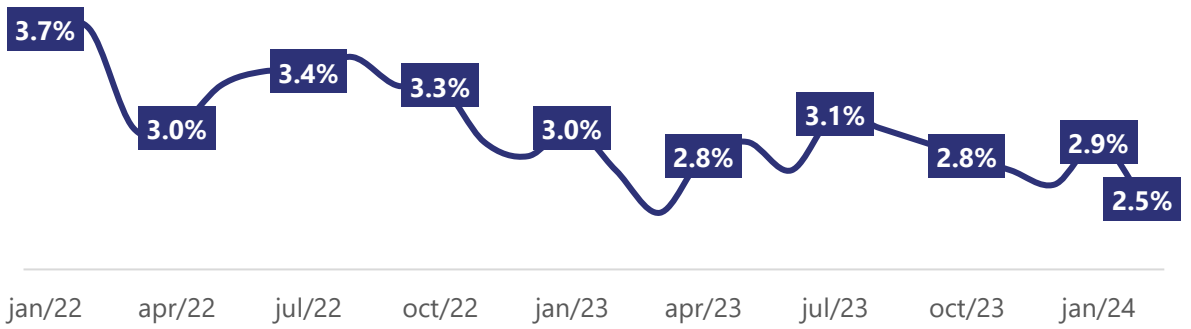
## *Mexico*

We see that **Mexico's economic activity is booming**, with **low unemployment rates** and a **growing business confidence.**

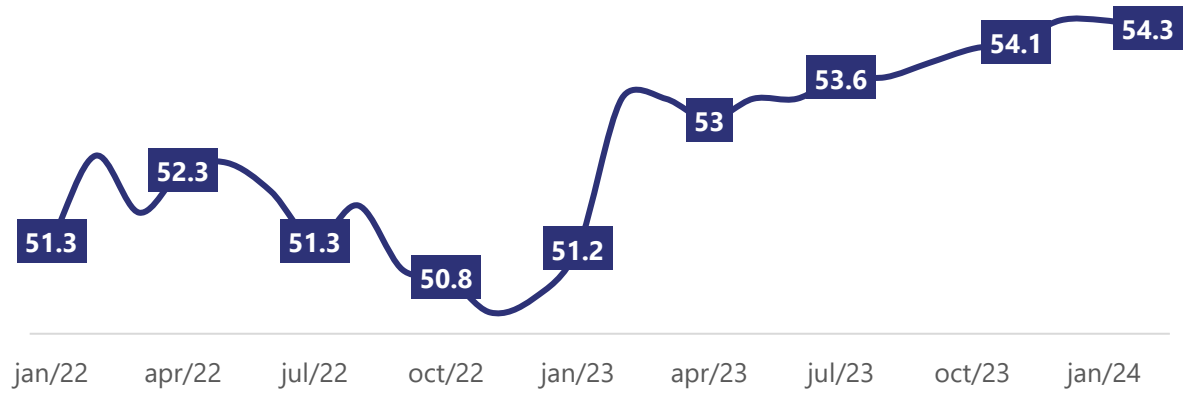
*Leading Indicator*



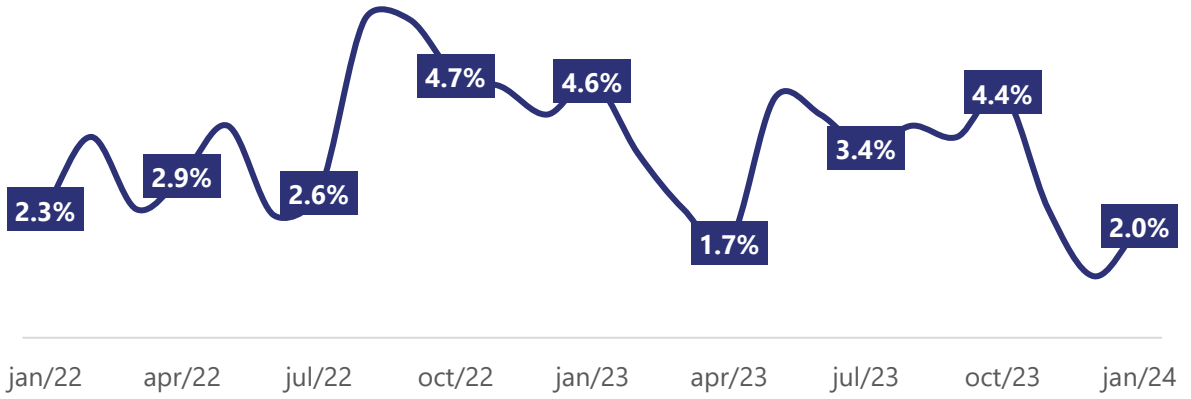

*Unemployment rate (%)*




*Business Confidence*




*Economic Activity YoY (%)*





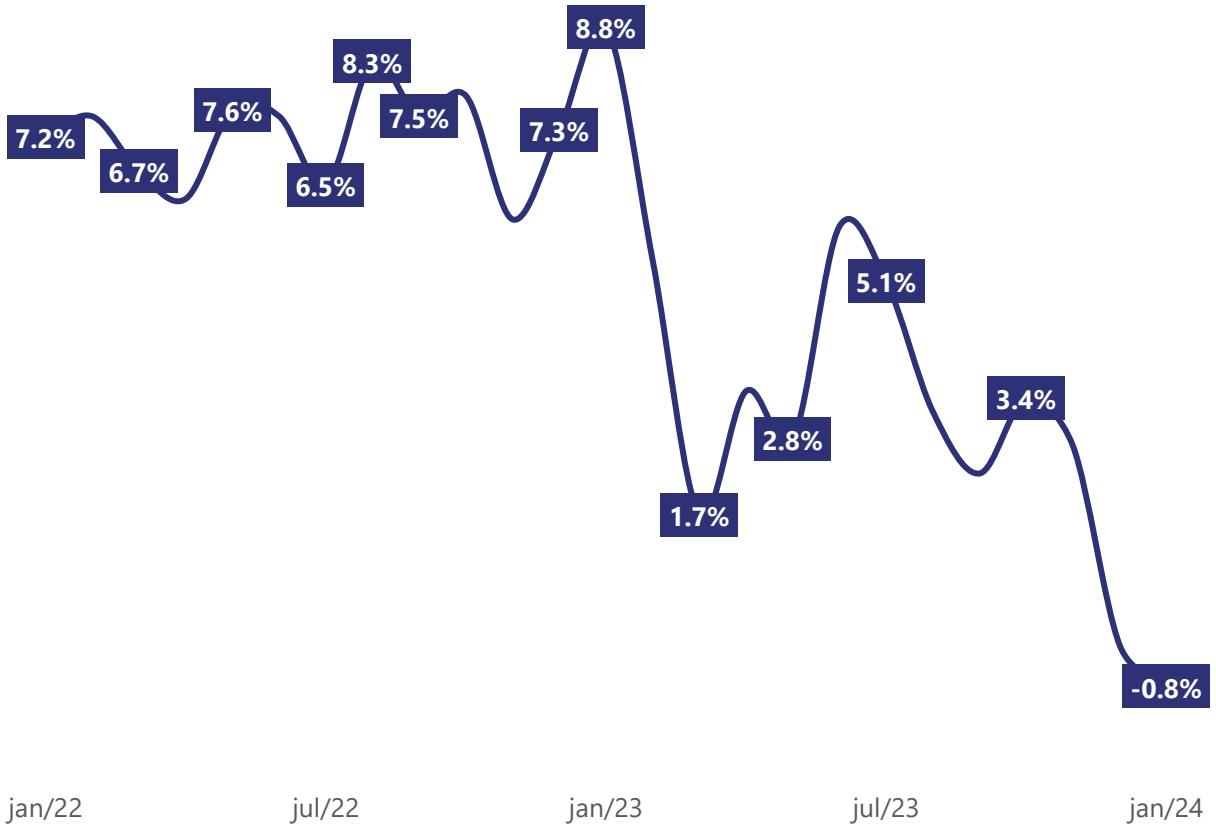

Sources: Trading Economics

# Consumption

## *Mexico*

After impressive previous years, **retail sales are on a retracting note**. For the CCI, there were **no major movements** for the index in the last couple of years.

*Retail Sales YoY (%)*




*Consumer Confidence Index (CCI)*





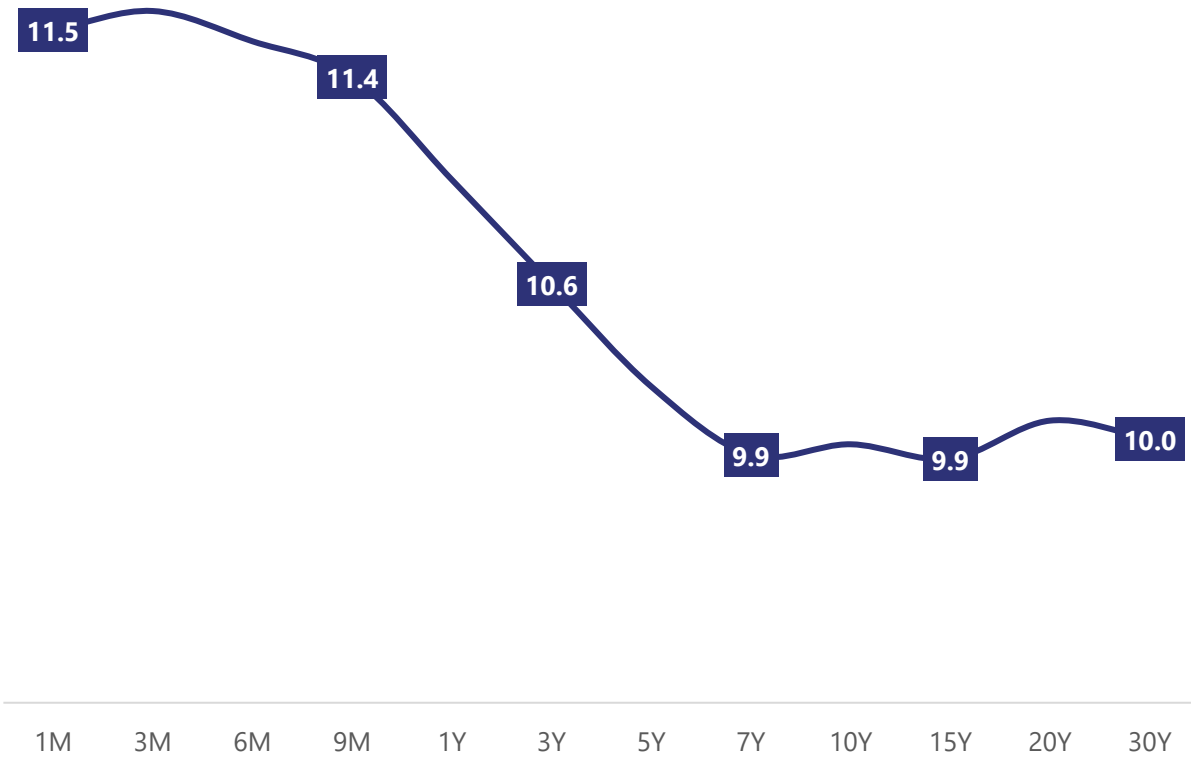

Sources: Trading Economics

# Yield curve, foreign exchange, inflation

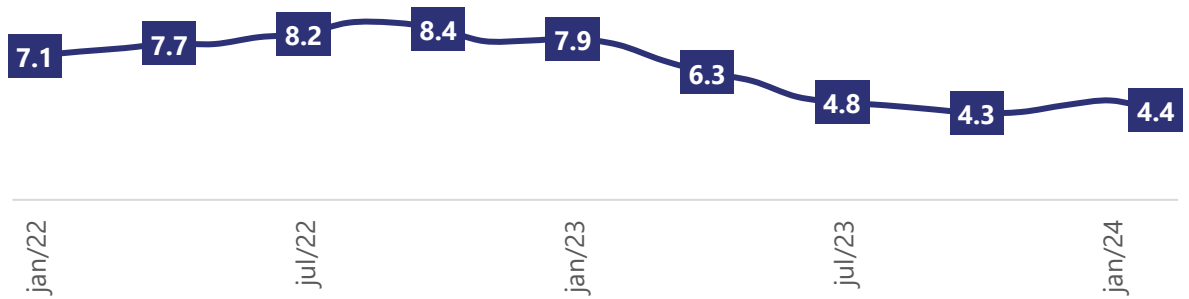
## *Mexico*

Mexico's yield curve is inverted, **signaling future monetary easing**, which comes in line **with a inflation under control**. For the exchange rate, we see that it is **appreciated against 2019 levels.**

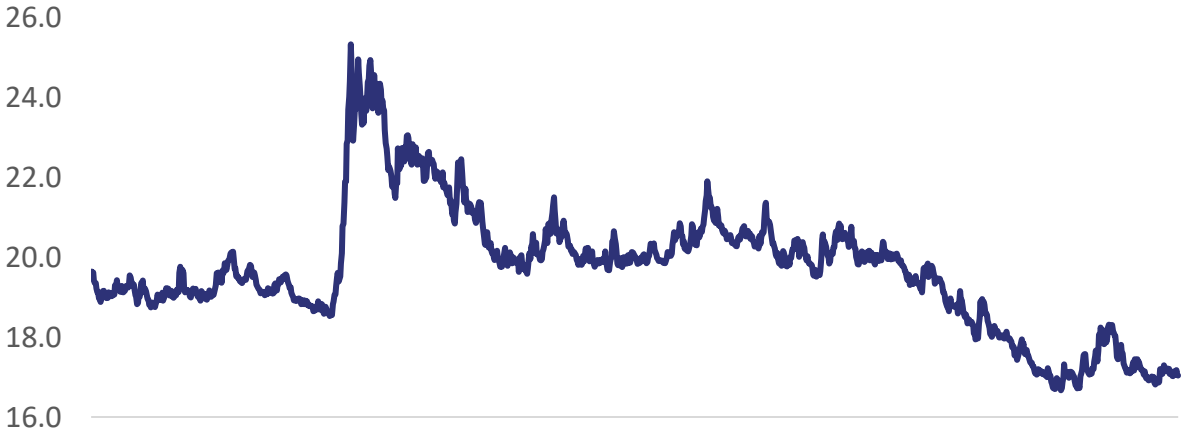
*Yield Curve (%)*




*Accumulated LTM inflation (%)*




*USD/MXN FX since 2019*





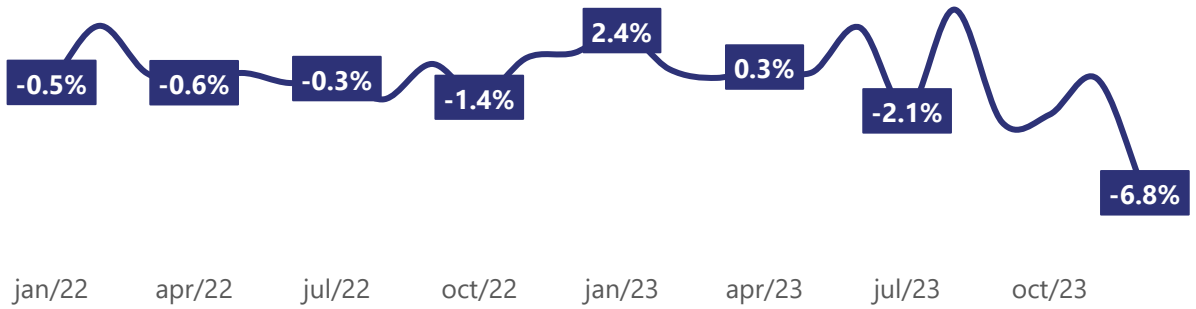

Sources: Investing, INEGI

# Economic activity and employment

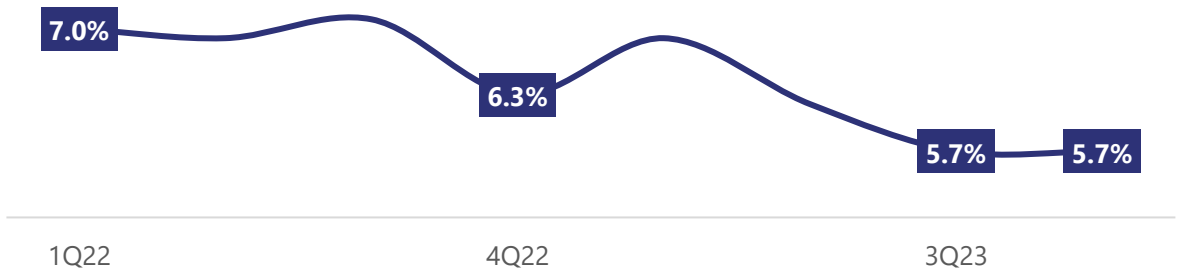
## *Argentina*

Clearly, Argentina is not in a good spot regarding economic activity, **with continuous retraction**. The only good index is unemployment, which could boost further consumption if **inflation was not on a exponential trend.**

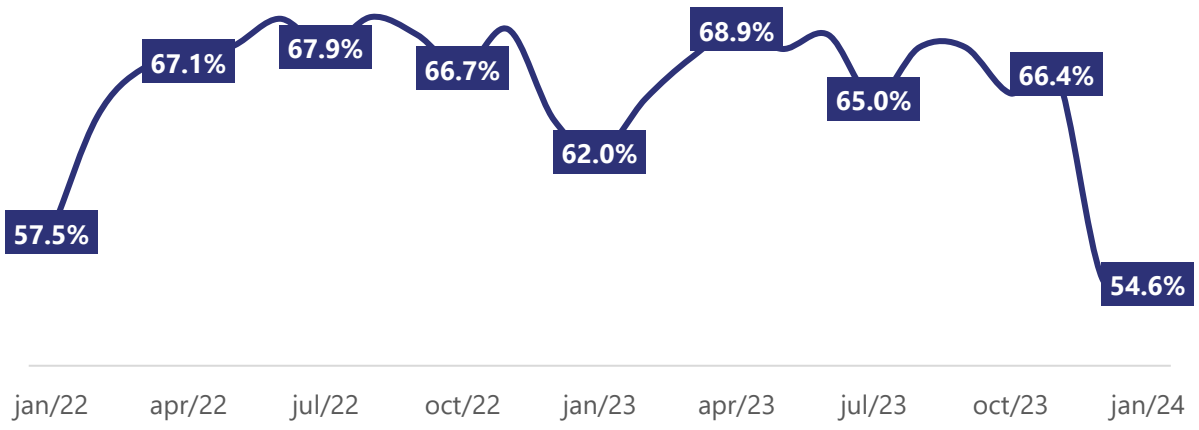
*Leading Economic Index*




*Unemployment rate (%)*




*Capacity Utilization (%)*




*Economic Activity YoY (%)*





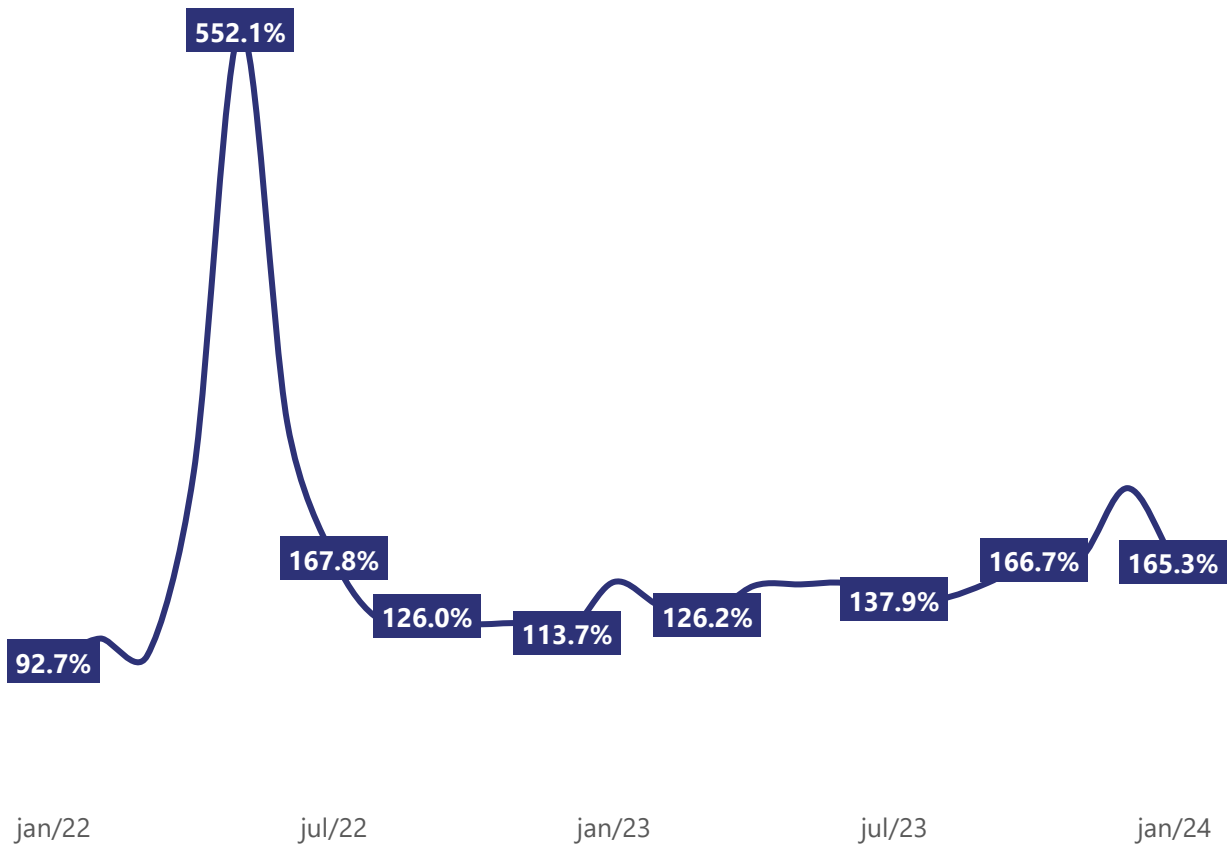

Sources: Trading Economics

# Consumption

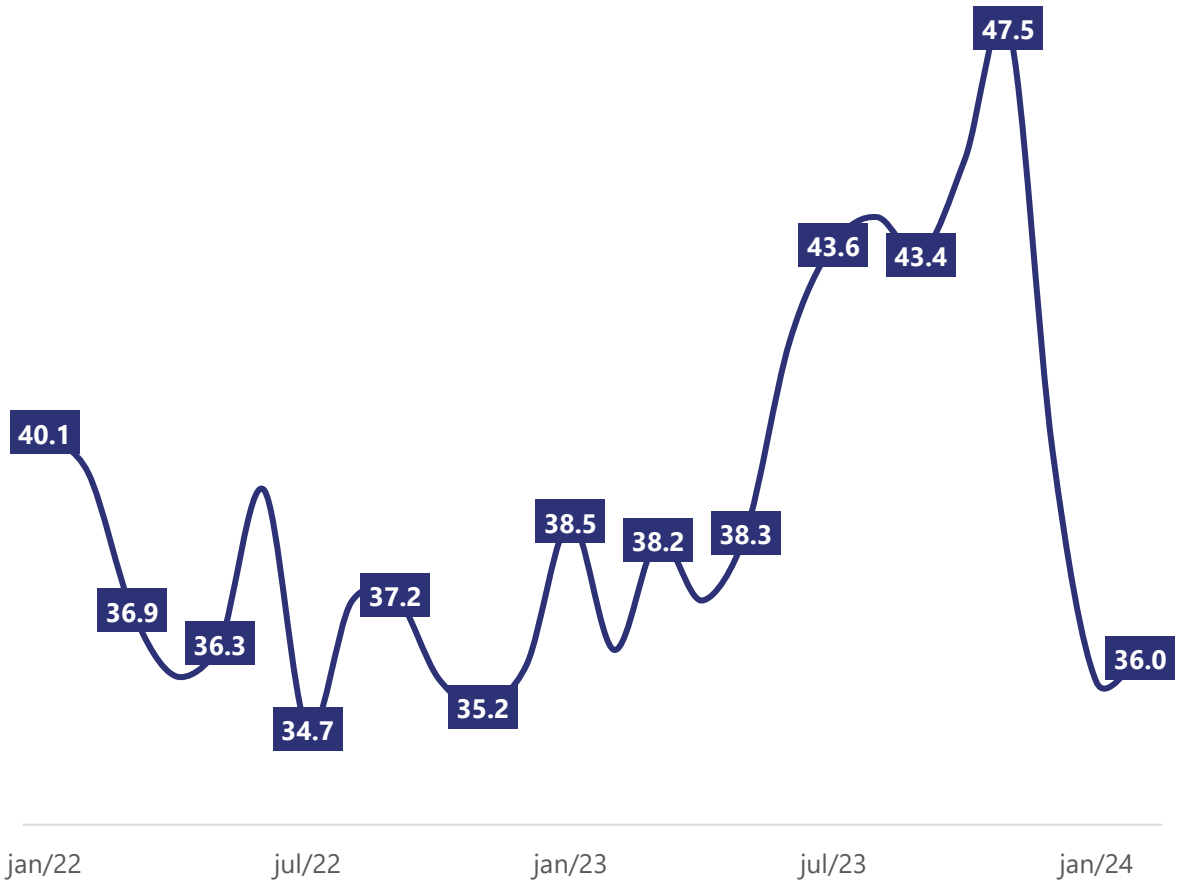
## *Argentina*

Retail sales numbers are **not able to match inflation growth**. Furthermore, we see that the CCI had a **huge drop with Milei's election.**

*Retail Sales YoY (%)*




*Consumer Confidence Index (CCI)*





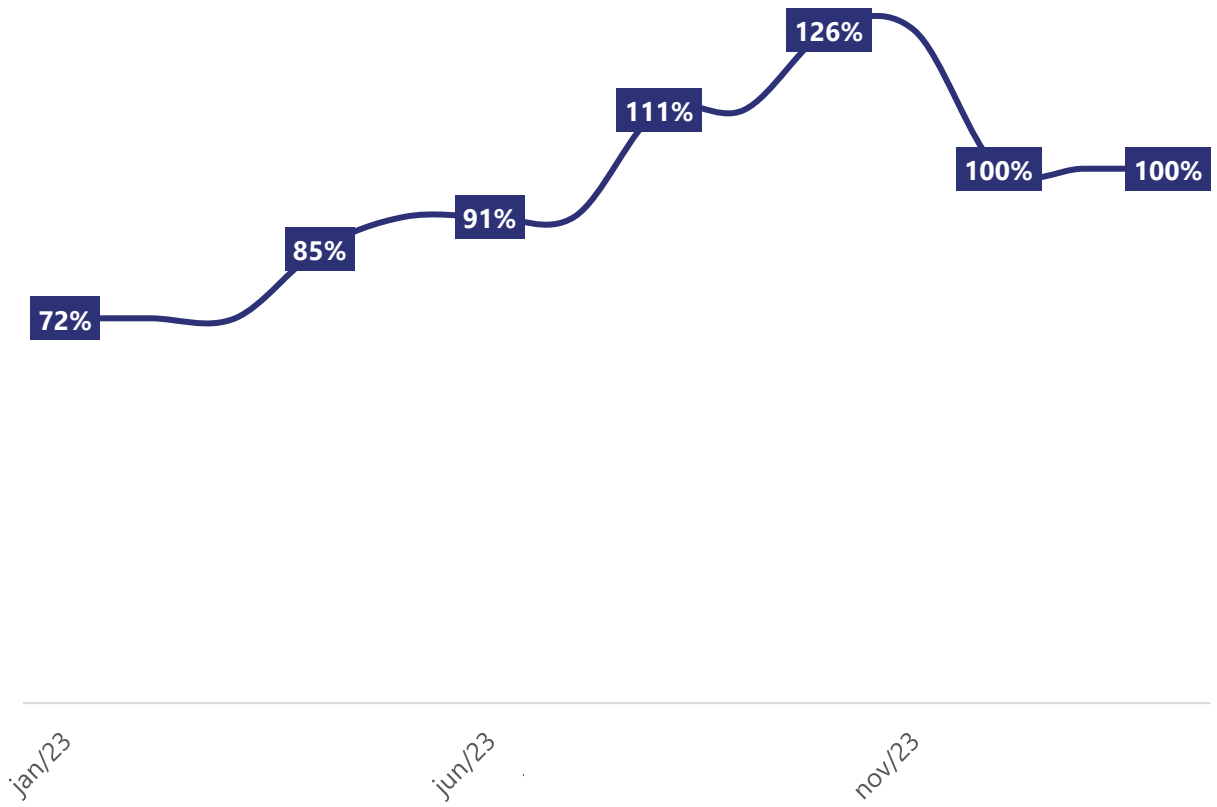

Sources: Trading Economics

# Interest rate, foreign exchange, inflation

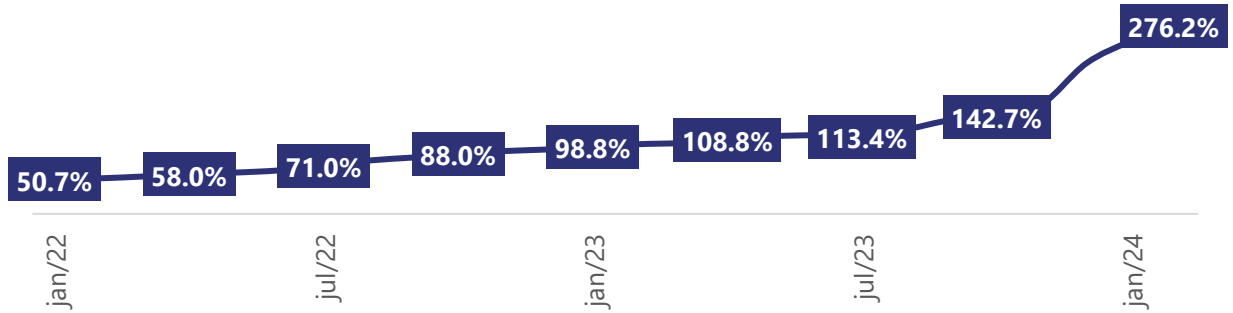
## *Argentina*

A **huge inflationary process** is on display for Argentina, hurting its currency.

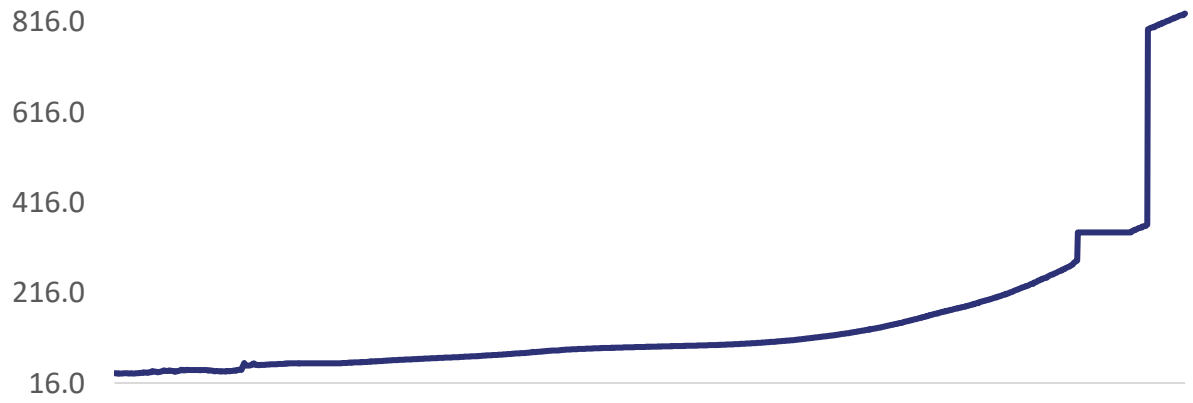
*Interest rate (%)*




*Accumulated YoY inflation (%)*




*USD/ARS FX since 2019*




Sources: Trading Economics, Investing

# SUPPORTING ANALYSIS

# Understanding Mergers and Acquisitions

*Meli's Corporate Development Strategy*

- ***Acqui-hire***
- ***Acquisition to gain Market Share***
- ***New Businesses incorporation***

**Renato Pereira**

*Sr. Director of Corporate Development*

"Now, the **strategy** focuses more on acquiring **businesses** that are **already successful** in areas where Mercado Libre sees **potential** for **growth** or **innovation** but has not **yet** strongly **acted**.

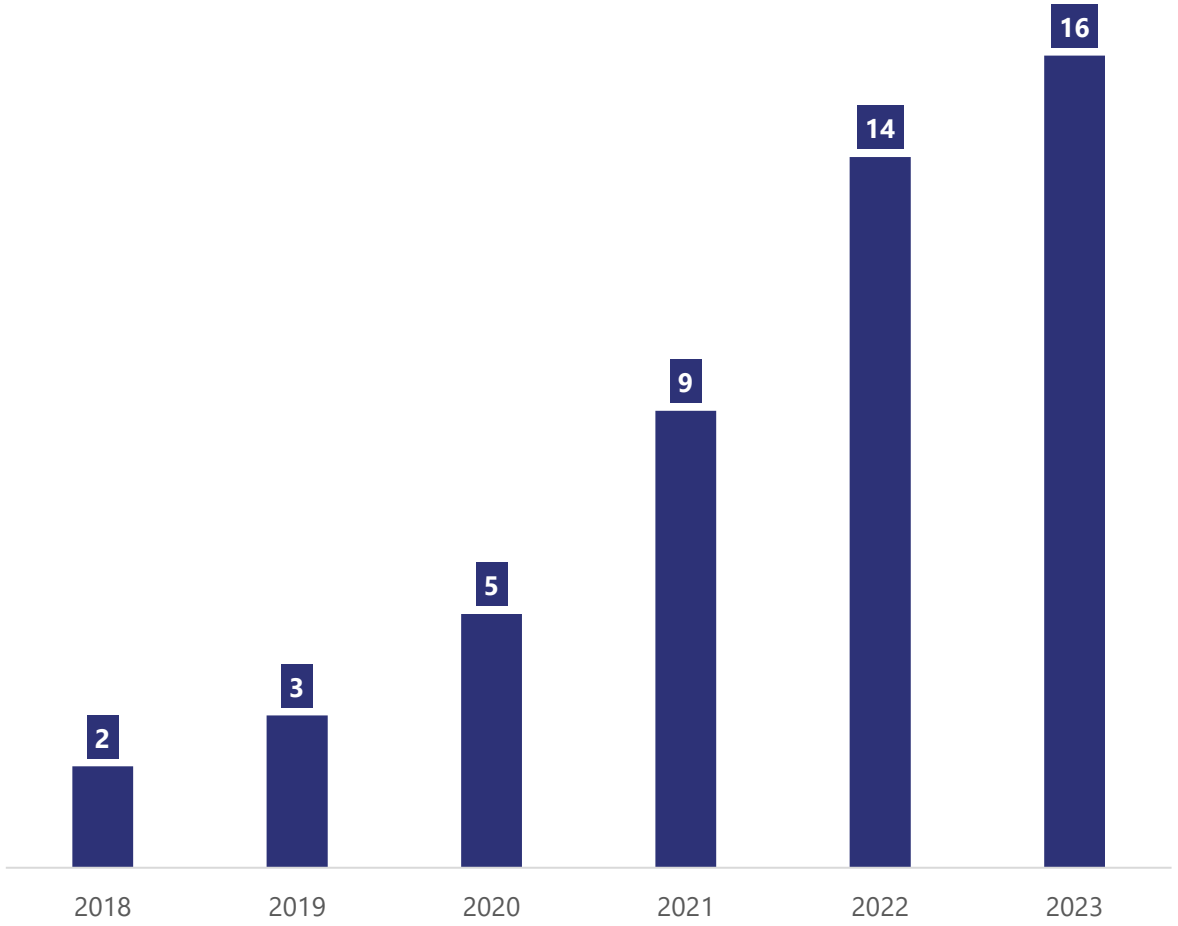


Sources: Visit to Melicidade

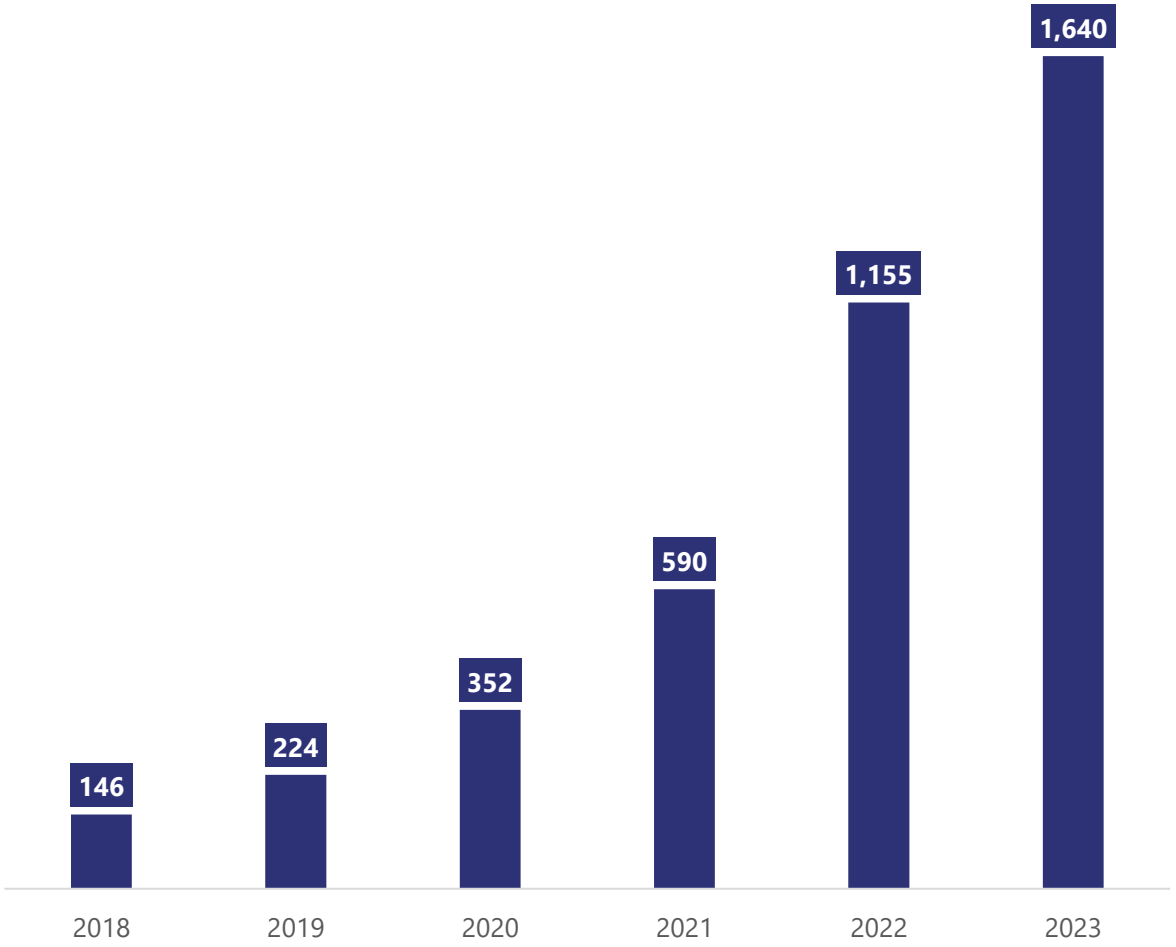
# Investment in Innovation

*P&D expenses and developer headcount*

*Developer headcount (in thousands)*




*Product Development expense (USD mn)*






Sources: Company

# Mercado Libre have mechanisms that protect its users

Security proves to be one of the fundamental factors for consumers to continue to buy on the platform

*Why didn't the consumer buy it*




*Security for the buyers*

Consumer



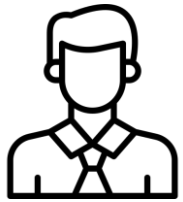
Meli refunds 100% of purchases if necessary (Mercado Pago)

Return is always an option for Meli's costumer (Mercado Pago)

Even safer with fulfillment (X-ray, package verification)

*Security for the sellers*

Seller



If the payment was approved, it's safe to deliver (Mercado Pago)

The sale is secure even if the buyer disputes it

***Robust reputation system***

Sources: Company, Opinion box survey, RHB Capital

# Mercado Shops

Mercado Shops makes it easy for businesses to have online stores and for large companies to increase their online presence. Additionally, it provides full integration with the entire ecosystem

| | Fixed costs per platform | Cost per transaction per platform | Costs for payment or installment | Cost for installment of up to 3x | Cost for installment of up to 12x |
|---|---|---|---|---|---|
| mercado shops | Free | Free | Free | 5.99% | 11.99% |
| nuvemshop | R$0 – R$389 | 0.7% - 2.0% (Free with NuvemPago) | 1x: 4,49%; PIX: 0,99%; Bank slip: R$3,49 | 9.11% | 21.77% |
| shopify | 25 USD – 399 USD | 0.7% - 2.0% | 1x: 4,49%; PIX: 0,99%; Bank slip: R$3,49 | 9.11% | 21.77% |
| lojaintegrada | R$0 – R$799 | Free | 1x: 4,49%; PIX: 0,99%; Bank slip: R$3,49 | 9.11% | 21.77% |

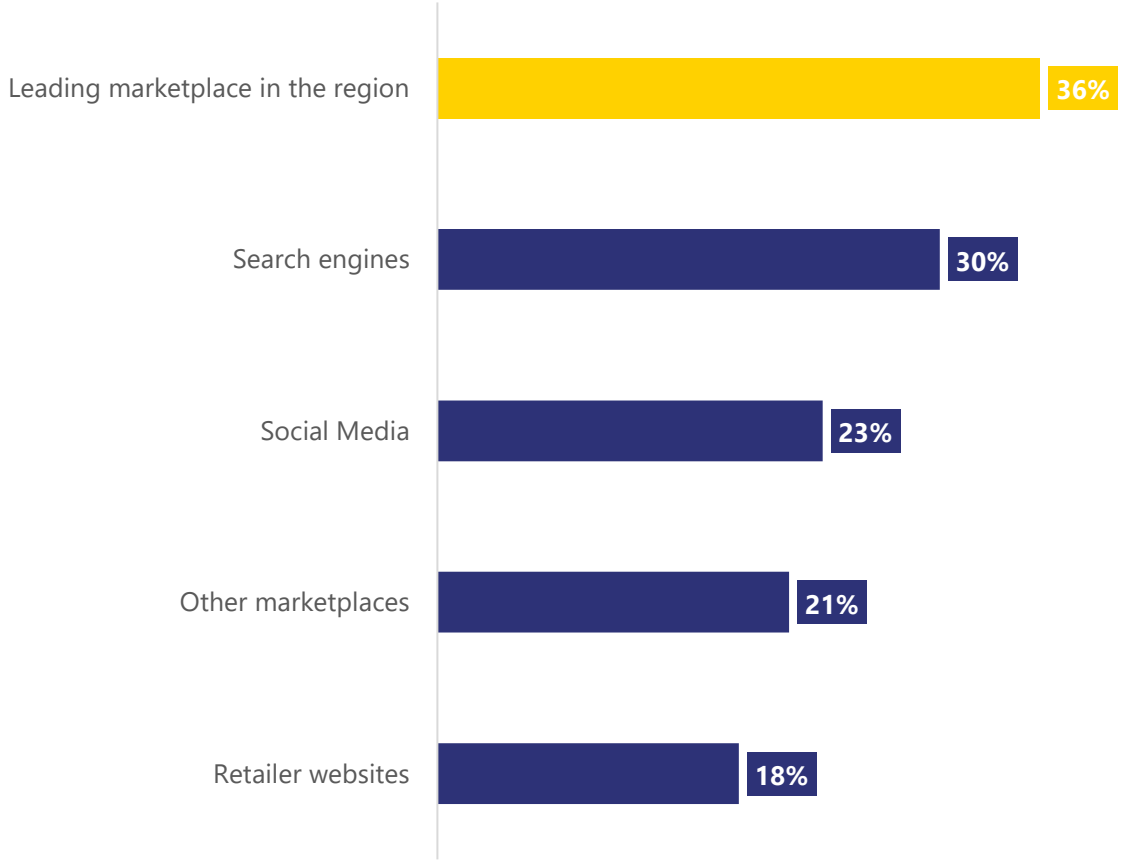
Sources: Companies

# Number one again?

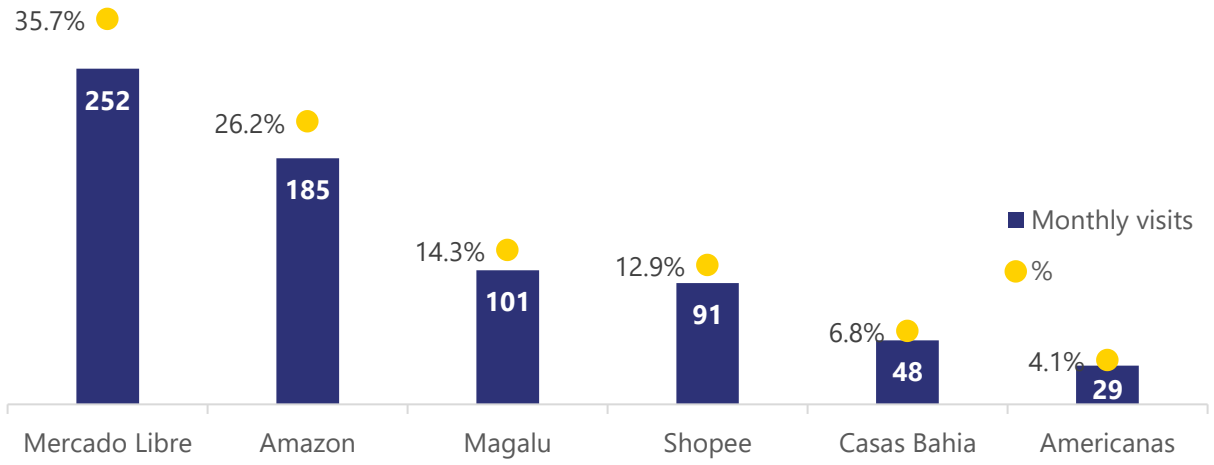
## *Network effects online metrics*

We wanted to use another metric to understand Meli's positioning as **Brazil's top marketplace**. In this sense, the company have **36% more visits than the second closest peer** and it can strenghten its **network effects by taking advantage of consumer behaviour.**

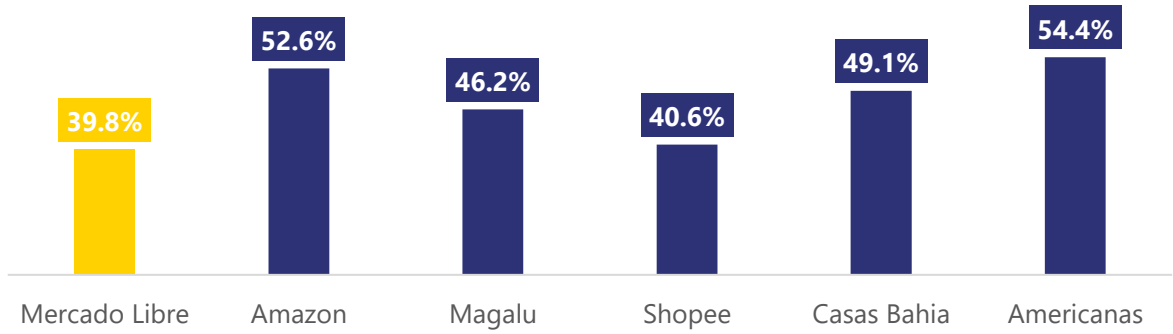
*Where do consumers typically search for products online?*




*BR Monthly visits (mn) and percentage of total visits of the peers pool (%)*



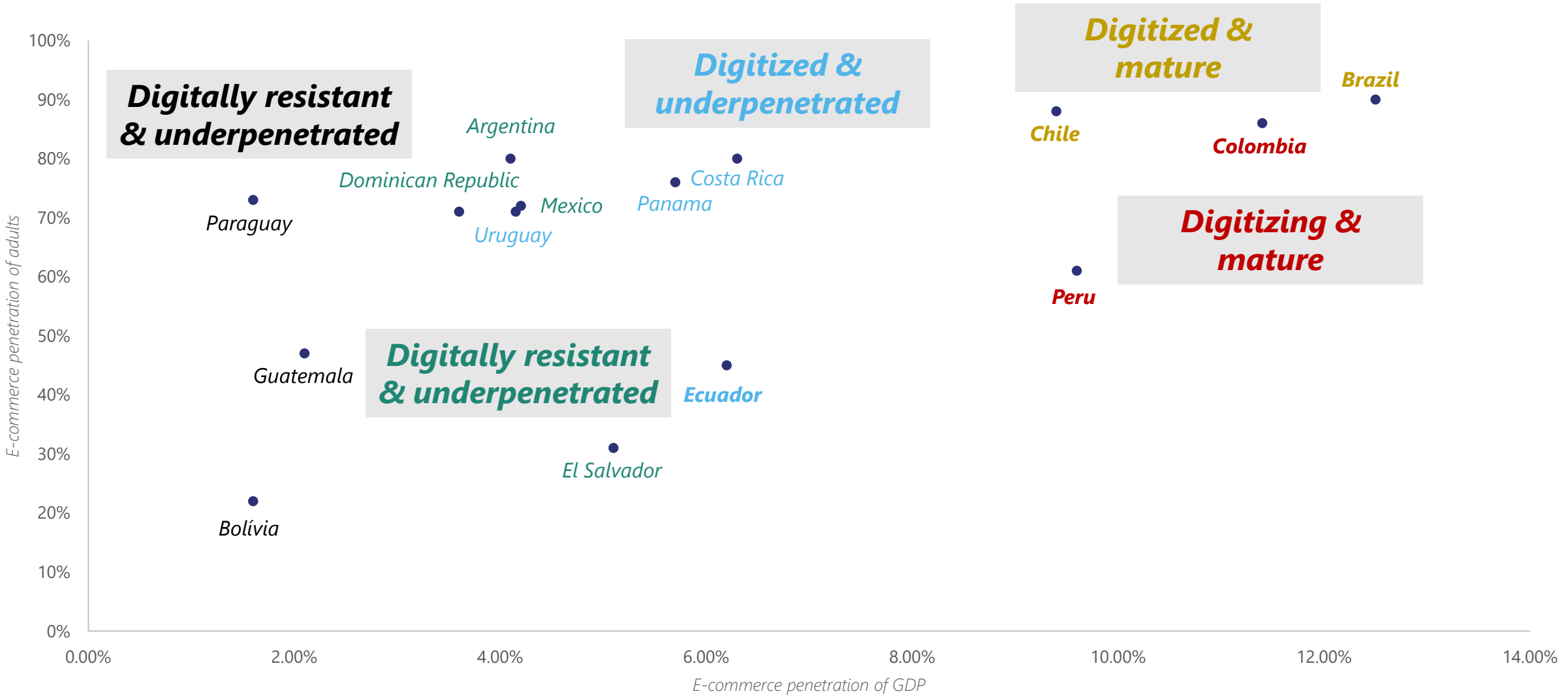

*Bounce Rates (%)*




Sources: Insider Intelligence, Similarweb

# Countries landscape

## *Digital Penetration Understanding*

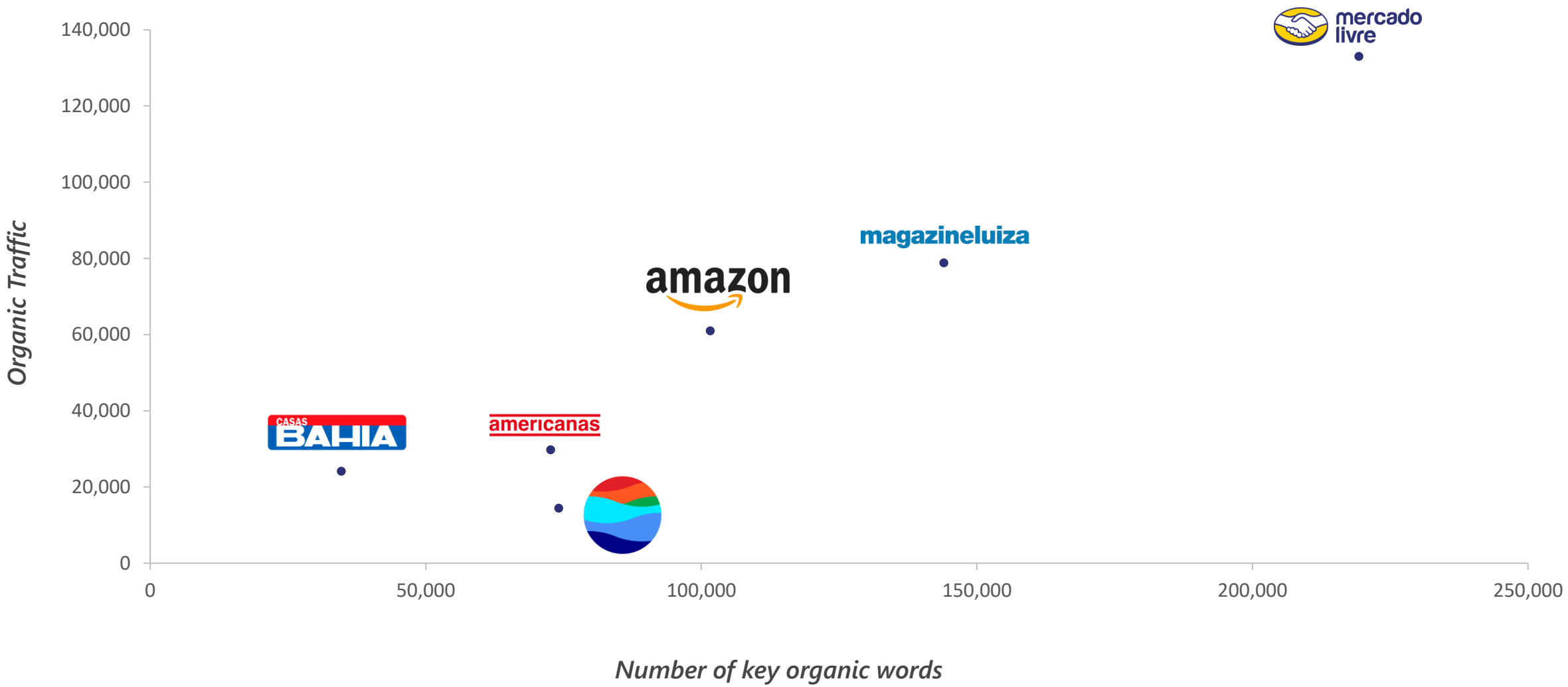





Sources: PCMI Data Library

# Competitive positioning map

*Key organic words x Organic traffic*




Sources: SemRush

# App positioning

*Play Store reviews*

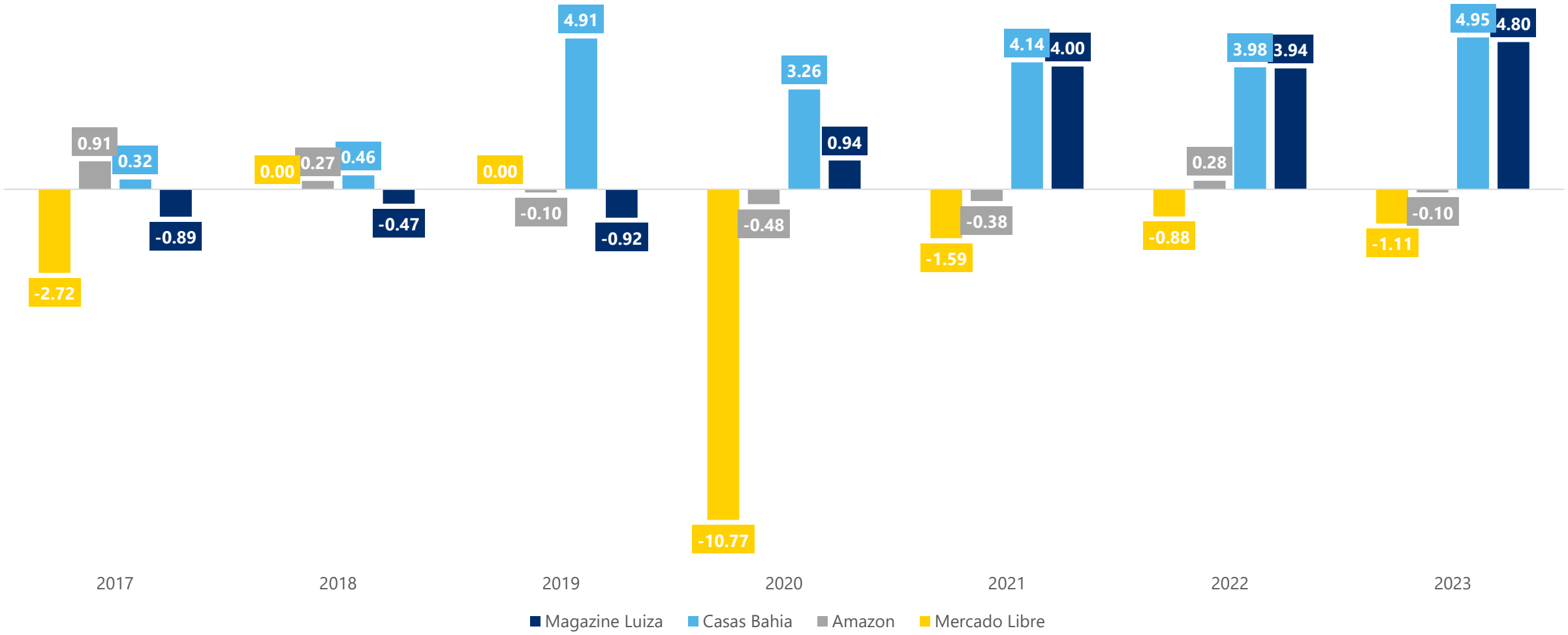
| App Classification | | | Number of Reviews |
|---|---|---|---|
| | 4.9 | 4.8 | 18m reviews |
| | 4.9 | 4.2 | 3m reviews |
| magalu | 4.9 | 4.2 | 1m reviews |
| | 4.8 | 4.6 | 14m reviews |
| SHEIN | 4.7 | 4.4 | 6m reviews |
| | 4.8 | 4.8 | 4m reviews |

Sources: Play Store

# Leverage Understanding

## *Net Debt / EBITDA Comparison*

*Net Debt / EBITDA*




Sources: RHB Capital